



Deutsche Bank
Research

Private capital monitor: AI is the 2nd biggest risk

September 2026

Luke Templeman | Galina Pozdnyakova

Deutsche Bank Research Institute

Deutsche Bank
Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.



Table of contents:

1. Q2 2026 results

Pg 2

2. A spotlight section

10

3. Market conditions

22

4. Fundraising environment

31

5. Dealmaking activity

39

6. Investor allocations

43

Executive summary

- **Data centres, power, compute** and private investment-grade financing is further diversifying private capital from buyouts.
- But the risk of **AI disruption, overbuild, and capital misallocation** is a frequent risk discussed by large, listed private capital managers
- Our spotlight section includes an analysis of **AI-related overfinancing risk**
- Still, the **macro environment** is now the top point of concern amongst PC managers, even more so than the exit environment
- **Private capital growth remains strong but is becoming increasingly K-shaped.** Scale, investment performance, origination capabilities and product breadth are driving fundraising toward the largest platforms, while weaker managers and less differentiated products face pressure.
- **Fundraising, AUM and fee-related earnings generally reached record or near-record levels**, despite weak sponsor M&A, uneven exits and disruption in parts of private wealth and software.
- There has also been a **drop in the number of articles on private credit in the media**, especially when it comes to “crisis”-mentioning variety. With public BDCs being at the centre of this year’s rout, the drop in such trackable indicators likely bodes well for sentiment and thus flows.
- The overall tone of Q2 results was **strongly positive and confident, especially on fundraising and structural growth**. However, management teams were more cautious on the timing of monetisations, private-wealth recovery, AI capacity risks and software disruption.



01. Q2 2026 results

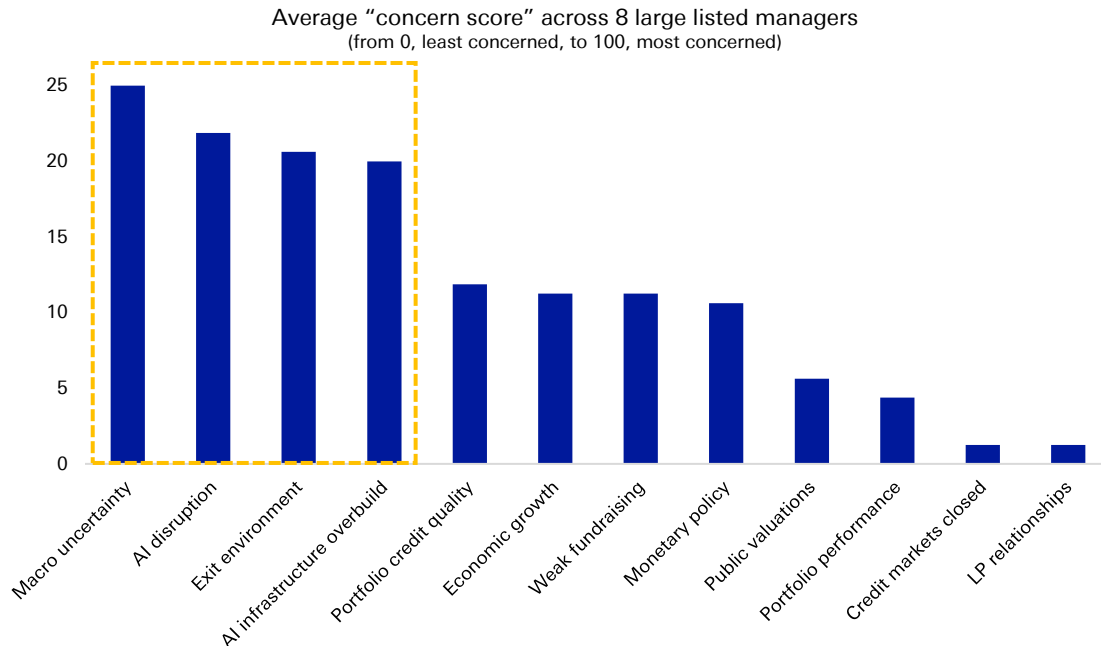
Deutsche Bank
Research Institute

Q2 earnings calls from the large, listed PC managers

Summary



- **Private capital growth remains strong but is becoming increasingly K-shaped.** Scale, investment performance, origination capabilities and product breadth are driving fundraising toward the largest platforms, while weaker managers and less differentiated products face pressure.
- **Fundraising, AUM and fee-related earnings generally reached record or near-record levels**, despite weak sponsor M&A, uneven exits and disruption in parts of private wealth and software.
- **The overall tone was strongly positive and confident, especially on fundraising and structural growth.** However, management teams were more cautious on the timing of monetisations, private-wealth recovery, AI capacity risks and software disruption.
- **AI is creating a need** for data centres, power, compute and private investment-grade financing that further diversifies private capital from buyouts.
- Amongst the concerns we track, managers were relatively **more concerned about the macro environment and AI effects**, including the risk of overbuild in related infrastructure.

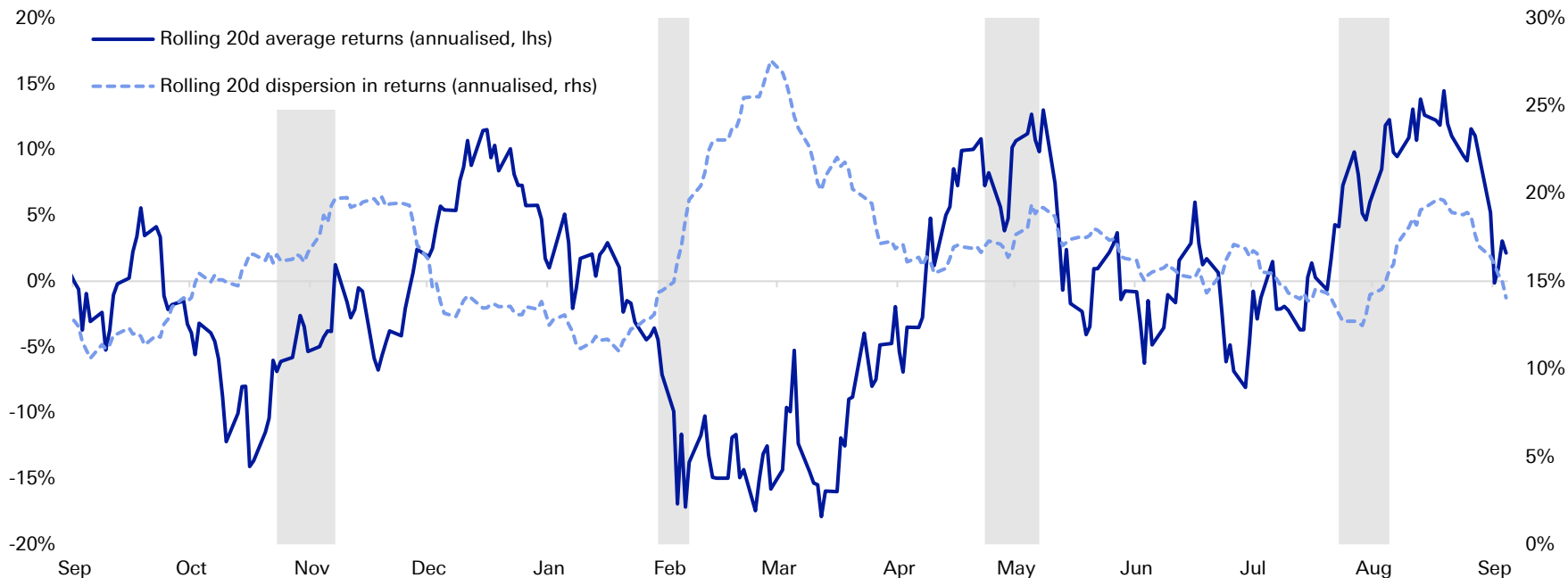


Source: Bloomberg Finance LP, Microsoft Copilot, Deutsche Bank.

Good results and some pullback around AI and credit fears catalysed a strong rebound in shares



8 US-listed private capital managers, rolling performance (earnings season shaded)



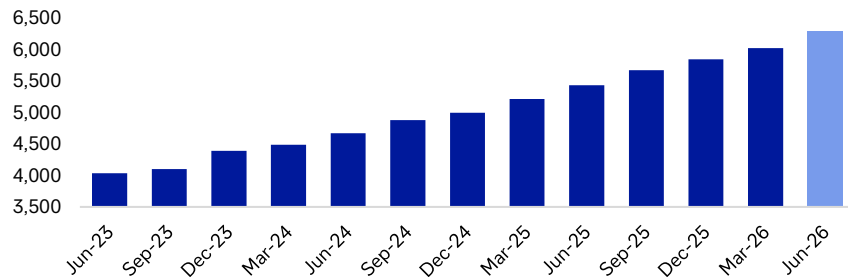
Source: Bloomberg Finance LP, Deutsche Bank.

Key metrics for selected large private capital managers

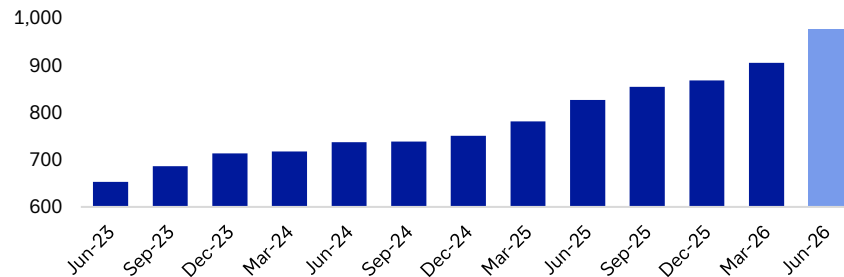
Strong earnings and a notable uptick in dry powder



Total AUM in \$bn



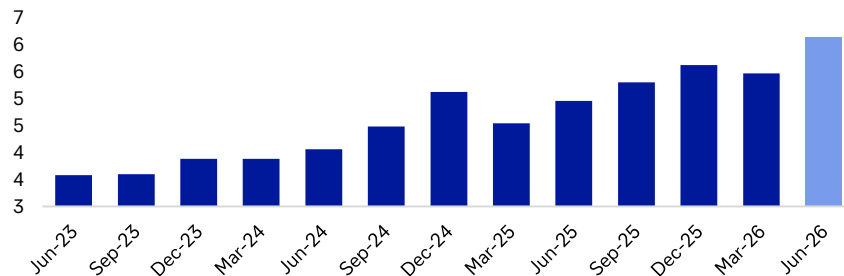
Dry powder in \$bn



Average fee-related earnings margin (%)



Fee-related earnings in \$bn



Source: Bloomberg Finance LP, Deutsche Bank.

Key themes from Q2 earnings calls

Large, listed managers talk AI, wealth, fundraising, exits and credit



1. **AI infrastructure** has become a firm-wide capital deployment and earnings theme, extending beyond data centres into power, compute, chips, connectivity and investment-grade financing. Power availability is emerging as a more important constraint than capital. Although concentrated exposure to AI infrastructure is a risk if demand expectations change, managers stressed contracted revenues, strong counterparties and hard-asset collateral as mitigants.
 - Blackstone's data-centre platform reached \$185bn of total value, including projects under construction, up from \$130bn at the start of 2026. Management said the platform could double over the next few years and that the market for long-term ownership of stabilised data centres could eventually reach \$1tn. The firm also said nine of its ten largest Q2 mark-ups were AI-related.
 - Apollo cited more than \$8tn of cumulative AI-infrastructure investment through the cycle and led a \$35bn Broadcom financing, described as the largest private-credit financing to date.
 - Brookfield estimated \$10tn of AI-related capex across energy, data centres, compute and adjacent infrastructure. The firm said AI-related deployment was probably running at approximately twice its normal 15%-20% business growth rate.
 - Blue Owl reported more than 140 data centres owned or under construction and 15.3GW of leased and owned capacity
2. **Private wealth** remains strategically important, but private credit experienced a confidence and liquidity test. Early Q3 data suggests stabilising fundraising. The better wealth outcomes increasingly came from private equity, infrastructure, real estate and multi-asset products rather than traditional private credit. Earnings calls suggest some international family offices and smaller institutions behaved more cyclically than core US individual investors.
3. **Record fundraising** despite a "noisy" backdrop. Fundraising is concentrating with scaled, diversified platforms.
4. **Realisations** are recovering, but the market is highly selective (see pages 17-21 of this report)
5. **Credit is broadening beyond sponsor-backed direct lending** and real assets, infrastructure, defence and secondaries are benefiting from secular demand
6. **Earnings are shifting toward recurring fees, transaction revenues and fee-related performance revenues.** Firms are becoming more effective at capturing economics from origination, financing and perpetual vehicles amidst a strategic shift from simply managing third-party capital toward monetising the broader platform through origination, syndication, financing and advisory services.

Source: Bloomberg Finance LP, Deutsche Bank.

Key risks from Q2 earnings calls

Aside from AI, concerns are rising about rates and credit



1. **AI overbuild, capital misallocation and execution amongst most consistently voiced risks**
 - Brookfield said concerns about excess infrastructure capacity were reasonable and that, as in railways and fibre, some capital would inevitably be poorly allocated.
 - Blackstone acknowledged the potential for excessive exuberance, despite its conviction that power, chips and entitlements constrain supply.
 - Both firms also identified scarce inputs and complex development requirements as execution bottlenecks.
2. **AI disruption to software and white-collar services**
 - Blackstone said software, professional services and information services were experiencing weaker buyer interest despite many companies continuing to perform operationally.
 - TPG reported mid-teens software bookings growth and said over 75% of its software exposure was well positioned to benefit from AI.
 - Blue Owl said it had gained increasing comfort around software transition risk but continued to recognise it as a valid issue
3. **Wealth-channel redemptions.** Management frames this as narrative-driven, but a slower-than-expected sentiment recovery is a risk to retail flows. Managers emphasised that requests were concentrated among a minority of investors concentrated in non-US family offices and smaller institutions and that underlying portfolio performance remained sound.
 - The recovery appears to be under way but remains gradual. Blue Owl explicitly rejected a V-shaped recovery assumption, while Ares estimated that its BDC could return to flow stasis over the next two to three quarters if current trends continued.
4. **Realisation timing and reliance on capital markets.** Managers stressed that timing is difficult to predict.
 - TPG expects transaction and monitoring fees to step down in Q3 after pulling forward some transactions into Q2. Carlyle similarly said Q2 capital-markets activity was unlikely to repeat in Q3 or Q4. Blackstone expects lower Q3 realisations before a stronger Q4 and 2027.
5. **Credit-cycle normalisation and growing dispersion remain risks, although managers generally reported sound portfolio fundamentals in Q2.**
6. **Insurance competition, spread compression and regulation**
 - KKR said competition had increased and it was allocating somewhat less capital to insurance at current return levels. Management described sector ROEs as structurally low in the current competitive environment. Apollo cited 36 asset-manager entrants into retail annuities and argued that some competitors lack mature origination, liability-generation and operating capabilities. Apollo also highlighted offshore regulatory arbitrage and pushed for “equal capital for equal risk”, warning that weaker regulatory structures could undermine industry trust.
7. **Rates, inflation, energy and geopolitics.** The macro backdrop remained a recurring source of uncertainty:
 - Carlyle cited war in the Middle East, pressure on energy markets, stubborn inflation and AI-related public-market volatility.
 - TPG said geopolitical uncertainty and changing rate expectations had reduced private-equity activity.
 - Blackstone said higher rates were delaying the real-estate recovery and had pushed some exits out.

Source: Bloomberg Finance LP, Deutsche Bank.

Q2 earnings: performance by asset class



KKR	Q2	LTM
Private equity		
Traditional PE portfolio	4%	9%
Real assets		
Opportunistic real estate	-1%	1%
Infrastructure	1%	8%
Credit		
Leveraged credit composite	2%	5%
Alternative credit composite	1%	5%
Apollo	Q2	LTM
Direct origination	2.6%	7.9%
Opportunistic credit	1.8%	10.7%
Multi-credit	1.9%	7.4%
Asset-backed finance	2.4%	7.2%
Flagship PE	3.0%	7.2%
Carlyle	Q2	LTM
Global private equity		
Corporate PE	2%	4%
Real estate	0%	2%
Infrastructure & natural resources	6%	28%
Global credit	4%	16%

Ares	Q2	LTM
Credit		
Alternative credit	4.1%	16.4%
Opportunistic credit	2.4%	8.9%
US senior direct lending	2.5%	11.2%
US junior direct lending	0.2%	8.9%
European direct lending	1.5%	8.3%
APAC credit	2.4%	19.0%
Corporate private equity	2.4%	1.6%
Real assets		
Americas real estate equity	0.6%	3.1%
European real estate equity	0.2%	2.5%
Infrastructure equity	9.0%	9.8%
Infrastructure debt	1.7%	7.5%
Secondaries		
Private equity secondaries	-5.3%	-1.7%
Real estate secondaries	-1.2%	5.6%
Infrastructure secondaries	-0.4%	14.6%

Blackstone	Q2	LTM
Real estate		
Opportunistic	0.4%	-1.4%
Core+	0.2%	3.2%
Private equity		
Corporate private equity	3.7%	14.4%
Tactical opportunities	3.9%	9.9%
Secondaries	1.7%	8.1%
Infrastructure	7.2%	28.6%
Credit & insurance		
Private credit	1.0%	6.8%
Liquid credit	2.2%	3.9%
TPG	Q2	YTD
Capital	5.7%	3.1%
Growth	6.2%	4.5%
Impact	7.2%	7.2%
Credit	3.3%	5.6%
Real Estate	2.5%	4.4%
Blue Owl	Q2	LTM
Direct lending	2.6%	8.3%
Alternative credit	2.4%	11.4%
Net lease	3.1%	13.6%
Real estate credit	1.9%	8.1%
Digital infrastructure	3.1%	6.0%

Source: Company reports, Bloomberg Finance LP, Deutsche Bank. Note: Performance reflects gross returns or appreciation depending on the manager, strategy and time period.

Management comments – a few records in Q2 and a confident tone



- **Stephen Schwarzman of Blackstone:** “Blackstone delivered an outstanding second quarter, highlighted by strong growth in earnings and nearly \$70 billion of inflows. Our decision to lean into the artificial intelligence megatrend is leading to standout investment performance across numerous strategies and creating extraordinary opportunities for growth. We’ve become a trusted partner at scale to many of the key innovators in this ecosystem, which positions our firm extremely well for the future.”
- **Joseph Bae and Scott Nuttall of KKR:** “Our second quarter results reflect the strength and breadth of KKR’s global franchise. We reported record Fee Related Earnings, Total Operating Earnings and Adjusted Net Income per share on both a quarterly and trailing twelve-month basis. Our continued return of capital to clients led to our strongest monetization quarter ever and helped drive record new capital inflows over the past 12 months.”
- **Marc Rowan of Apollo:** “Our strong second quarter results reflect record earnings across Asset Management and Retirement Services, highlighting the quality and growing scale of our business. We are at the forefront of modernizing how private markets operate by enhancing transparency, improving liquidity, and broadening access. In a market evolving quickly with increasing demand for capital, the breadth of our origination capabilities combined with a principal mindset positions us to help shape what comes next.”
- **Harvey Schwartz of Carlyle:** “The second quarter was one of Carlyle’s strongest quarters in recent years, underscoring the power of our diversified platform. We delivered record Fee Related Earnings, our highest Distributable Earnings in nearly four years, alongside strong fundraising, and exceptional realization activity. Carlyle continues to distinguish itself as an industry leader and an outlier in returning capital to our clients, distributing nearly \$7 billion during the quarter and \$37 billion over the past year. ...”
- **Michael Arougheti of Ares:** “We generated strong second-quarter results, including another record quarter of fundraising with more than \$36 billion of inflows as our clients continue to reward us due to our strong and consistent fund performance across our strategies. Our diverse global origination platform enabled us to remain active investing in attractive opportunities across the platform in a slower transaction environment and we are now seeing a meaningful pickup in our firmwide investment pipeline.”
- **Jon Winkelried of TPG:** “TPG delivered record results during the first half of 2026, reflecting the strength of our diversified and growing franchise... As clients increasingly partner with TPG for access to our differentiated offerings across strategies, we continue to see significant opportunities to further expand our platform and build long-term value for our shareholders.”
- **Doug Ostrover and Marc Lipschultz of Blue Owl:** “Blue Owl’s ongoing growth in the second quarter reflects the strong investment performance we continue to generate across strategies and the diversification of our business across platforms and geographies... The results we reported this morning continue to demonstrate the resilience of our business and highlight our positioning as a key provider of scaled capital solutions in this evolving market landscape.”

Source: Company reports, Deutsche Bank.



02.

Spotlight section:

- Sentiment recovery
- AI overinvestment
- Realisations

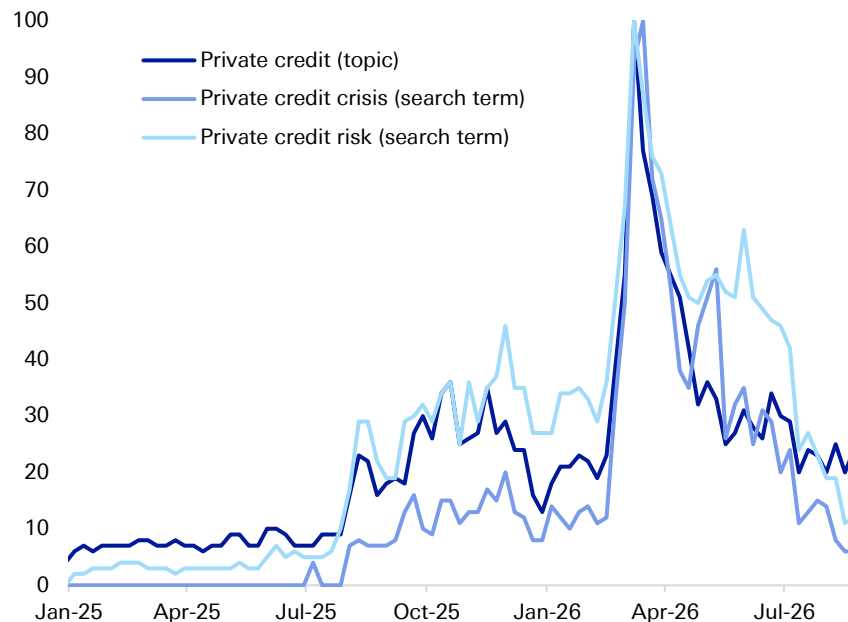
Deutsche Bank
Research Institute

Private credit fears 1/3

The pessimism is well past its peak now as various sentiment measures point to a drop in interest in the topic. As managers first noted during Q1 earnings, there seems to have been the most concern amongst Asian investors.

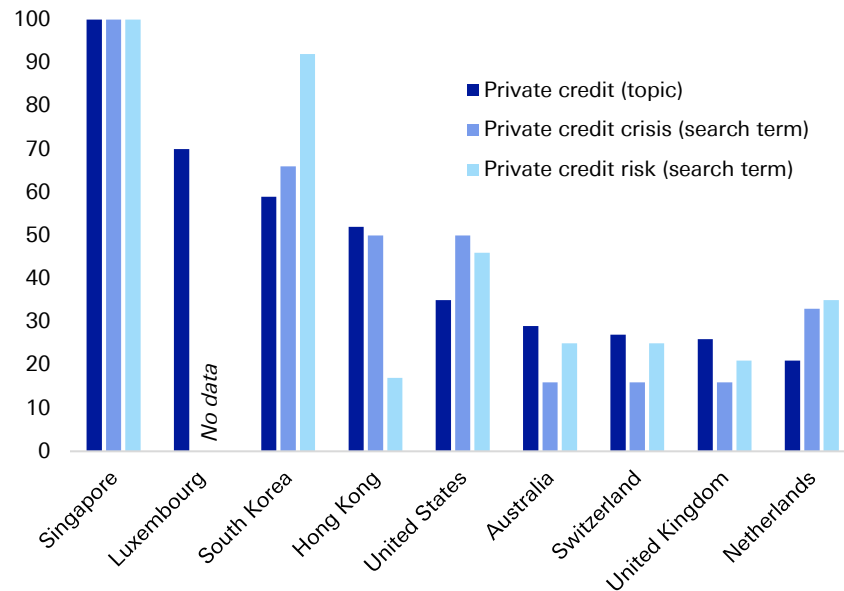


Private credit-related Google search trends (worldwide)
100 = the peak popularity for the term



Source: Google Trends, Deutsche Bank.

Popularity of private credit-related search terms
(Last 12m, 100 = the location with the most popularity as a fraction of total searches in that location)

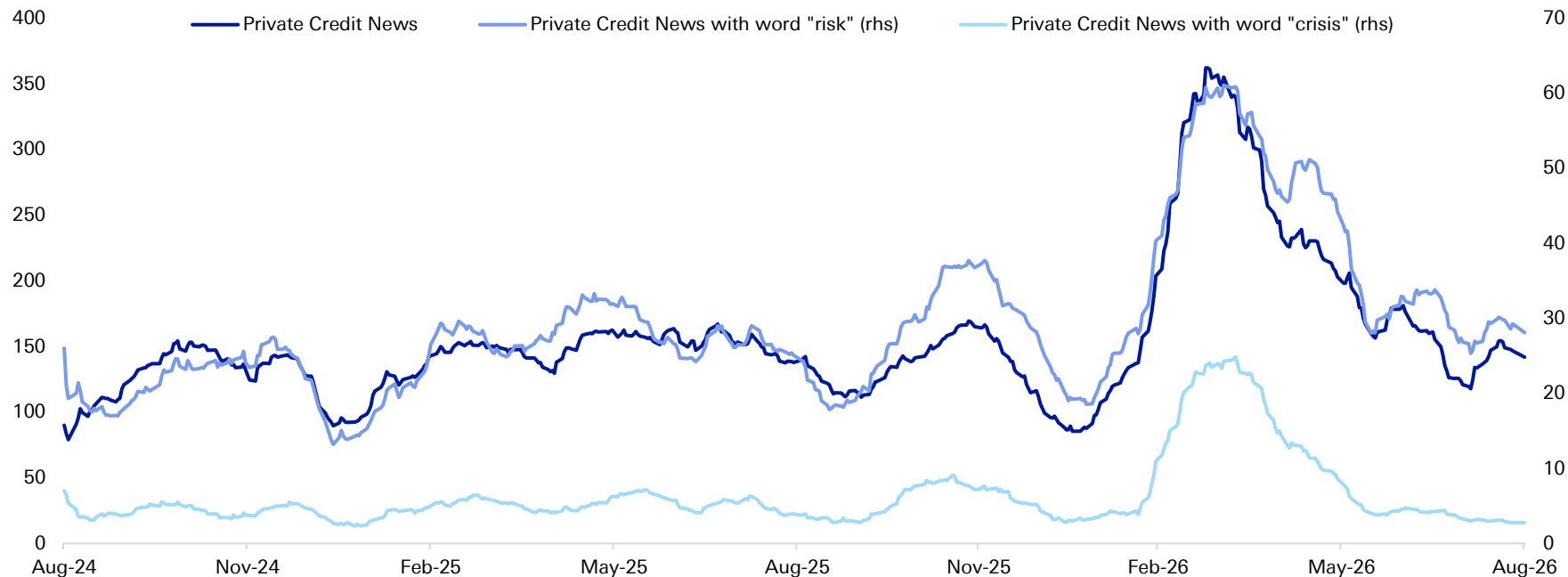


Private credit fears 2/3

There has also been a drop in the number of articles on private credit in the media, especially when it comes to “crisis”-mentioning variety. With public BDCs being at the centre of this year’s rout, the drop in such trackable indicators likely bodes well for sentiment and thus flows.



Story count of private credit news as tracked by Bloomberg, 30d average



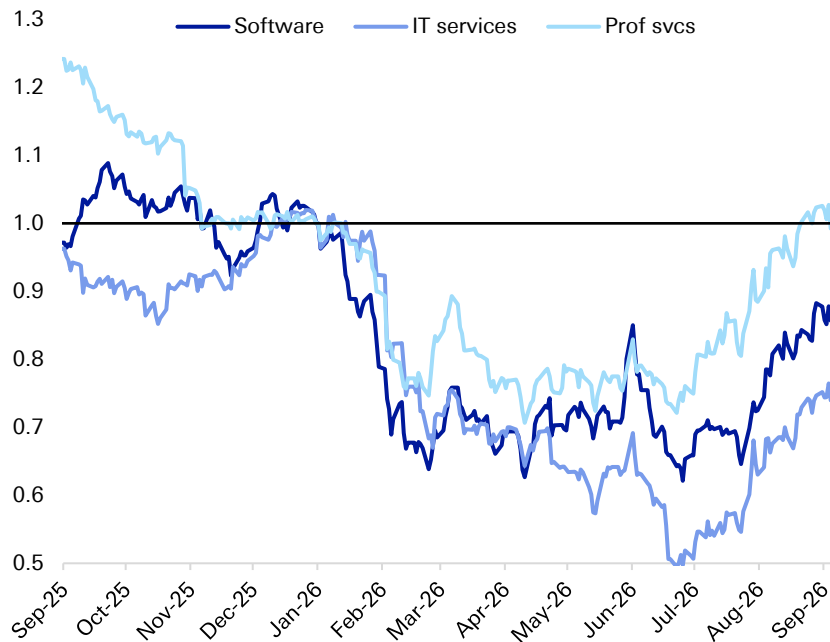
Source: Bloomberg Finance LP, Deutsche Bank.

Private credit fears 3/3

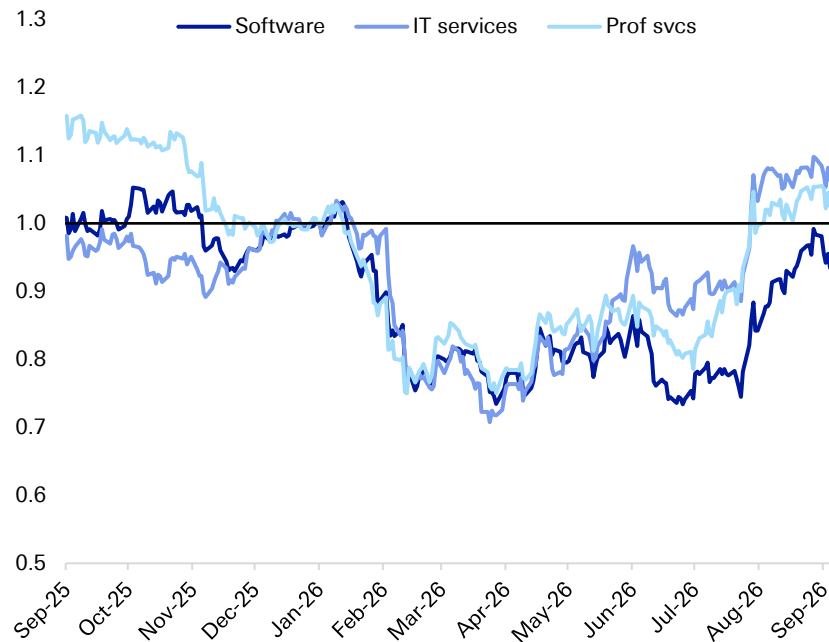
The relief to private capital also comes from receding AI disruption fears in software as firms reported solid earnings and executives continue to push back at the negative narratives around AI's impact on their businesses. Our baskets of stocks that were most affected by the original selloff earlier this year that we covered [here](#)



Selected US stocks, indexed to end of 2025



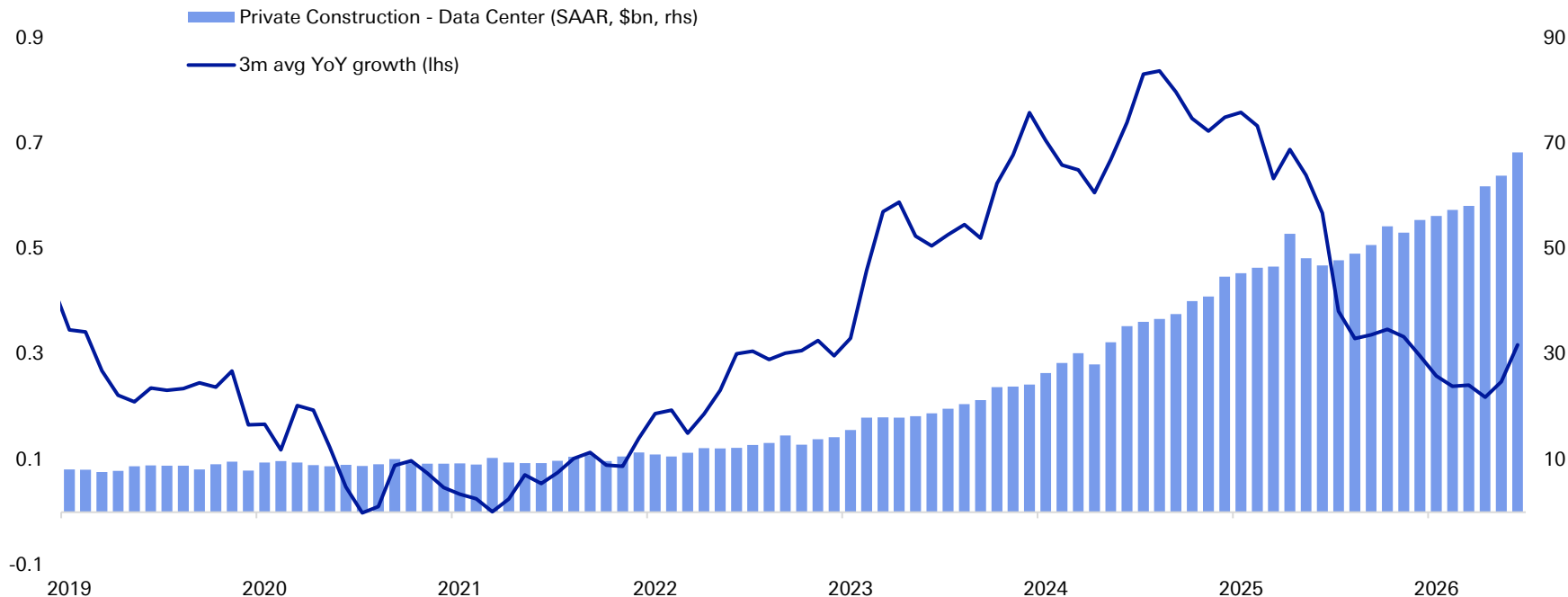
Selected European stocks, indexed to end of 2025



Source: Bloomberg Finance LP, Deutsche Bank.

AI-focused overinvestment 1/3

Amongst the most prominent risks for private capital as managers plough in money in data centres, large loans and other financing. US data centre construction growth has been increasing in recent months and now runs at annualised \$70bn per month.



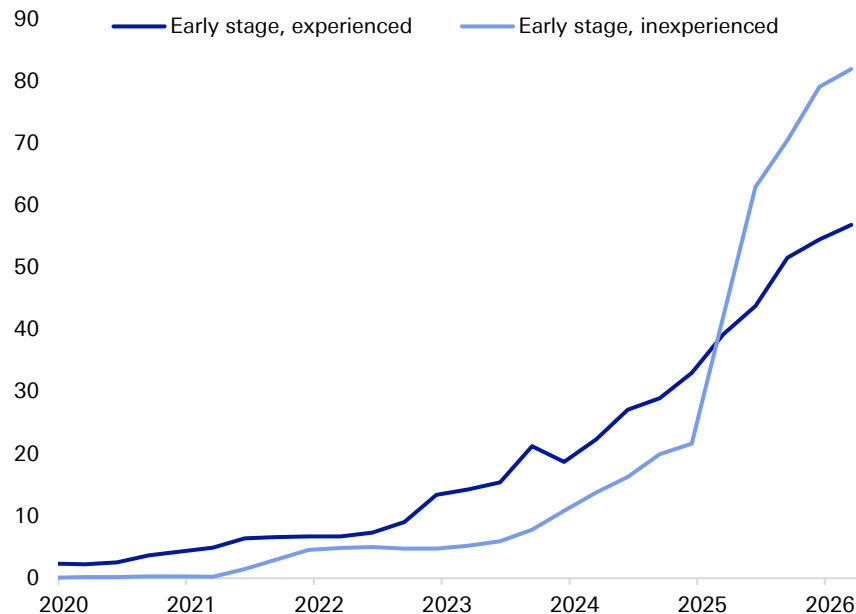
Source: Haver Analytics, Deutsche Bank.

AI-focused overinvestment 2/3

The number of entrants into AI infrastructure projects together with rising long-term yields augment concerns about the scale financing. Indeed, inexperienced developers now make up c 60% of the early-stage US data centre capacity.

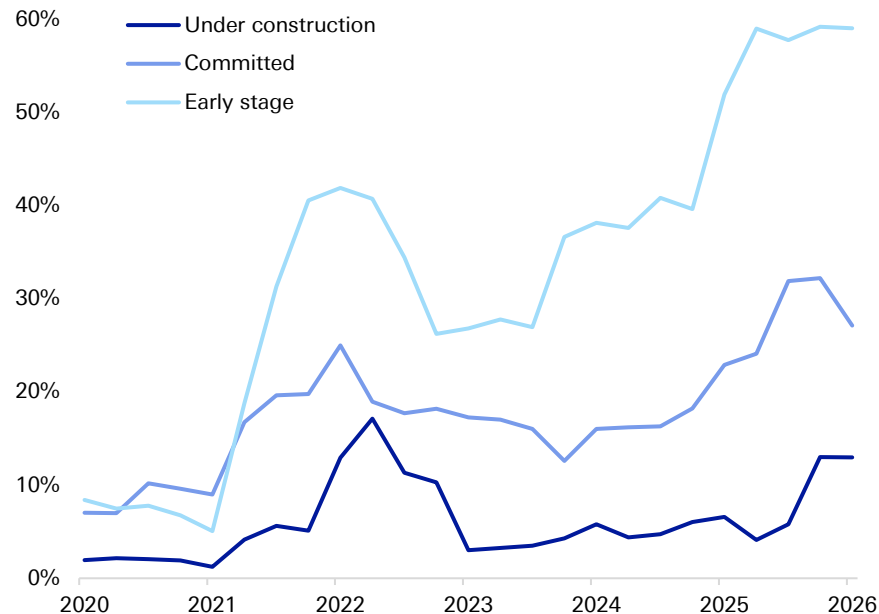


US data centre pipeline capacity, early stage by developer experience, GW



Source: Bloomberg NEF, Deutsche Bank.

US data centre pipeline capacity, share of inexperienced developers by stage

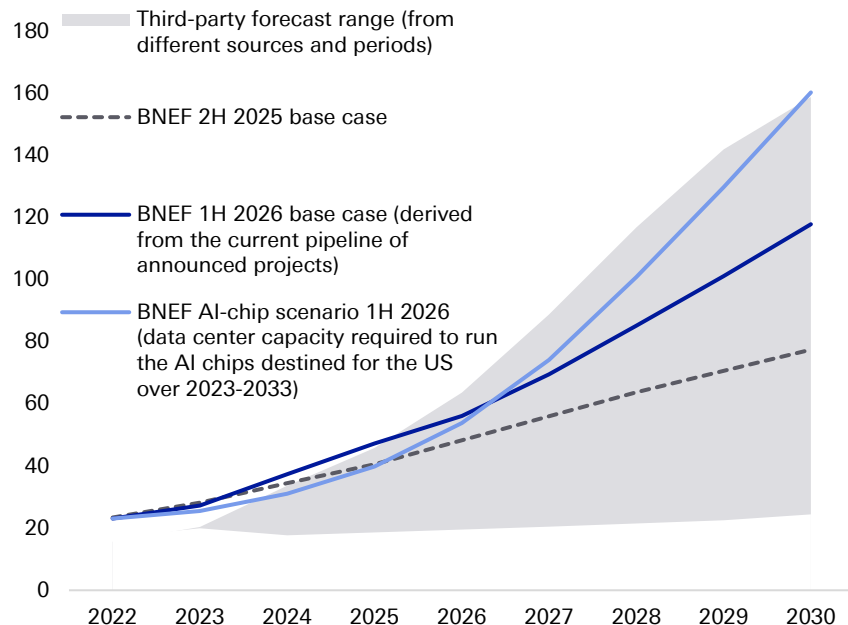


AI-focused overinvestment 3/3

The overfinancing risk is augmented by forecast uncertainty around rapid AI buildout growth, with some estimates pointing to installed capacity doubling in 3 years. Room to expand AI business adoption is a tailwind, but other factors including model advancements are harder to predict.

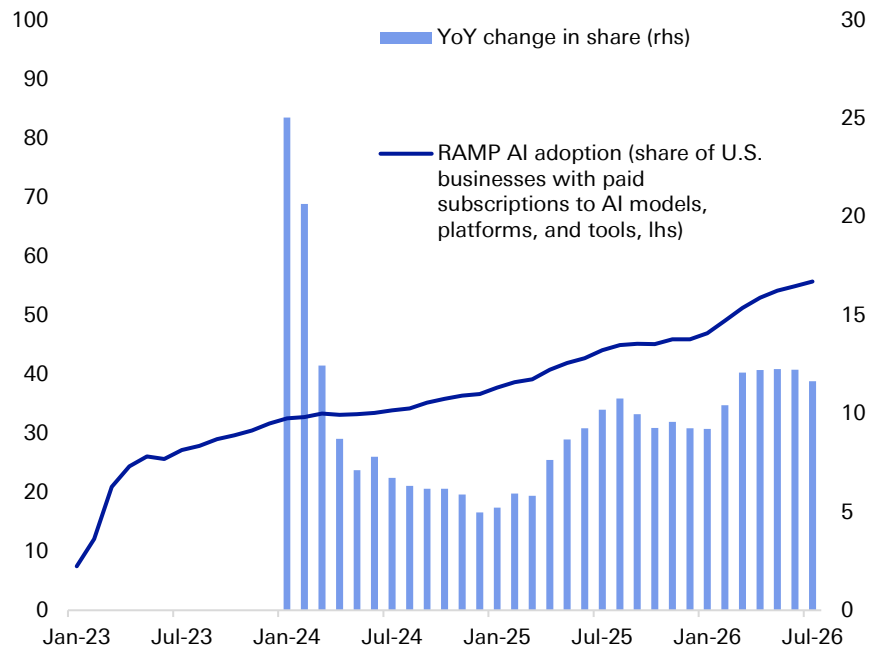


Outlook comparisons for US data-center installed power capacity (GW)



Source: Bloomberg NEF, Bloomberg Finance LP, Deutsche Bank.

Corporate AI adoption speed in the US



Realisations 1/5

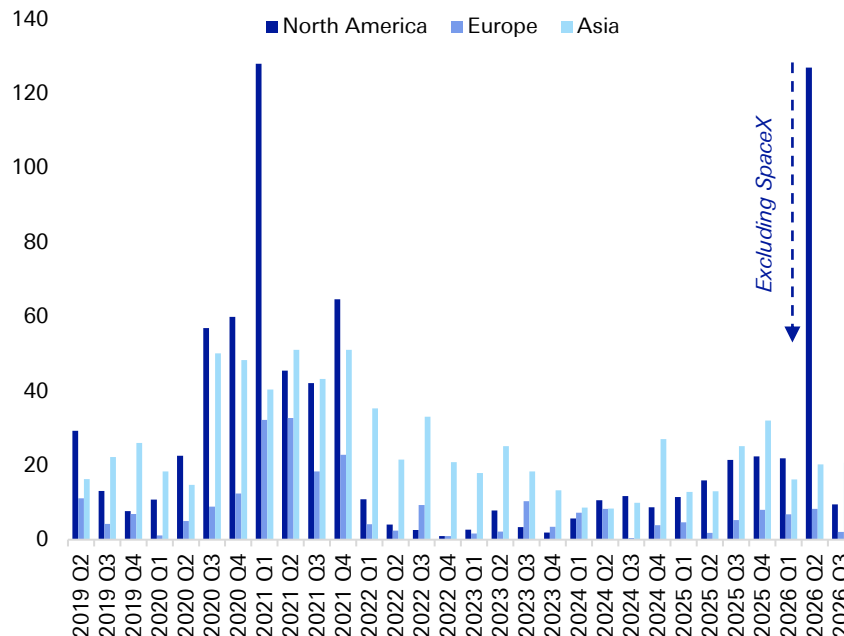
Reopening IPO markets, AI-related corporate demand and mature portfolios are all catalysts. But timing remains unpredictable and exposed to geopolitics, public-market volatility, rates and AI-related valuation uncertainty.



1. KKR described Q2 as the largest monetisation quarter in its history, with realised performance income of \$848m and realised investment income of \$220m. Remaining unrealised gains were still approximately \$18bn.
2. Carlyle returned nearly \$7bn to investors in Q2 and \$37bn over the prior year. Its US buyout strategy returned 23% of fair value over 12 months, which management said was more than twice the current industry average and above the 20% long-term industry average.
3. TPG generated \$5bn of Q2 realisations and almost \$14bn in H1, up 28% year over year.
4. Blackstone outlined the following segmentation when it comes to investor demand for assets:
 - AI, power, electrification and energy assets: strong strategic, sponsor and IPO demand
 - AI-unaffected businesses: broadly available liquidity
 - Software, professional services and information services: materially weaker activity because of AI uncertainty.

The firm estimated the third category represents approximately 30%-40% of the private-equity market.
5. TPG similarly noted that industry realisations were down about 46% quarter over quarter, although its own H1 activity was higher. It expects its monetisation cadence to accelerate toward year-end and into 2027. Brookfield expects transaction volumes to build in H2, while Blackstone expects weaker Q3 realisations followed by a stronger Q4 and 2027.

IPO deal values by quarter \$bn



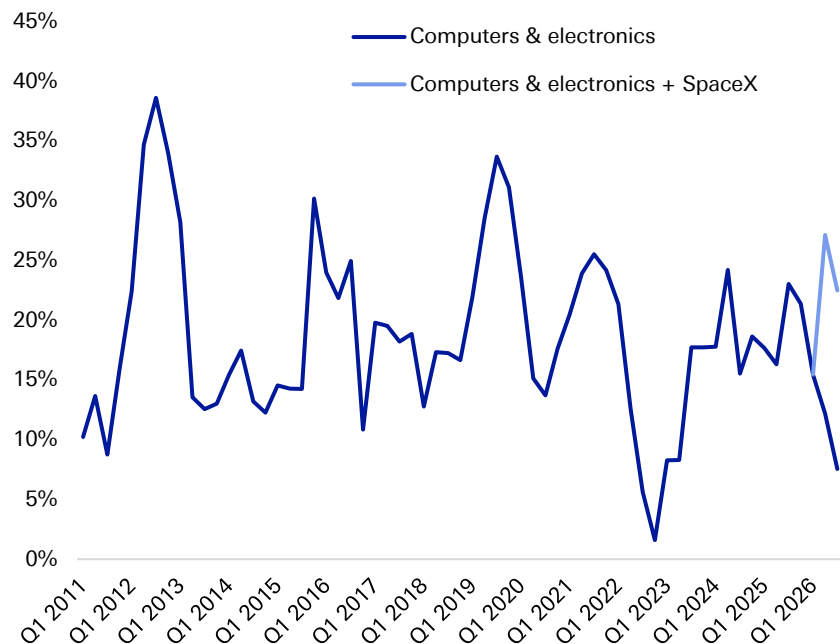
Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

Realisations 2/5

More AI-related businesses are likely to come to the market even after the big AI firms go public. Tech IPOs have been relatively muted despite the boom in financing this decade. Investors' appetite for AI and big capital markets issuances may push more managers to exit tech holdings while the mood lasts. There have been just c \$7bn in pure-play AI IPOs in the US since 2025.

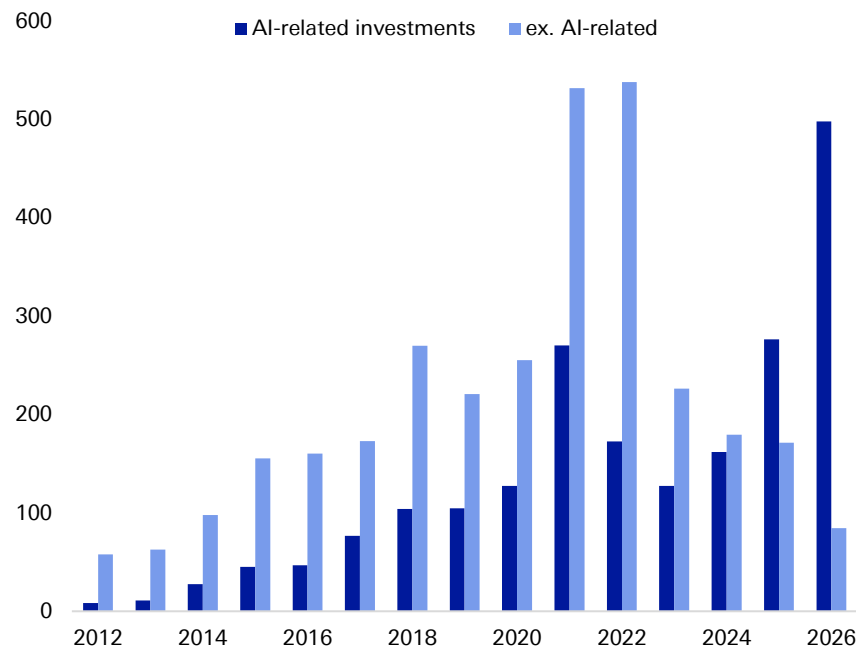


Tech share of total US IPO proceeds, 4q MA



Source: Dealogic, OECD, Deutsche Bank.

Worldwide VC investment in AI (\$bn)

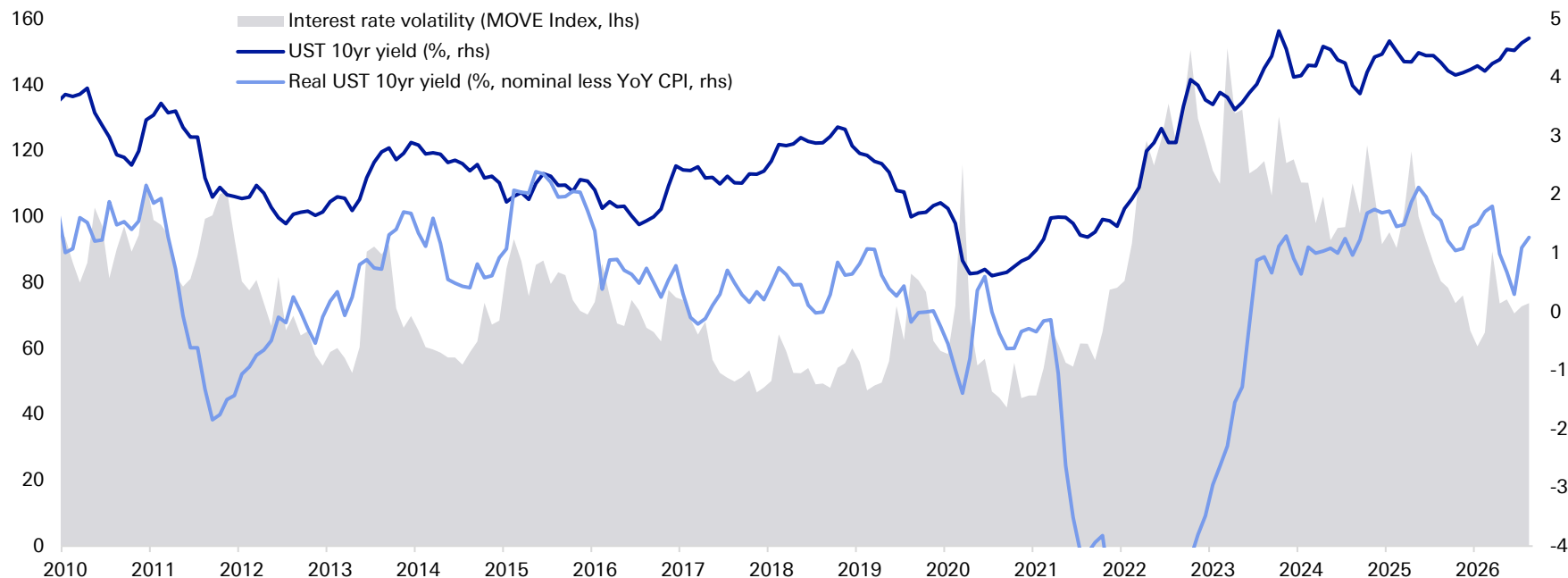


Realisations 3/5

Rising yields are likely to be less of a headwind to capital markets activity than many expect. Meanwhile, both real yields and volatility remain subdued. We have shown previously that dealmaking has been strong even when rates were elevated.



US rates backdrop – monthly averages



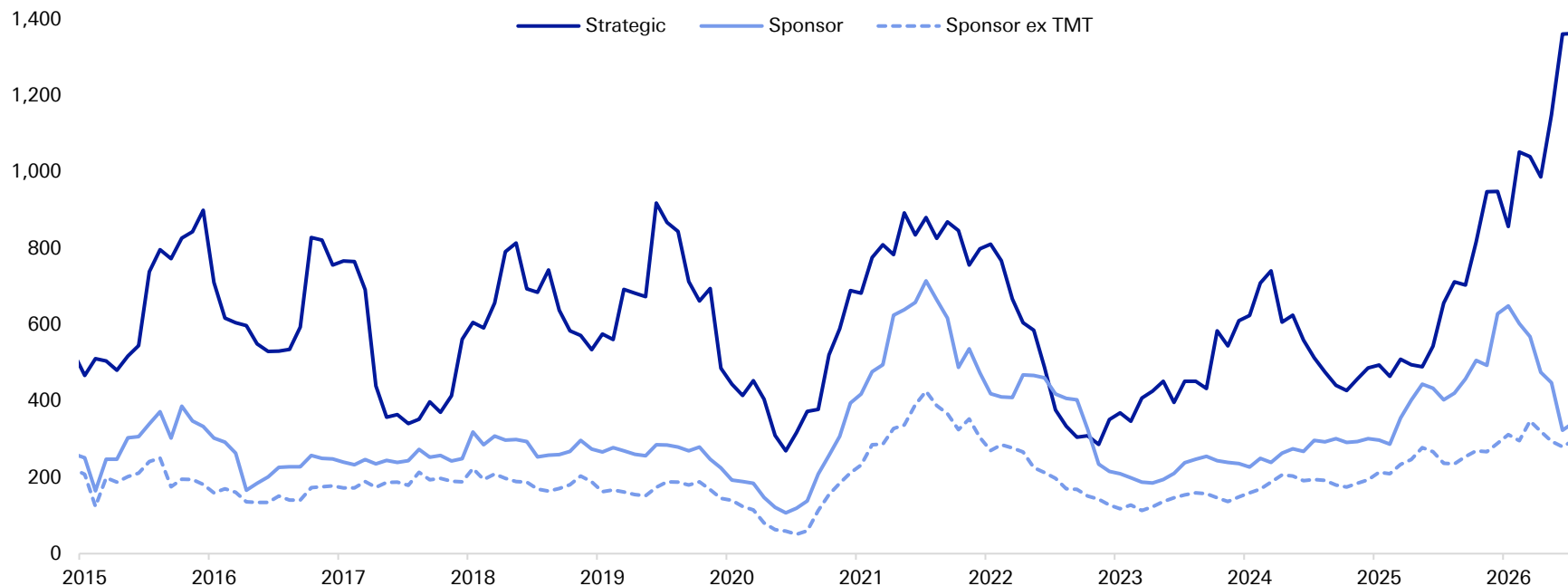
Source: Bloomberg Finance LP, Google Trends, Deutsche Bank.

Realisations 4/5

Rates are also unlikely to grind corporate buyers and thus sale exits to a halt. Meanwhile, sponsor M&A outside TMT has a number of tailwinds.



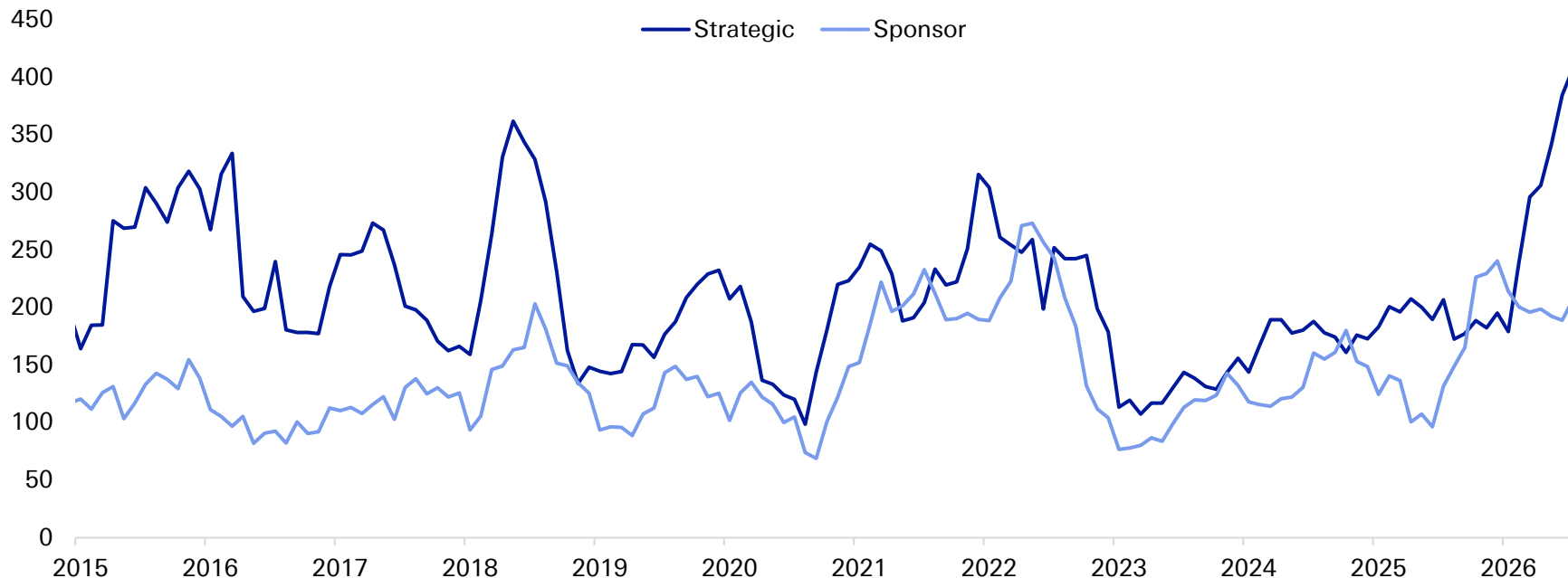
US M&A deal value at announcement (\$bn, 6m sum)



Source: Dealogic, Deutsche Bank. Note: through July 2026.



W Europe M&A deal value at announcement (\$bn, 6m sum)



Source: Dealogic, Deutsche Bank. Note: through July 2026.



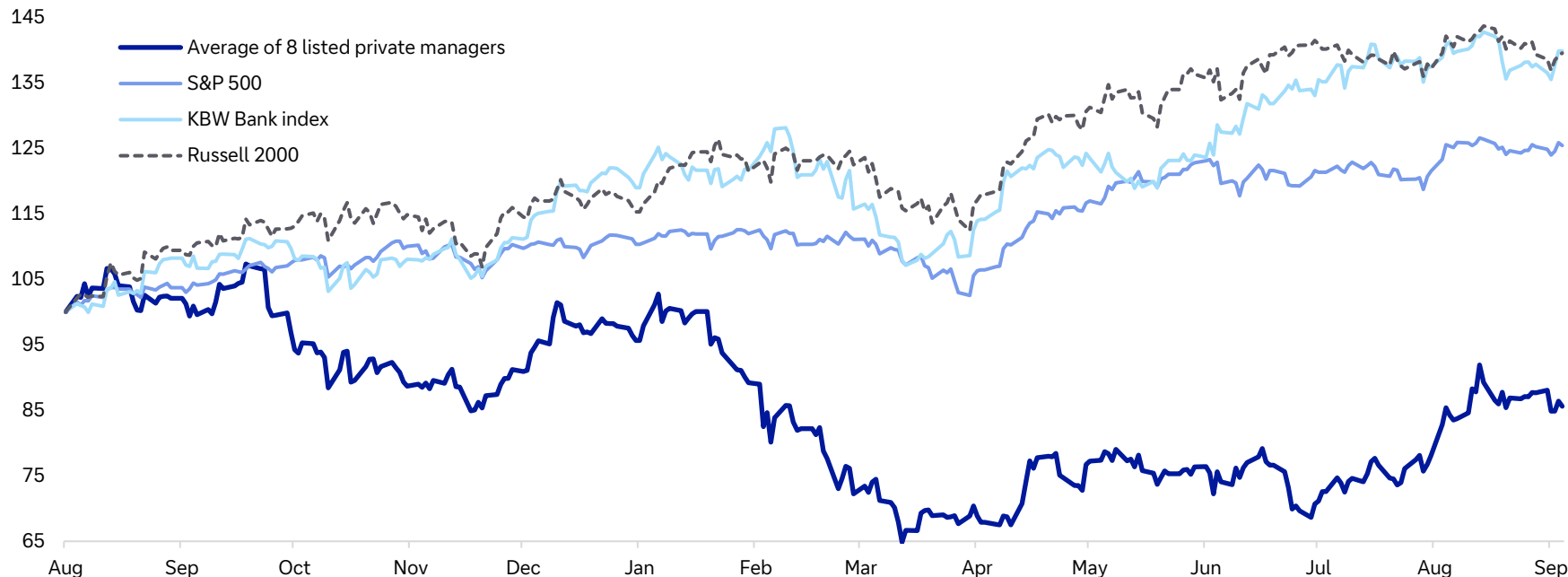
03. Market conditions

Deutsche Bank
Research Institute

Shares of US-listed private capital managers are up +32% from YTD lows and +25% from June trough as some confidence returns in the asset class. Our index is still down -11% YTD vs +14% for the S&P 500 and 18% for US banks



Private capital managers total return performance relative to broader markets (USD)



Source: Bloomberg Finance LP, Deutsche Bank.

European firms have also rebounded by +23% (from March lows) and +14% (June). The YTD return (-1%) also underwhelms the broader market (+13%) and local banks (+28%)



Private capital managers total return v broader markets in 2025 (EUR)

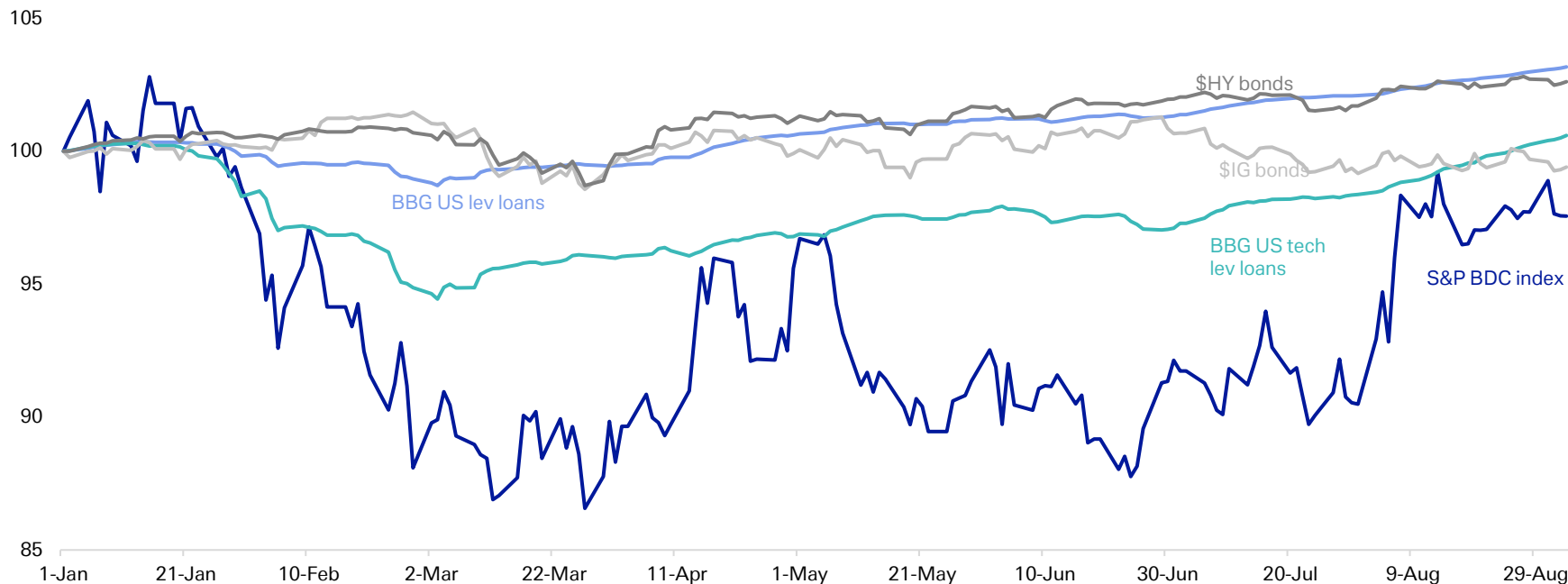


Source: Bloomberg Finance LP, Deutsche Bank.

It's a similar rebound story for BDC returns vs the broader credit markets in recent weeks

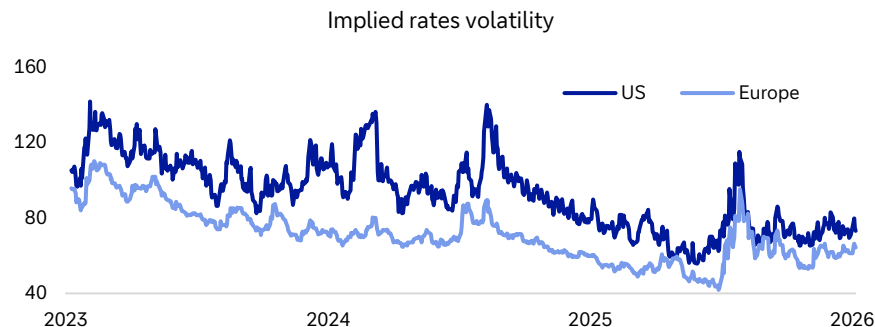
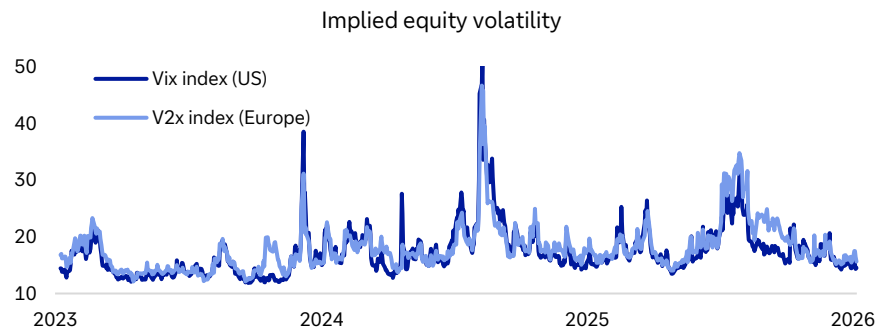
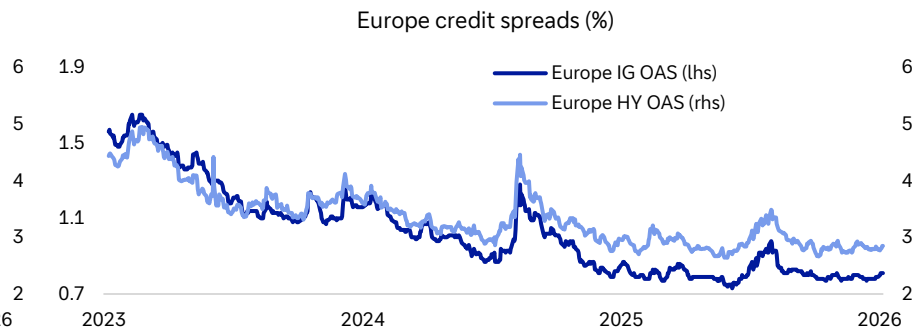
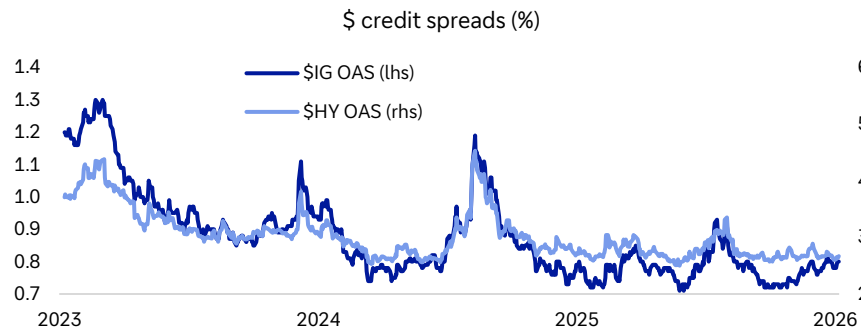


Credit assets YTD total return performance



Source: Bloomberg Finance LP, Deutsche Bank.

Contained volatility, especially in rates amidst rising yields, helps overall risk backdrop. Credit spreads have also been steady.

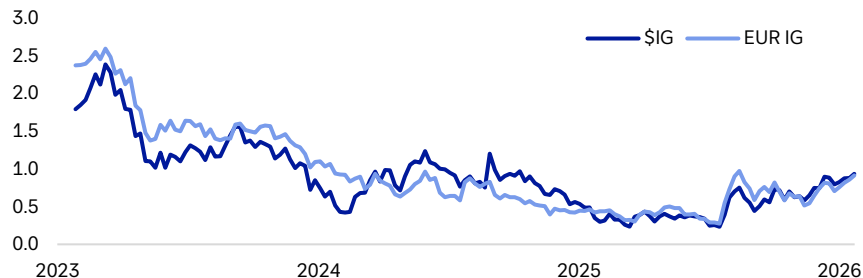


Source: Bloomberg Finance LP, Deutsche Bank.

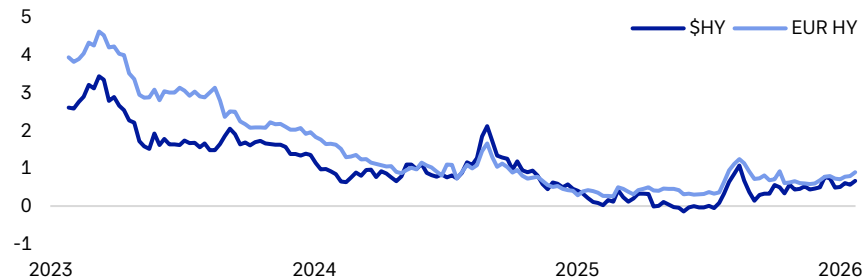
Rising refinancing costs may deter some debt issuance but overall credit conditions remain favourable



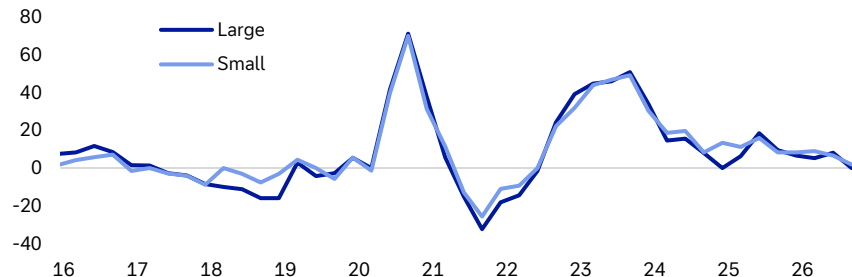
IG bonds - Refinancing proxy in %



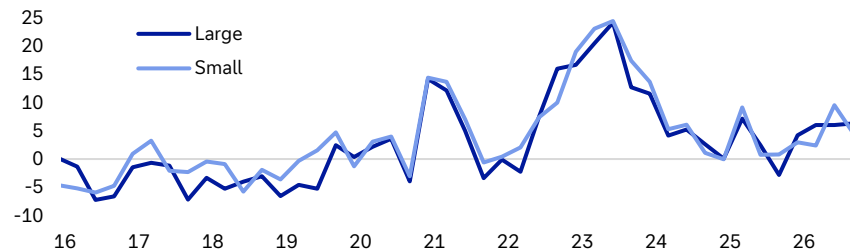
HY bonds - Refinancing proxy in %



Fed SLOOS: banks tightening standards for C&I loans to firms (%)

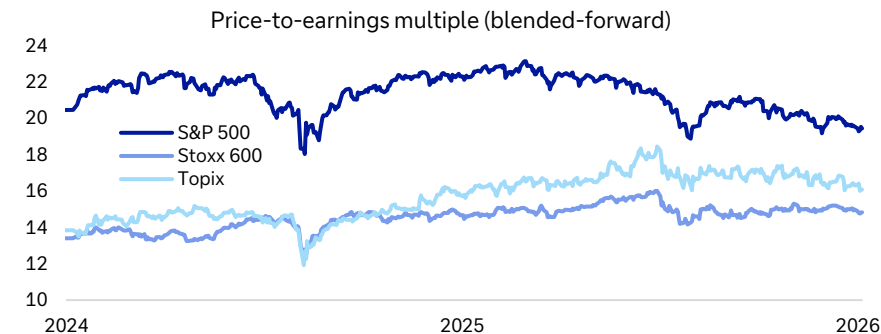
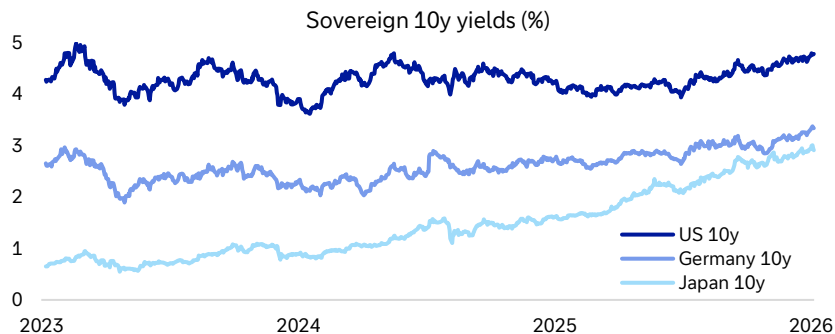
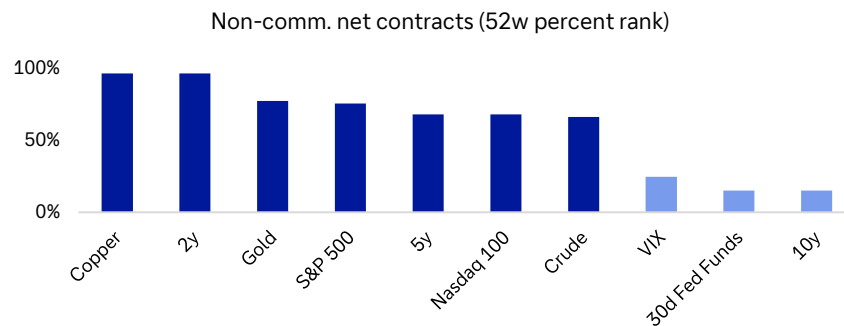
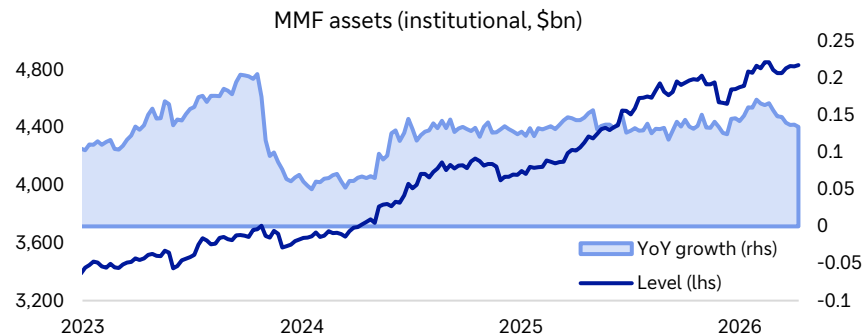


Euro Area bank lending survey: change in credit standards for business loans



Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

Despite rising yields, markets remain in a risk-on mood and there is plenty of cash

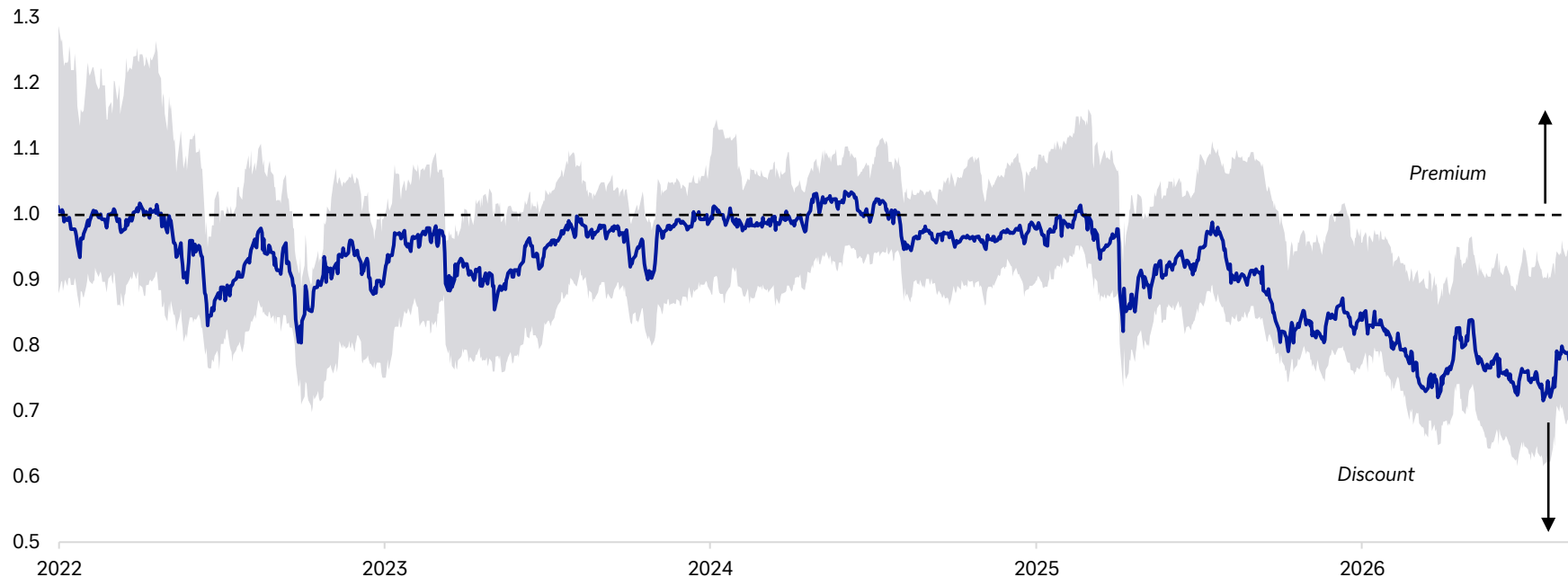


Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank.

The median BDCs discount to NAV is still wide and now stands at c 22%. Apart from software fears, the focus is on the trajectory of US monetary policy.

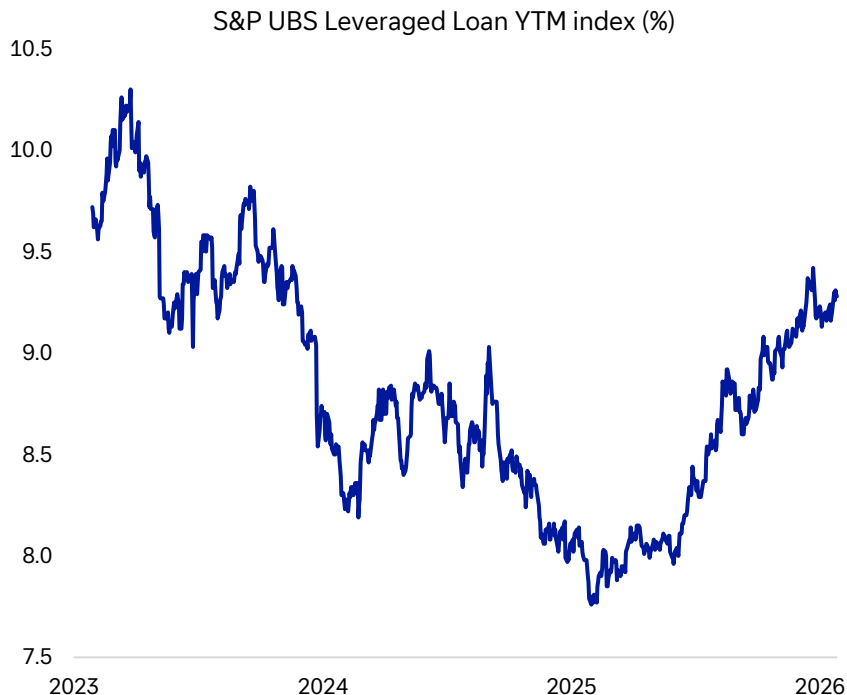
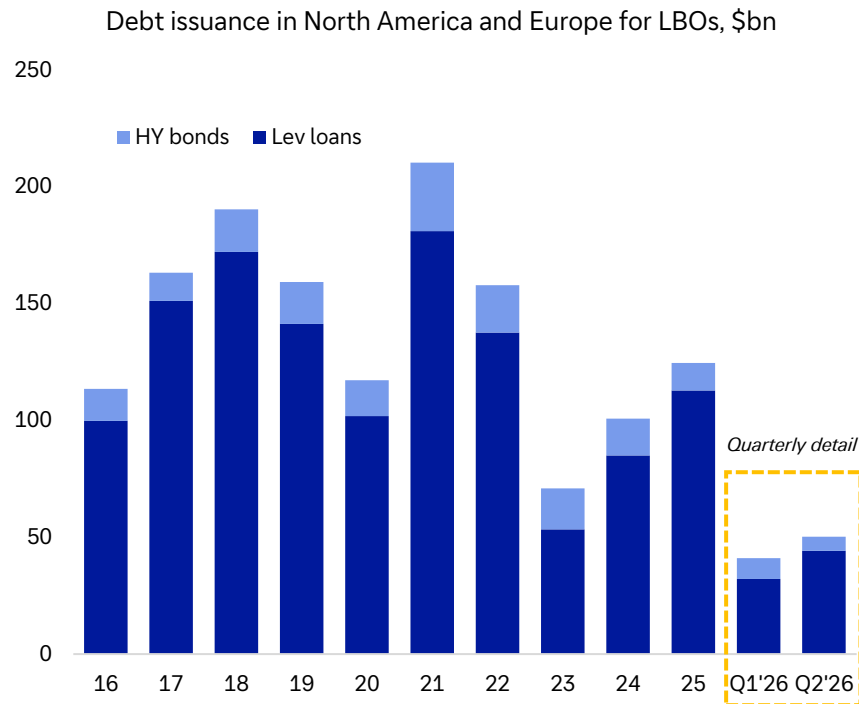


Median price-to-NAV ratio of funds in the S&P BDC index



Source: Bloomberg Finance LP, Deutsche Bank.

Debt issuance for LBOs continued to grow in Q2. Rising sovereign rates may dissuade some borrowers but leveraged loan yields remain below recent highs and earnings have been strong.





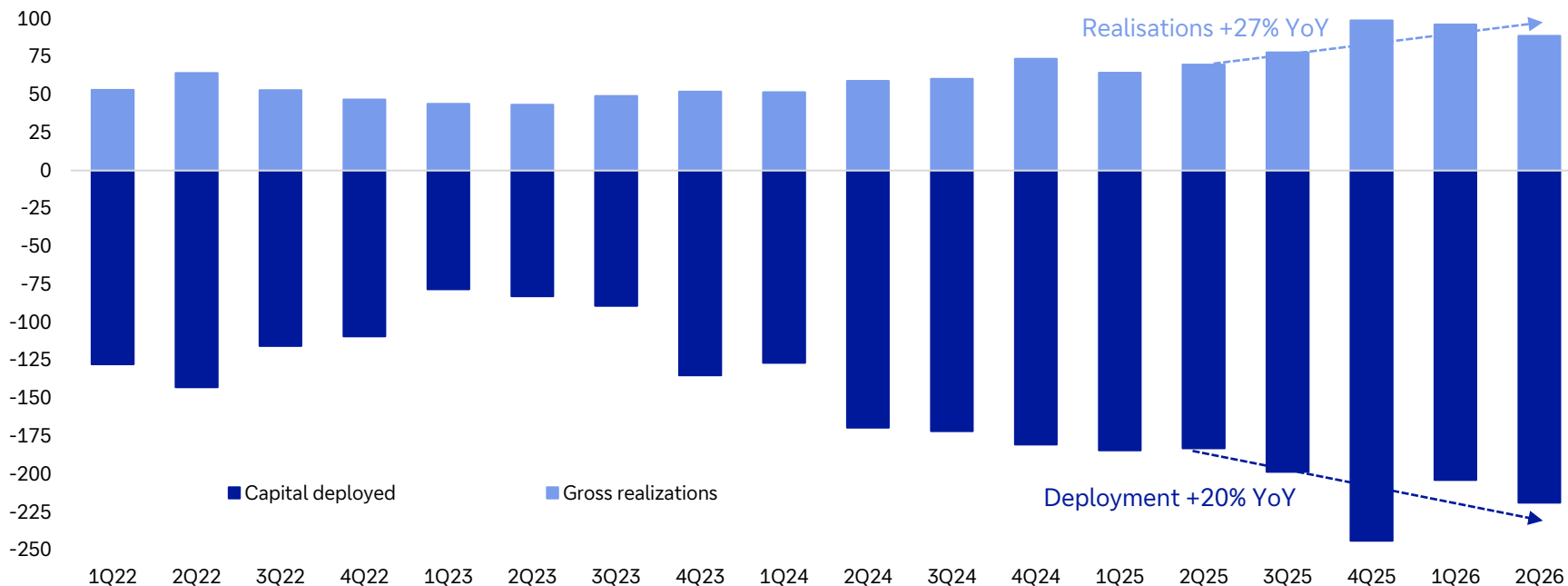
04. Fundraising environment

Deutsche Bank
Research Institute

Both deployment and realisations are up YoY. Realisations growth will be in focus given uncertainty voiced by managers.



Selected private managers, deployment v realisations (\$bn)

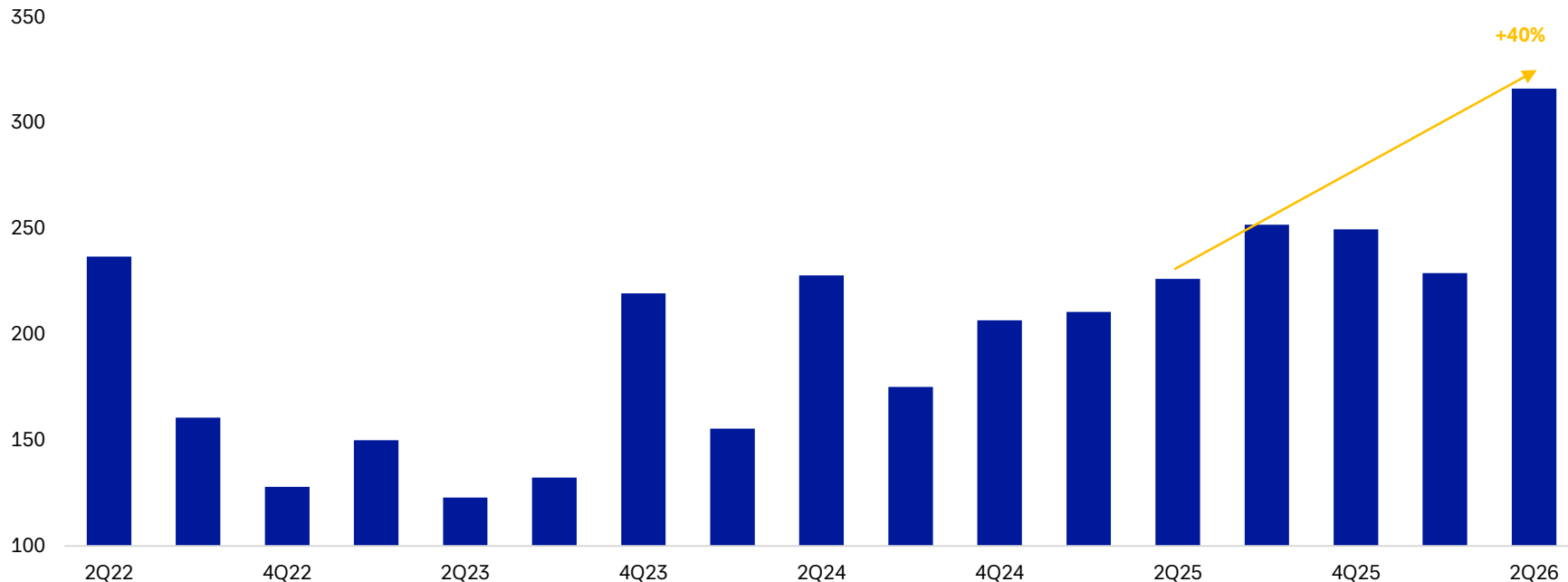


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Deutsche Bank. * Note: Deutsche Bank company research forecasts.

Aggregate fundraising growth has shot up (in part due to one-off factors) and managers are confident in continued strength.



Fundraising by selected large, listed managers (\$bn)

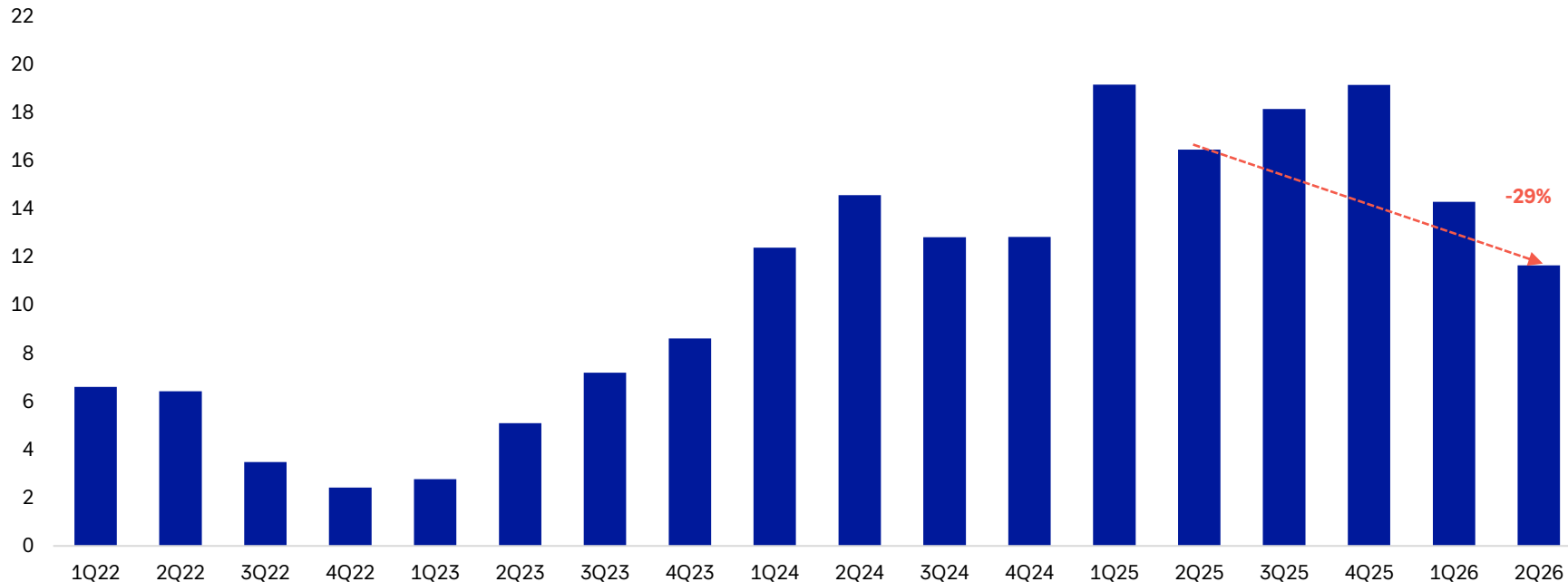


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Deutsche Bank.

Gross retail fundraising (not taking into account redemptions) continues to come down, now down almost a third YoY.



Retail fundraising by largest listed private capital managers *

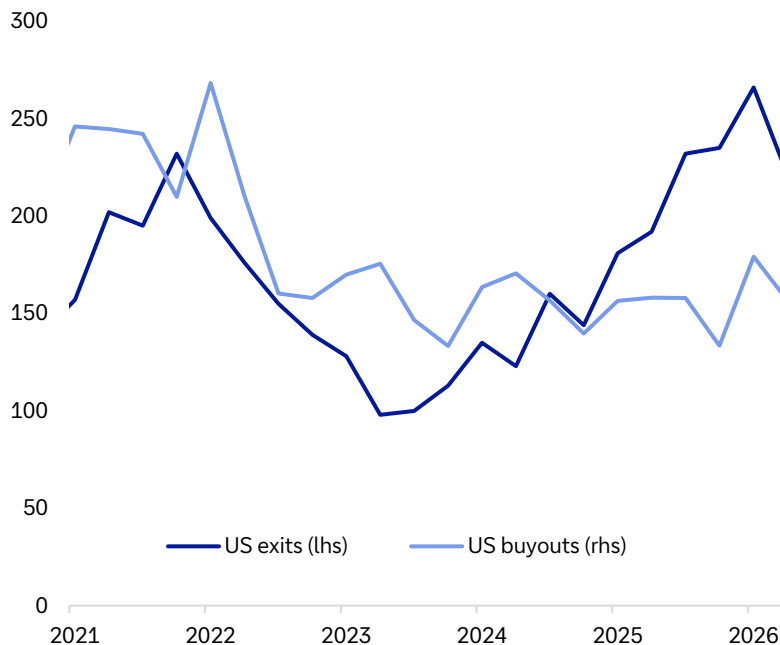


Source: Deutsche Bank company research – [US Brokers, Asset Managers & Exchanges - Deutsche Bank Research](#), Bloomberg Finance LP, Deutsche Bank. * Note: gross, only funds with available Q2 data.

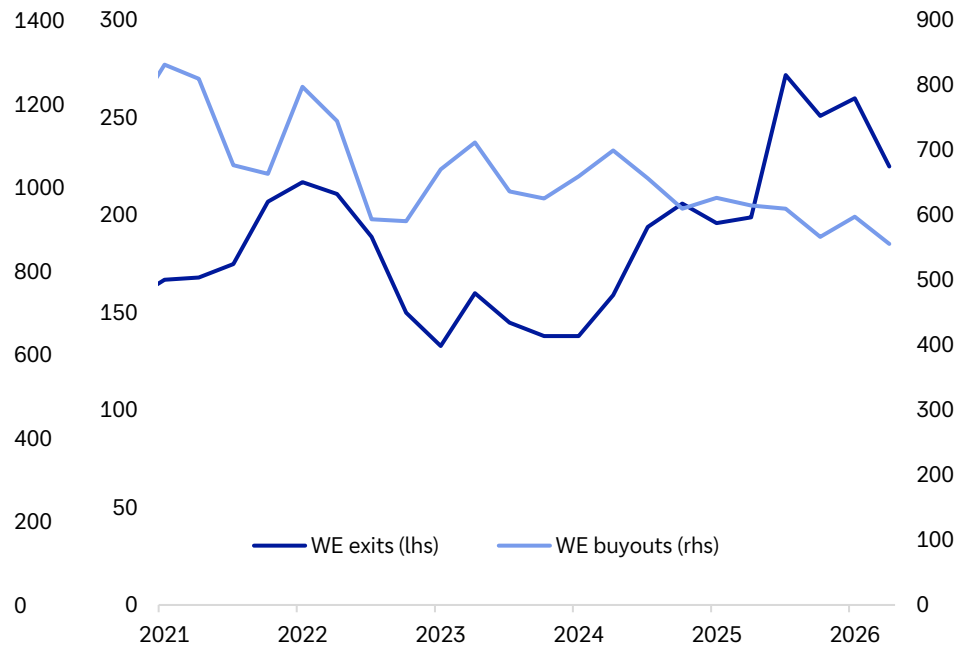
Exit activity remains strong despite some softening relative to recent highs



US PE exits have come down from recent highs



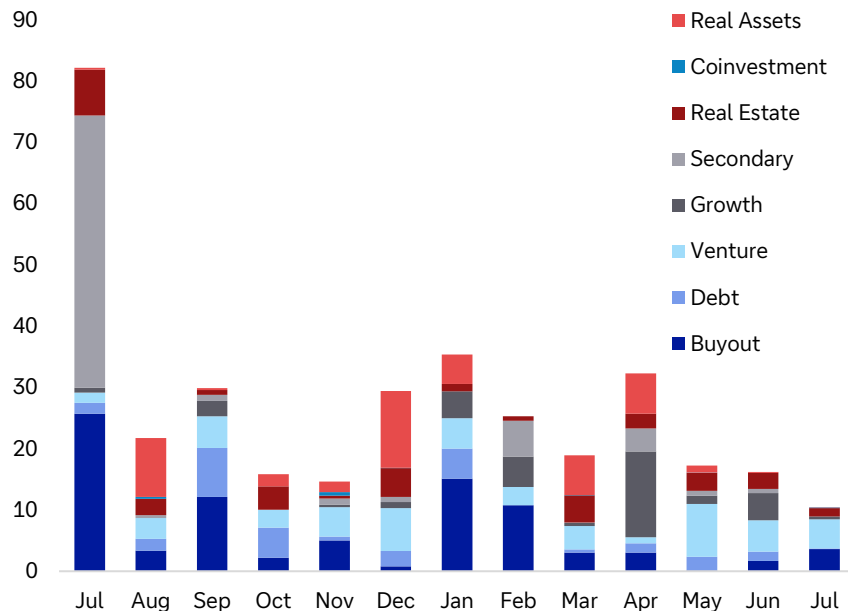
European exits have also slowed but remain high



Source: White & Case, Deutsche Bank.

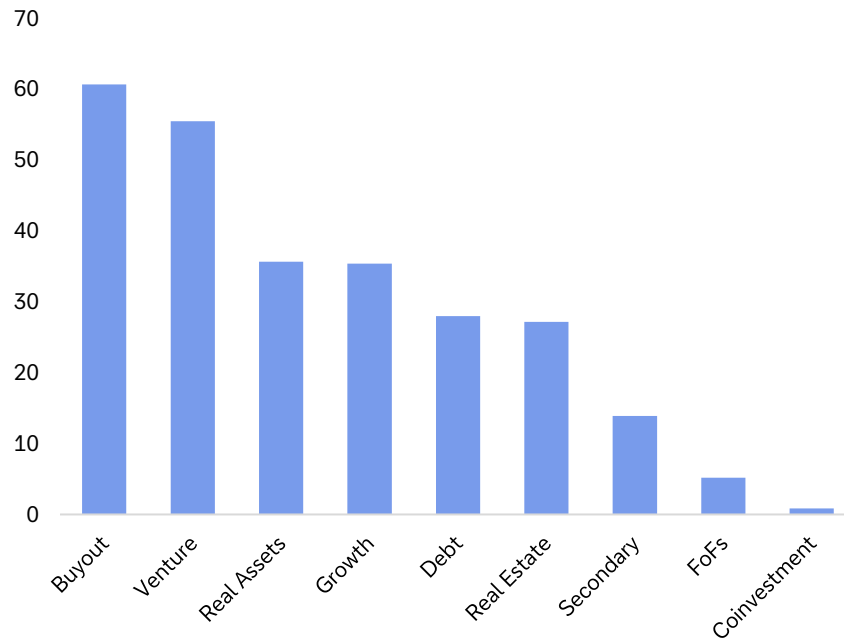


Fundraising funds - target in \$bn by strategy type and launch month, US and Europe



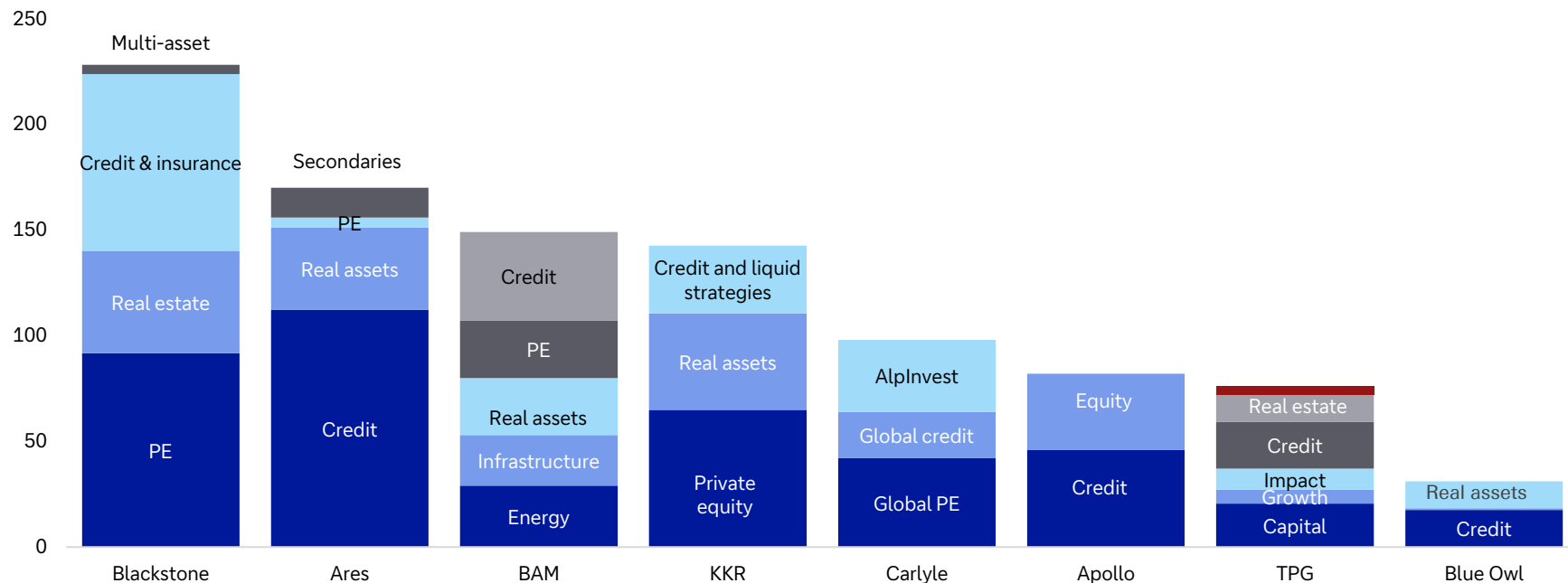
Source: Bloomberg Finance LP, Deutsche Bank.

Fundraising funds in US and Europe, last 12m in \$bn





Dry powder by manager and reported segment, Q2 2026 (\$bn)

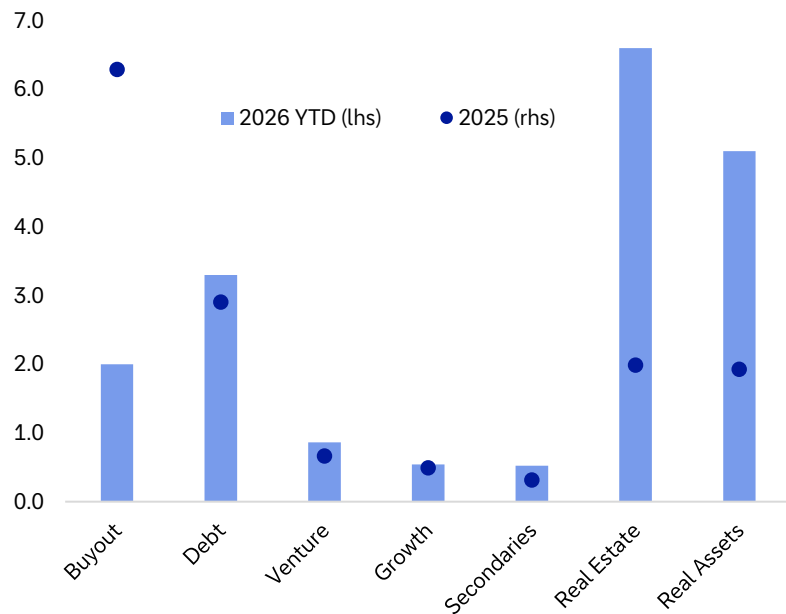


Source: Company reports, Deutsche Bank.

Recent disclosed LP commitments

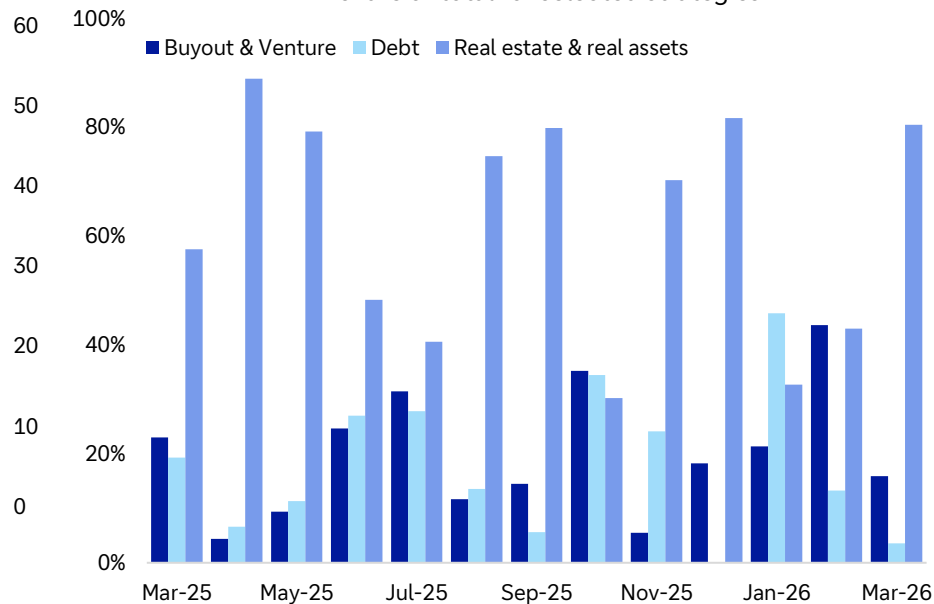


Disclosed LP commitments by strategy in \$bn



Source: Bloomberg Finance LP, Deutsche Bank.

Disclosed LP commitment targets by month and strategy, share of total for selected strategies

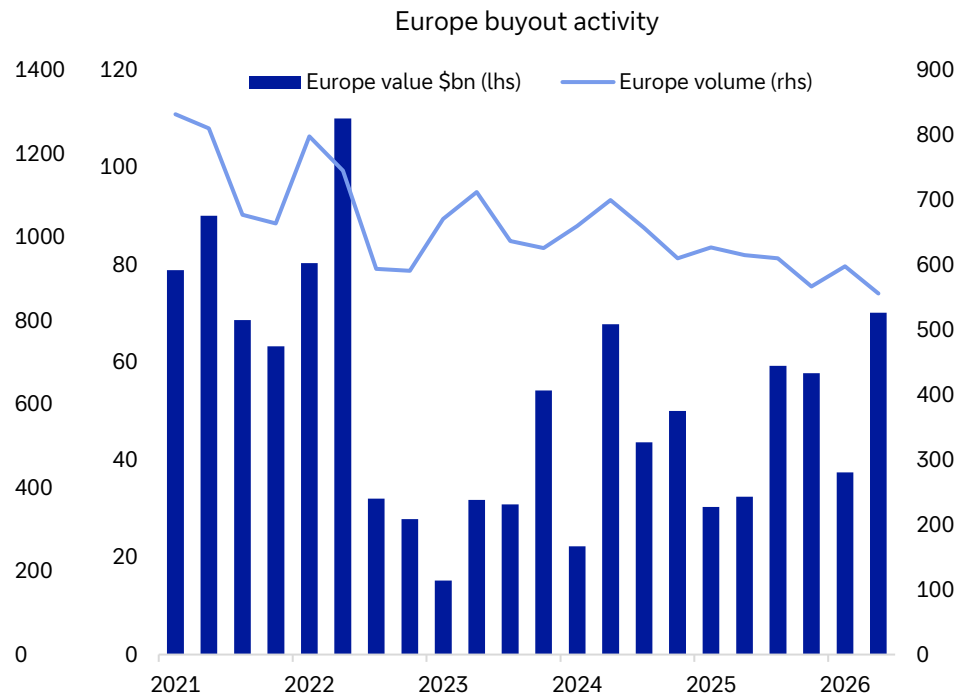
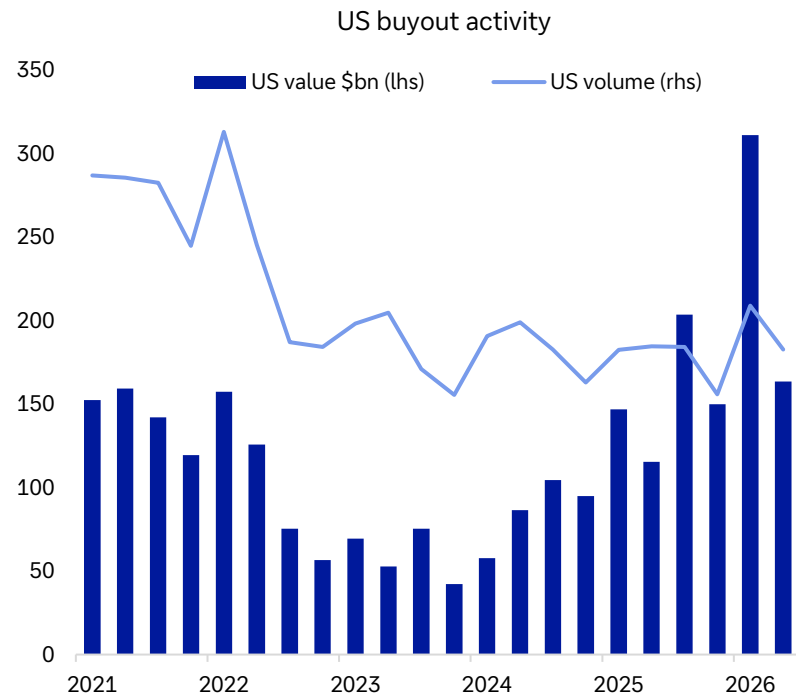




05. Dealmaking activity

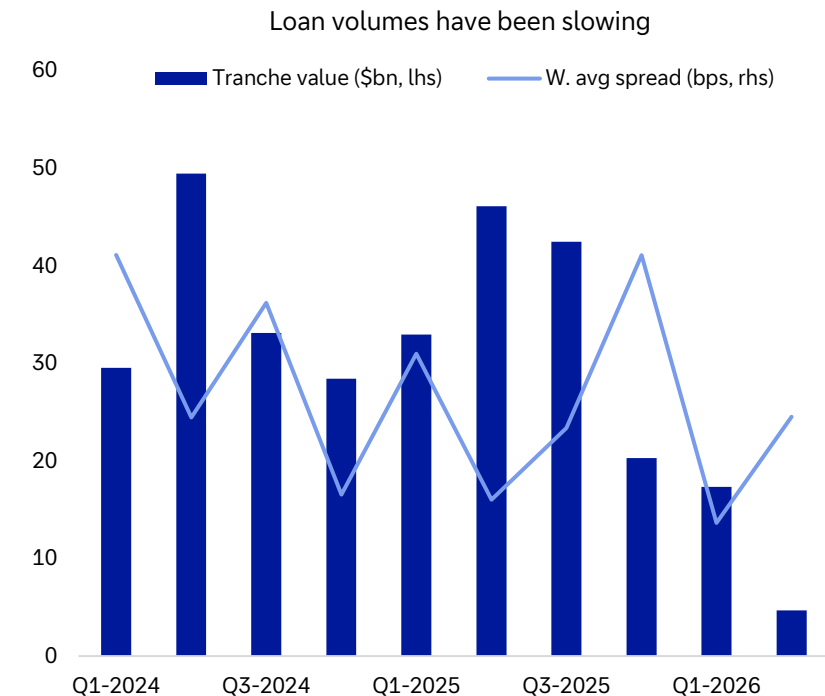
Deutsche Bank
Research Institute

Dealmaking activity in buyouts

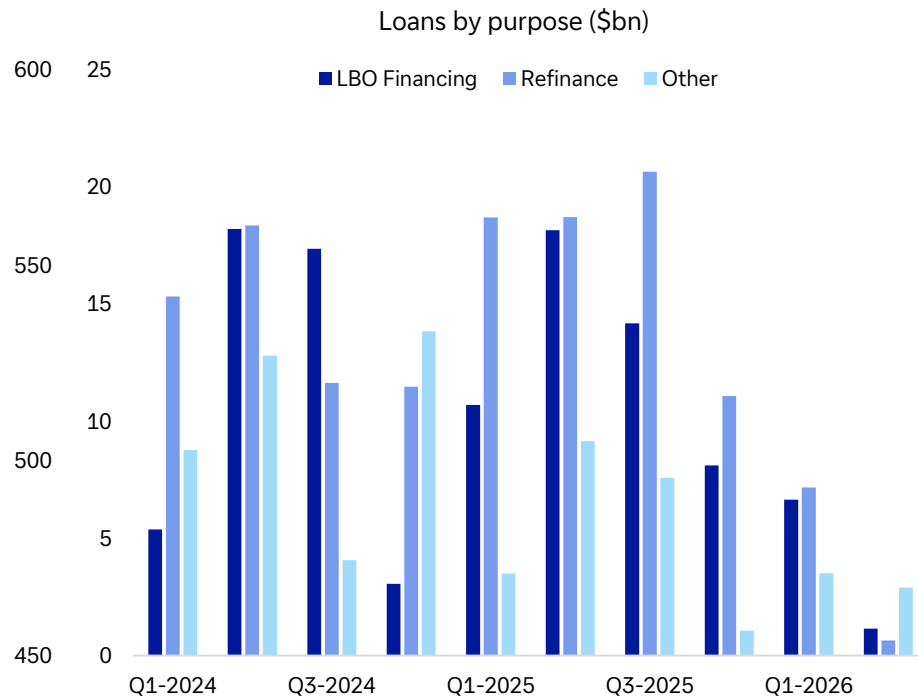


Source: White & Case, Deutsche Bank.

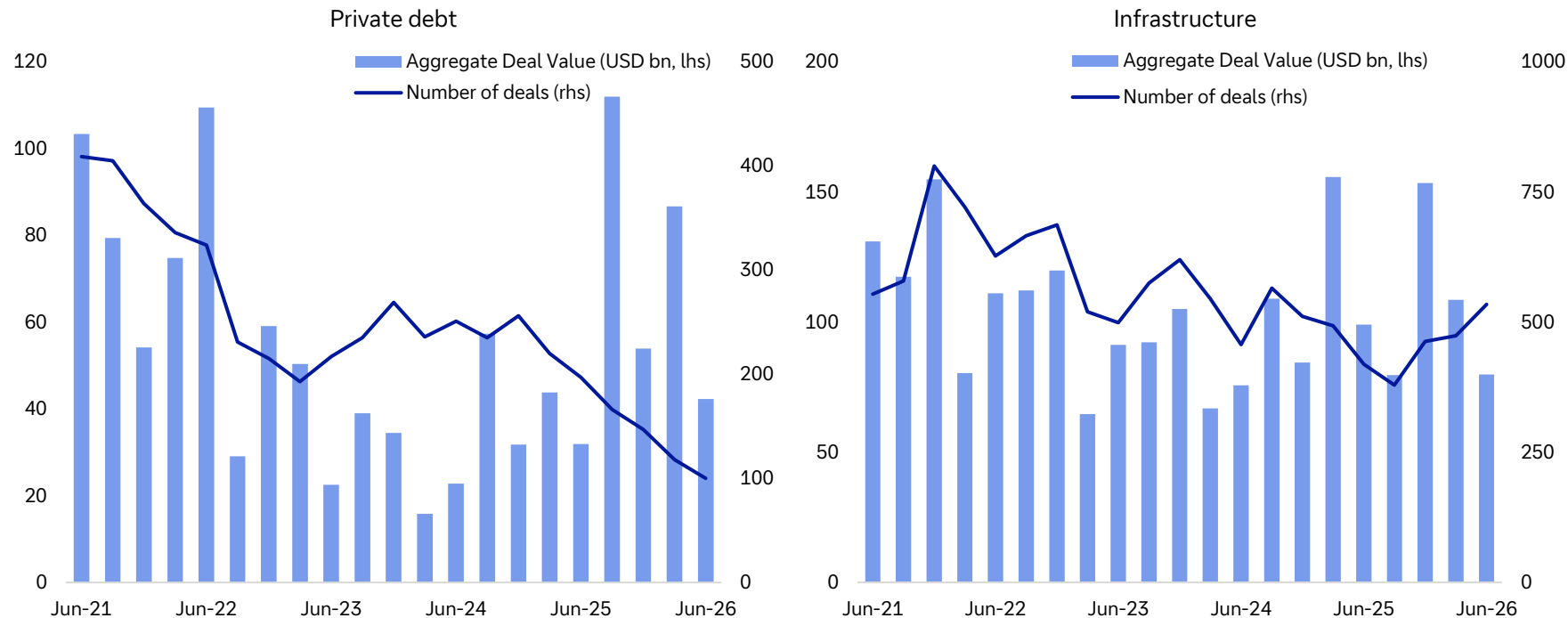
Origination in large private credit loans – loan volumes continued to slow amidst more caution around private credit spilling over from Q1. A recovery in sentiment will support some rebound in volumes.



Source: Bloomberg Finance LP, Deutsche Bank.



Global dealmaking activity in private debt and infrastructure



Source: Preqin, Deutsche Bank.

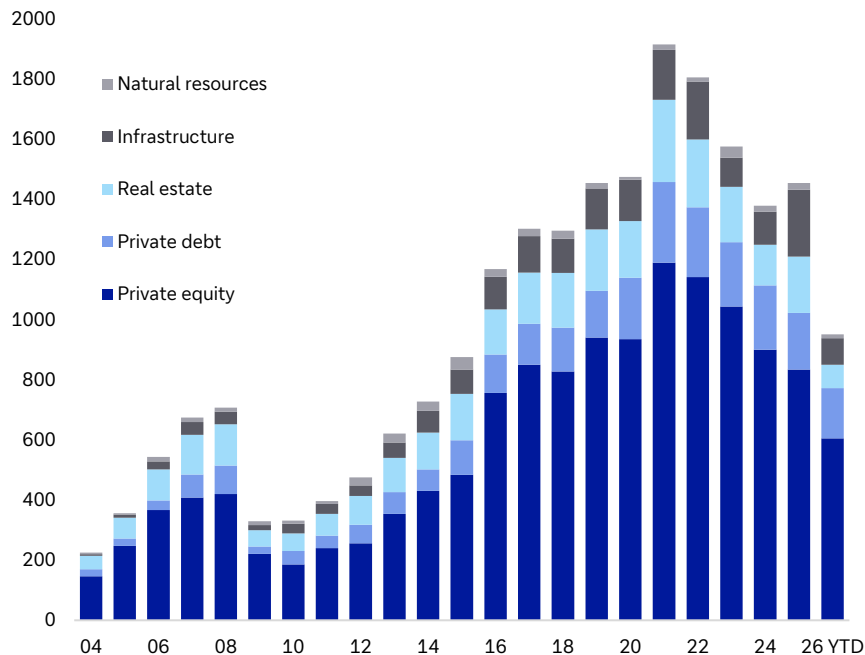


06. Investor allocations

Deutsche Bank
Research Institute

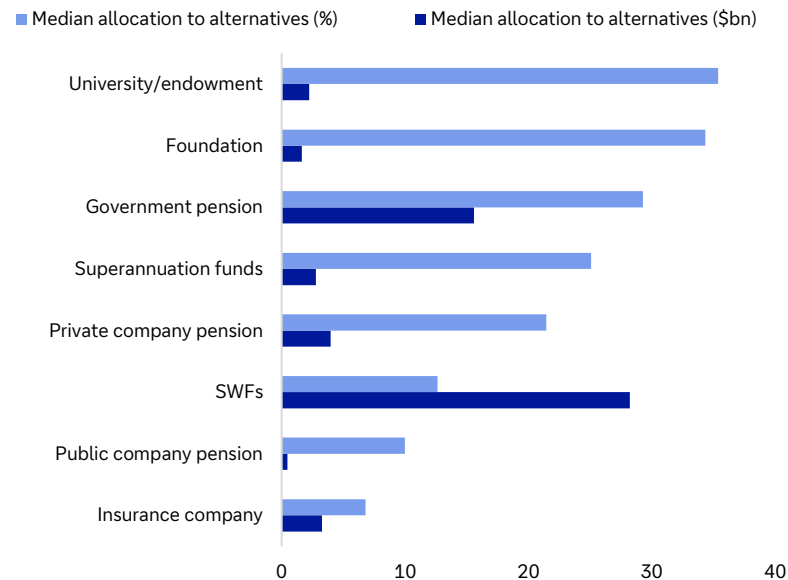


Private capital sum of funds raised (\$bn)



Source: Preqin, Bloomberg Finance LP, Deutsche Bank.

Top 100 LPs in each category, allocations to alternatives



Appendix 1



This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



Deutsche Bank
Research

The Home Straight....

Jim Reid | Henry Allen | Rajsekhar Bhattacharyya

September 2026

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute



TABLE OF CONTENTS

Section	Page
The bond sell-off in perspective...	02
Should the Fed raise rates...?	21
Should the ECB raise rates...?	32
Midterms are fast coming into view...	38
Global earnings may never have been stronger...	46
The AI train rolls on...	54
Japan is worth a watch...	71

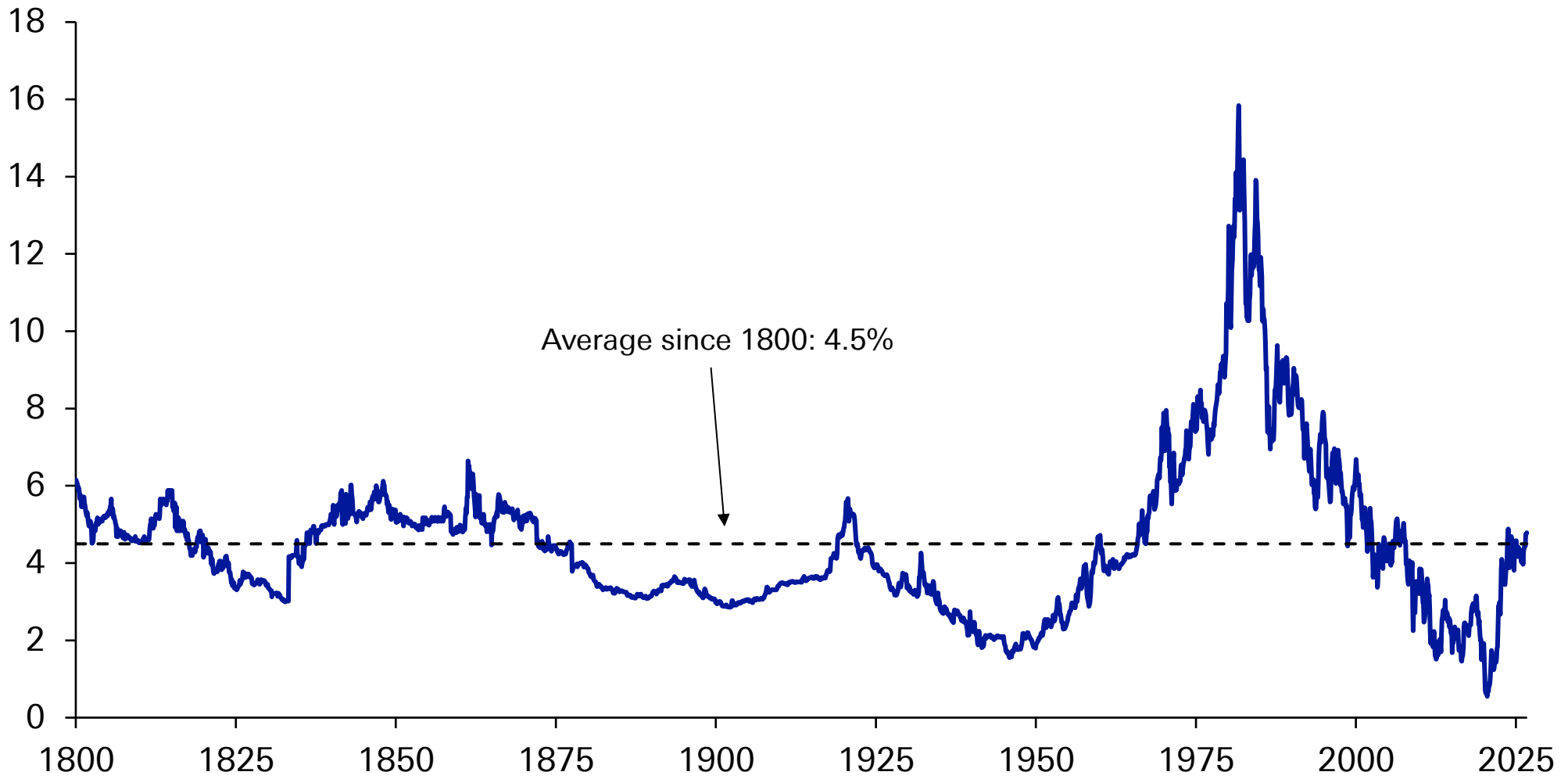


The bond sell-off in perspective...

We would see the recent rise in yields as a continuation of a long normalisation process. 10yr US Treasury yields are now “only” slightly above their long-term average yield since 1800... so they are certainly not extreme....



10-year US treasury yields

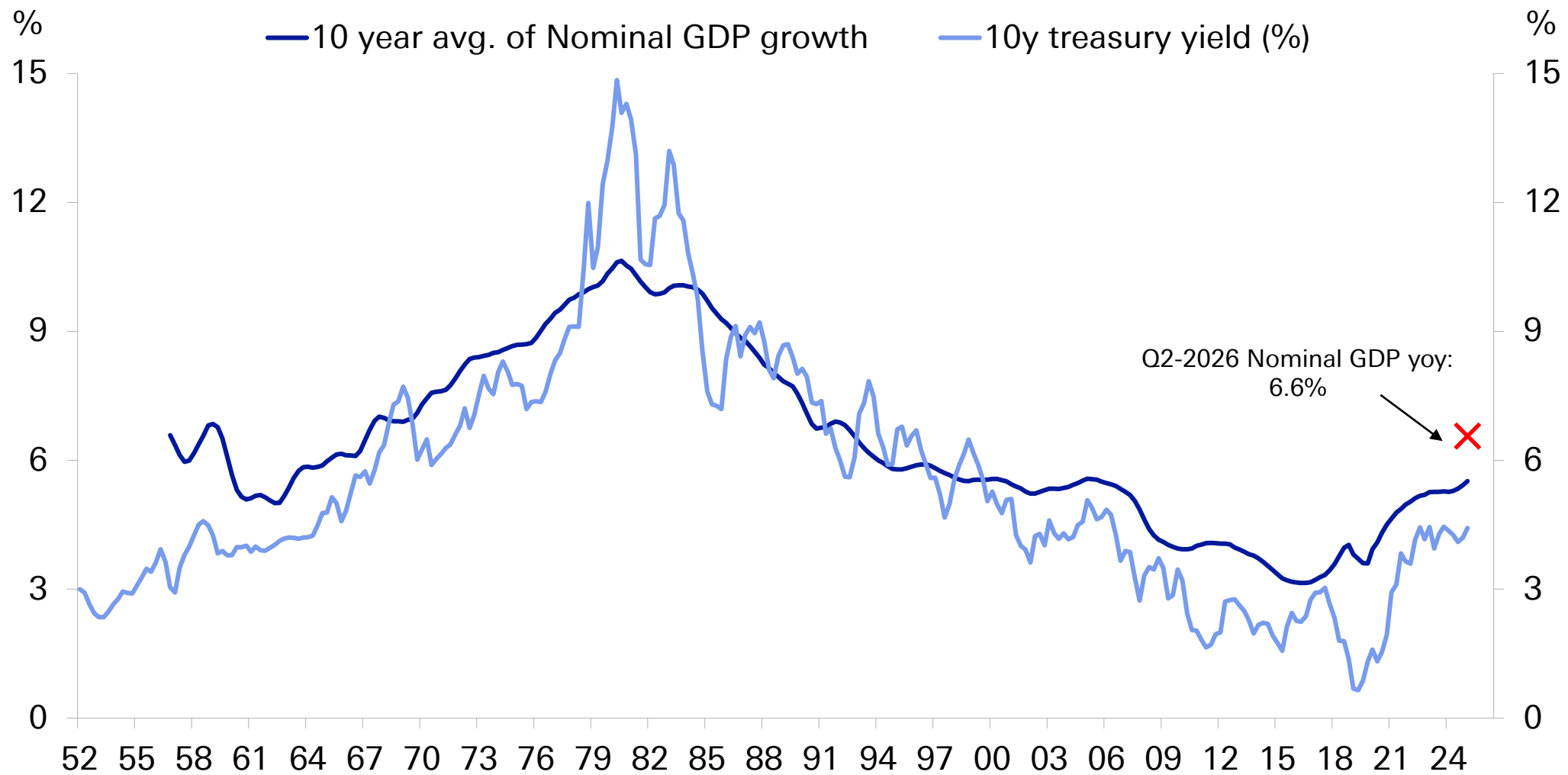


Source: Finaeon, Deutsche Bank



Since the early 1960s, 10 yr UST yields have typically tracked Nominal GDP apart from late 70s/early 80s when they soared above and in the 2010s when they were significantly below. The average gap over this period is around 70bps (NGDP>10yr USTs). 10yr average NGDP is c.5.5% so 4.8% seems broadly fair. However current NGDP is 6.6%. Do we need to factor this in?

10yr average nominal GDP growth and the 10yr Treasury yield

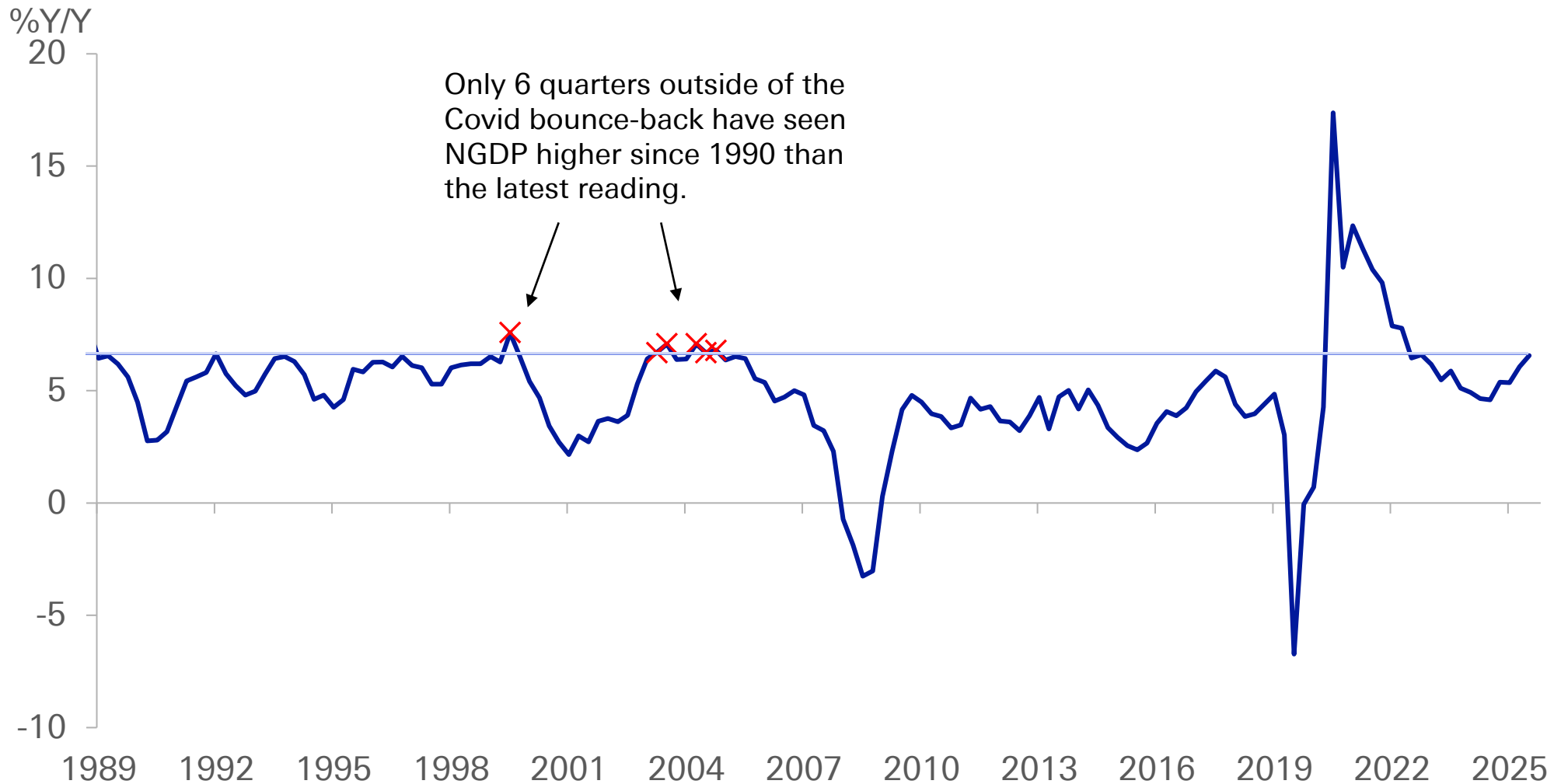


Source: BEA, FRB, Haver, Deutsche Bank

At 6.6%, current YoY US Nominal GDP is at the highest YoY rate since 2005 outside of the Covid bounce-back period. So even if not sustainable at these levels, this level of nominal growth has helped push UST yields higher....



US Nominal GDP growth with red crosses being the only time nominal GDP was higher than the current 6.6% outside of the post COVID rebound

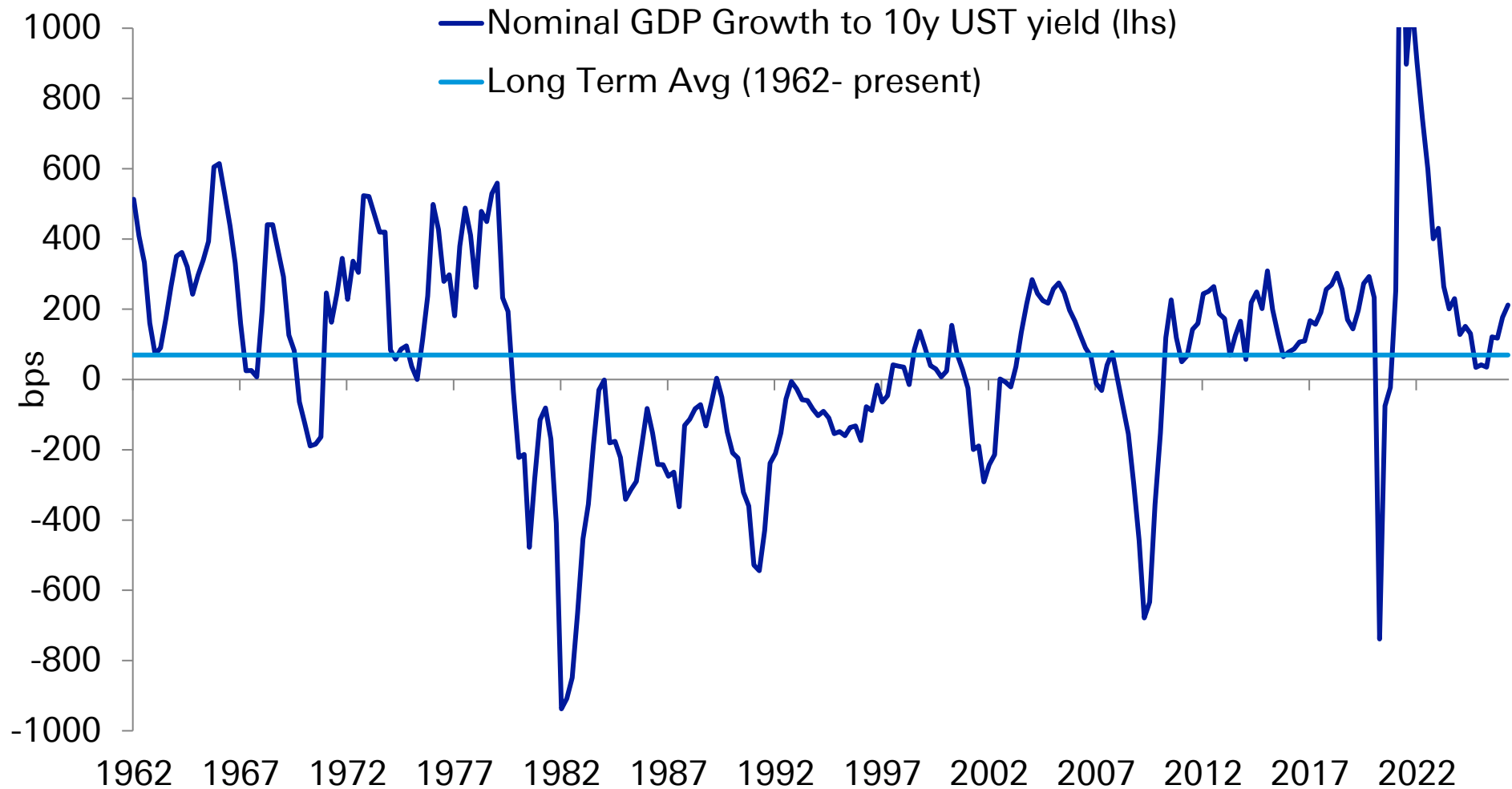


Source : BEA, Haver, Deutsche Bank



With spot Nominal GDP at 6.6% YoY, the current gap to 10yr yields is around 180bps. Clearly nominal GDP may be inflated by energy prices but overall it's hard to say US yields are too high based on this. If nominal GDP settles at 5.5% then 4.8% would be historically average. If we settle at 6% due to AI and inflation, then around 5.3% is reasonable before factoring in fiscal concerns.

US Nominal GDP minus 10yr UST yields

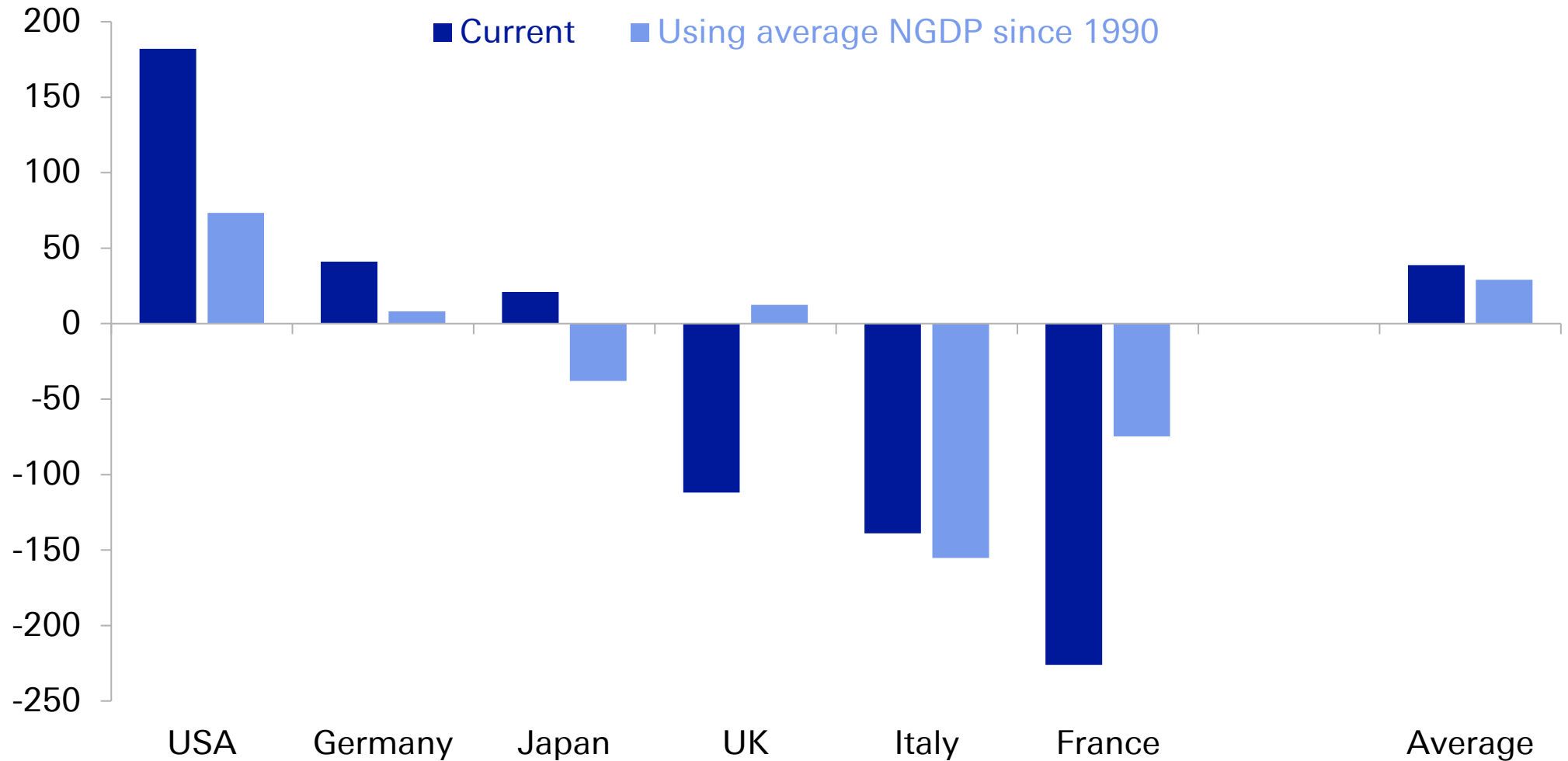


Source: Haver, Bloomberg Finance LP, Deutsche Bank



The US has the largest positive gap between current Nominal GDP and 10yr yields illustrating that growth is currently comfortably above funding costs. France, Italy and the UK are the most negative and have yields comfortably above current nominal growth.

Gap between Nominal GDP growth and 10y yields (bps)

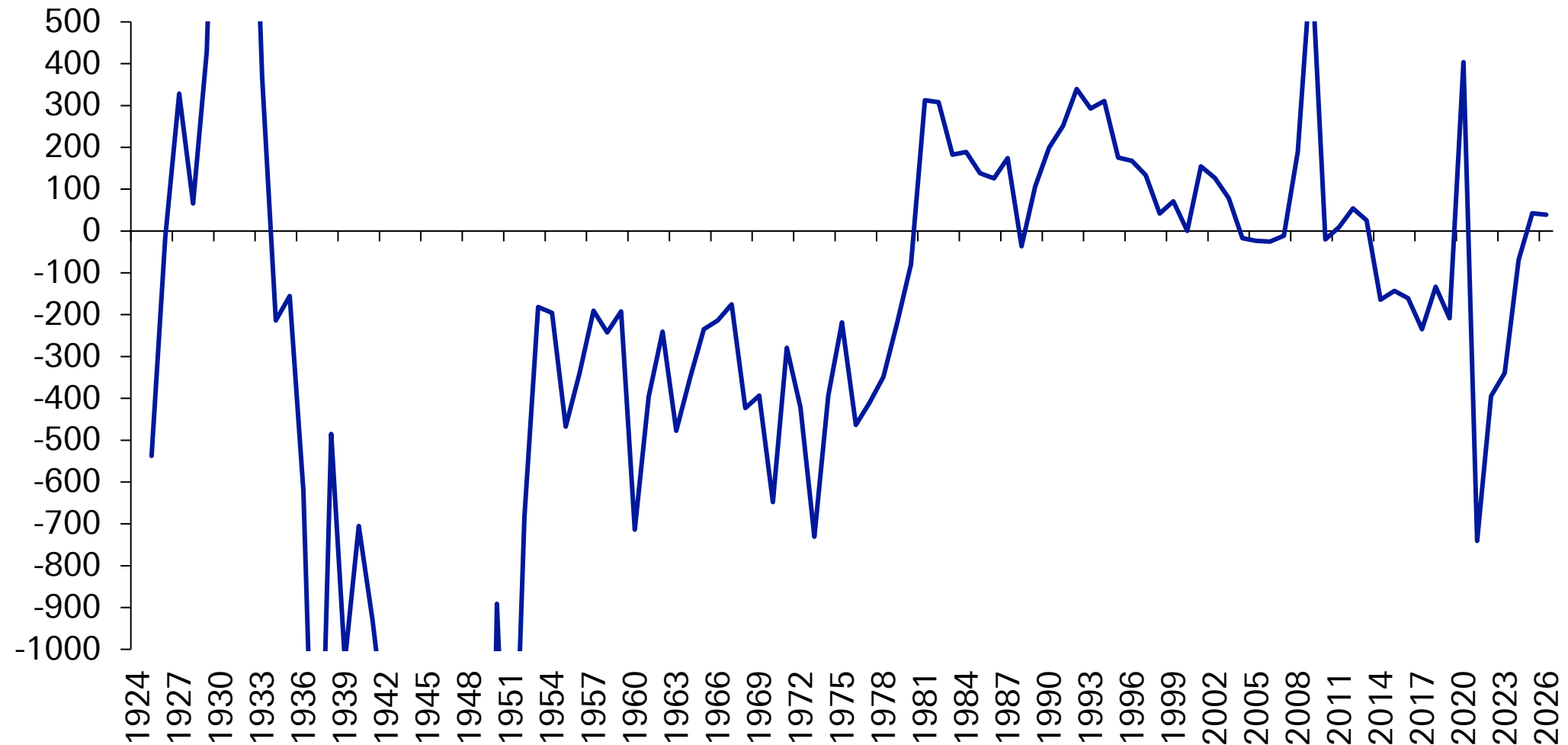


Source: Finaeon, Deutsche Bank

Across DMs, funding costs are now above nominal GDP on average. In the post GFC period of high debt and financial repression, yields were consistently below nominal GDP thus helping the funding situation....



Average difference between Nominal GDP and 10yr Govt. bonds for US, UK, Germany, France, Italy and Japan (in bps)

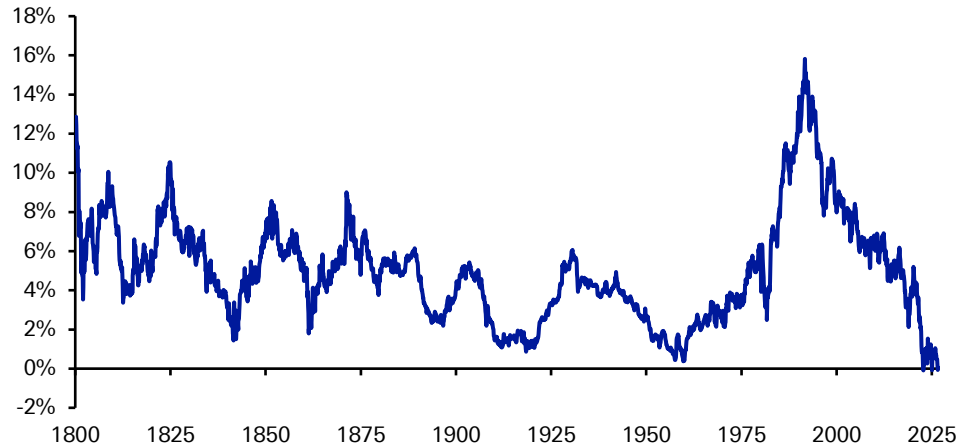


Source: Finaeon, Deutsche Bank

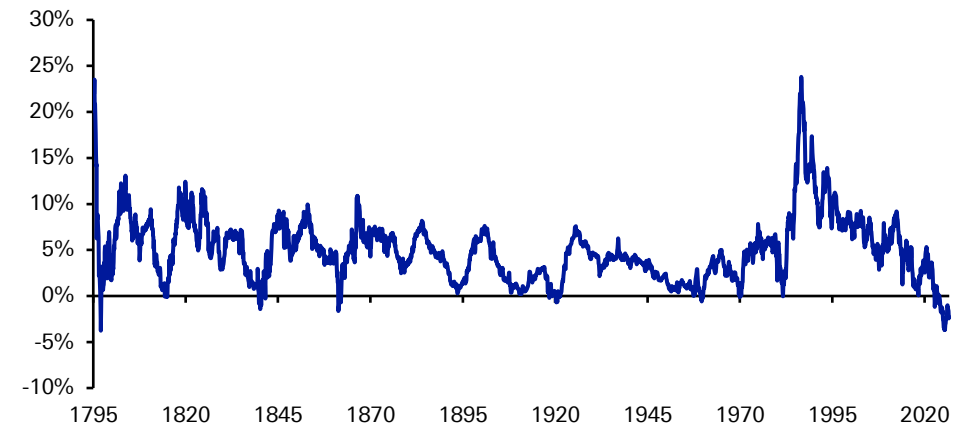


For 10yr Treasury yields, we are still hovering around the worst 5- and 10-year rolling nominal returns on record but it's clear that even with yields again approaching multi-year highs, returns have been stabilising more recently due to the higher coupons...

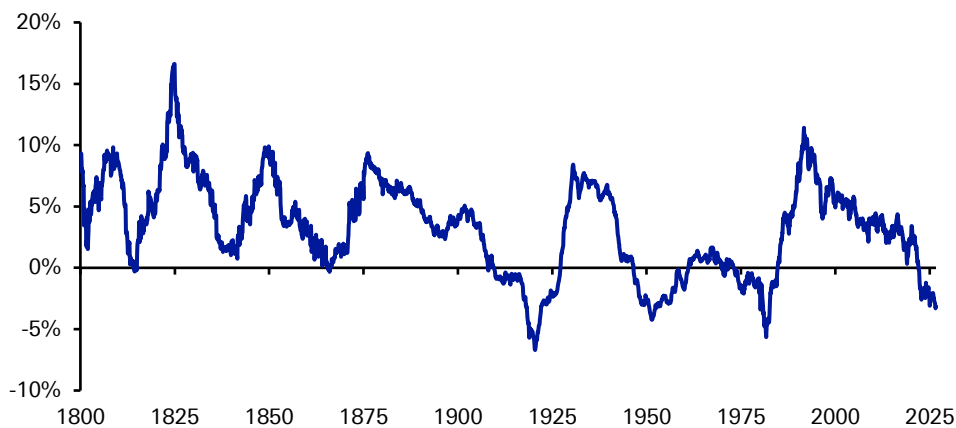
10yr Rolling Nominal Return (Annualised)



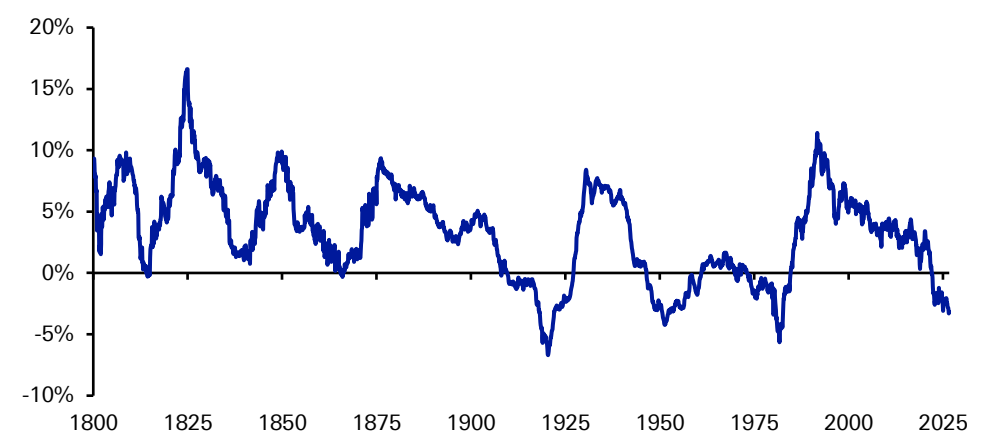
5yr Rolling Nominal Return (Annualised)



10yr Rolling Real Return (Annualised)



5yr Rolling Real Return (Annualised)

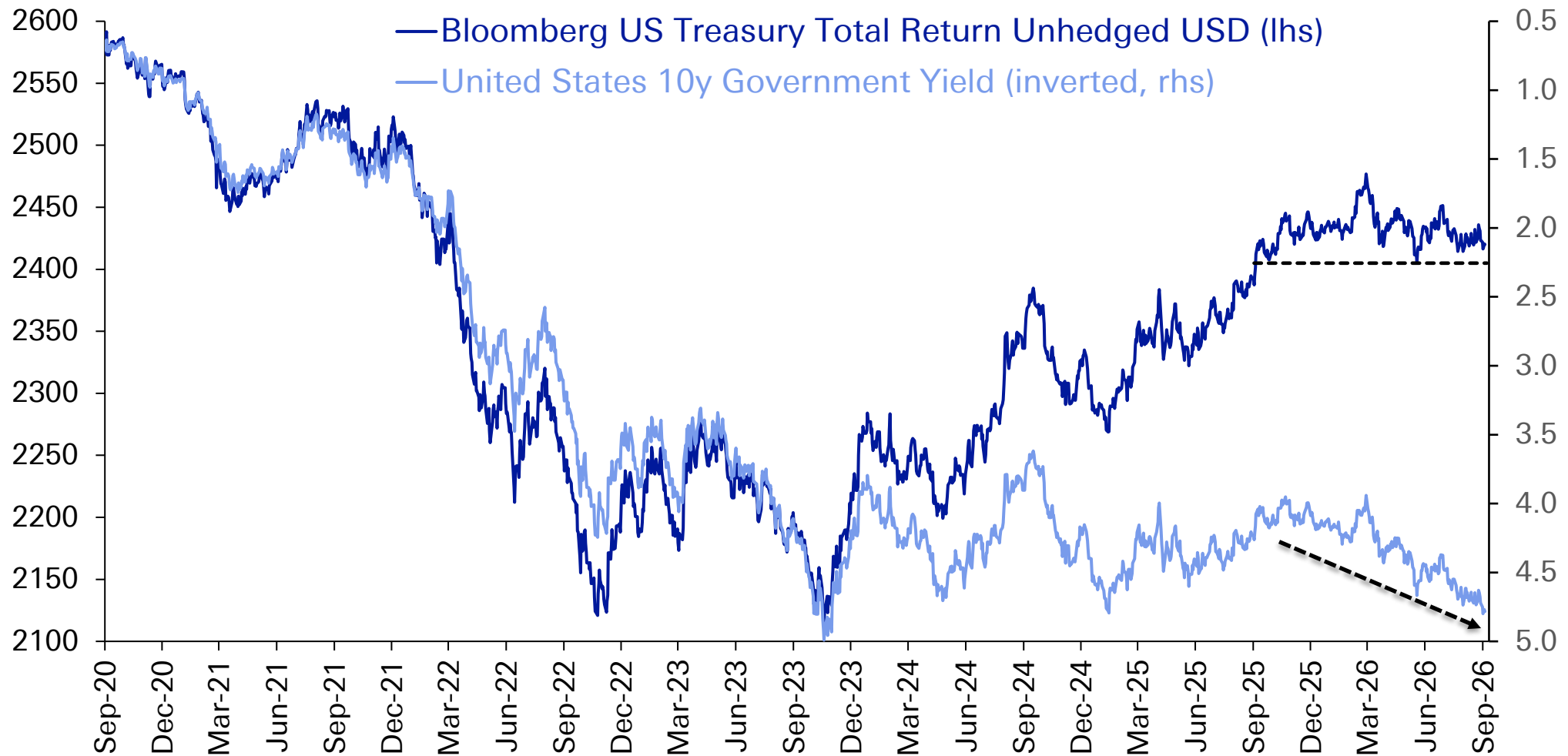


Source: Finaeon, Deutsche Bank



At least we're getting a decent compensatory yield now versus the 2010s and early 2020s. Over the last 12 months the US treasury total return index is higher even with a c.60bp rise in 10yr yields.. Since yields peaked in October 2023, the index has returned nearly 15%

US Treasury Index Returns vs. 10y Govt. Yields. Over the last year returns have been positive even with a notable rise in yields.



Source : Bloomberg Finance LP, Deutsche Bank, Last update: Sep 7

Clearly it's a global phenomenon. For example, 30-year yields are hitting decade plus or multi decade highs in several countries.



30yr Gilt Yields (%)



30yr Treasury Yields (%)



30yr JGB Yields



30yr German Yields (%)

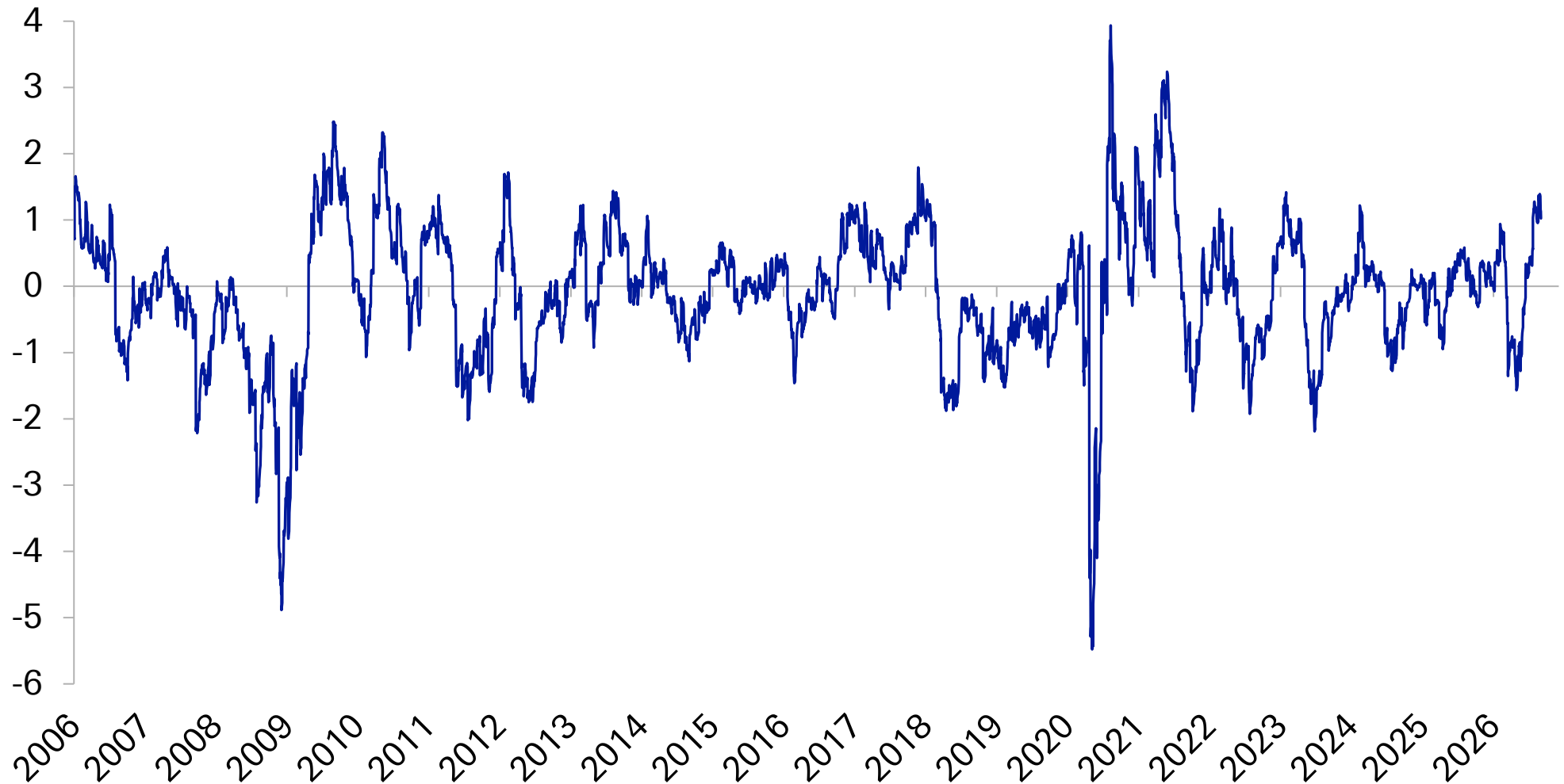


Source: Bloomberg Finance LP, Deutsche Bank, Last update Sep 7

But some of this is justified by the data. For example, European growth surprises are nudging up against 20-year highs outside of the post Covid and GFC bounce-backs.



Deutsche Bank SIREN Surprise Index - Euroarea

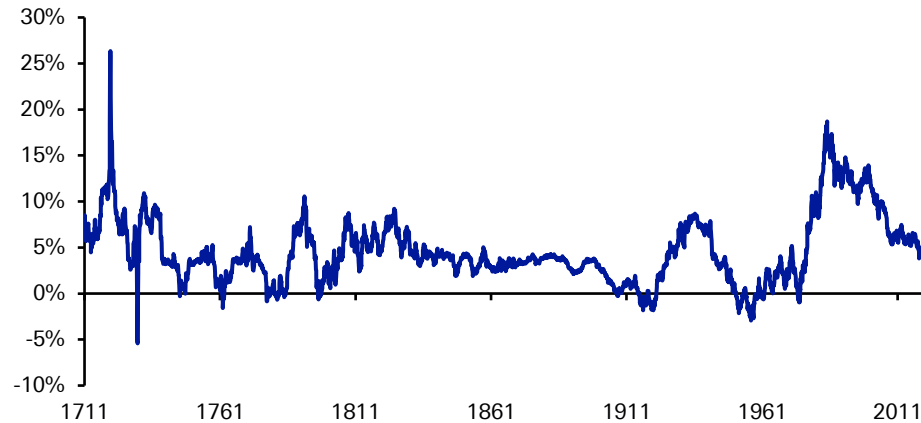


Source: Bloomberg Finance LP, Deutsche Bank; Last update : Sep 7

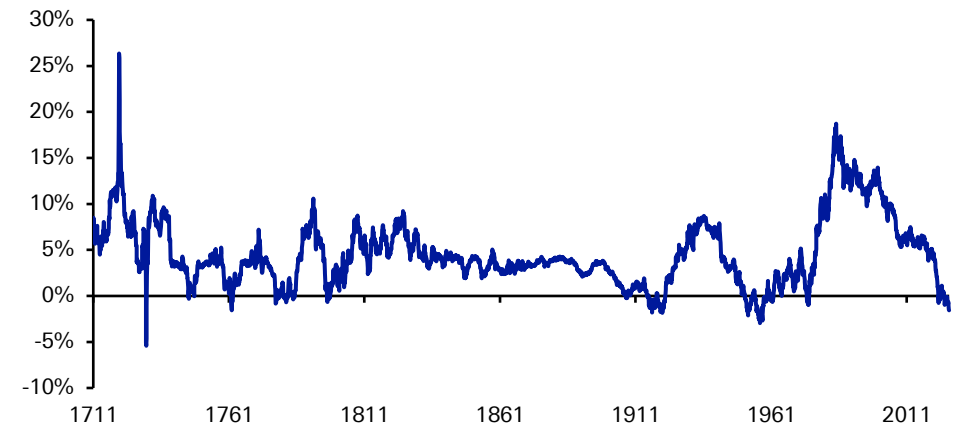
10yr UK gilts have also had a tough time in recent years. Rolling 5 and 10yr total returns are still near the lows..



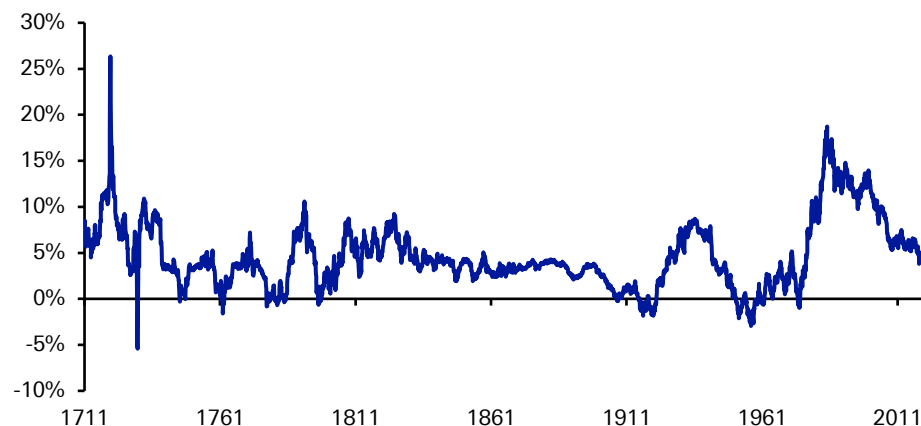
10yr Rolling Nominal Return (Annualised)



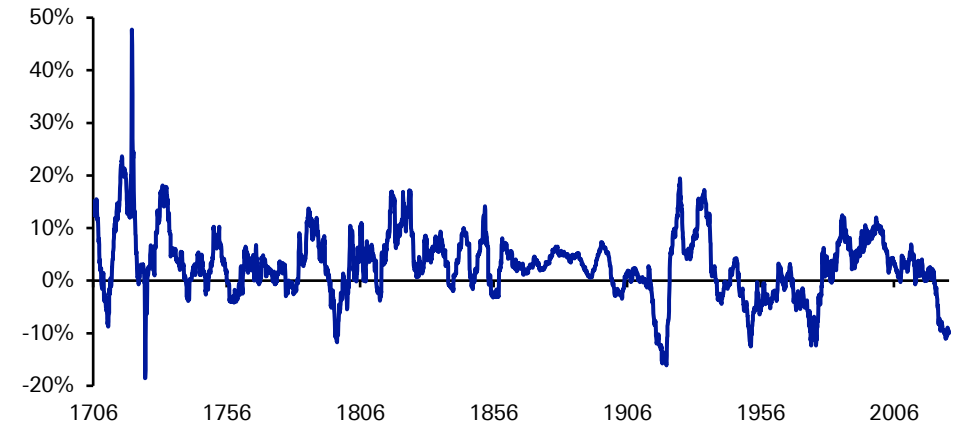
5yr Rolling Nominal Return (Annualised)



10yr Rolling Real Return (Annualised)



5yr Rolling Real Return (Annualised)

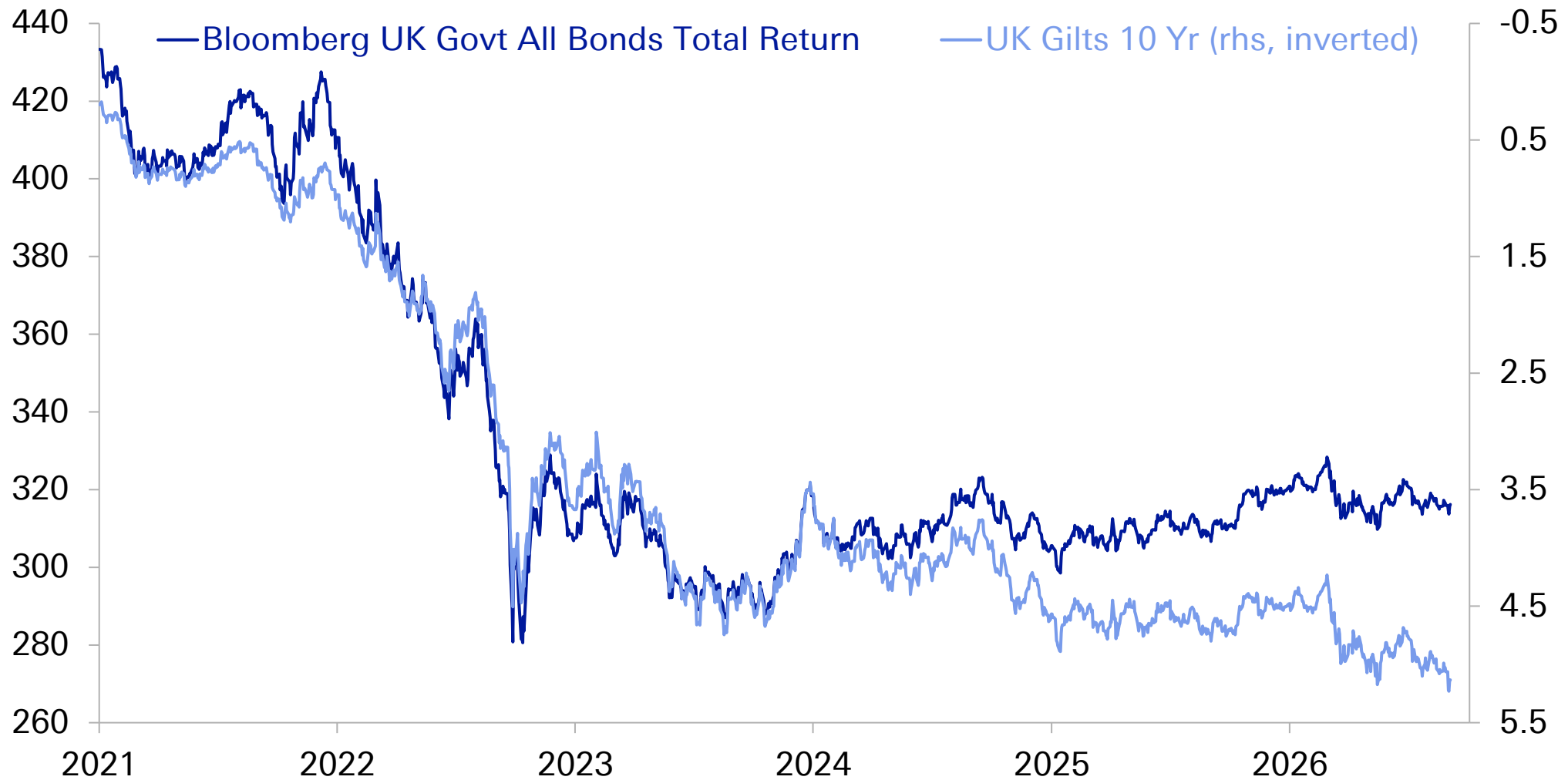


Source: Finaeon, Deutsche Bank

But even with all the negative headlines in the four years since the Truss mini-budget/LDI crisis, Gilt returns have generally crept higher even as yields have returned back to the highs. 10yr yields are currently around 65bps higher than their “crisis” peak in October 2022, yet the total return index is around 12% higher..



UK Gilt Index Returns vs. 10y Govt. Yields.

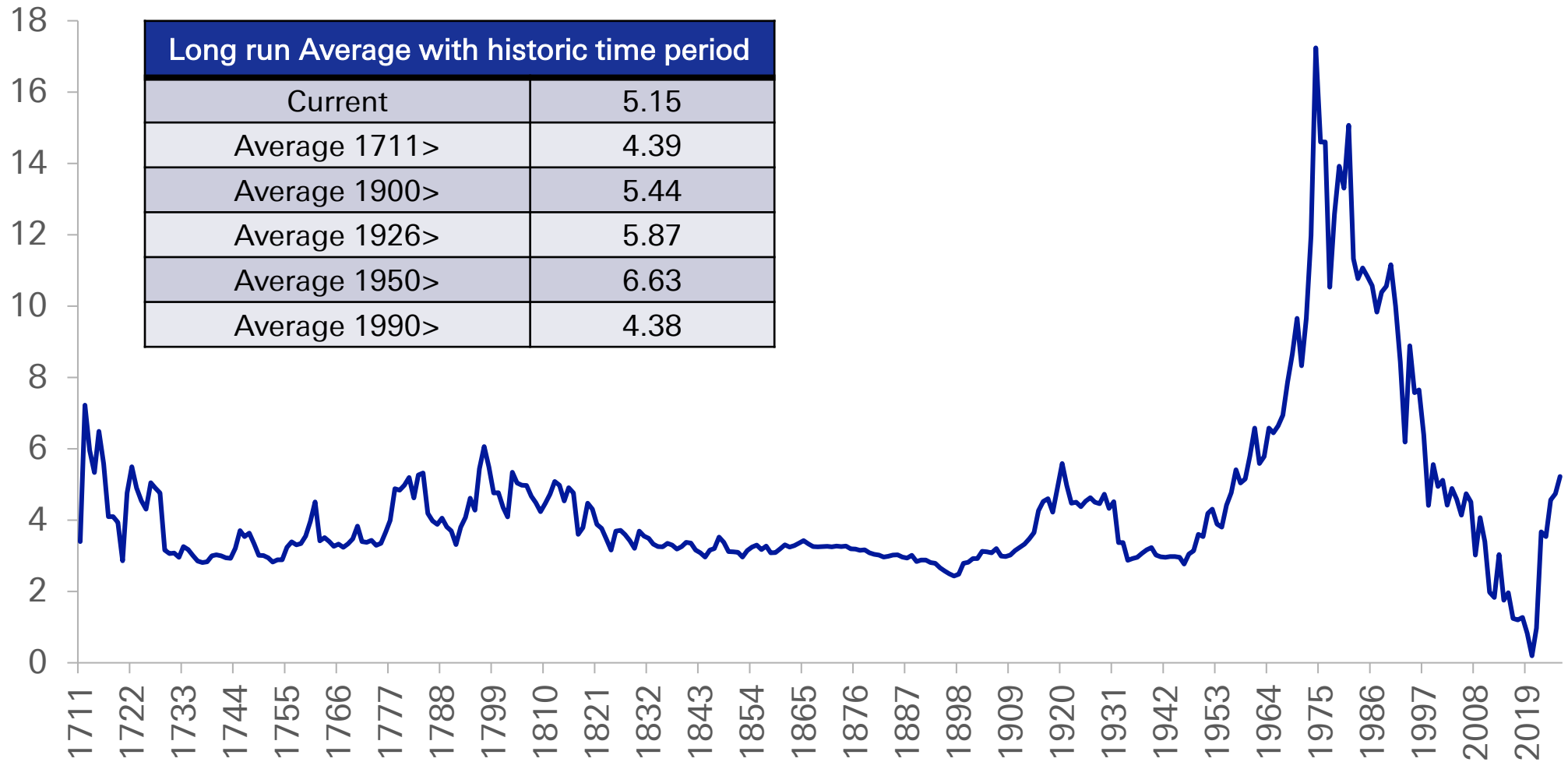


Source : Bloomberg Finance LP, Deutsche Bank, last update Sep 7

What average yield should you use in the UK? Over the long-run (since 1711- and since 1900-) the median is around one percentage point less than the average which is heavily influenced by 1960-1997 where 10yr yields were permanently above 5.5%. Outside of that period the current yield is at the top end of the historical range.



10yr govt yields in UK

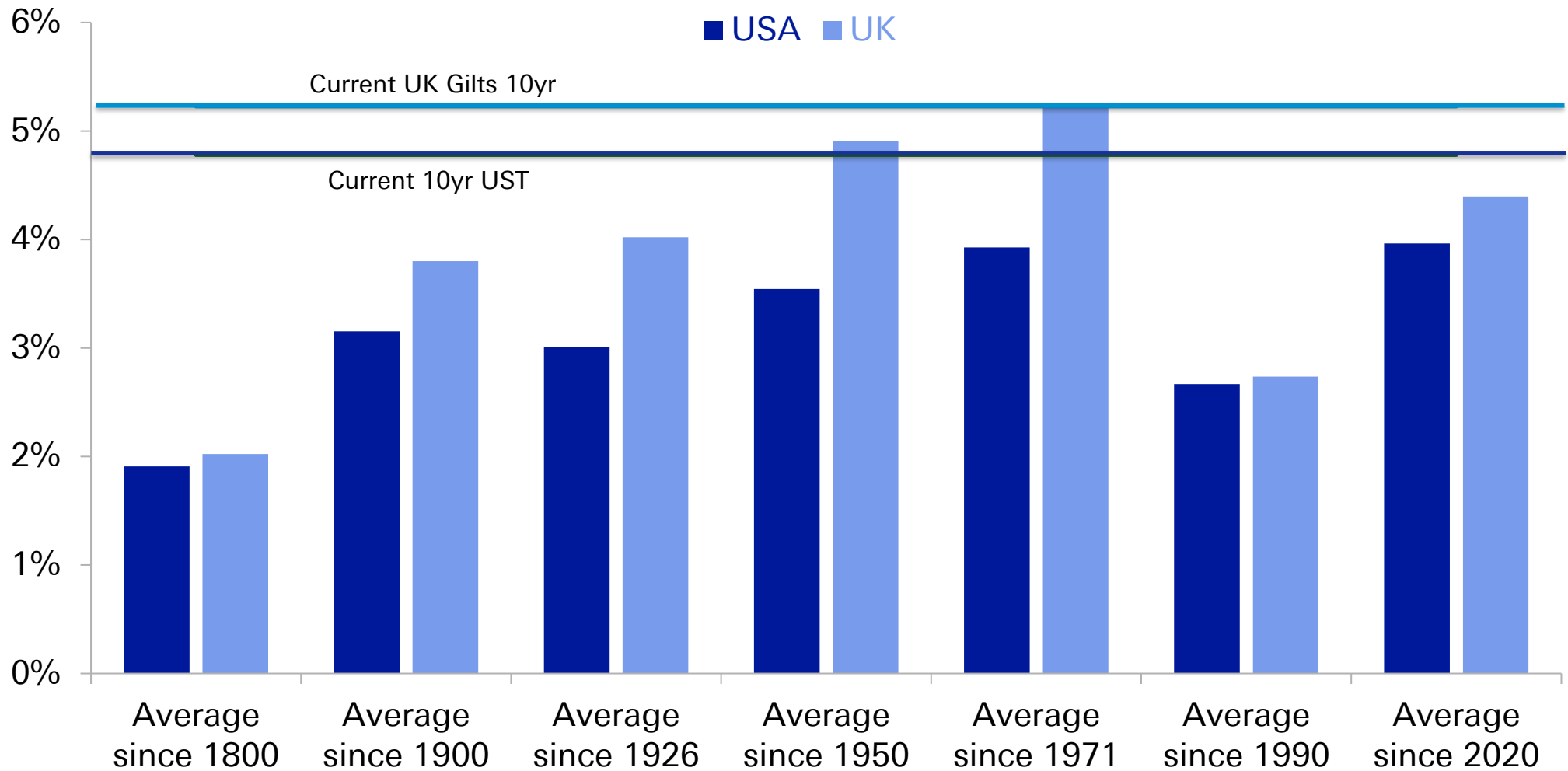


Source: Finaeon, Deutsche Bank

At least US and UK Bond yields are mostly above average inflation seen over virtually all extended periods through history...



Average inflation over various periods in the US and UK and the current 10 year bond yield

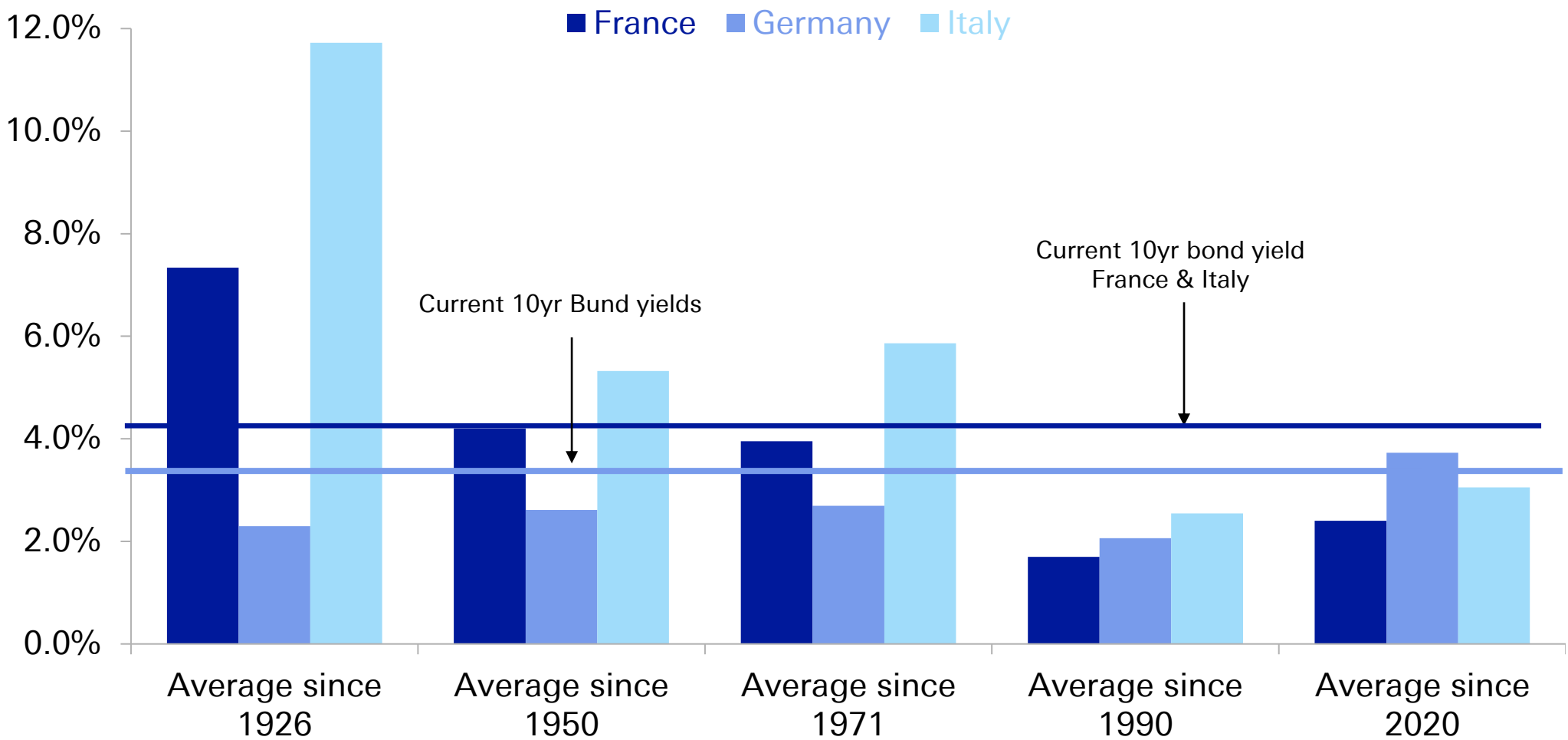


Source: Finaeon, Deutsche Bank

WWII makes this more complicated for European countries, as do lower current yields.



Average inflation over various periods in the France, Germany and Italy and the current 10-year bond yield

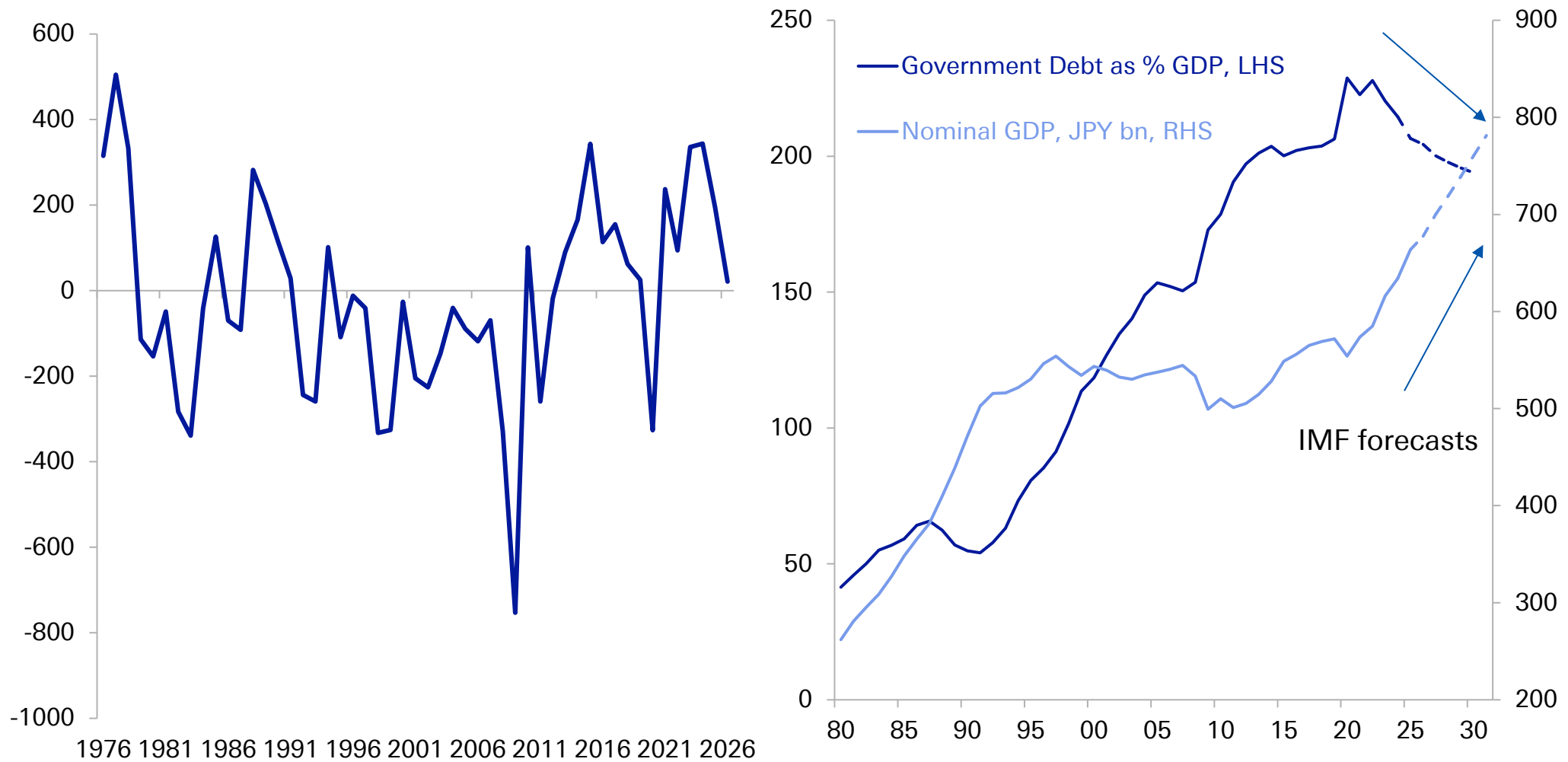


Source: Finaeon, Deutsche Bank

For Japan, rising yields and dipping nominal GDP do threaten what has been a falling debt/GDP since Covid when nominal GDP took off after being broadly flat for a couple of decades. Since 2021, Japanese nominal GDP has averaged over 220bps more than 10yr JGB yields. Today that stands at only around 40bps on a spot basis.



Japan: nominal GDP growth & 10yr JGB spread (left) & nominal GDP vs Govt debt (right)

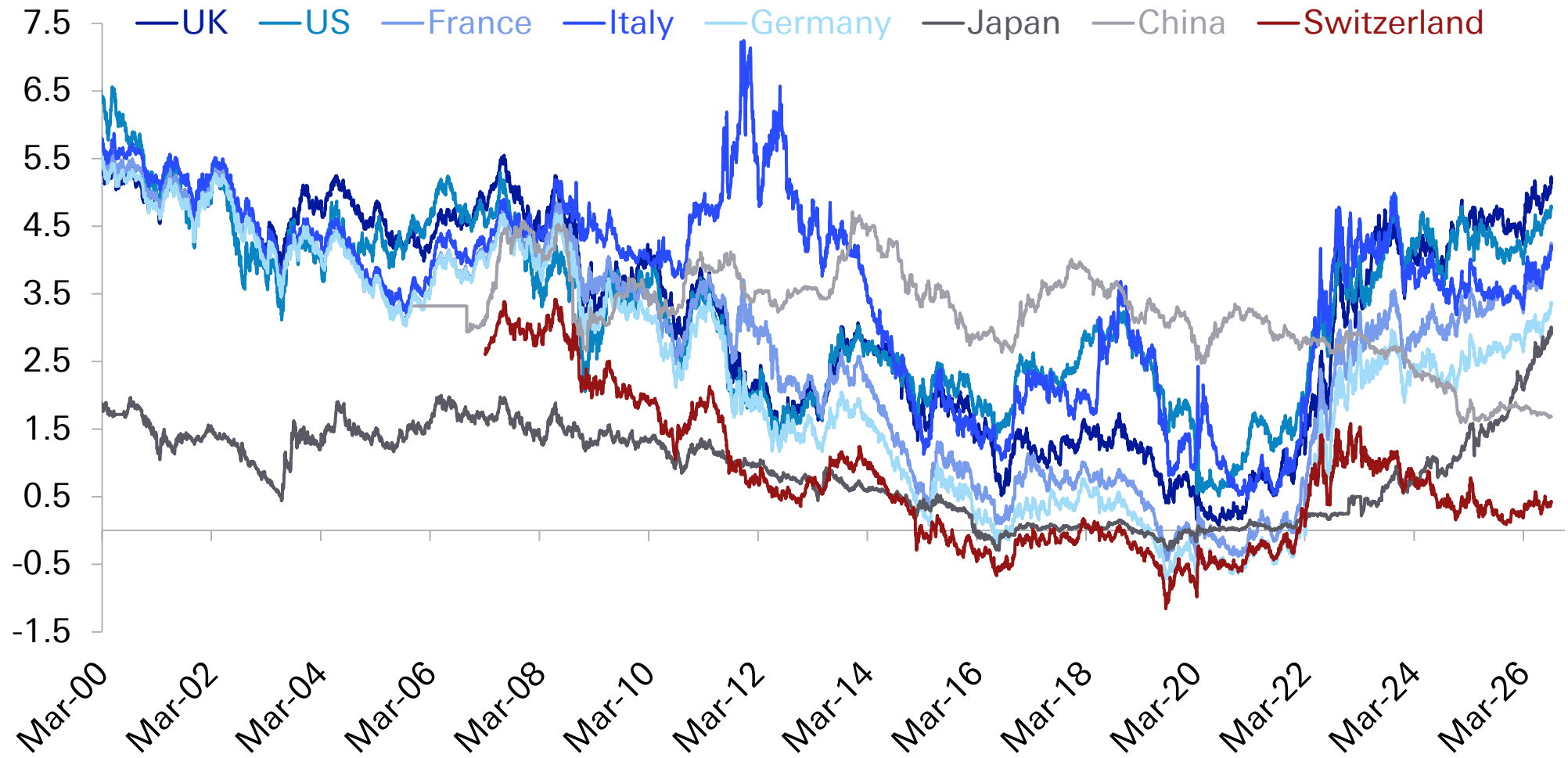


Source: Finaeon , Deutsche Bank Research, Haver Analytics, IMF

Interestingly, while most global yields hit multi-decade highs, Swiss and China yields have been flat or moving lower...



10y Government yields across major economies (%)

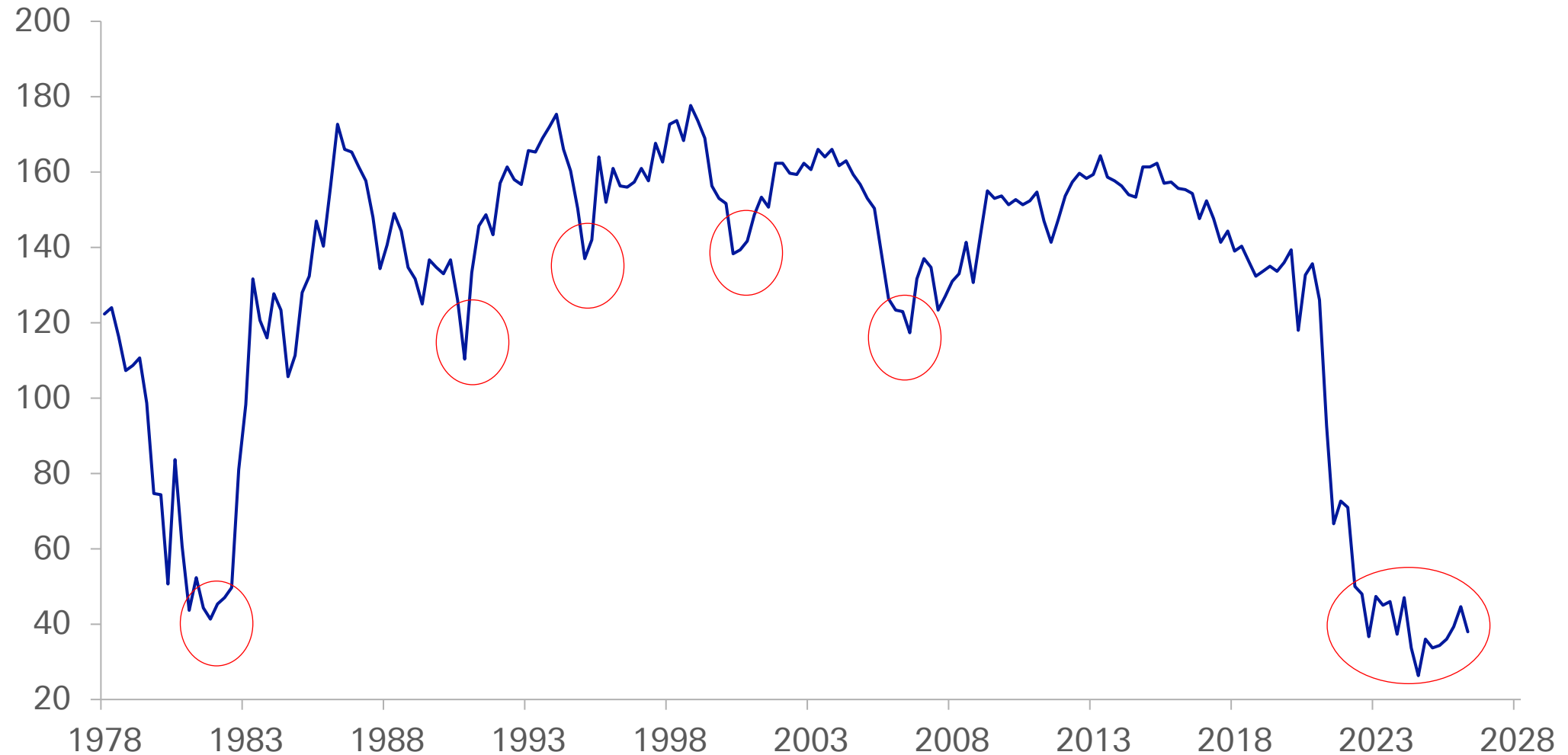


Source : Bloomberg Finance LP, Deutsche Bank, last update Sep 7, Note: Countries are ordered by current yield from high to low

Rising yields make the fiscal arithmetic more challenging but also continue to keep US housing affordability near record lows... Full employment and a lack of activity are the main thing holding prices up



UMICH: Current Conditions for Buying Houses (Index Score): sentiments hit rock bottom for buyers



Source: UMich, Haver, Deutsche Bank

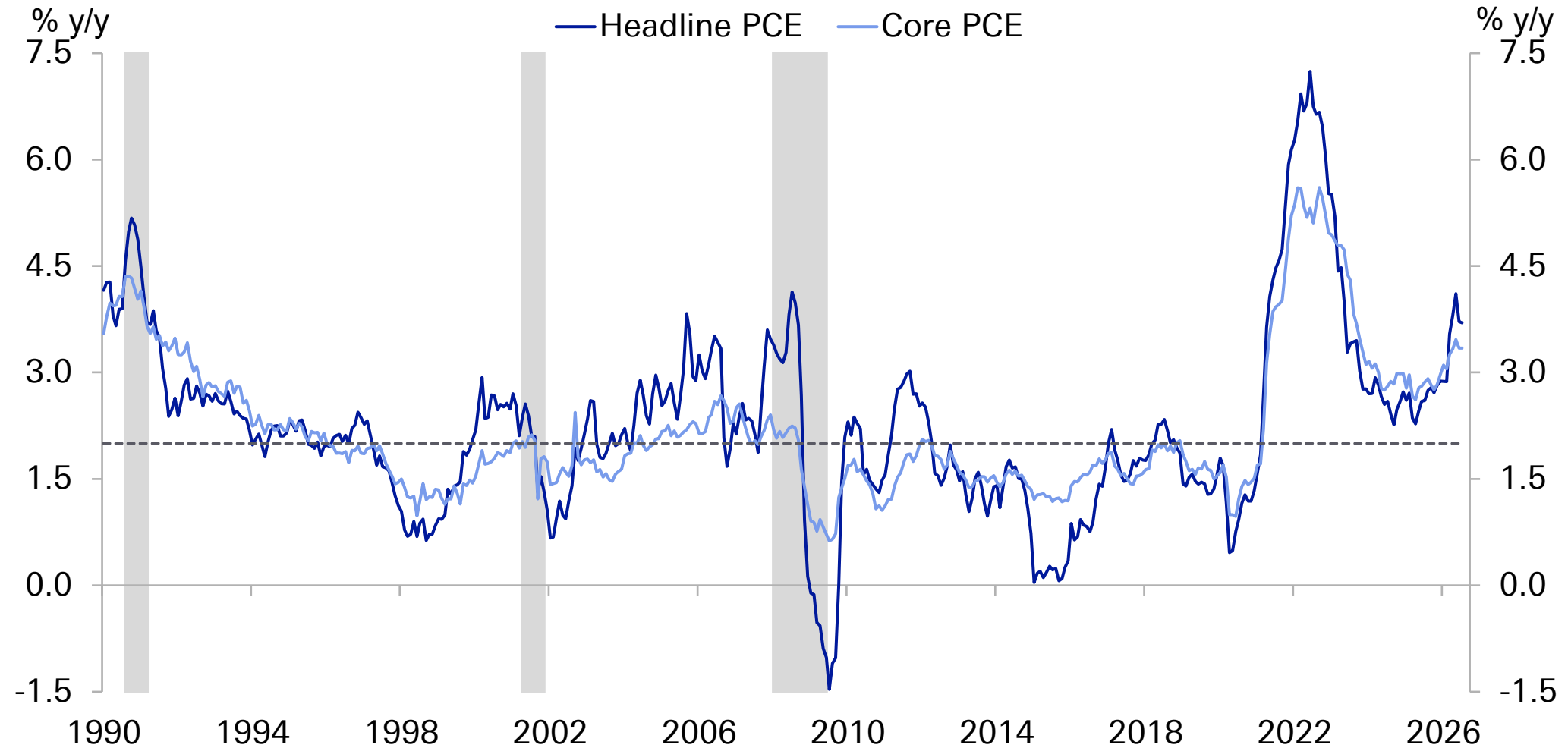


Should the Fed raise rates...?

PCE inflation remains elevated far above the Fed's 2% target. Excluding the pandemic anomaly, core PCE is only 15bps off its 34-year high seen in May



US PCE inflation



Source: BEA, Haver Analytics, Deutsche Bank



The chart displays the percentage of inflation for six different measures over time. The x-axis represents years from 2015 to 2026, and the y-axis represents the percentage from 0 to 8. A vertical gray bar at the start of 2020 indicates the recession period. The measures are: Core PCE (dark blue), Headline PCE (light blue), NY Fed Multivariate Core Trend Inflation (Median) (cyan), FRB Cleveland Median PCE Inflation (gray), FRB Dallas: Trimmed-Mean 12-month PCE Inflation (dark gray), and DB Underlying Inflation (Median) (red). All measures show a significant increase starting in 2021, peaking in 2022, and then gradually declining. Headline PCE is the most volatile, while Core PCE and DB Underlying Inflation are the most stable.

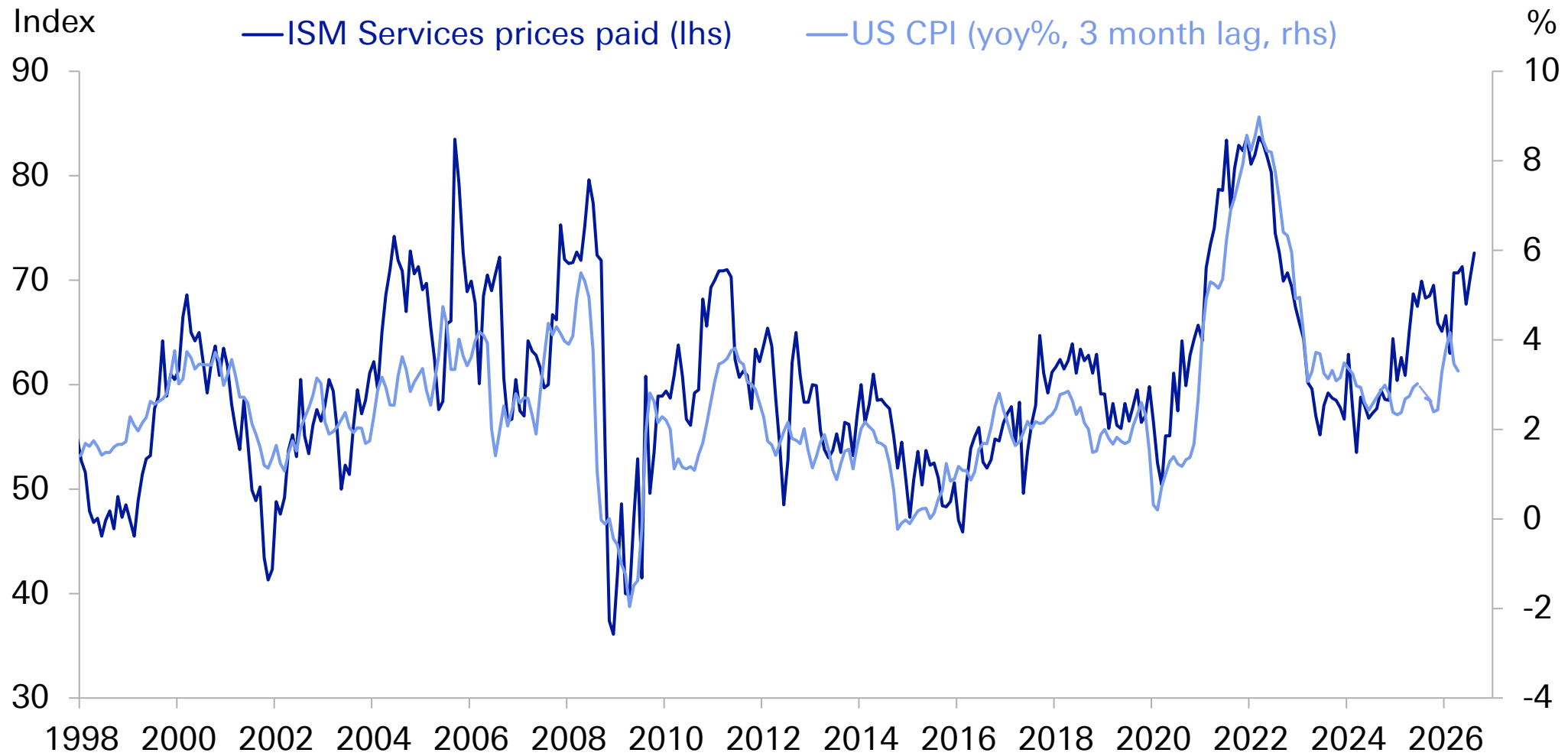
Year	Core PCE	Headline PCE	NY Fed Multivariate Core Trend Inflation, Median	FRB Cleveland Median PCE Inflation	FRB Dallas: Trimmed-Mean 12-month PCE Inflation	DB Underlying Inflation (Median)
2015	1.2	0.1	1.4	2.1	1.5	1.5
2016	1.3	0.8	1.5	2.1	1.5	1.5
2017	1.5	1.5	1.6	2.2	1.8	1.8
2018	1.6	1.8	1.8	2.1	1.8	1.8
2019	1.8	1.8	1.8	2.3	1.9	1.9
2020	1.5	1.5	1.5	2.4	1.8	1.8
2021	3.0	3.5	3.5	3.5	3.0	2.5
2022	5.5	6.5	5.5	5.5	5.0	4.0
2023	4.5	5.5	4.5	4.5	4.0	3.5
2024	3.5	4.5	3.5	3.5	3.0	3.0
2025	3.0	3.5	3.0	3.0	2.5	2.8
2026	3.5	4.0	3.5	2.8	2.5	3.0

Deutsche Bank
Research Institute

Meanwhile, the ISM services prices paid component has been tightly correlated to inflation with a 3-month lag in the past... it's at a 4-year high and was consistent with CPI above 5% in the last inflation wave... While the correlation shouldn't be taken too literally, it highlights that price pressures remain in the pipeline...



US CPI Inflation and ISM Services Prices Paid

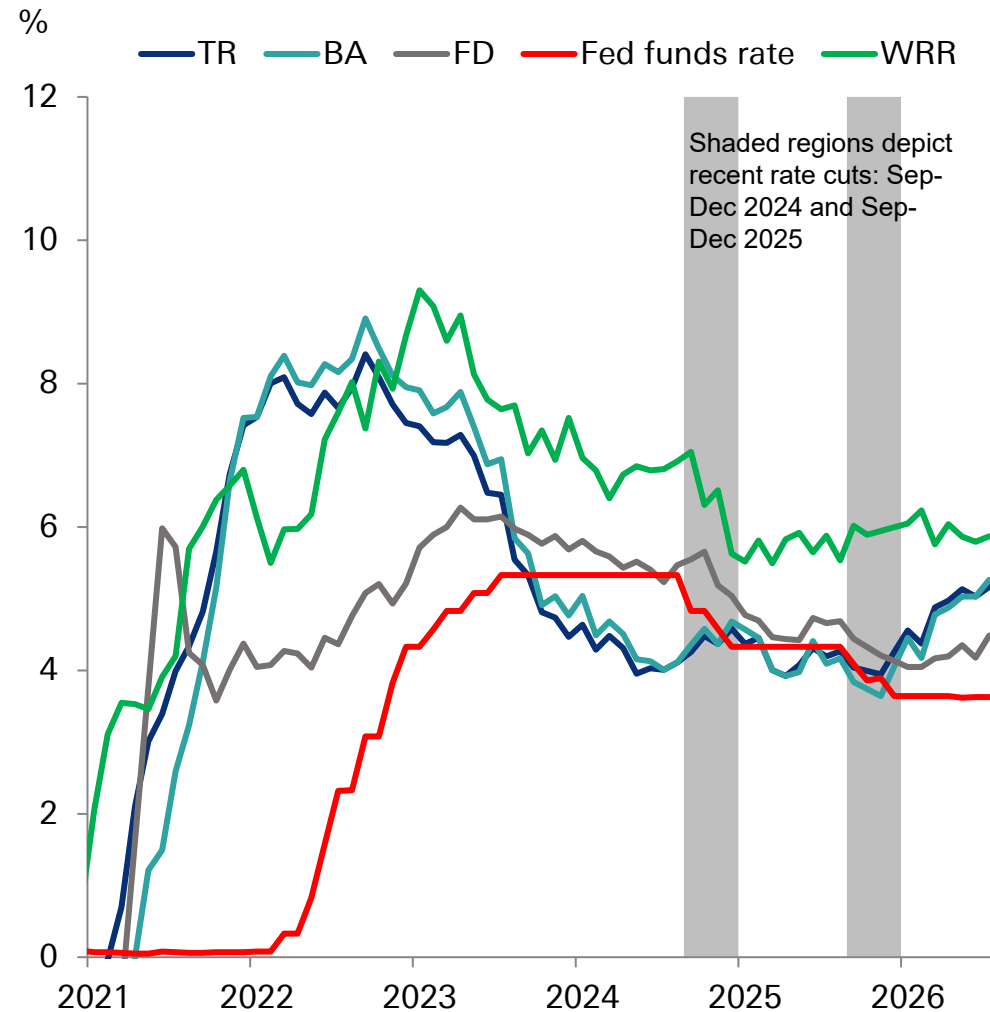


Source: ISM , BLS, Haver Analytics, Deutsche Bank

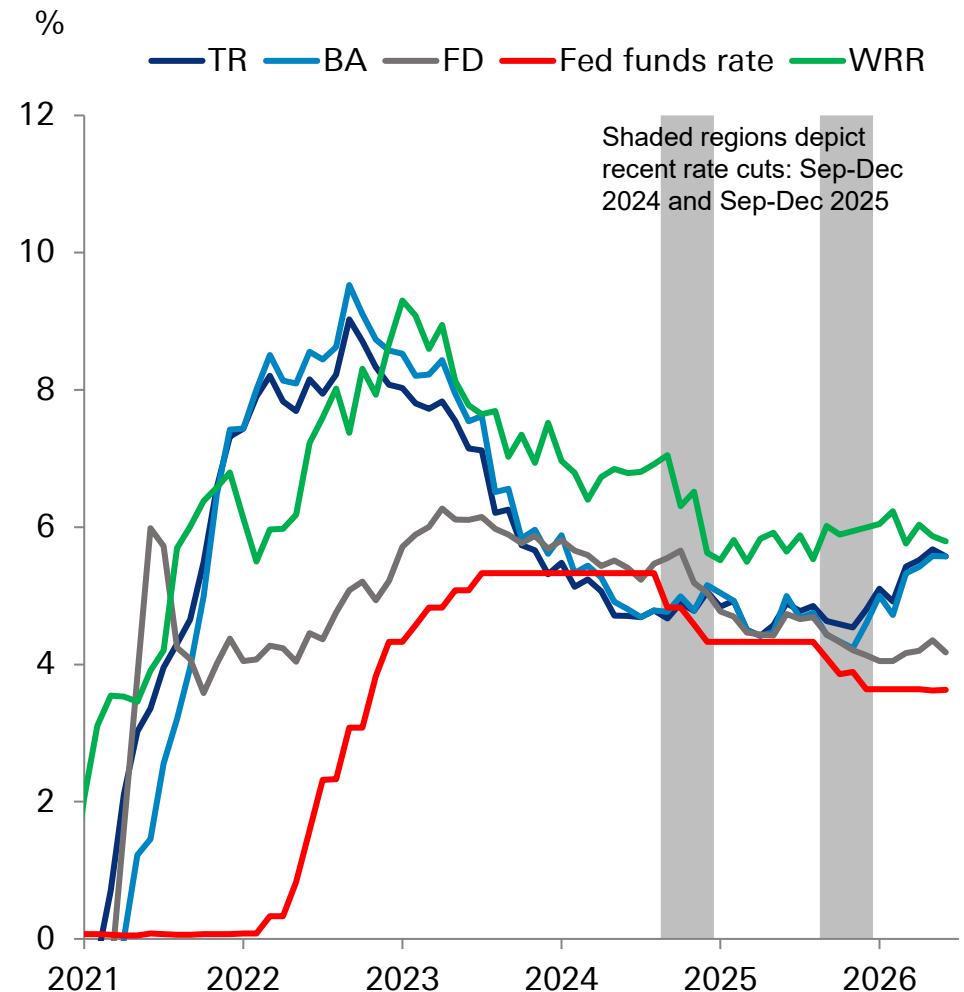
The policy rate has moved comfortably below policy rules after last year's "insurance" cuts



Fed funds rate versus rules w/ Fed r-star



Fed funds rate versus rules w/ DB r-star

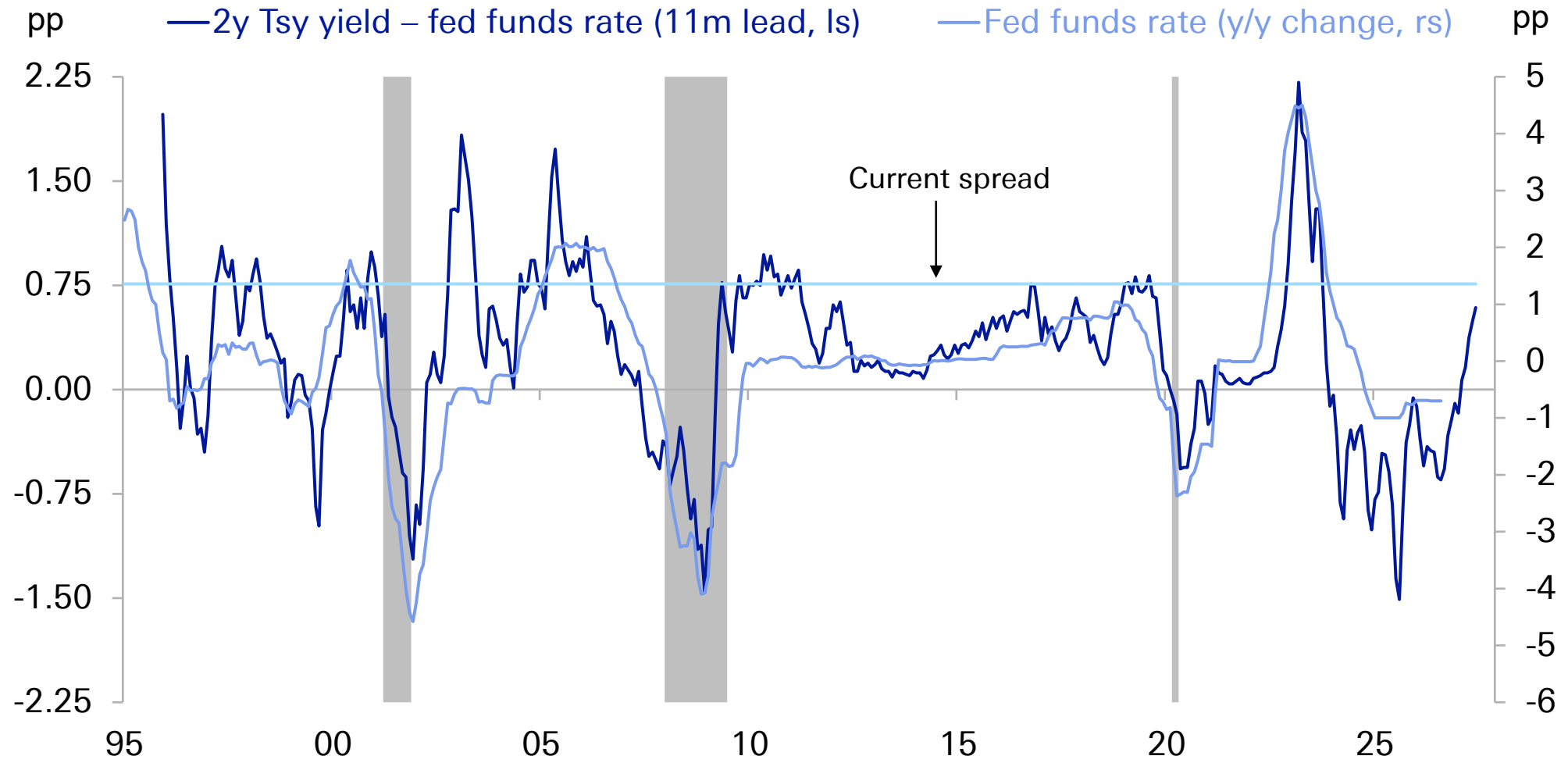


Source: FRB, BLS, CBO, Haver Analytics, Deutsche Bank

The wide gap between 2y yields and fed funds rate also predicts rate hikes



2y yield – fed funds rate and future rate changes

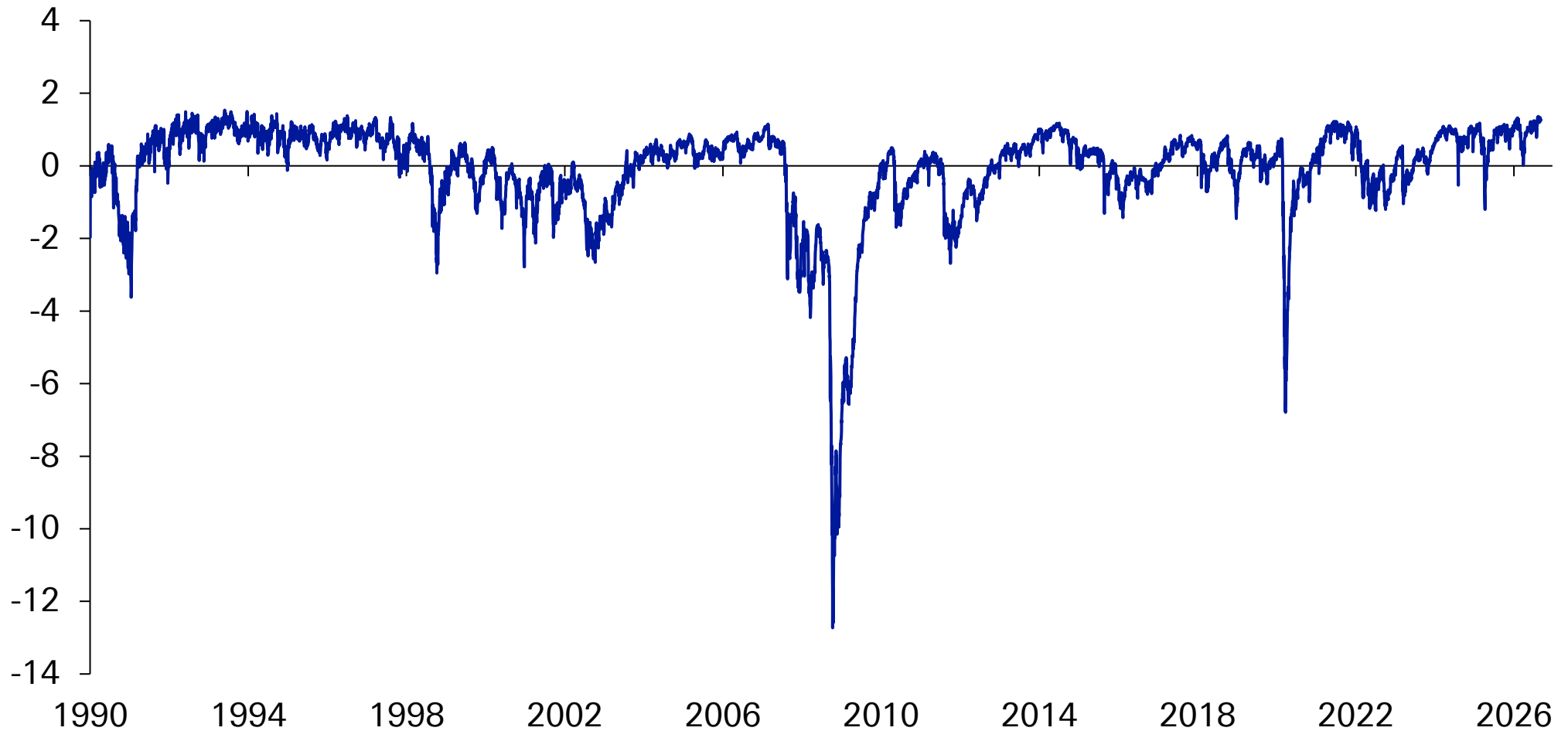


Source: FRB, Haver Analytics, Deutsche Bank

Financial conditions are broadly bumping up against the loosest they've been since 1990...



Bloomberg United States FCI

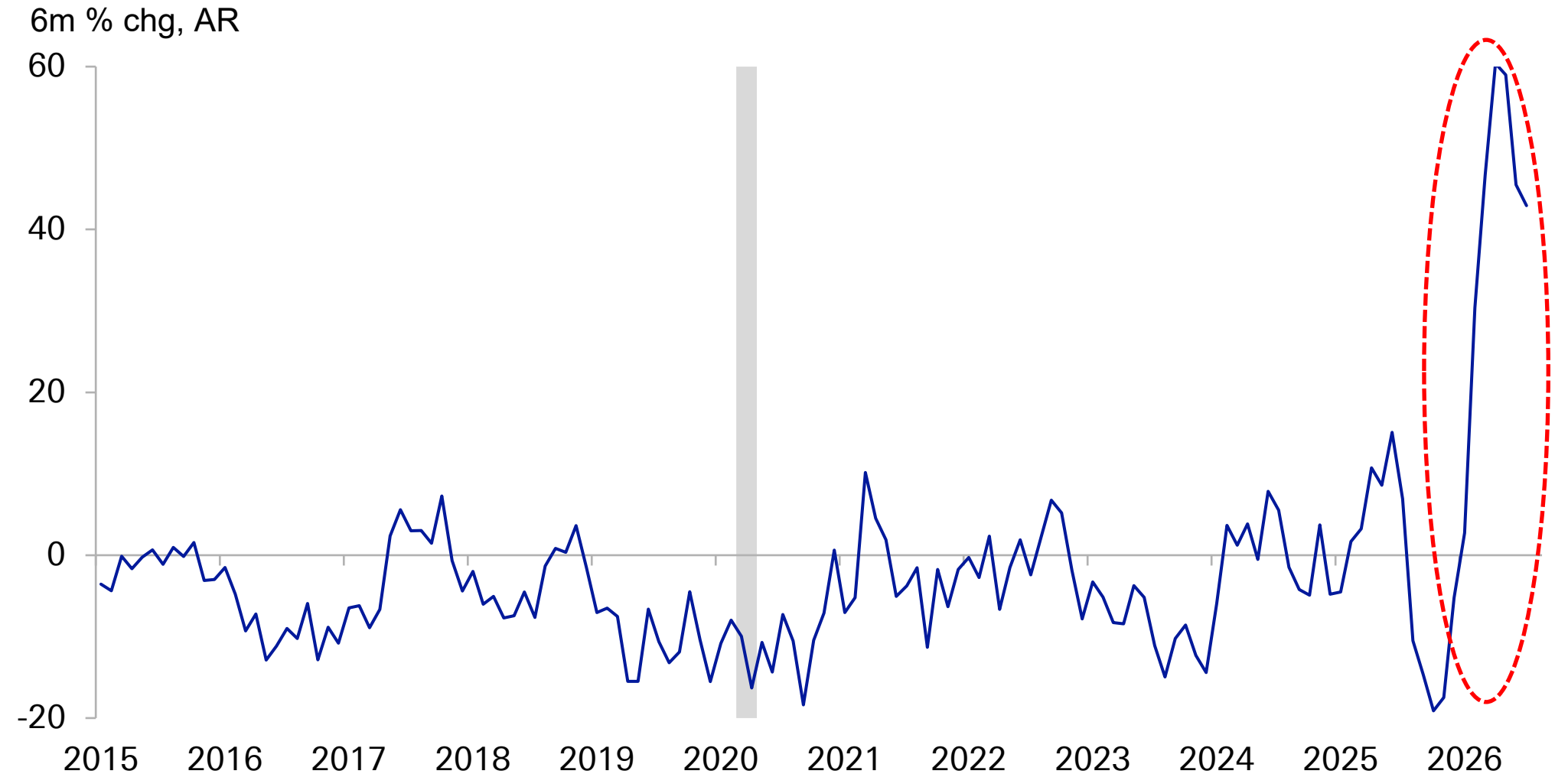


Source: Bloomberg Finance LP, Deutsche Bank; Last update : Sep 7; Note: Bloomberg U.S. Financial Conditions Index tracks the overall level of financial stress in the U.S. money, bond, and equity markets to help assess the availability and cost of credit. A positive value indicates accommodative financial conditions, while a negative value indicates tighter financial conditions relative to pre-crisis norms.

AI is an inflationary force today



PCE: software and accessories inflation

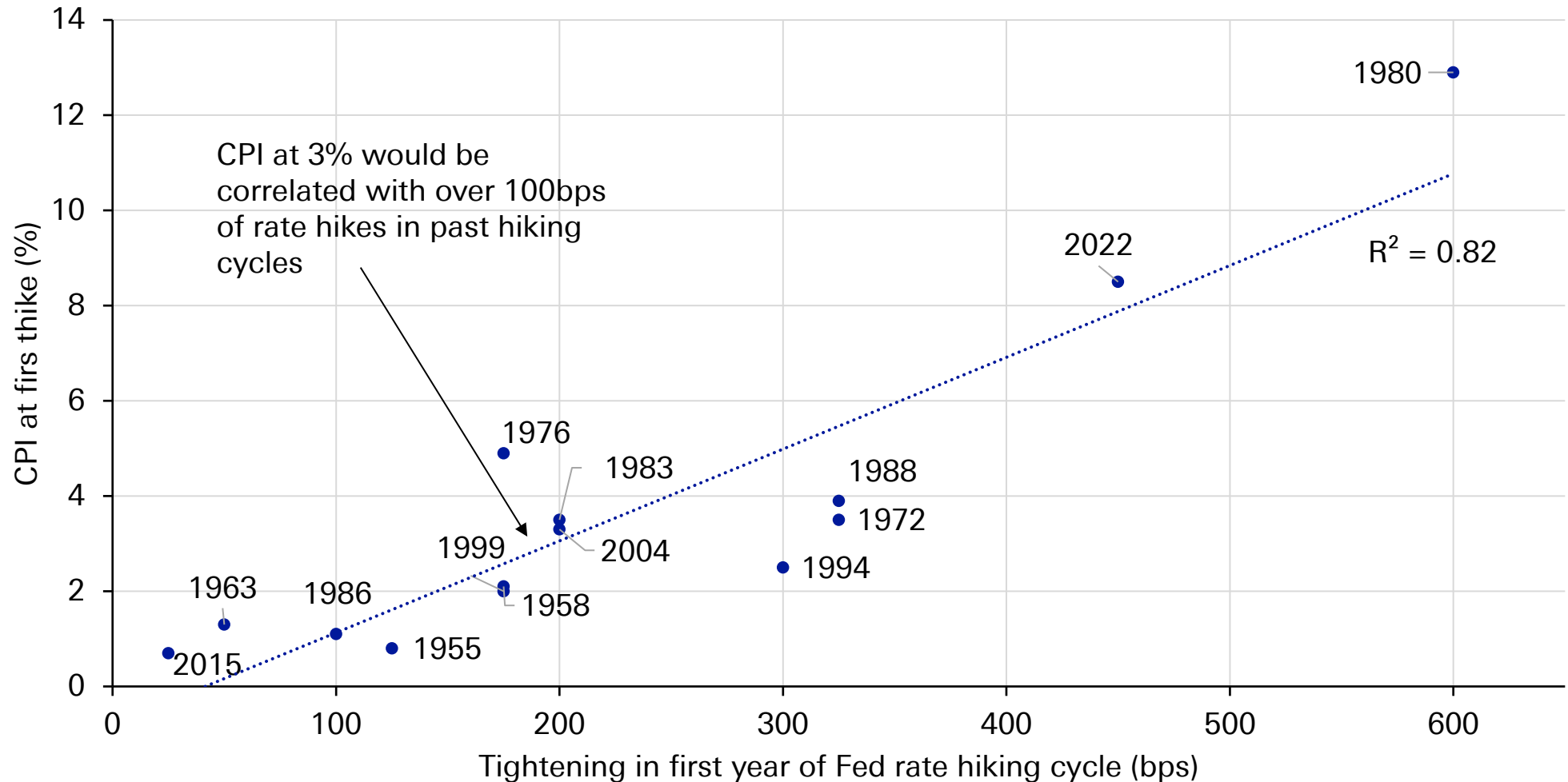


Source: BEA, Haver Analytics, Deutsche Bank



Historically, there's been a tight correlation between CPI inflation when the Fed starts hiking and how much they hike in the first year... with CPI at 3.4% in July, that would correlate to well over 100bps today... far above all expectations...

CPI and the amount of Fed tightening in the first year of a hiking cycle

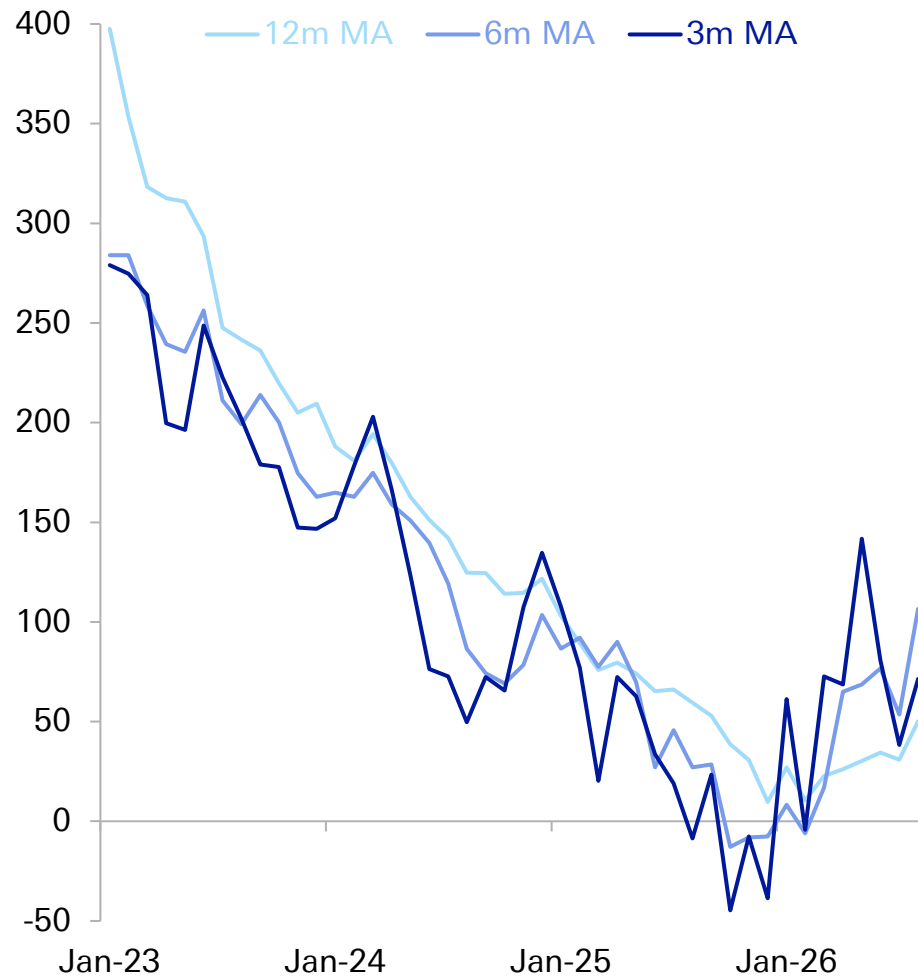


Source: Bloomberg Finance LP, Haver Analytics, Deutsche Bank

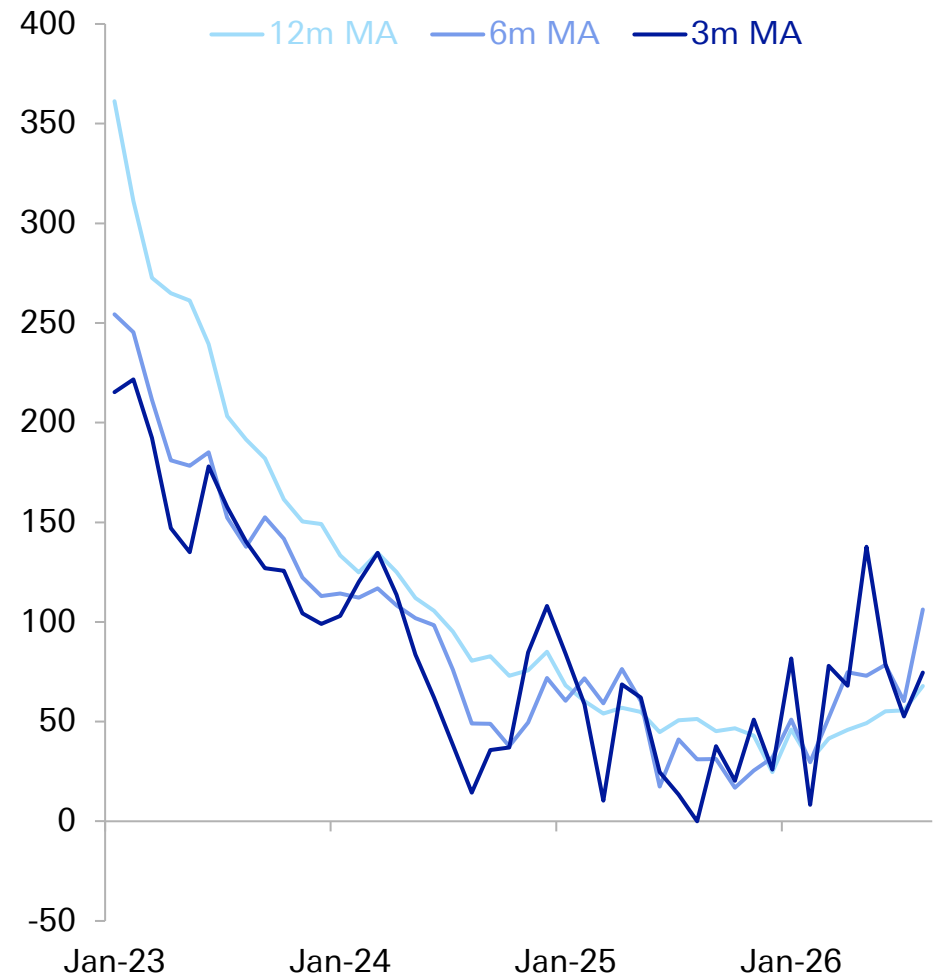
Payrolls did slow in 2025 which encouraged the insurance cuts but although volatile, there are clear signs that they have trended up in 2026.



Smoothed monthly gains in nonfarm headline payrolls



Smoothed monthly gains in private nonfarm headline payrolls

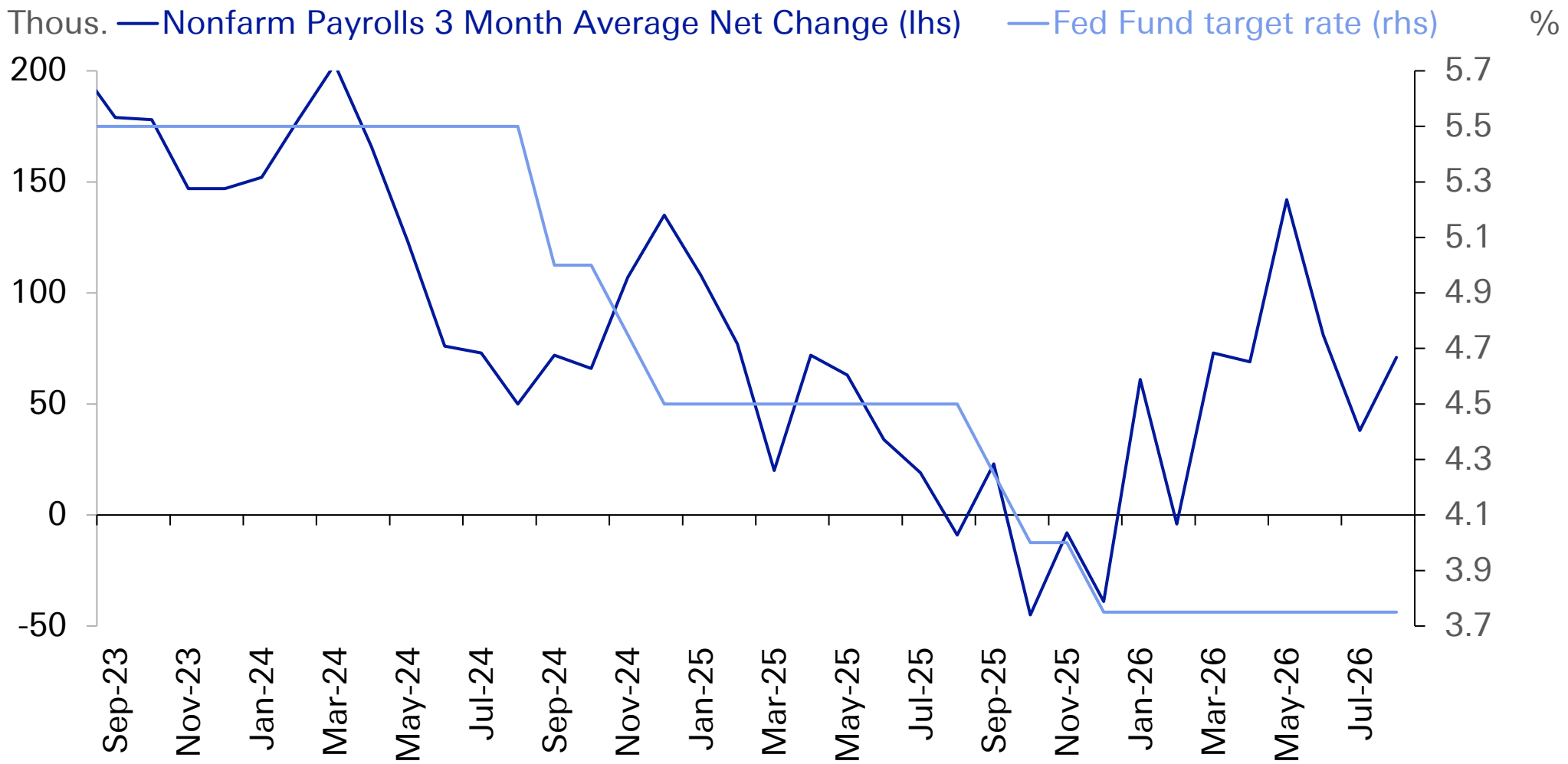


Source: BLS, Haver, Deutsche Bank

Indeed, with payrolls turning higher, those insurance cuts look ripe to be reversed...



Nonfarm payroll vs. Fed funds



Source: Bloomberg Finance LP, Deutsche Bank

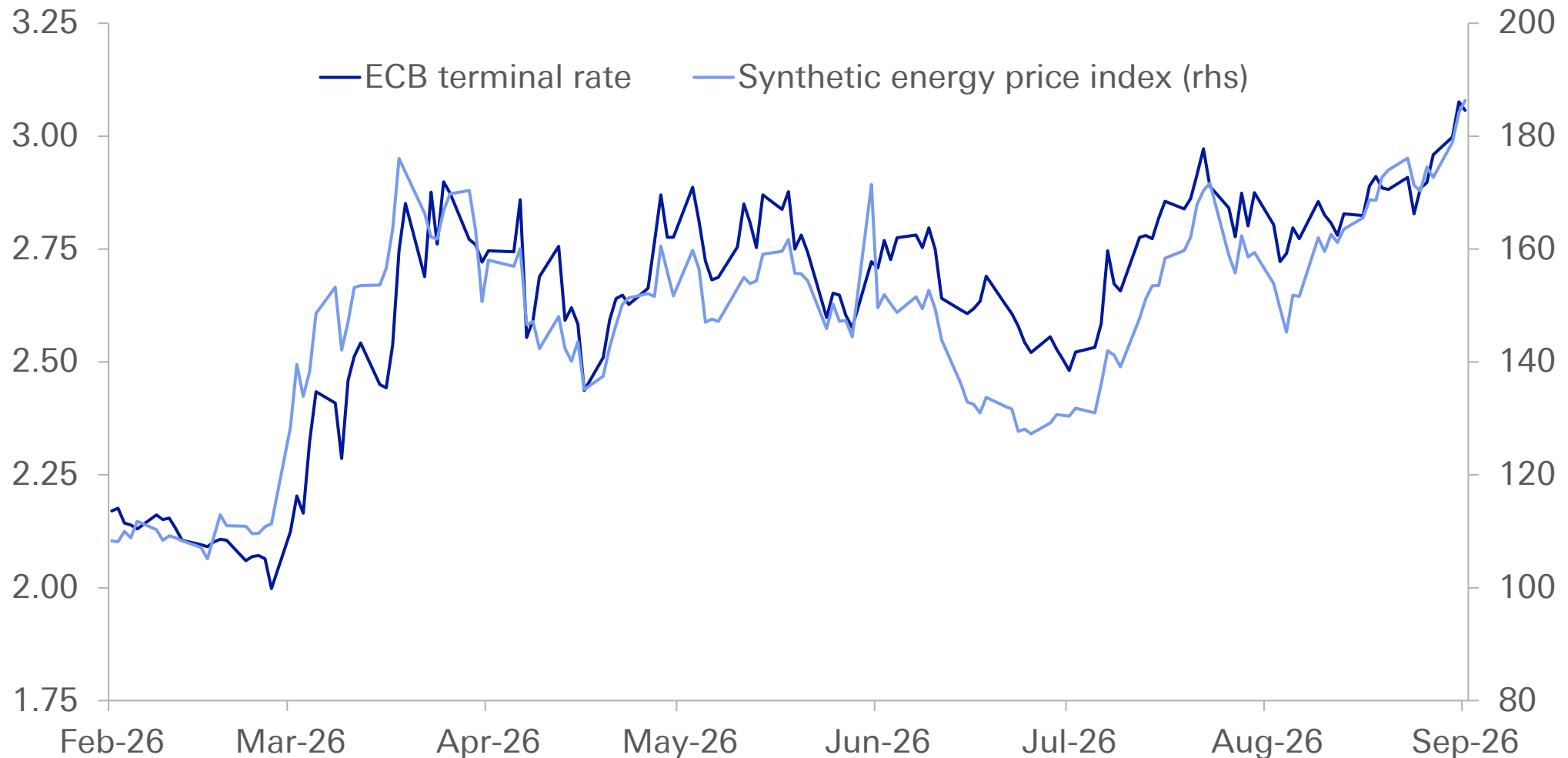


Should the ECB raise rates...?

ECB rate expectations (75bps more hikes) have tracked a synthetic energy price index.



ECB rate expectations & synthetic energy prices

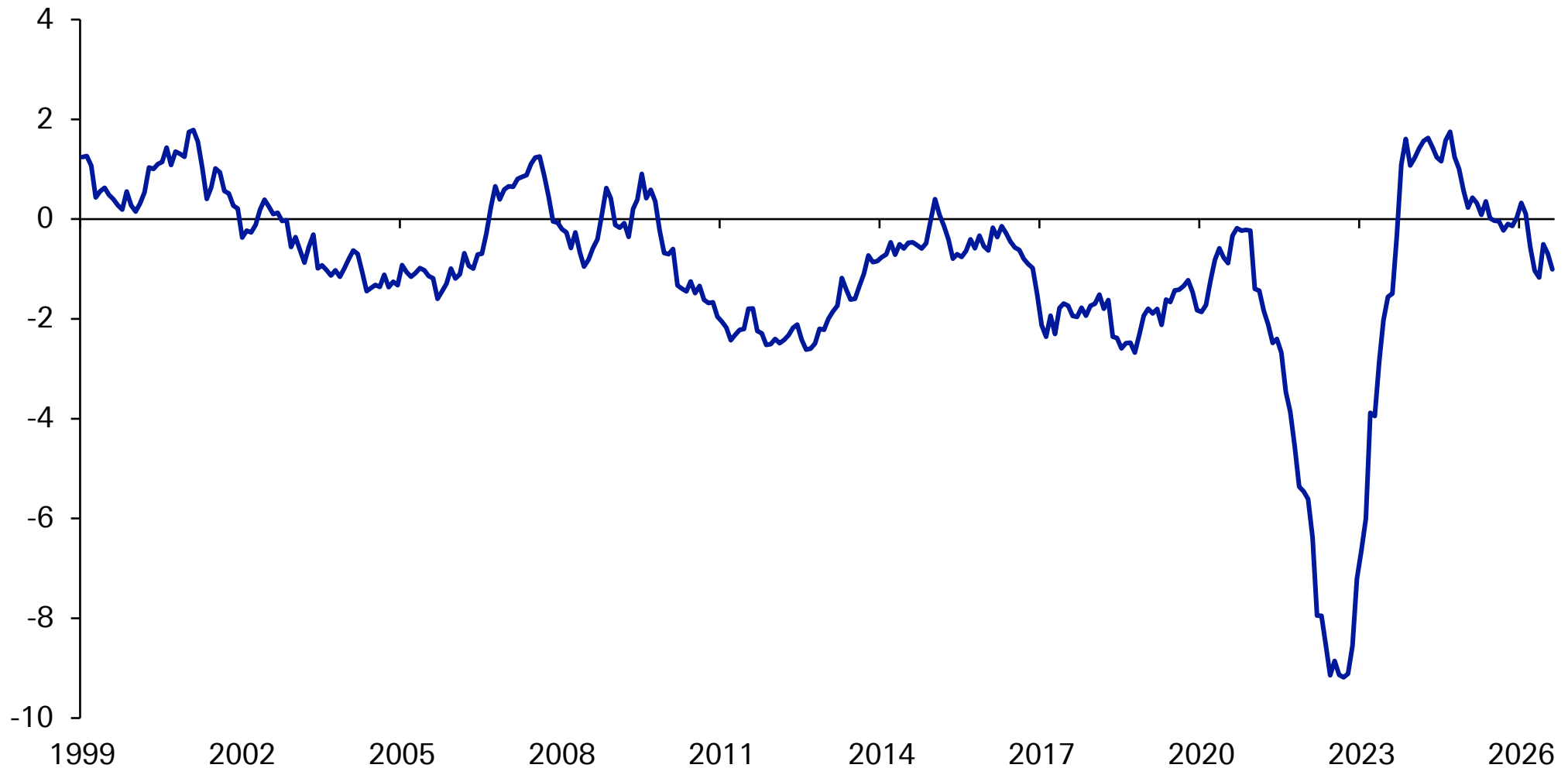


Source: Bloomberg Finance LP, Deutsche Bank. The index is an equal weighting of spot and 12M forward oil and gas prices

In February before the Iran conflict, the real adjusted ECB's deposit rate was still positive. But the energy shock pushed it back into negative territory again...



Real ECB Deposit Rate (the Deposit Rate minus year-on-year HICP inflation)

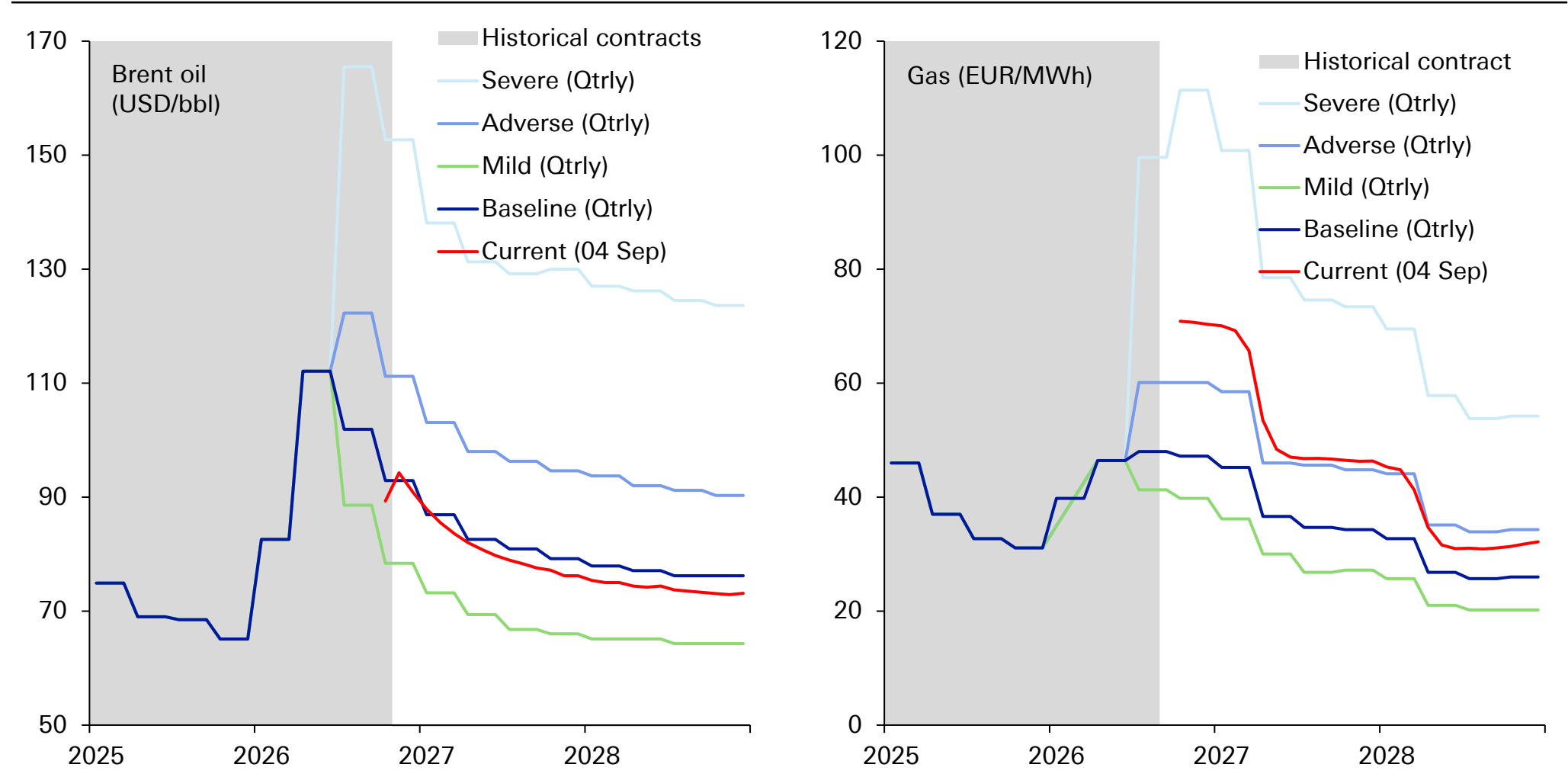


Source: Haver Analytics, Deutsche Bank



Brent is currently in-line with the ECB base case scenario from June but gas is now just above the adverse one. You can see our economics team's preview of the ECB meeting [here](#). They expect a hike this week and another to 2.75% in December. Note they have also upgraded '26 and '27 GDP to 0.8% and 1.2% (up 0.3pp and 0.1pp) respectively.

Oil prices (left) and Gas prices (right) vs. ECB baseline and alternative scenario



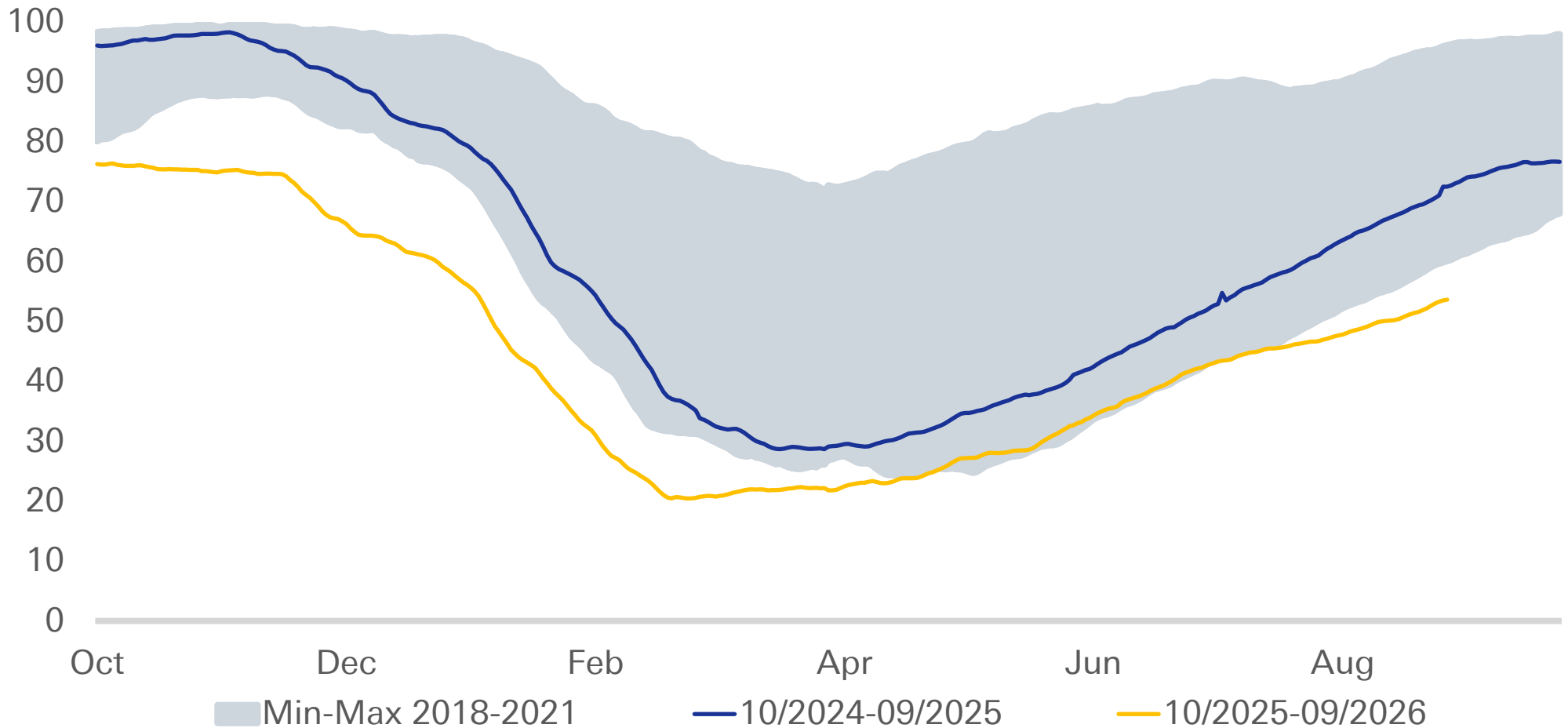
Source: ECB, Bloomberg Finance LP, Deutsche Bank Research

Gas storage levels haven't been an issue since the early days of the Russia-Ukraine conflict but we're starting to see low storage levels again ahead of the winter heating season. See Eric Heymann's blog [here](#) for more on this... Maybe El Nino will help prevent a cold winter!!



Gas Storage level in Germany

Gas storage level in Germany, %

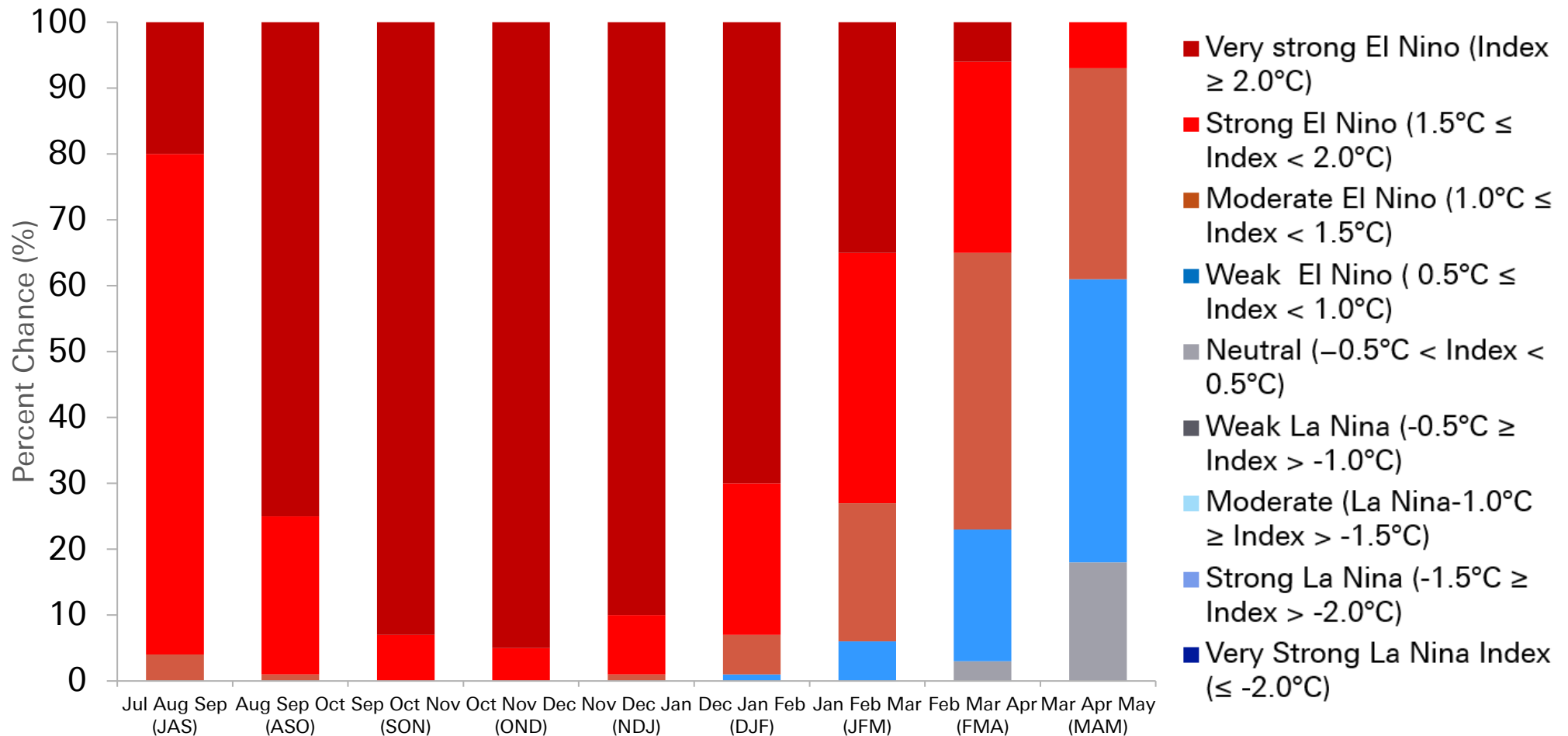


Source: Federal Network Agency, Deutsche Bank Research

Note that by the end of the year we could be seeing an El Nino unlike any we've seen before. Darkest red indicates the highest heat probabilities. This may have inflation and macro implications...



Official NOAA CPC ENSO Strength Probabilities (Issued August 2026)



Source: NOAA, Deutsche Bank ; Note: The bars show the chance of El Niño, ENSO-Neutral, and La Niña provided for 9 upcoming, overlapping 3-month seasons (each letter represents a month).

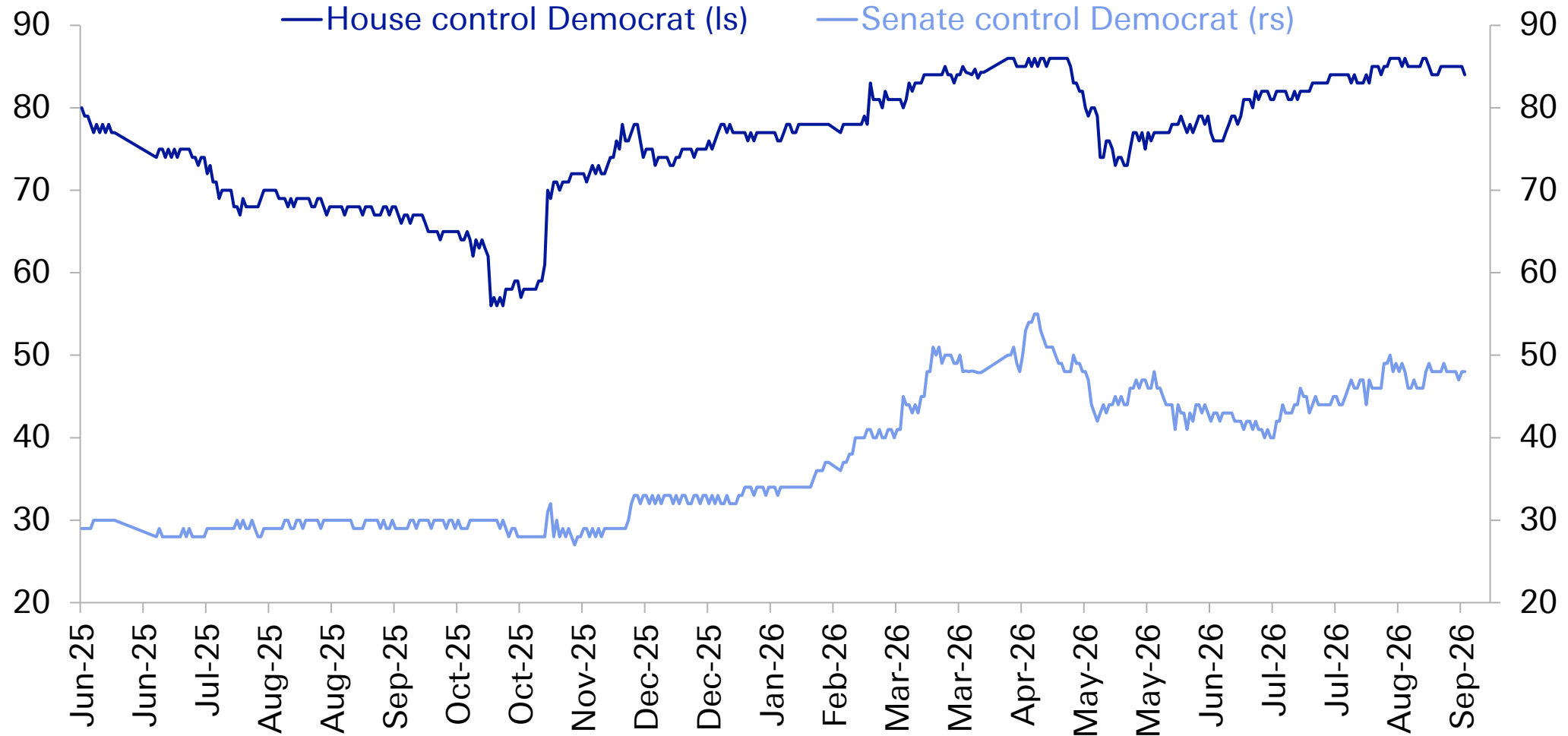


Midterms are fast coming into view...

While the House race has long been in favour of the Democrats, the Senate was firmly leaning GOP in prediction markets until this year and especially since the Iran conflict lifted inflation...



Predicted 2026 Mid-term election outcome

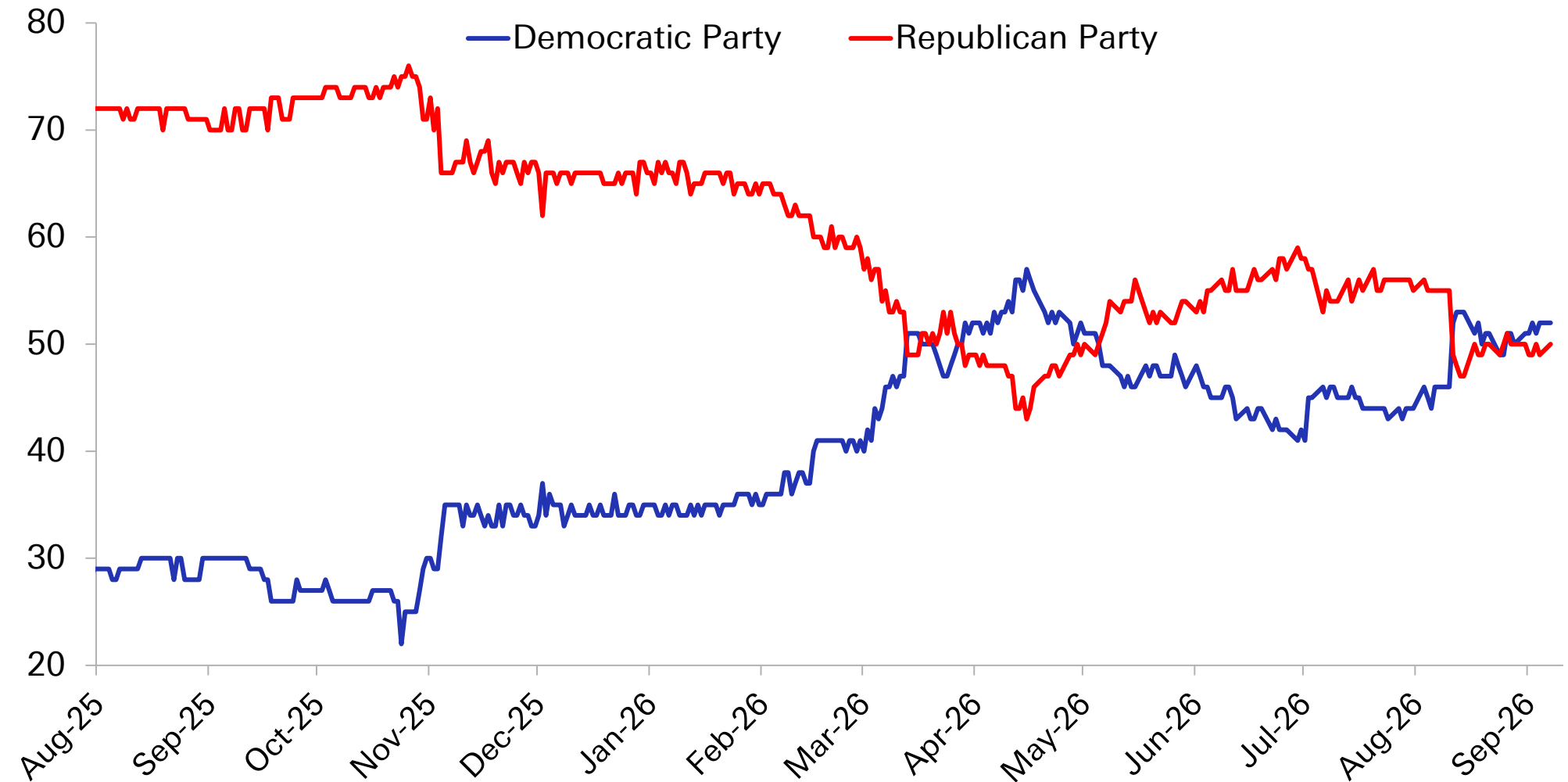


Source : Bloomberg Finance LP, Deutsche Bank, Polymarket, updated through Sep7

Since around the time the Iran strikes began, the Democrats have caught up in the race to retake control of the Senate... that would have a big impact on appointments like Fed Governors, cabinet members and Supreme Court justices, which all require Senate approval... Surely the Senate matters to Trump...



US Polymarket Party control Senate after 2026 Midterm election

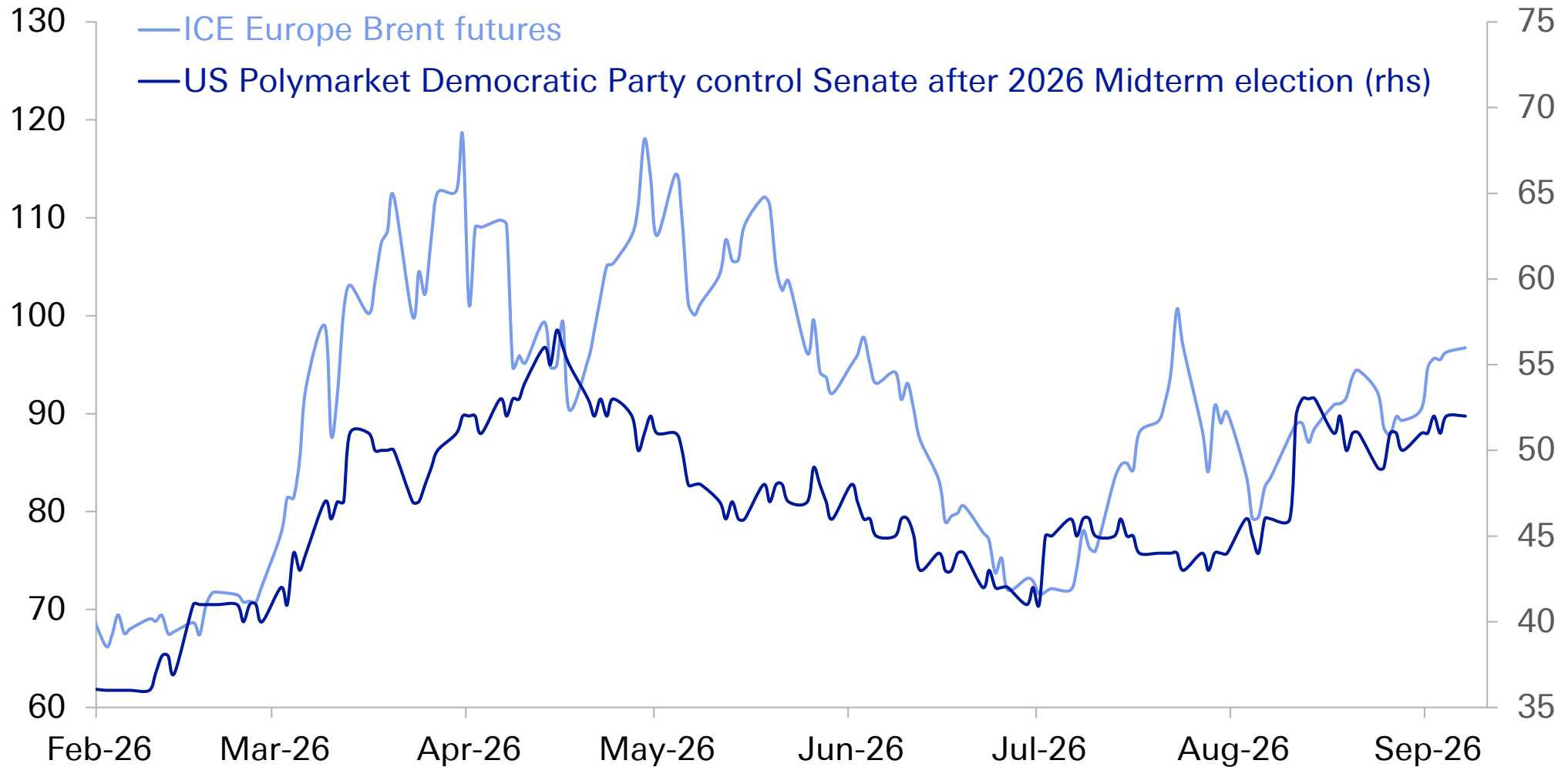


Source : Bloomberg Finance LP, Deutsche Bank, updated through Sep 7

There is a decent correlation between Brent and the probability of Senate control



Probability of Democrat control of the Senate after mid-terms and Brent price

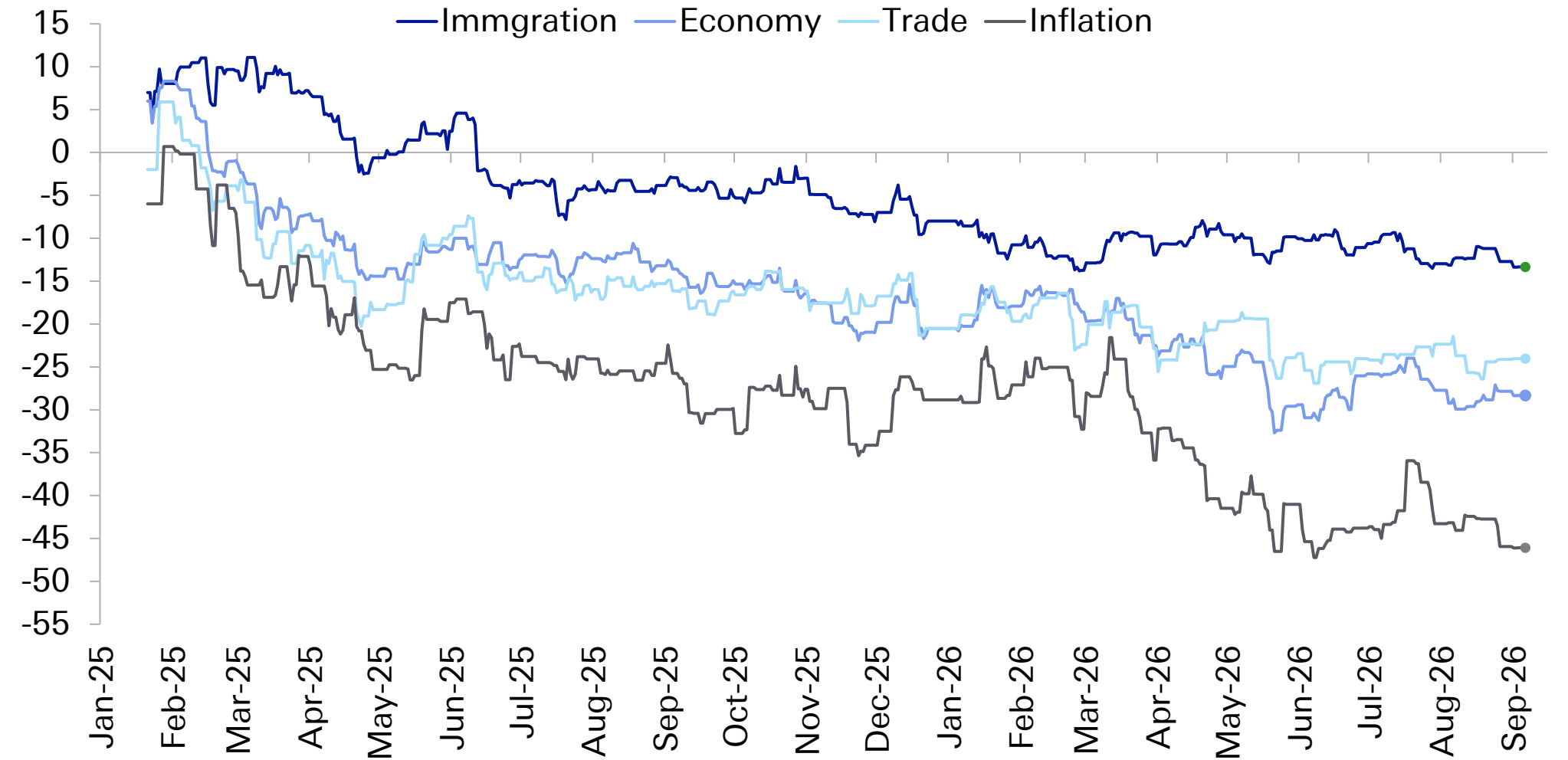


Source : Bloomberg Finance LP, Deutsche Bank, updated through Sep 7

Inflation is where Trump's approval rating seems most challenged and fell further after the Iran conflict began.



An updated polling average of Donald Trump's net approval rating on immigration, the economy, trade, and inflation, accounting for each poll's quality, recency, sample size, and partisan lean



Source: Nate Silver, Deutsche Bank, Last update : Sep 7



Mid-term years often see a weaker start to H2 for the S&P 500 and a fall into October as summer fades. After mid-terms the market tends to be strong regardless... 2026 initially followed the script but markets have been climbing since early August...

Average S&P 500 performance (first trading close on or after July 1 = 100)

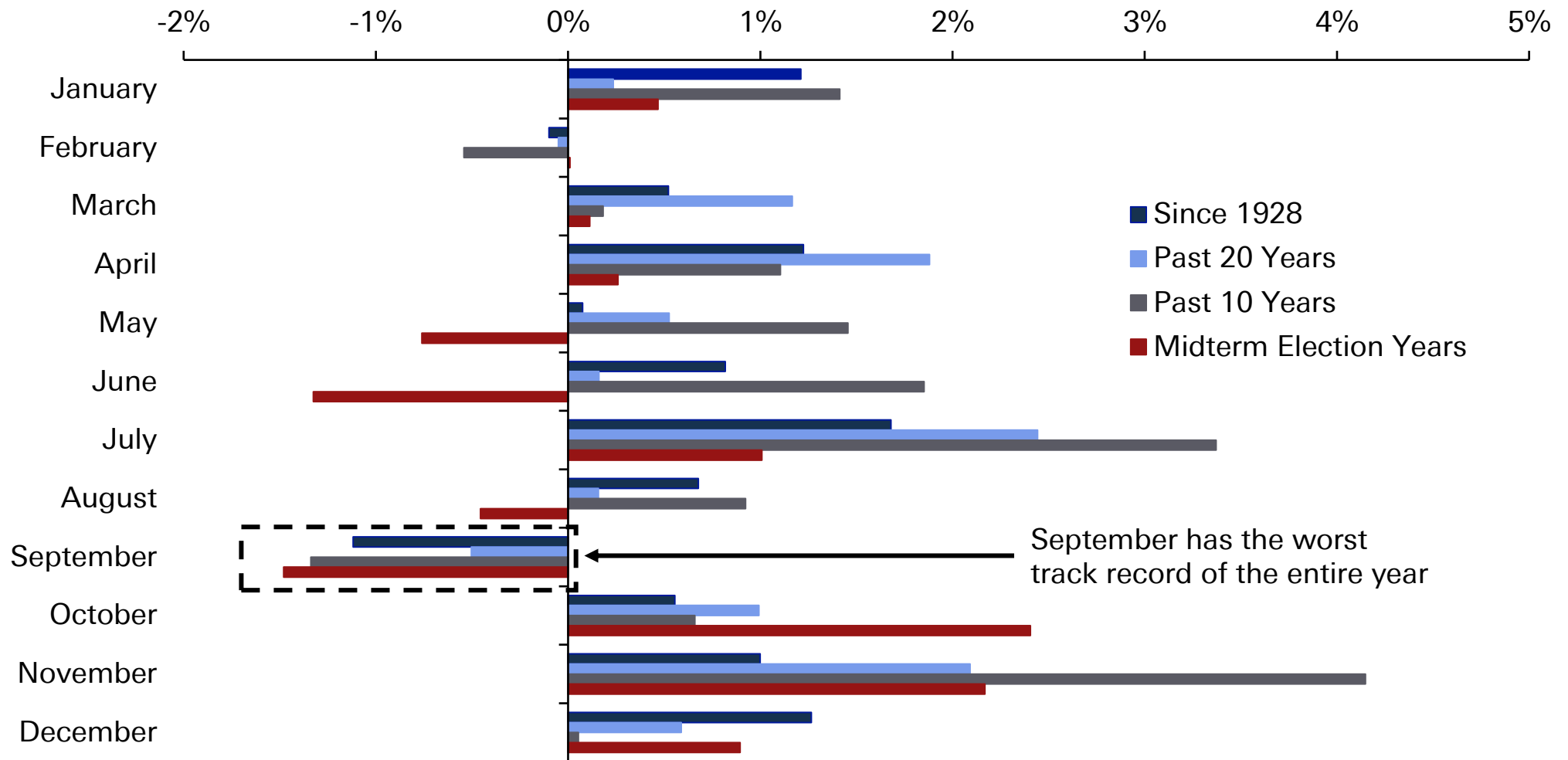


Source: Bloomberg Finance LP, Deutsche Bank

Throughout history and in recent years, the S&P 500 has consistently seen its worst month of the year in September... Midterm years are tougher but note that just before and after mid-terms, the market fully recovers so is this enough to justify lightening up?



Monthly Performance of the S&P 500 (1928-2025)

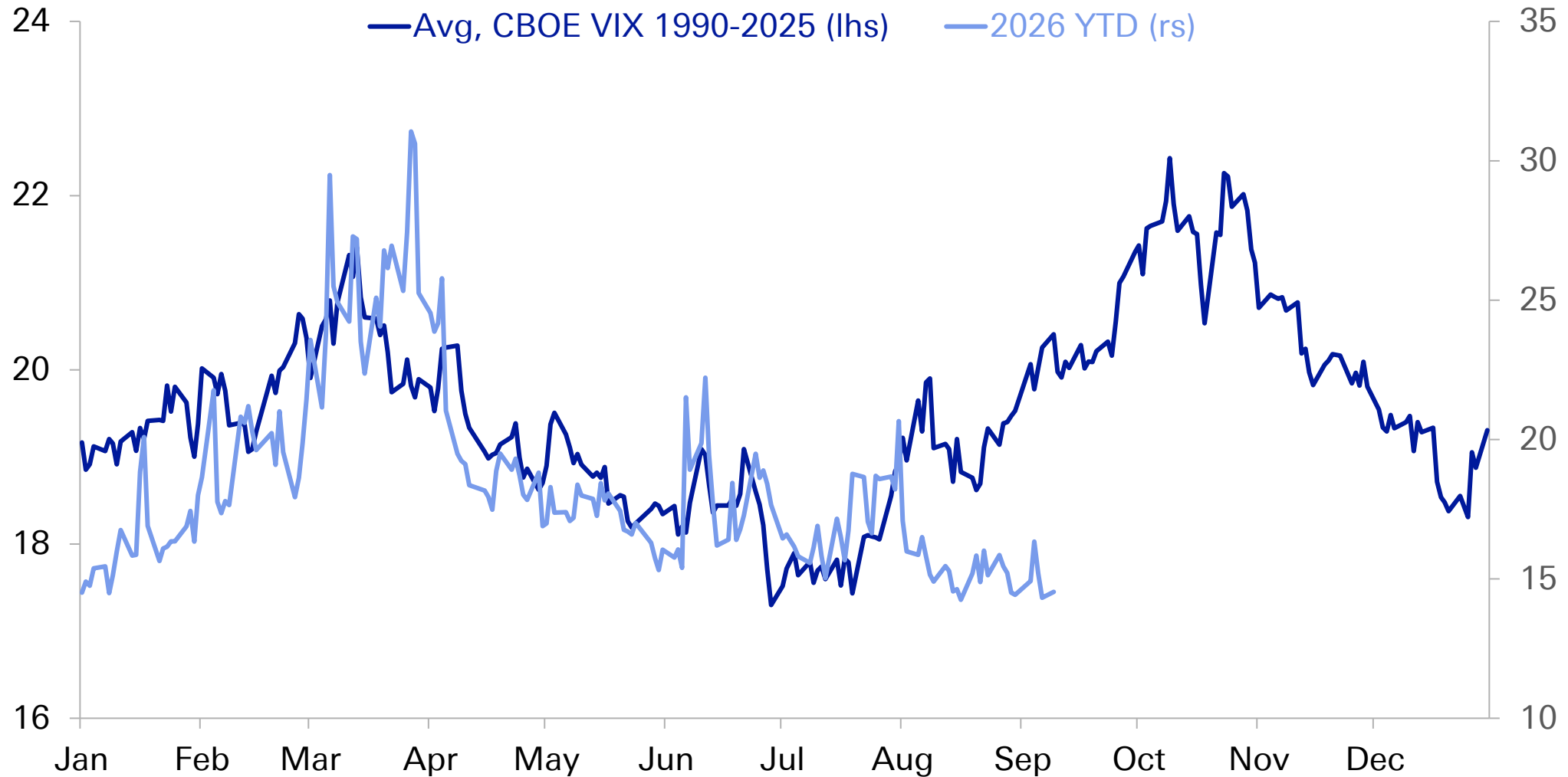


Source: Bloomberg Finance LP, Deutsche Bank

Even though there are a few ongoing concerns (e.g. Iran, oil, rising yields, mid-terms etc.), so far 2026 is resisting the seasonal pattern in terms of volatility...



Seasonality of the VIX index



Source: Bloomberg Finance LP, Deutsche Bank, Last update: Sep 7



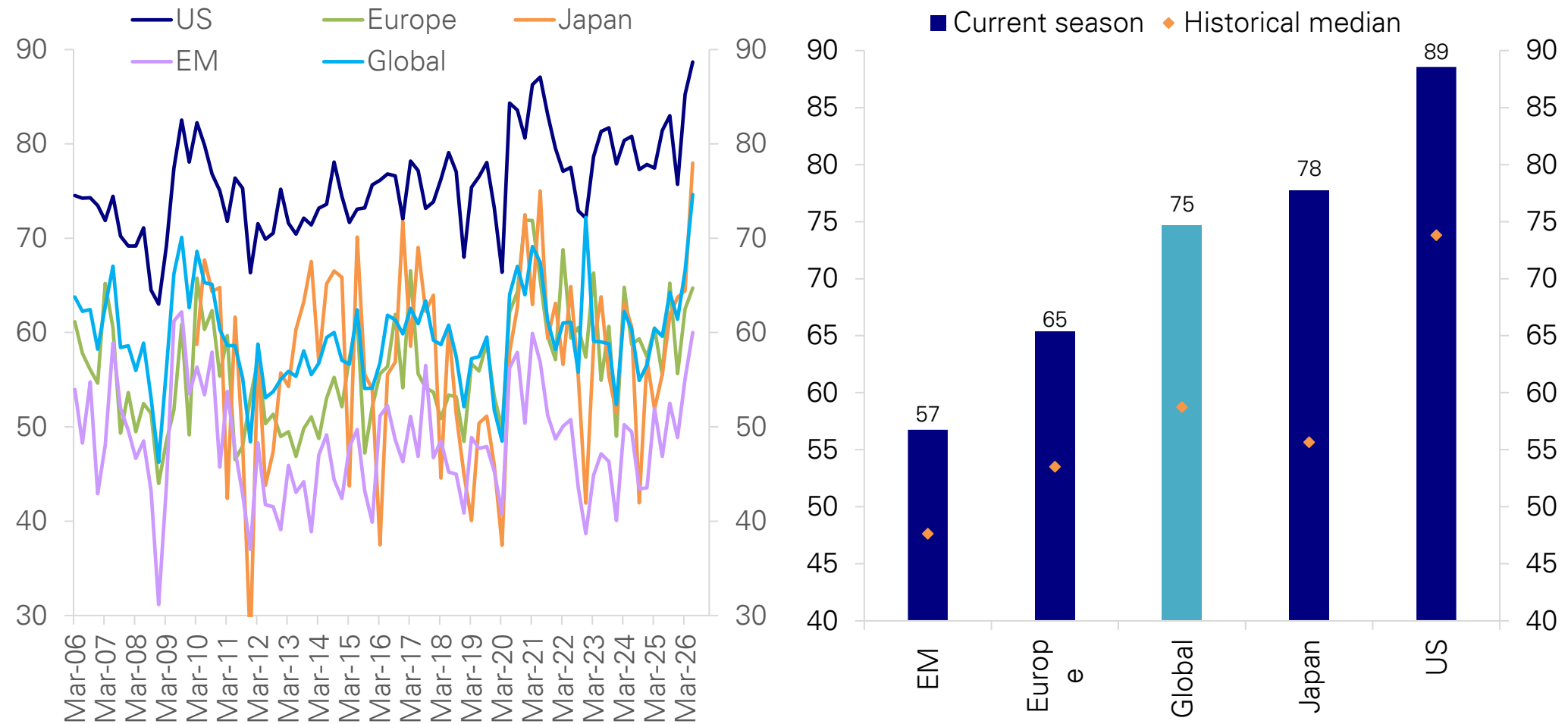
Global earnings may never have been stronger...

Please see Parag Thatte and Binky Chadha's excellent piece reviewing global earnings [here](#)



The breadth of companies beating expectations hit record peaks in Q2 in the US and Japan and remained well above historical averages in Europe and EM

Proportion of companies beating on earnings (%)



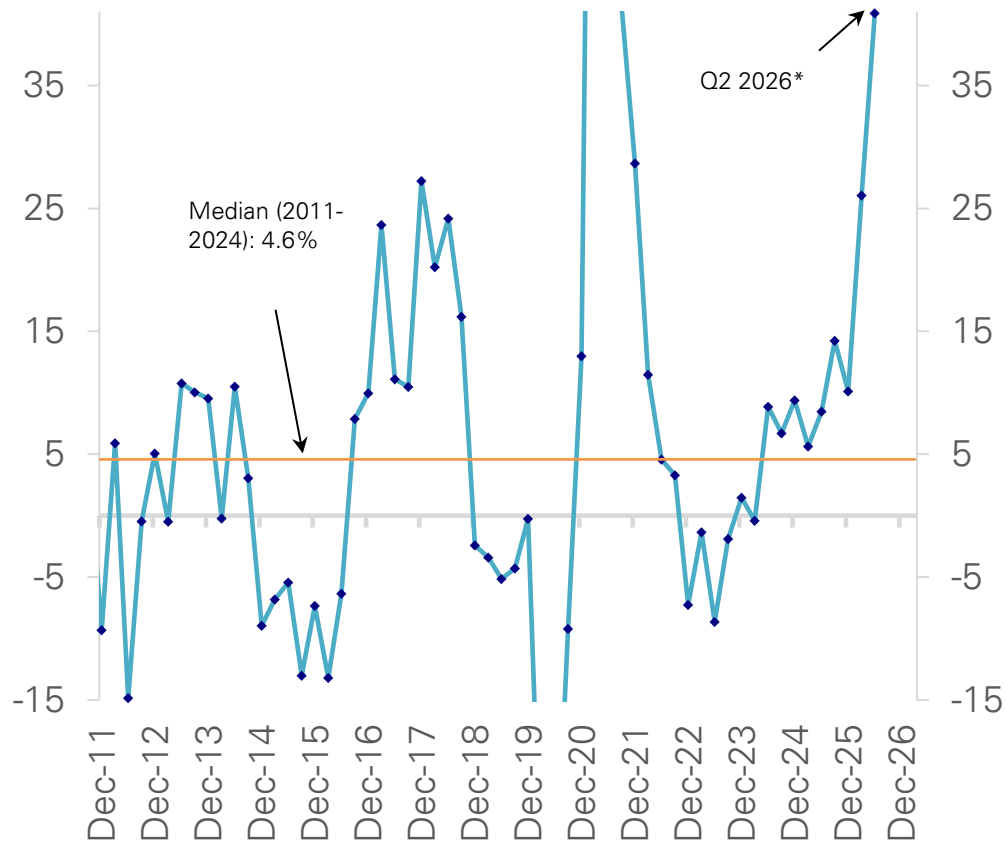
Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation

And we haven't beaten low expectations. In Q2 we saw the strongest non-pandemic YoY global earnings expansion on record, driven by synchronised cyclical and commodity tailwinds.



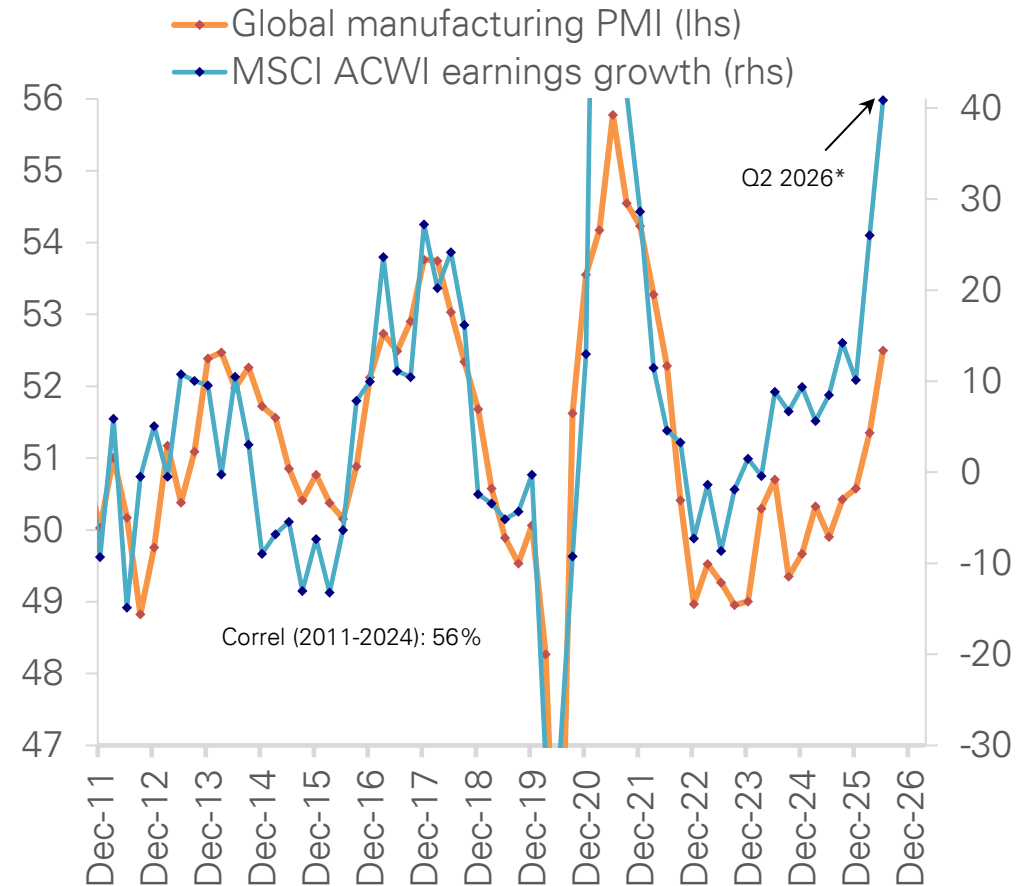
Global YoY Earnings growth

MSCI ACWI aggregate earnings growth (% yoy)



*Q2 is blended, assumes companies yet to report beat at current beat rate; growth in USD

Global earnings growth vs manufacturing PMI



*Q2 is blended, assumes companies yet to report beat at current beat rate

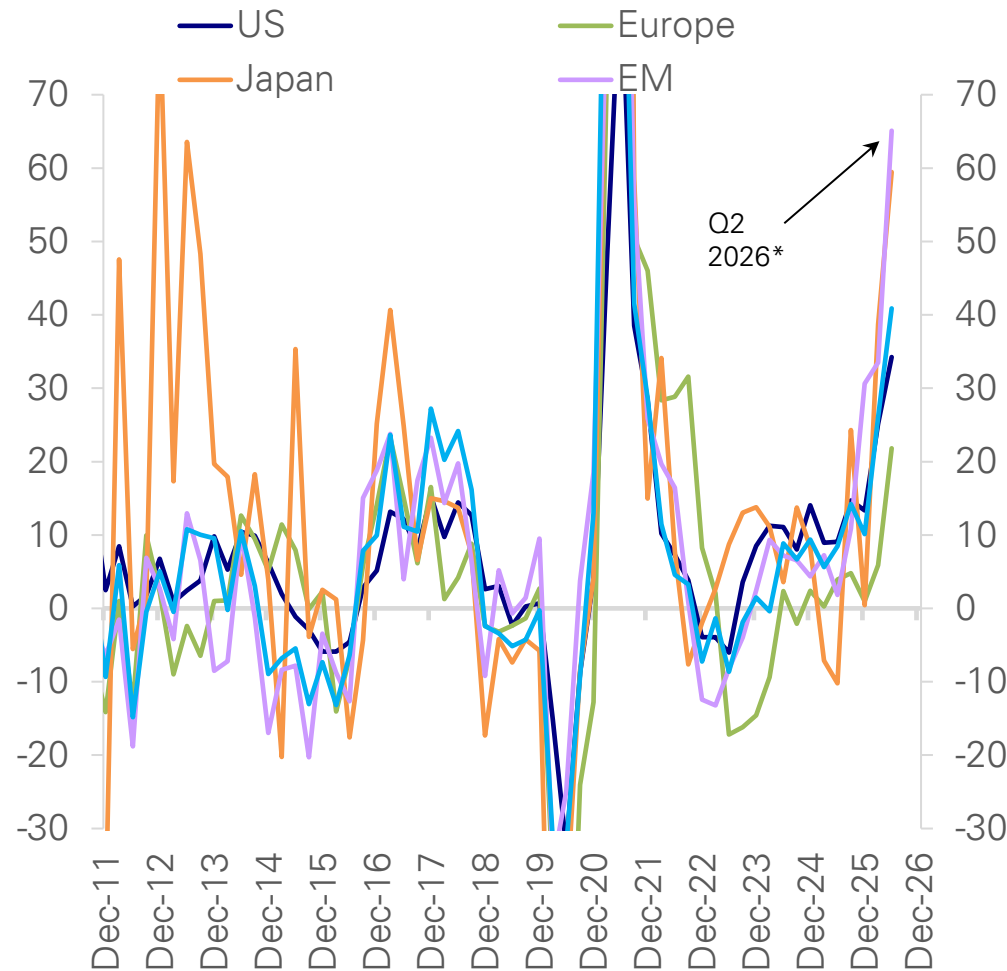
Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation

Earnings growth has accelerated across all regions

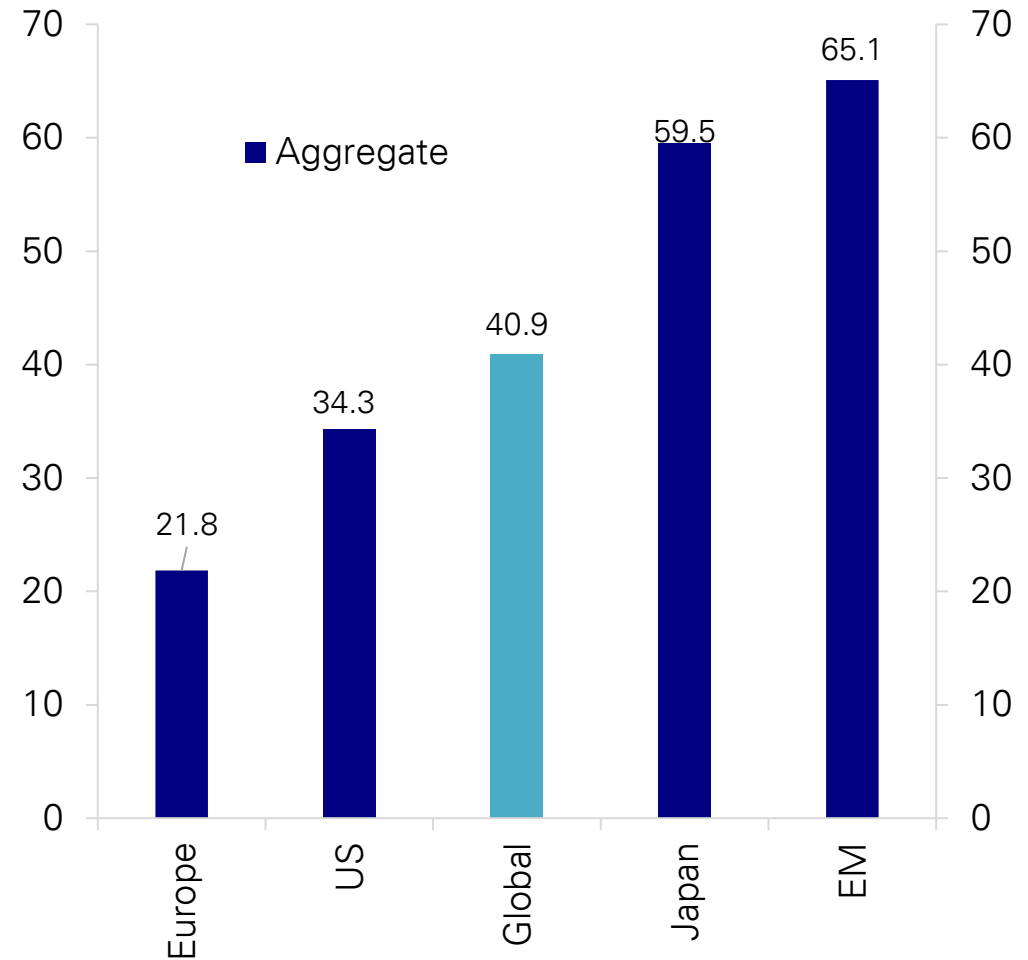


Quarterly aggregate earnings growth (% yoy)

Q2 2026 blended earnings growth (% yoy)



*Q2 is blended, assumes companies yet to report beat at current beat rate



*Q2 is blended, assumes companies yet to report beat at current beat rate

Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation

It's been a blockbuster Q2 for the US...

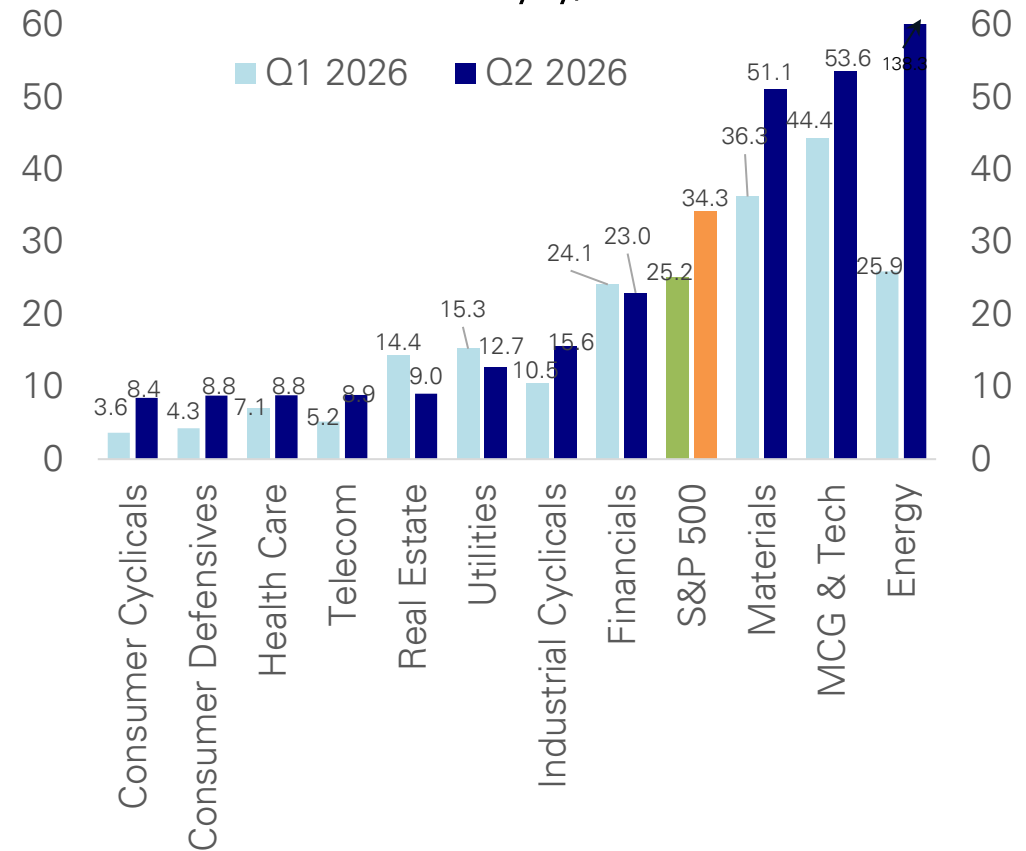


S&P 500 YoY earnings growth with sectors performance...



* Excluding 2018 tax cut

Earnings growth by S&P 500 sector group (% yoy)



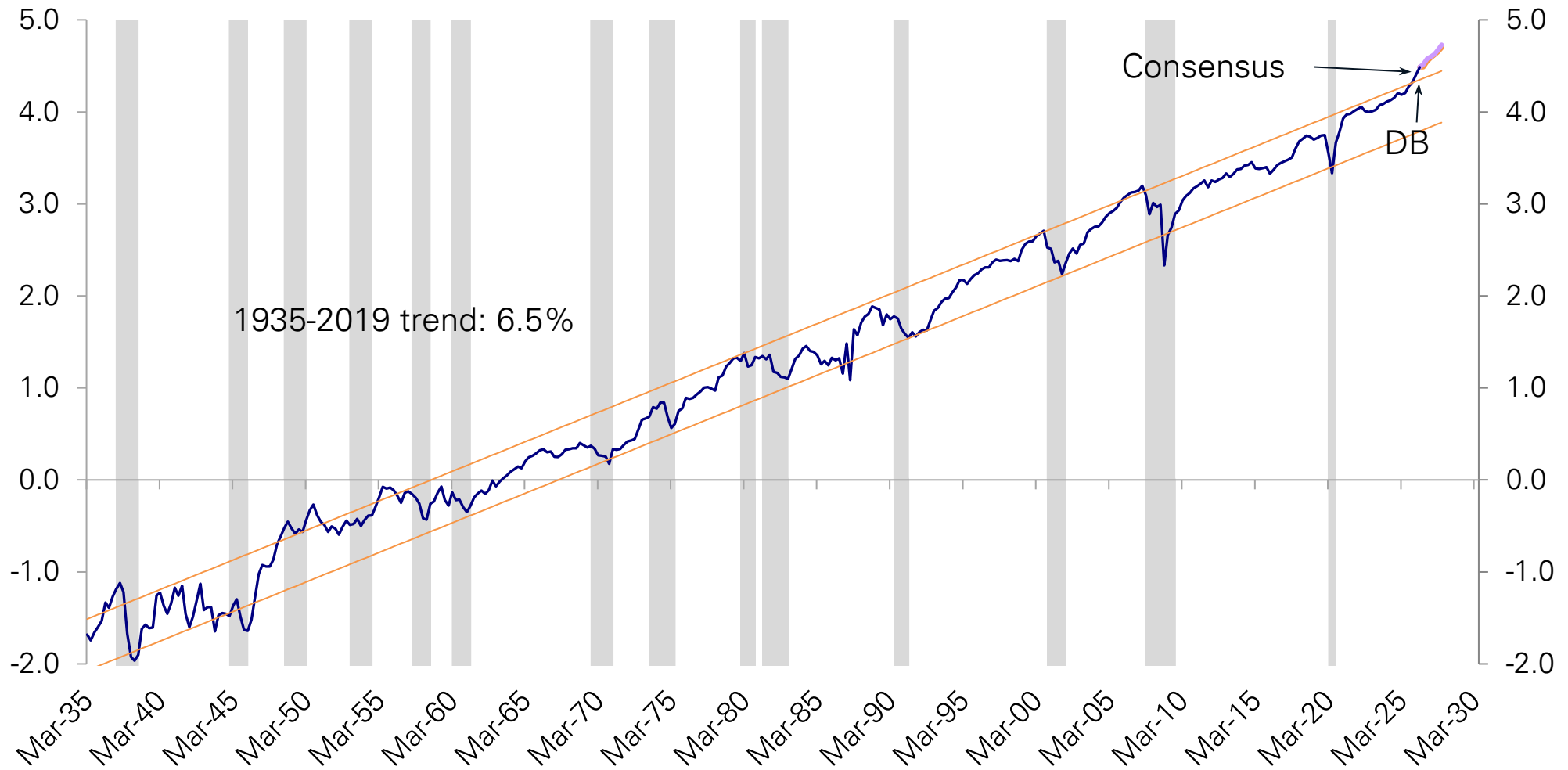
* Blended assumes companies that that report beat at the current beat rate

Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation



US earnings are breaking out of a 90-year channel.... On the upside which is incredible when you consider the high growth periods of the past.... The debate will rage on as to whether this is a sustainable new plateau or an artificial period of AI related elevated earnings...

S&P 500 quarterly EPS seasonally adjusted (log)

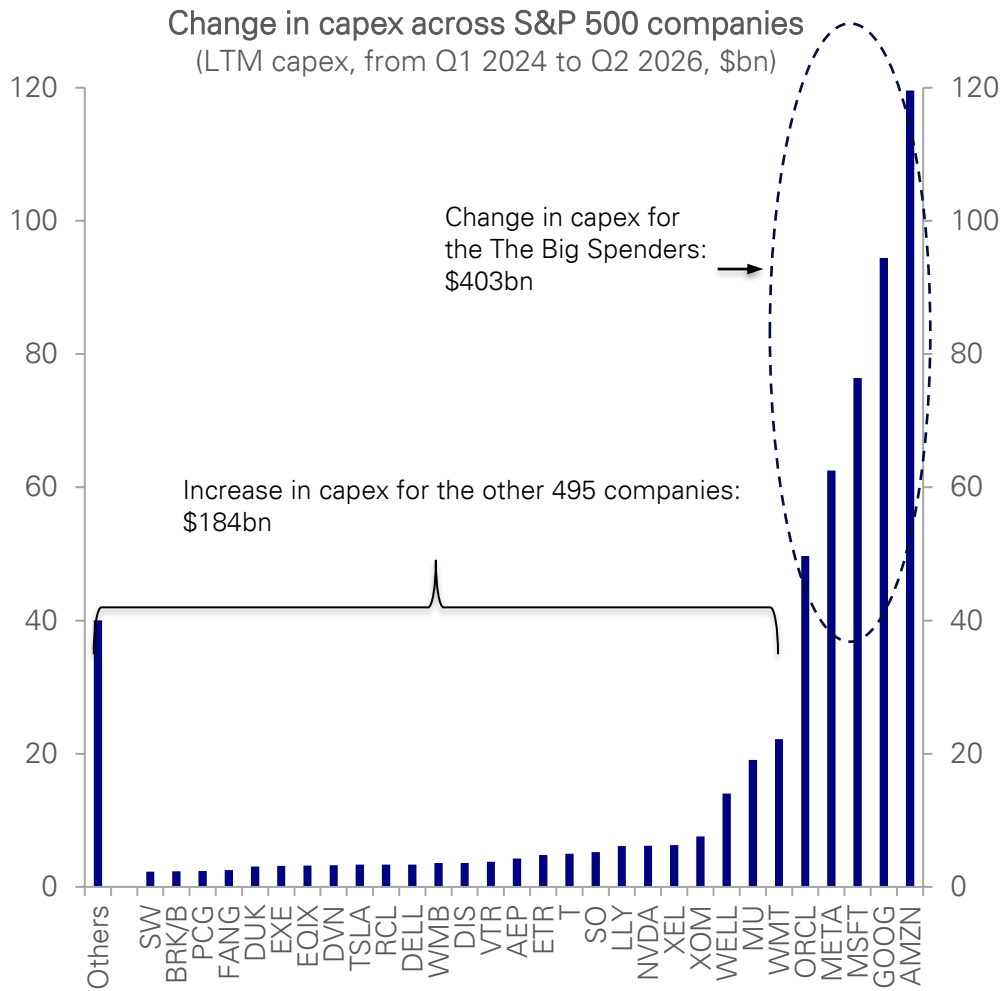
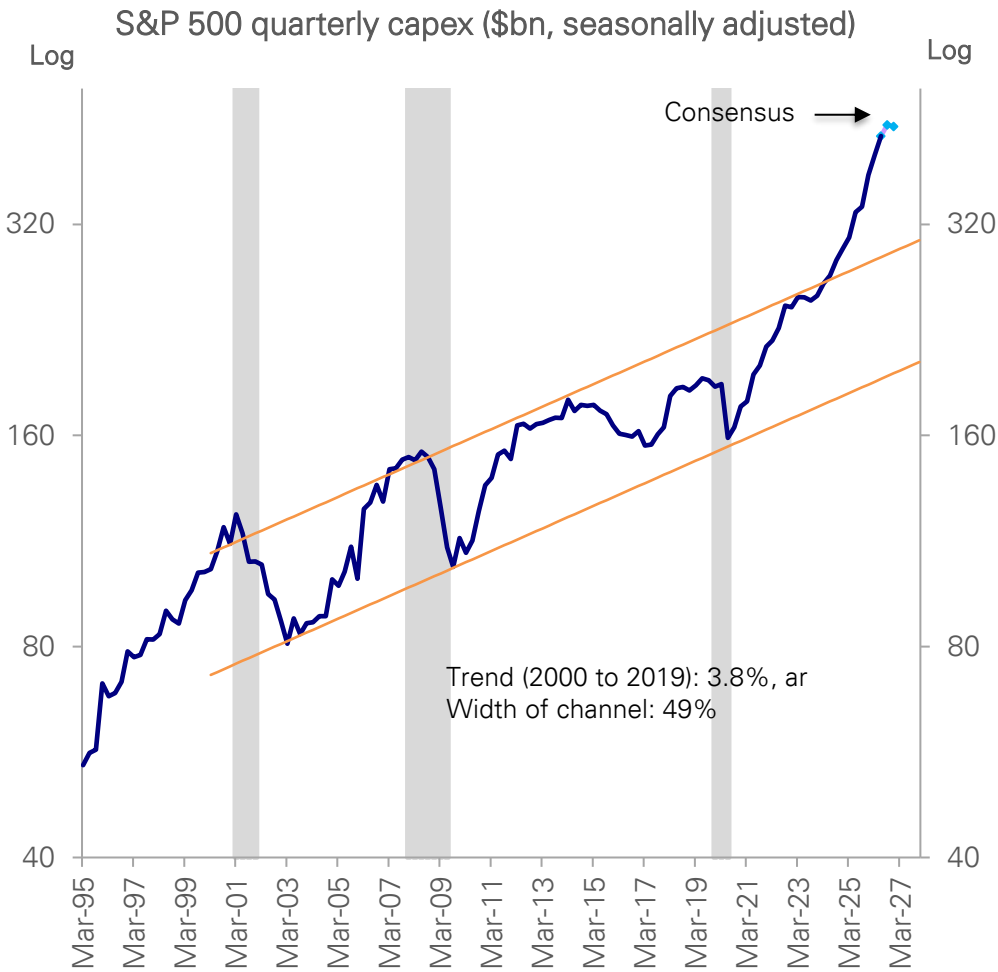


Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation

We are clearly in an AI Capex boom. The top 5 capex spenders are spending more than double that of the remaining 495 in the S&P 500



S&P 500 Capex spending...

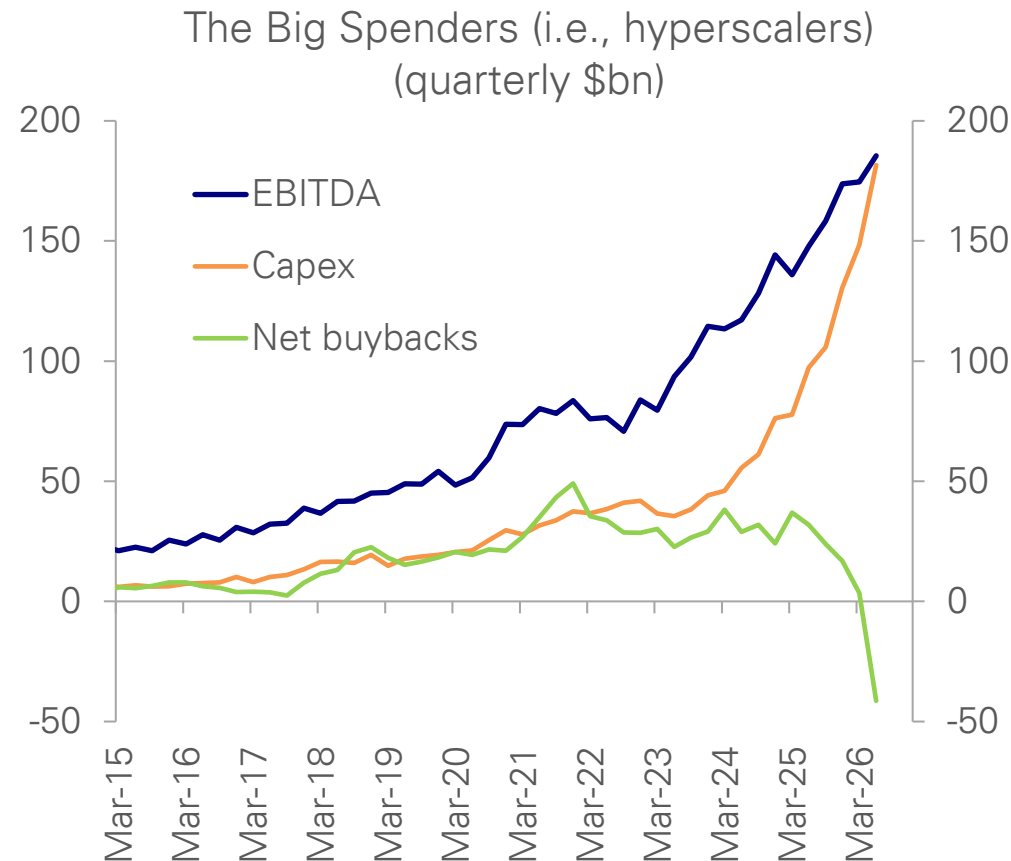


Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation

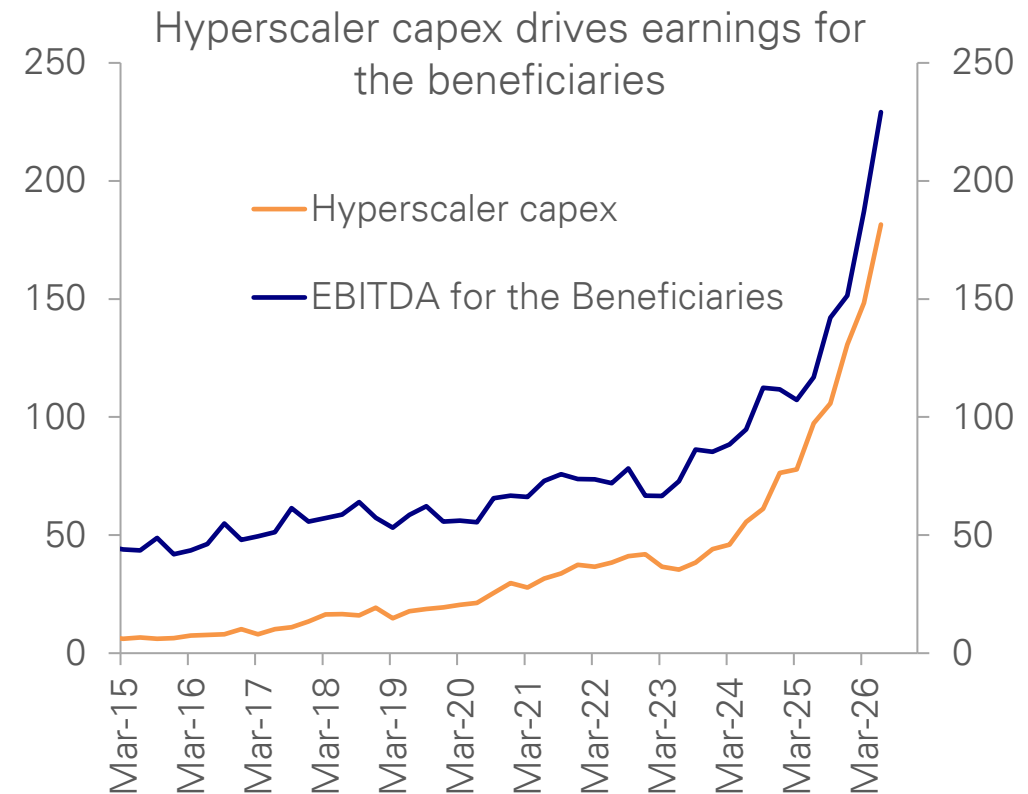
Buy-backs have turned into issuance for the hyperscalers but their spending is massively helping the AI food chain...



US Hyperscaler Capex, earnings and buybacks



Hyperscalers: AMZN, GOOG, MSFT, META and ORCL



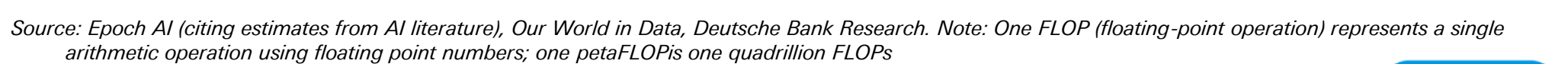
Hyperscalers AMZN, GOOG, MSFT, META and ORCL

Beneficiaries: Semis, Tech H/W & Equip., Construction & Engg., Electrical Equip., Electric Utilities, Independent Power Producers and Data Center REITs

Source: Bloomberg Finance LP, Deutsche Bank Asset Allocation



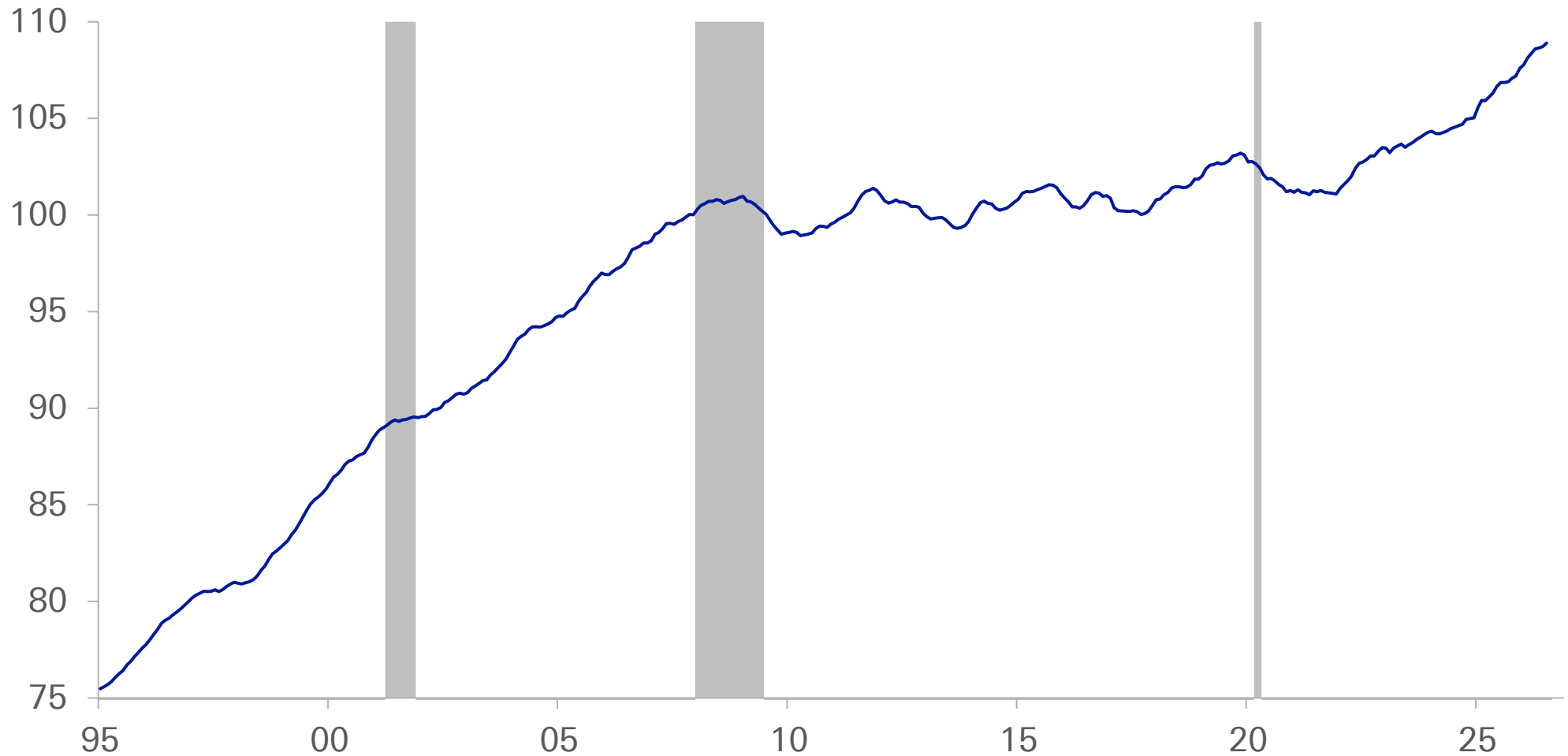
The AI train rolls on...



This exponential growth continues to drive demand for energy after a decade of stagnant demand...



IP: Electric Power Generation, Transmission and Distribution , 24-month Moving Average

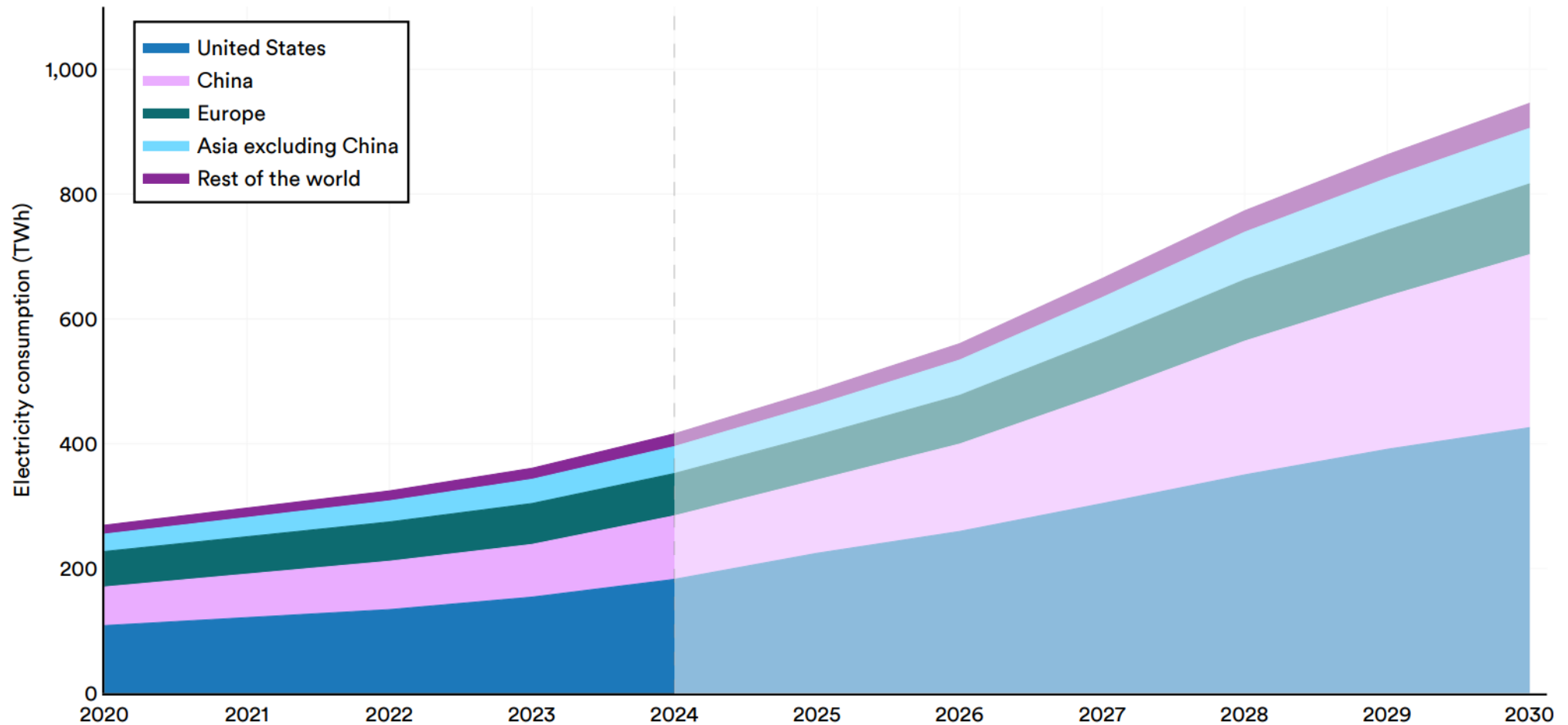


Source: FRB, Haver, Deutsche Bank

There is little sign that energy demand is going to wane...



Data center electricity consumption by region, 2020–30



Source: International Energy Agency (2025), Energy and AI, IEA, Paris | Chart: 2026 AI Index report, Deutsche Bank



Token costs are collapsing again amid cheaper compute, more efficient systems and pricing pressure from cheaper open-weight models. Lower prices and more sophisticated uses are fuelling adoption, even if the economics of some of the expensive frontier models may be tested

Silicon Data LLM Token Expenditure Index

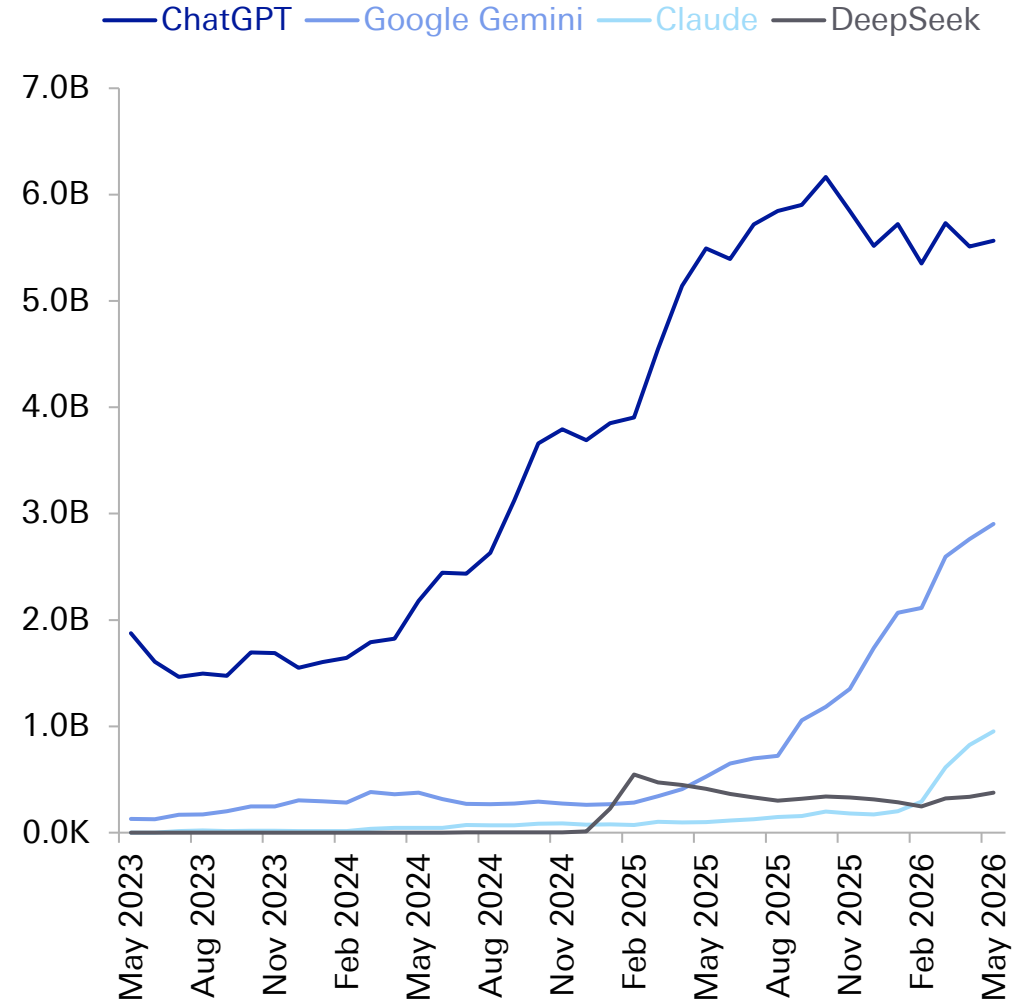
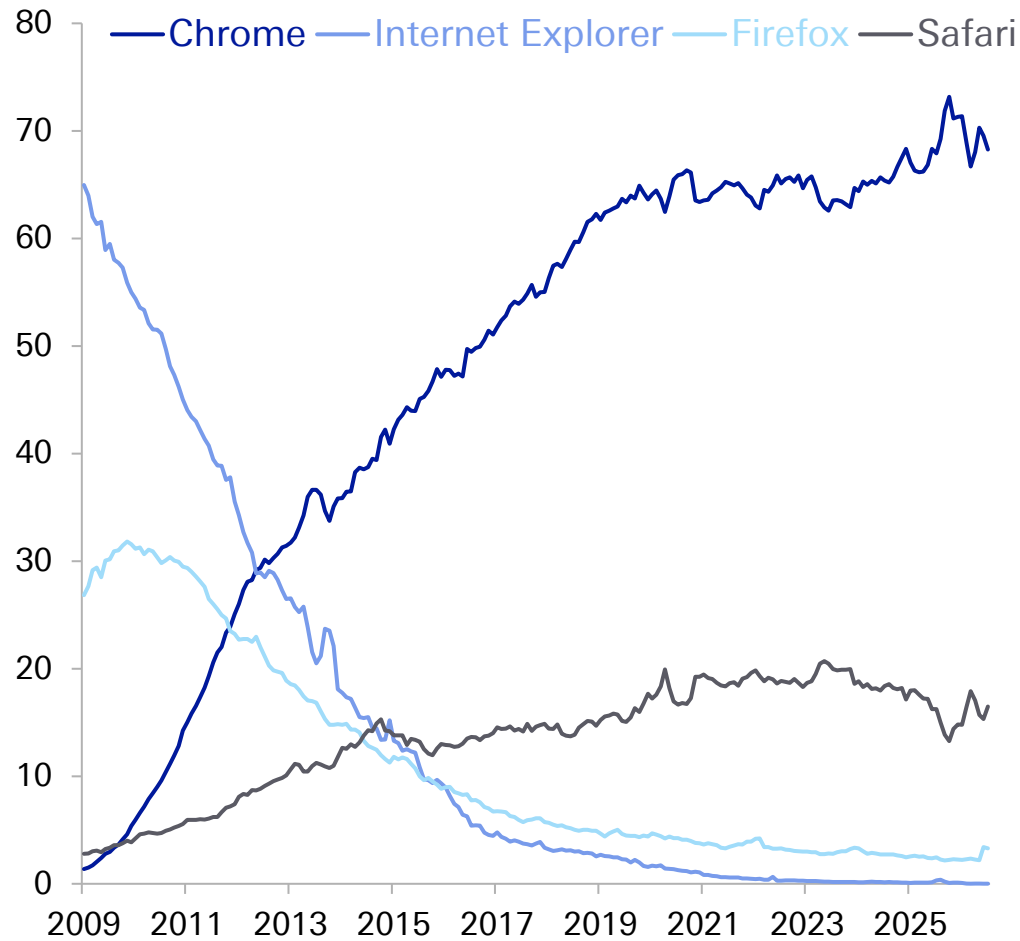


Source: Bloomberg Finance LP, Deutsche Bank, Last update Sep 7

Remember the early winners don't always end up on top....



Browser market shares (%) (2009 to today) (right) and Top four generative AI platforms: monthly visits worldwide (desktop and mobile) (left)

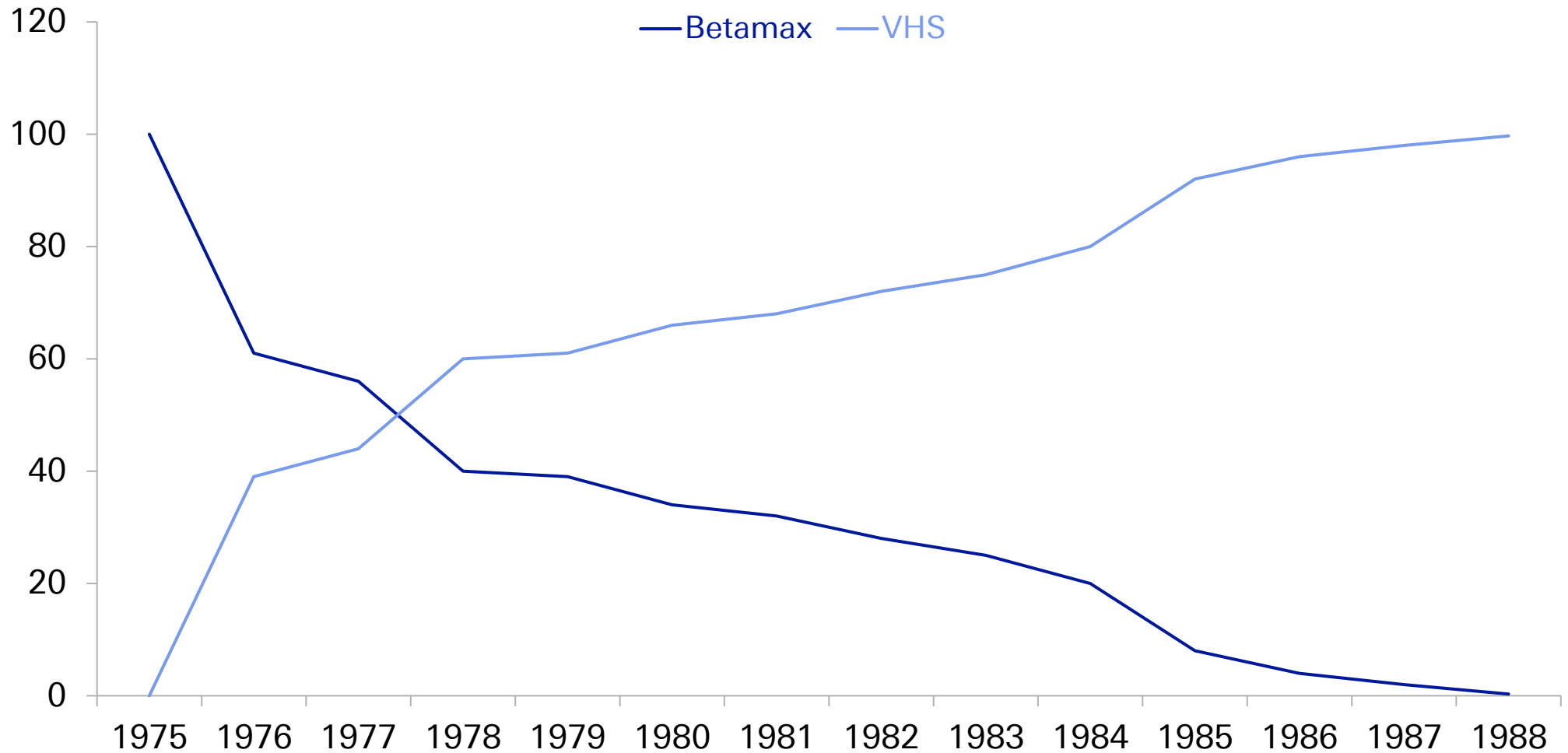


Source: Similarweb, Deutsche Bank

My favourite historical example of why winning early—and even having the better product— isn't always an advantage...



Betamax vs VHS market shares as proportion of annual production

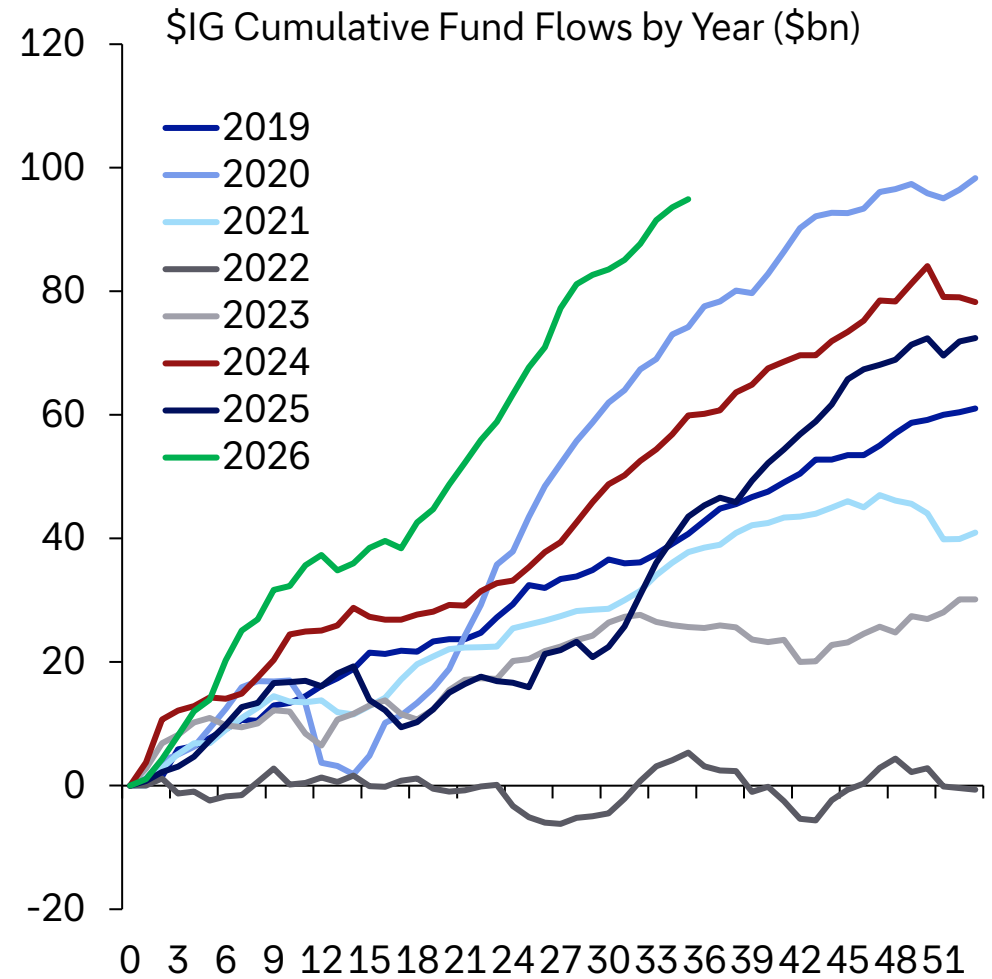
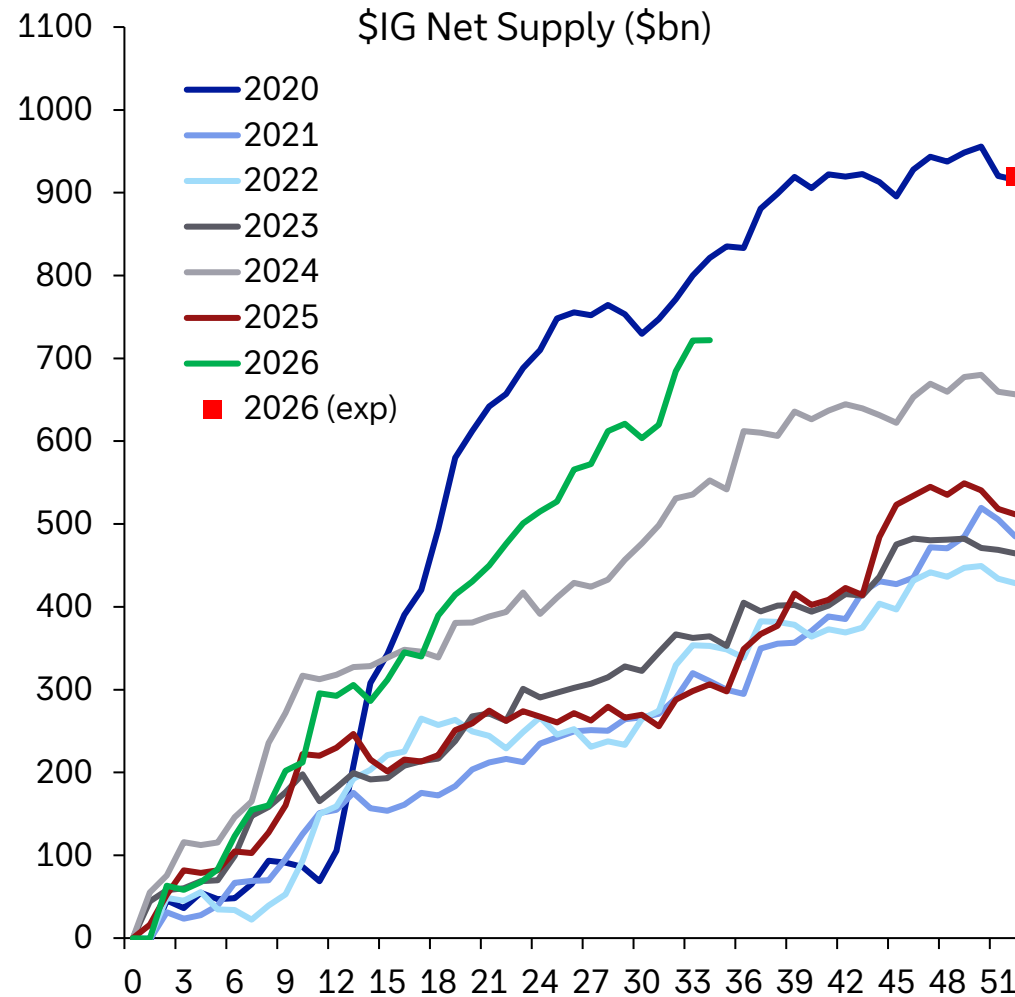


Source: Strategic Maneuvering and Mass-Market Dynamics (Cusumano, Mylonadis, Rosenbloom, 1992), Deutsche Bank Research

Technology—especially hyperscaler issuance—is helping put 2026 on course to surpass 2000 as the record year for US IG corporate net supply. However demand is also very high.



US IG Corporate Net Supply is likely to be the highest on record in 2026, but demand is also likely to be at a record...

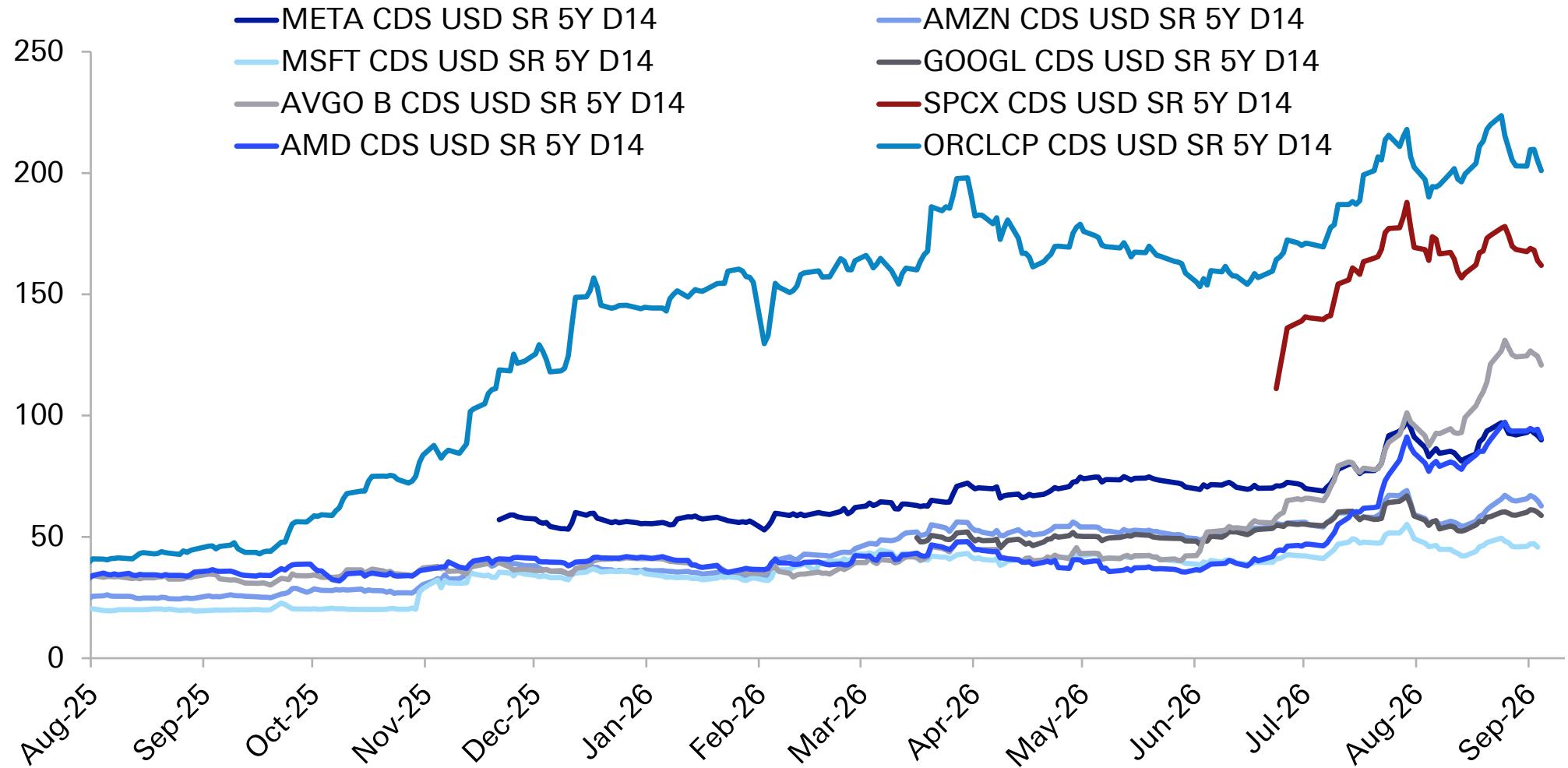


Source : EPFR, Bloomberg Finance LP, Deutsche Bank,

Hyperscaler (and related) CDS is climbing partly due to supply and increasing Capex but also as a hedge for all things AI-related so you have to be slightly careful in overinterpreting the moves...



Hyperscaler CDS

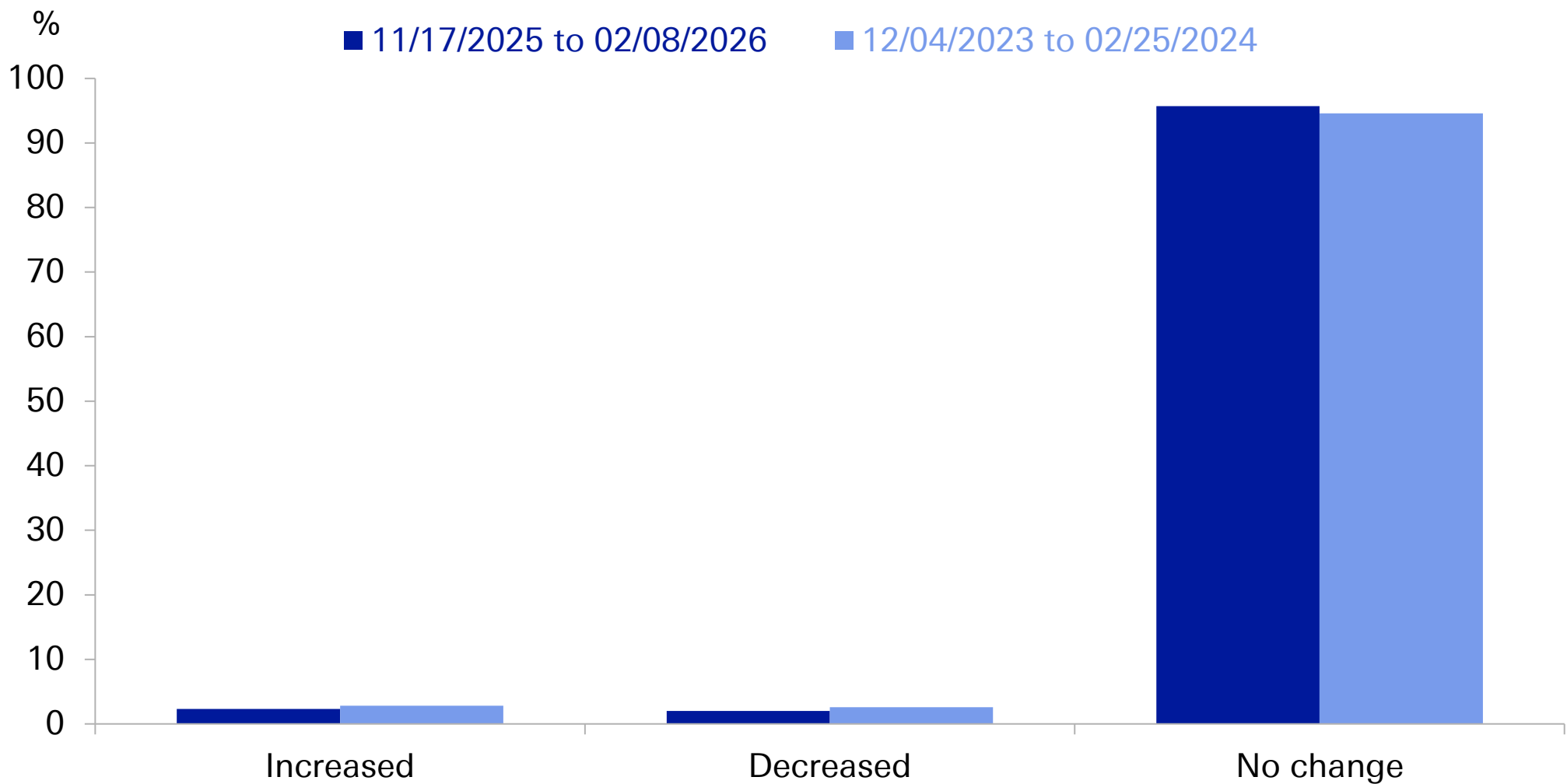


Source: Bloomberg Finance LP, Deutsche Bank, Last update Sep 7

While AI adoption grows, a significant percentage of enterprises have not altered their workforce size as a direct result. We're still a long way from a revolution...



In last 6 months, how did use of AI affect business employment?

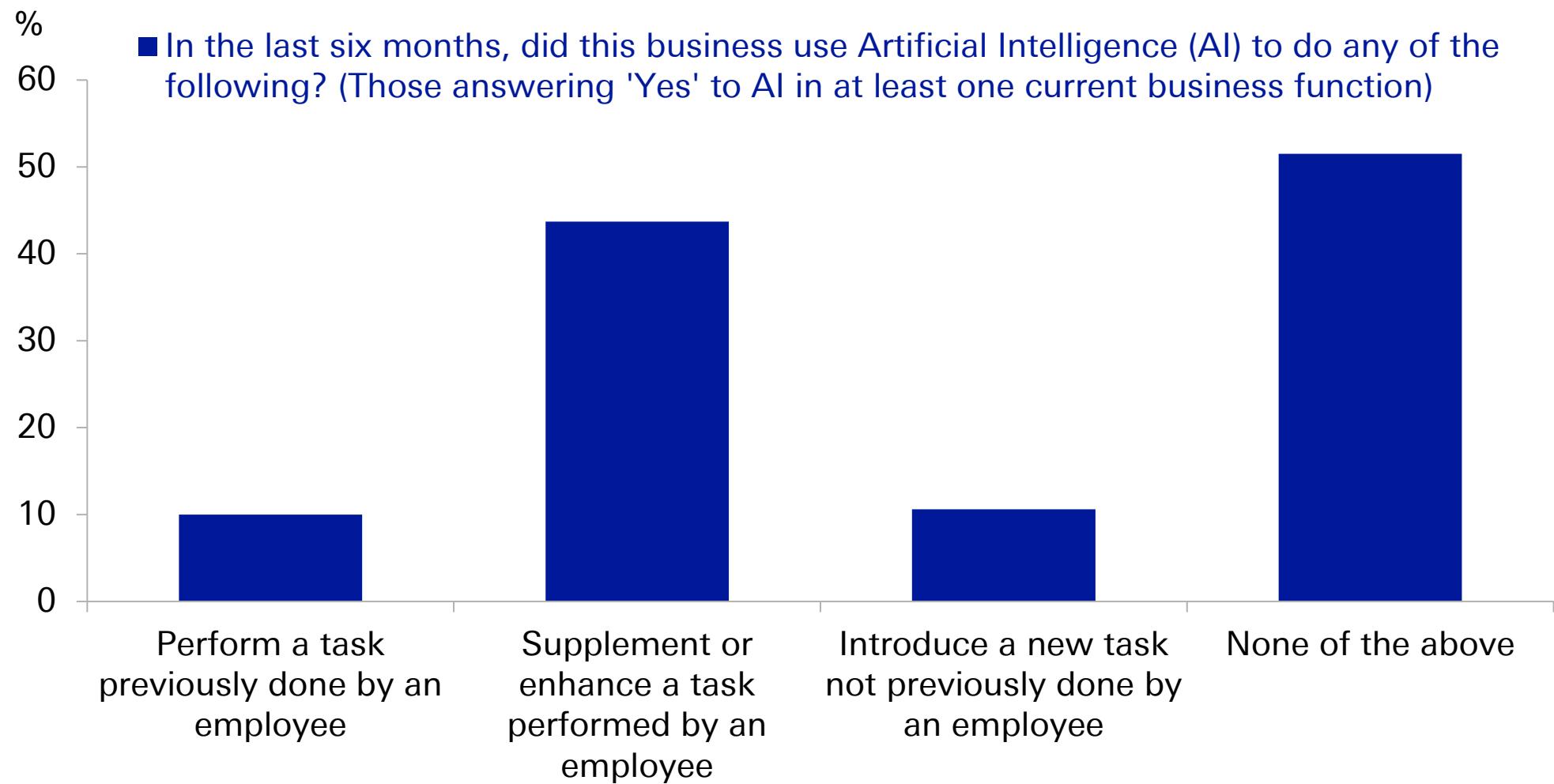


Source: BTOS, Census, Deutsche Bank

Companies adopting AI currently utilise it mainly to augment and enhance their employees' existing roles.



In the last 6 months, did this business use AI to do any of the following?

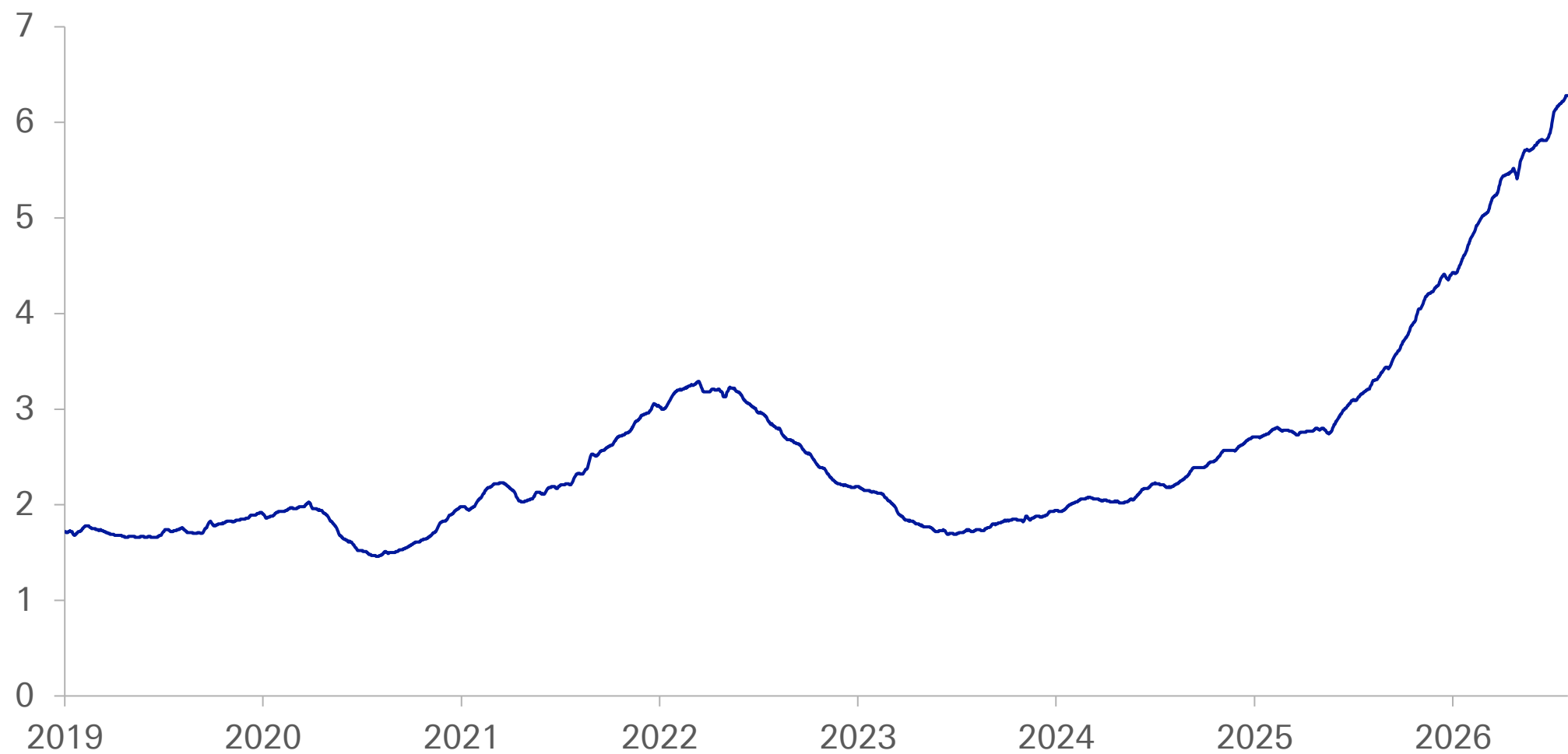


Source: BTOS, Census, Deutsche Bank

AI-related job postings have increased notably year-over-year in the US



Indeed AI Tracker: Share (%) of job postings on Indeed containing Artificial Intelligence (AI) terms in United States

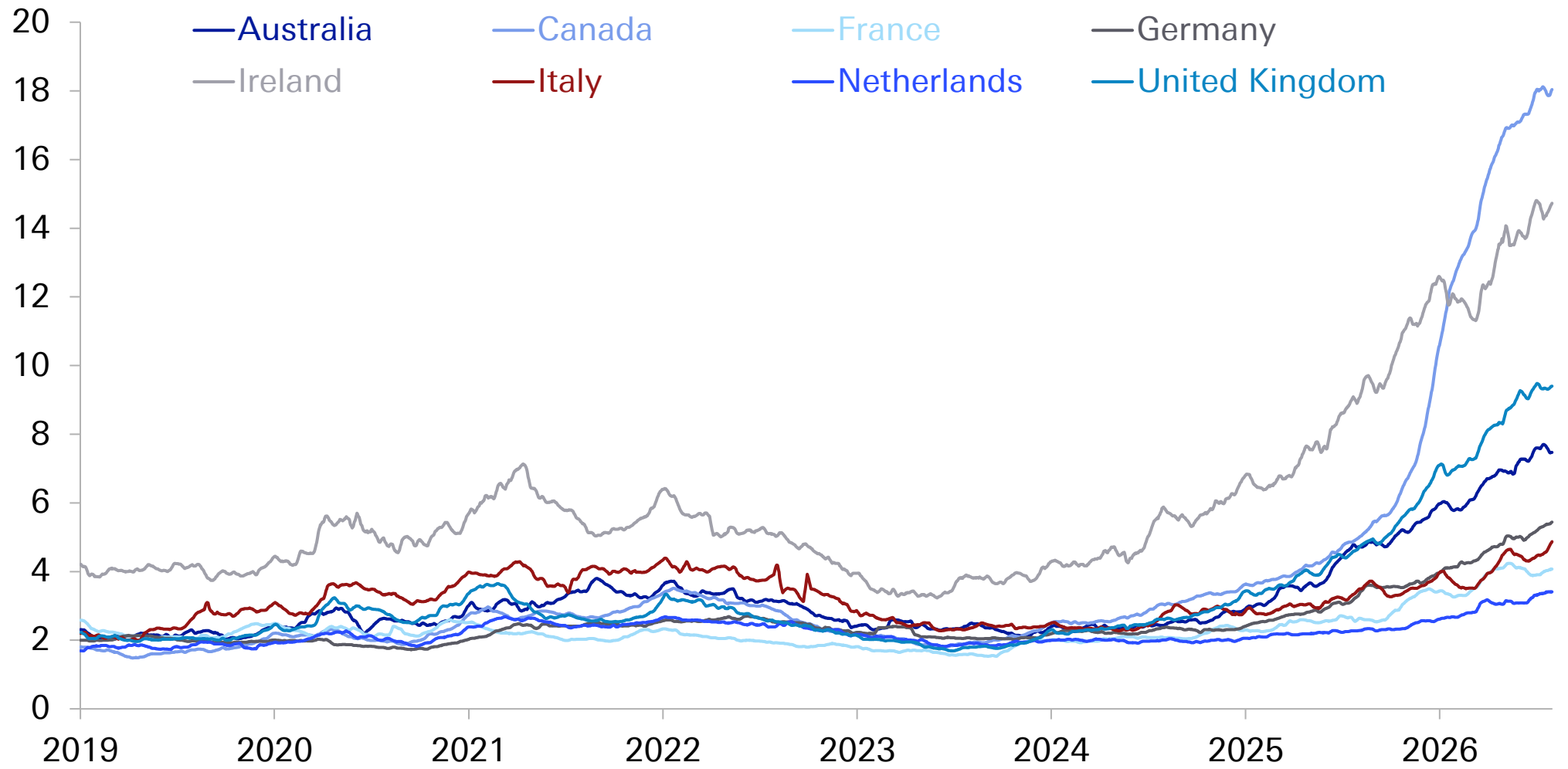


Source: Indeed Hiring Lab, Deutsche Bank

The share of job postings referencing AI is rising across countries. Is AI actually creating job openings rather than seeing them disappear?



Indeed AI Tracker: Share (%) of job postings on Indeed containing Artificial Intelligence (AI) terms

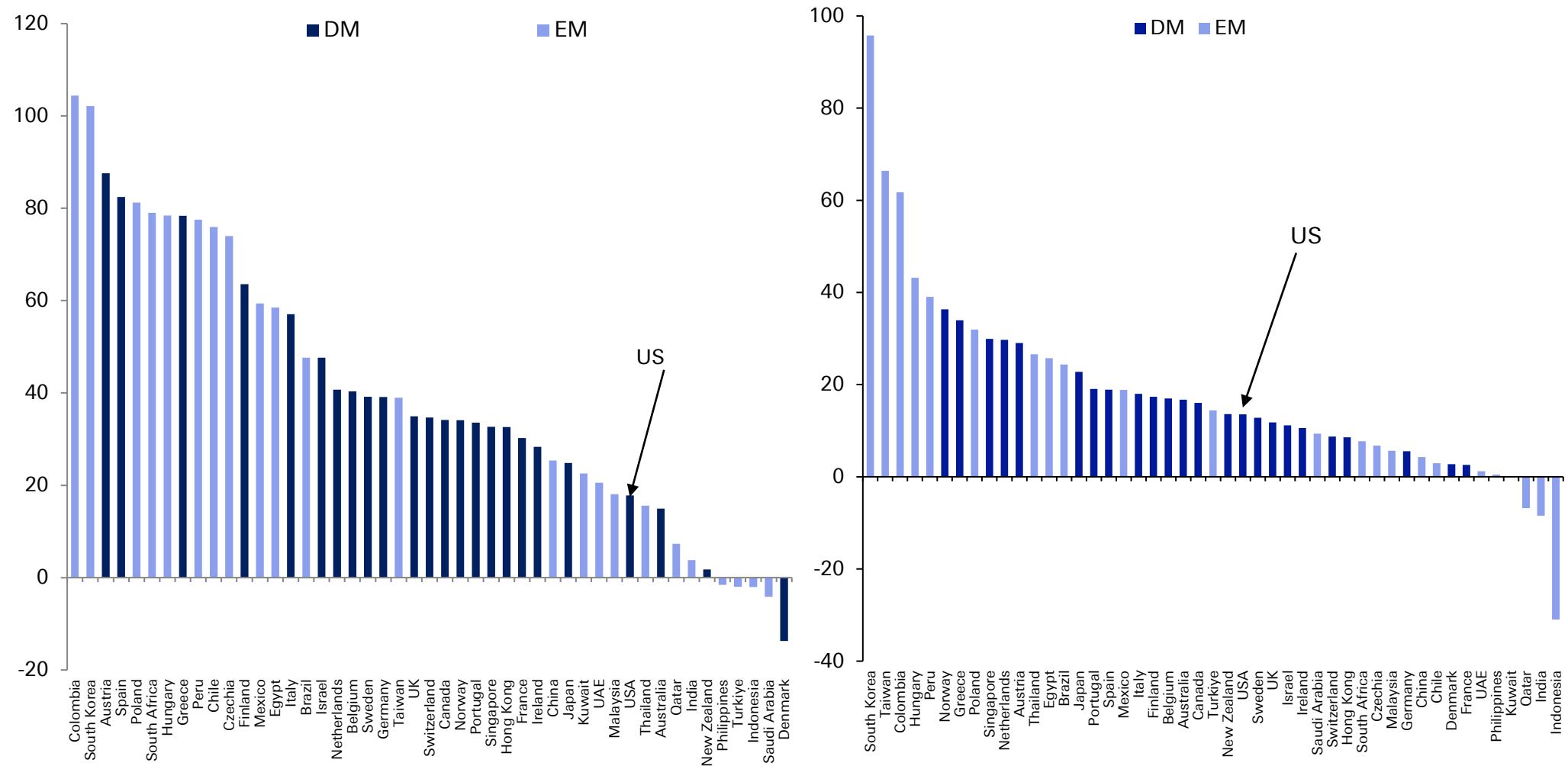


Source: Indeed Hiring Lab, Deutsche Bank

Global equity leadership has changed over the last two years as the AI cycle matures. The US has had two decent years but is in the middle of the global pack in 2026, after being around the bottom quartile in 2025...



Bloomberg large/mid-cap country stock market indices: 2025 total return in USD (%) (left) and 2026 YTD (right)

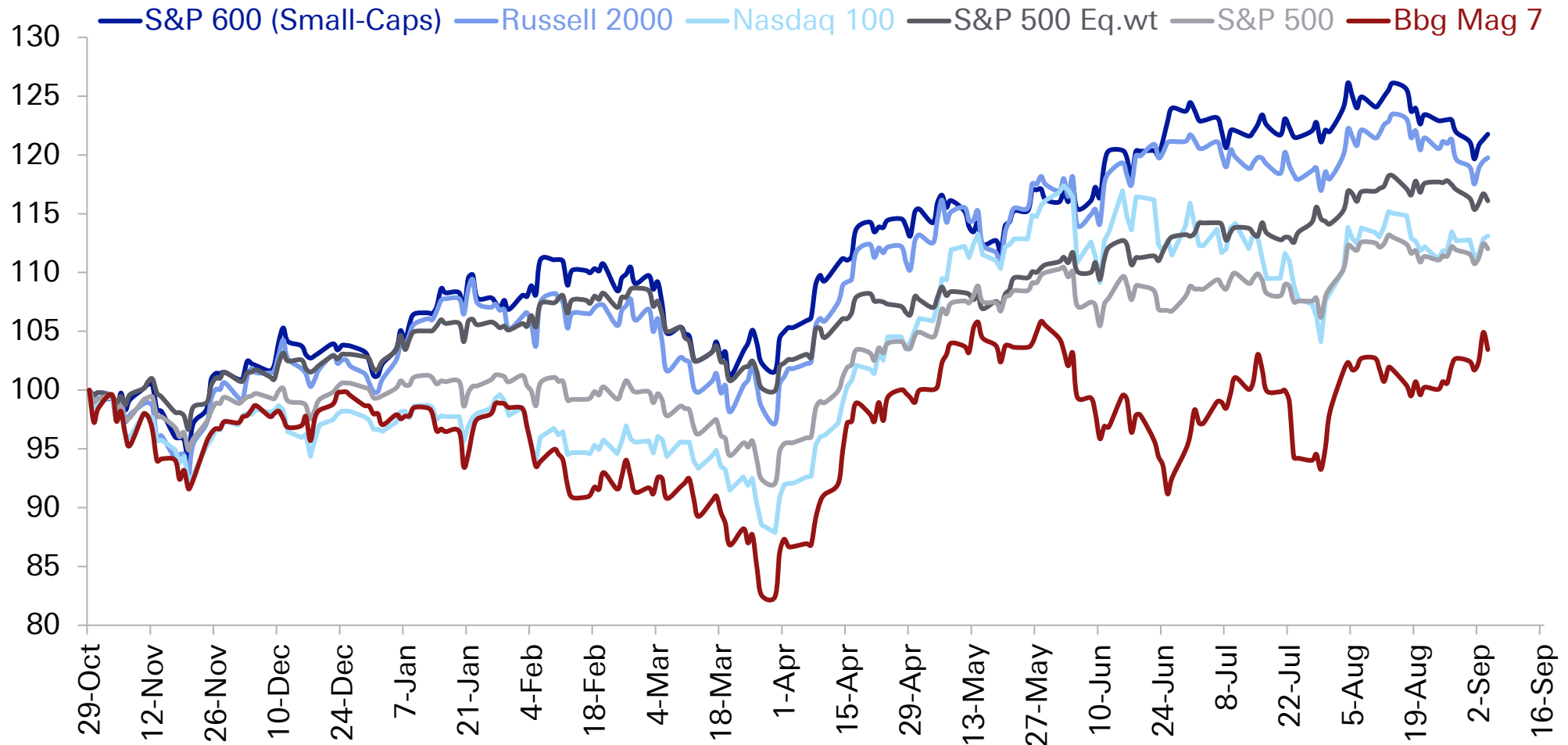


Source: Bloomberg Finance LP, Deutsche Bank, Note: 2026 YTD is updated through Sep 7

Since the end of last October, the Mag-7 have notably underperformed and are up less than 5%. However, other parts of the US market have performed strongly.



Rotation away from large cap tech. US Index performance (Oct 29, 2025=100)

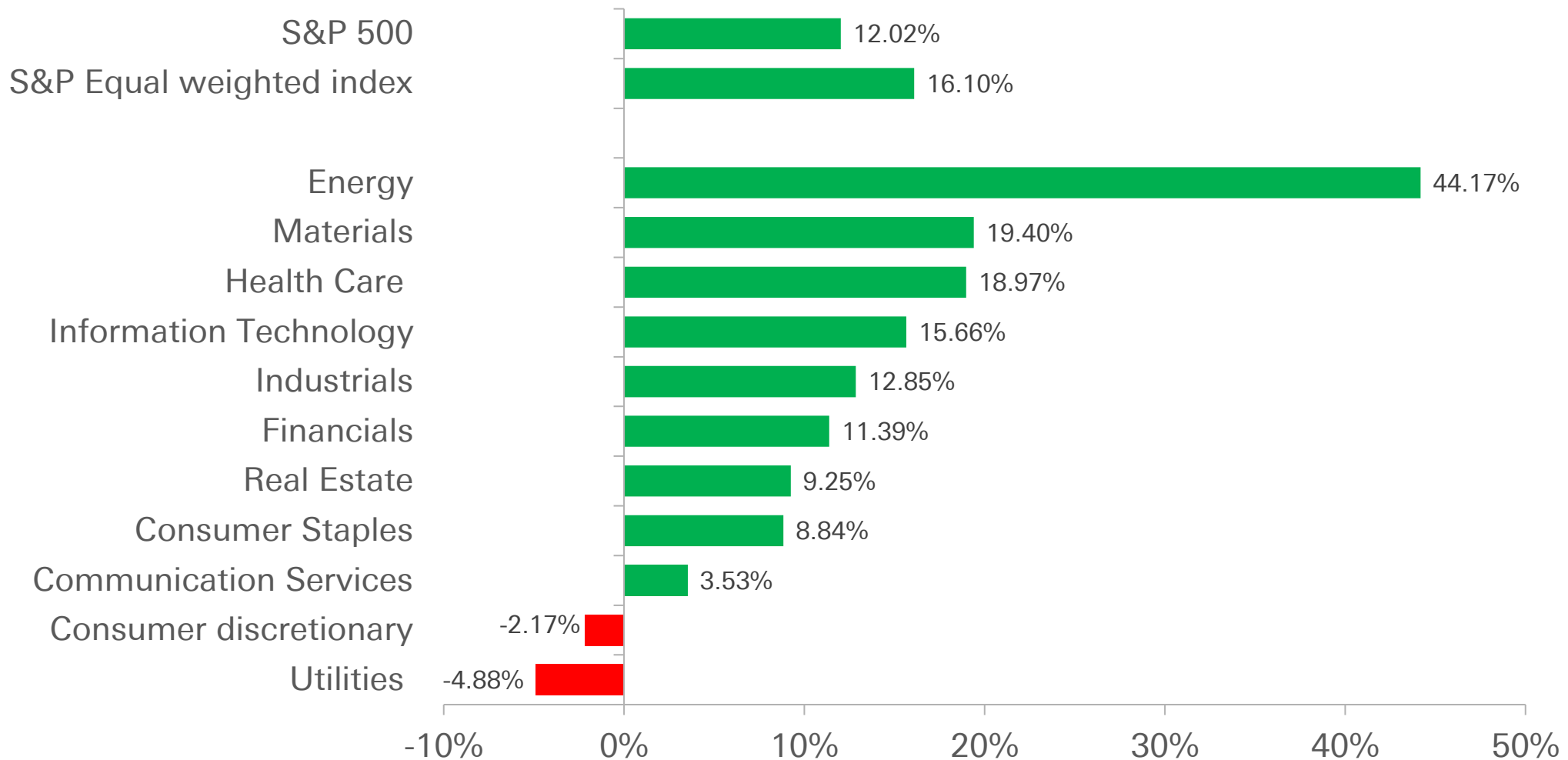


Source: Bloomberg Finance LP, Deutsche Bank., Last update Sep 7

Even with the Mag-7 underperforming, tech has performed in line with the market since tech started to see winners and losers emerge at the end of October last year. But tech has been outpaced by Energy, Materials and Health Care. The equal weight S&P 500 has outperformed.



S&P Sectors return since October 29, 2025

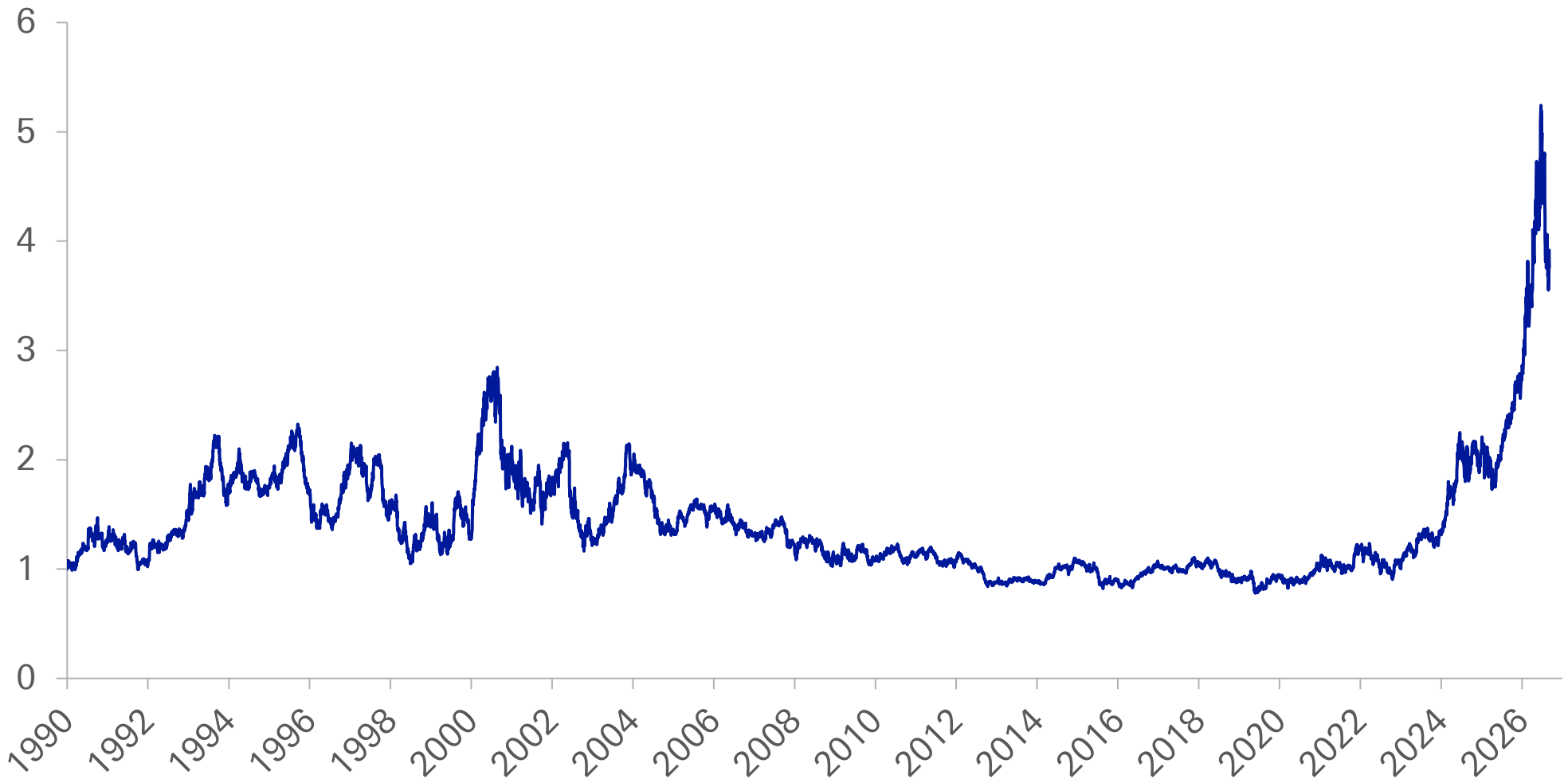


Source : Bloomberg Finance LP, Deutsche Bank., Last update : Sep 7

The tech winners and laggards theme can best be summed up in this chart... both are sizable sub-components within the tech index... Since the end of June software and services have made a comeback relative to semis but the major underperformance over the past 18 months is clear ...



S&P 500 semiconductors & equipment relative to software & services, total returns ratio, since 1990 (=1)



Source: Bloomberg Finance LP, Deutsche Bank, Last update: Sep 7.

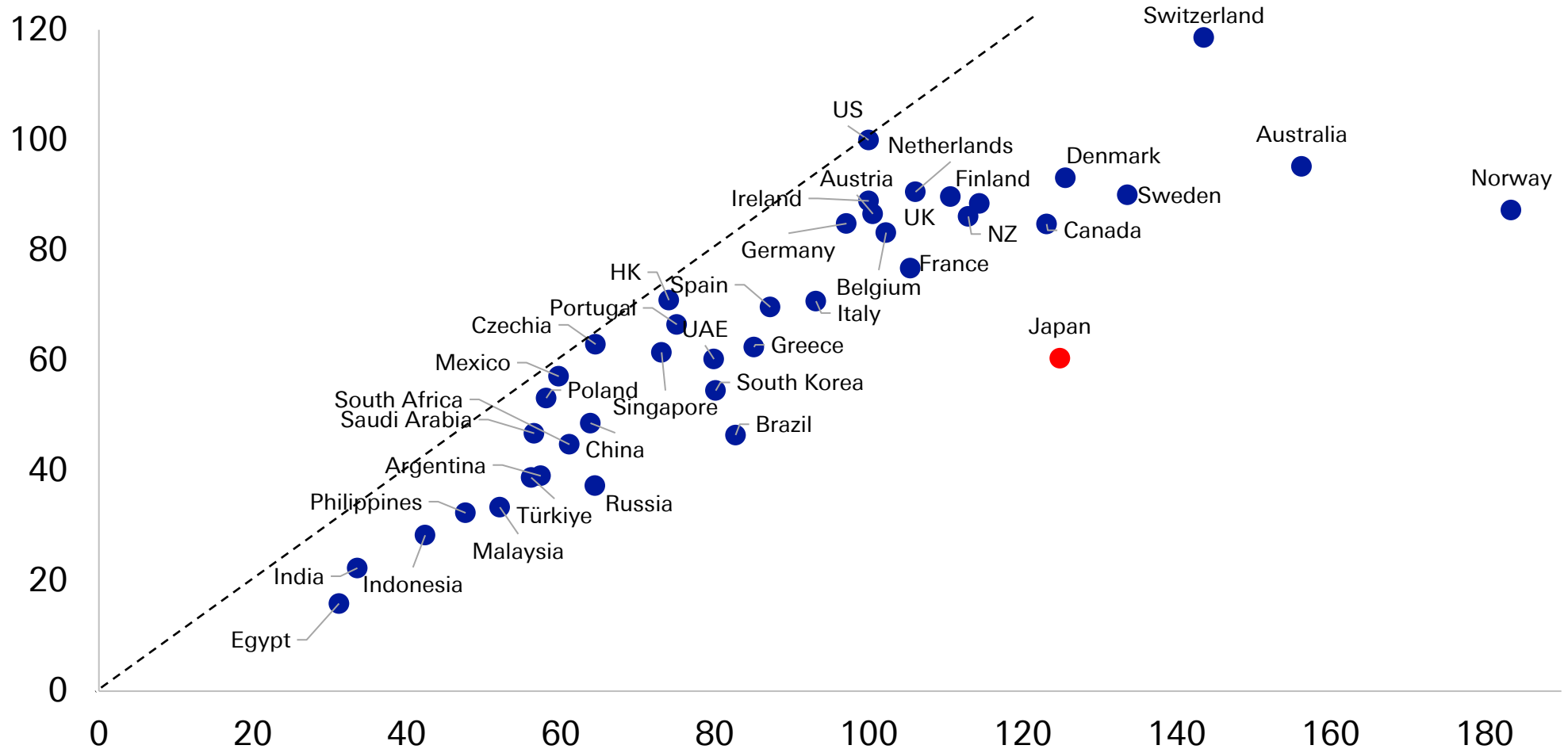


Japan is worth a watch...

Japan has cheapened up extraordinarily since the early 2010s....



Relative Price Levels as Implied by PPP (US = 100), 2012 (x-axis) and 2025 (y-axis)

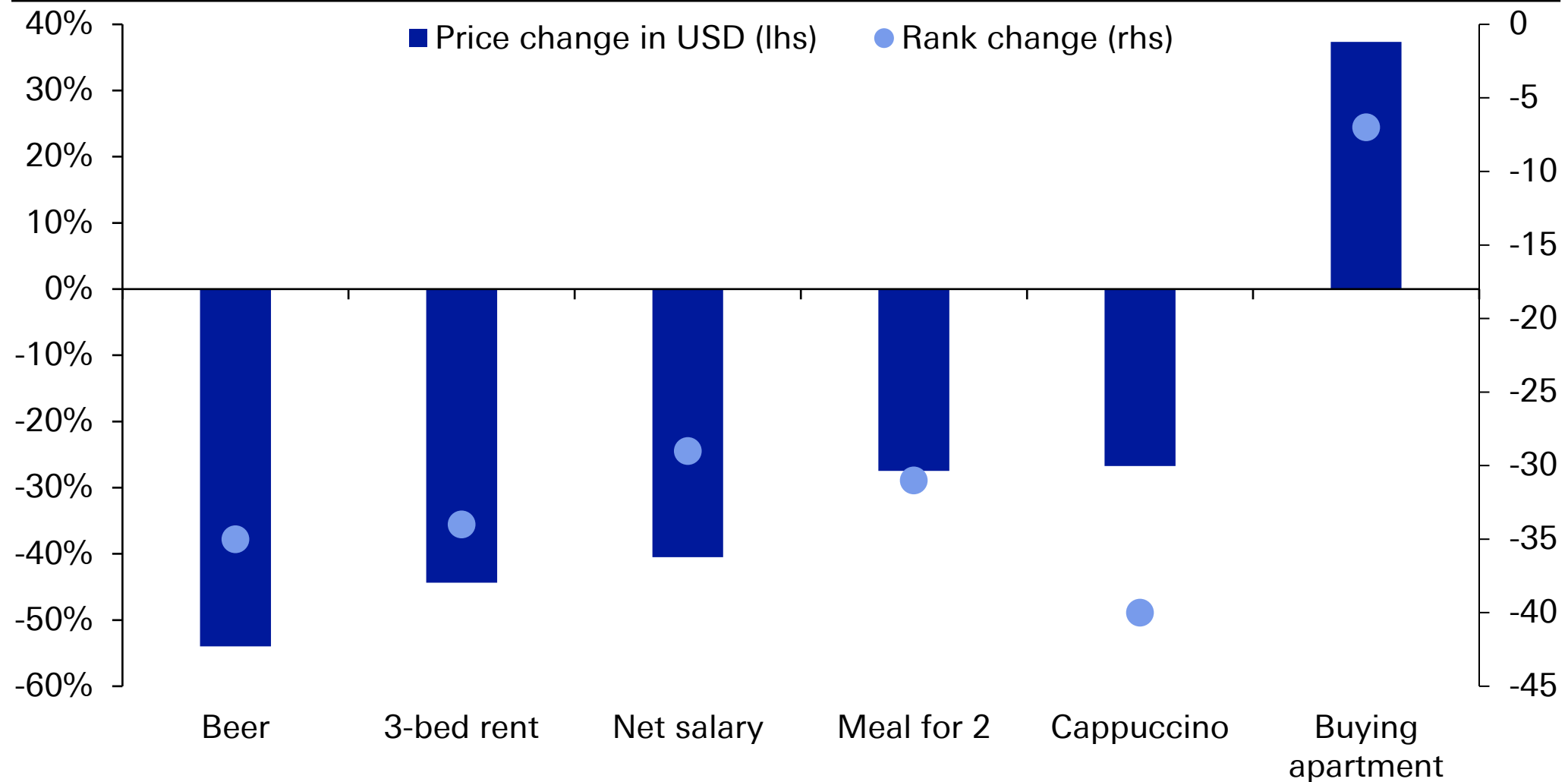


Source : IMF, WEO, Haver Analytics, Bloomberg Finance LP, Deutsche Bank calculations; Note: The PPP conversion rates as published by the IMF have been adjusted with actual foreign exchange rates (as on 31 December each year) to derive the implied price levels. Also note that some of the above numbers may not match those published last year exactly due to data revisions.

Is Tokyo the cheapest city in the world relative to its economic prowess? Maybe see you there for next year's holiday... its very cheap... See Mapping the World's Prices 2026 [here](#) for more evidence



Changes in prices of goods and services in Tokyo relative to 2012 in USDs



Source : www.numbeo.com, Deutsche Bank

The Yen is bouncing off 40-year lows...



USDJPY Spot Exchange Rate - Price of 1 USD in JPY

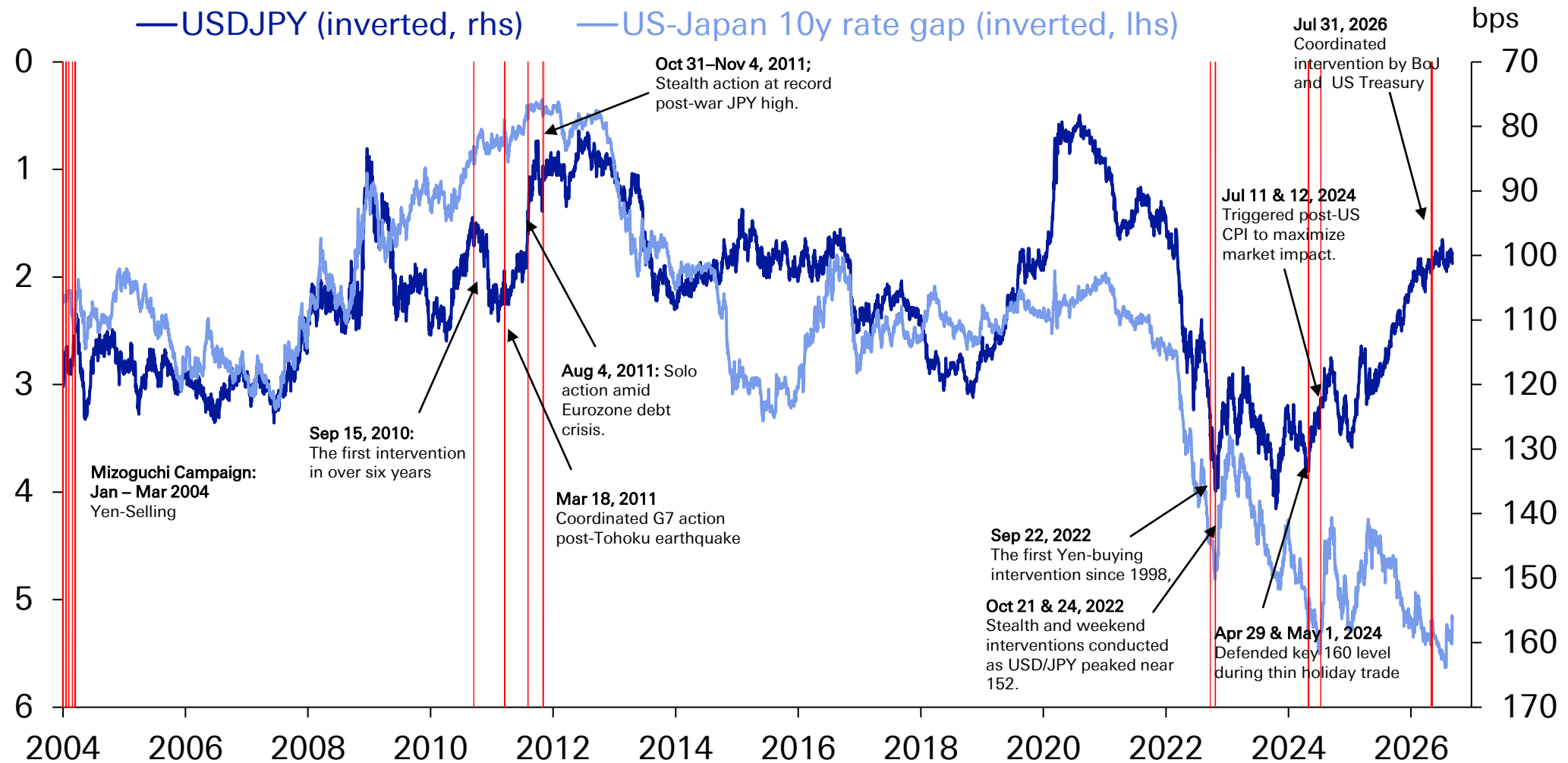


Source: Bloomberg Finance, Deutsche Bank; Last update: Sep 7

Since early 2025, the Yen has decoupled from its traditional anchor: interest rate differentials, compressing yield gaps have failed to spark JPY strength... The BoJ is the most likely source of a sustainable rally



USD/JPY and 10y spread with BoJ intervention episodes annotated (inverted axis)

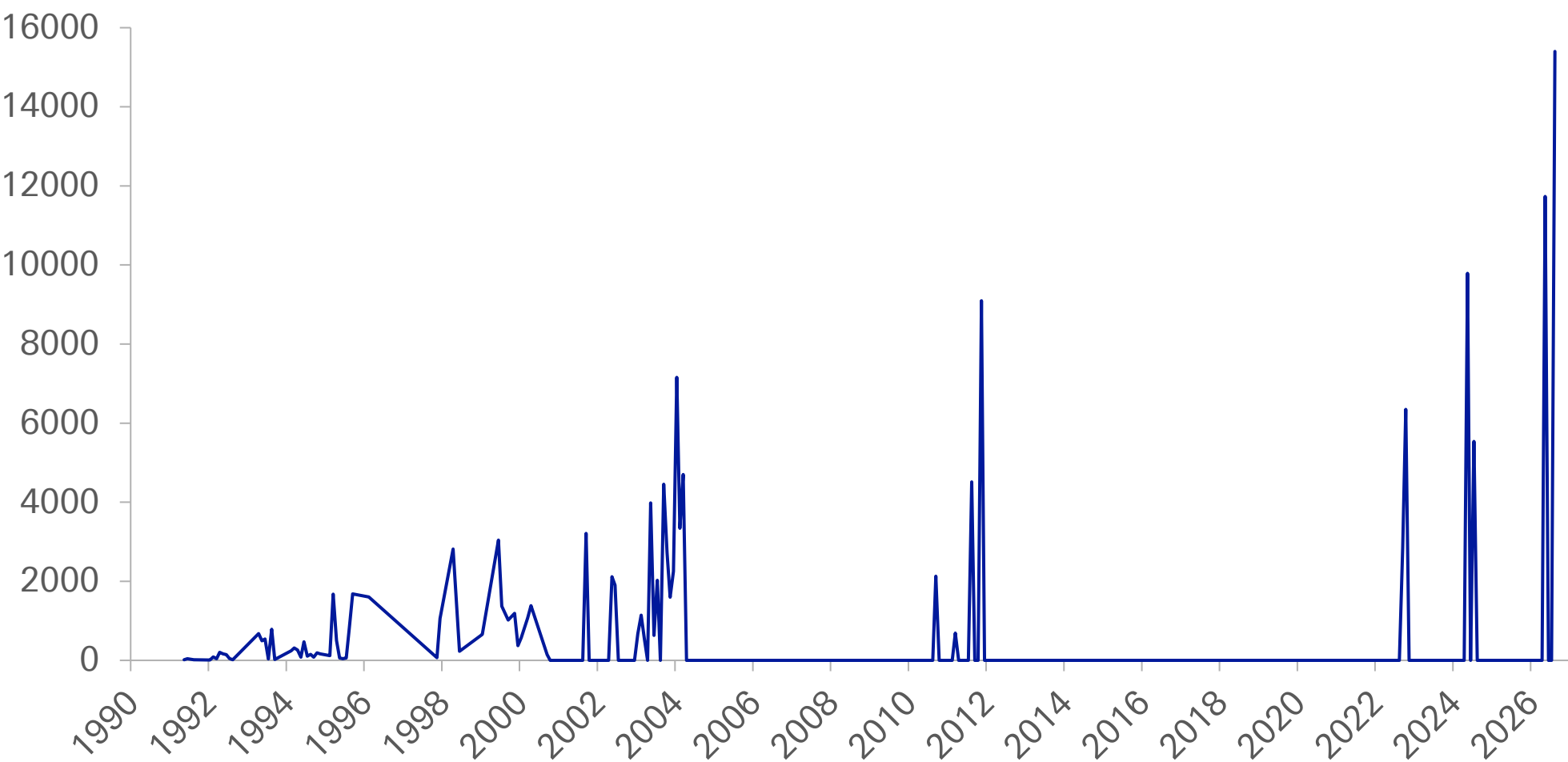


Source: Bloomberg Finance LP, Deutsche Bank, Last update Sep 7

Japan spent ¥15.4tn on market intervention from April to August—the most since 1991



BOJ Japan Foreign Exchange Intervention Operations - Total Amount (JPY bil.)



Source: Bloomberg Finance LP, Deutsche Bank, Last update: Sep 7

Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



The Drone Frontier: Geopolitics in a New Era of Conflict

September 07, 2026

Executive Summary

- Policy incentives and spending hikes are driving the expansion of the global military drone market, with a projected CAGR of 8% through 2030. This looks set to unlock new investor opportunities across the wider drone ecosystem. Multi-billion-dollar investment pledges in the UK, US, Japan, India, and the EU are among those that reflect this rapid build-out.
- The surge in global spending will likely benefit established manufacturers in markets including the US, UK, and Türkiye. Ukrainian companies are well-positioned to capture post-war market share, as their footprint expands across Europe, the Gulf, and Asia-Pacific. Japan and the Philippines are among Asian markets interested in Ukrainian capabilities.
- The rapid development of drone technology – particularly hardware – risks leaving governments with obsolete stockpiles. For investors, this makes the sector harder to assess than the headline growth numbers suggest. Companies able to upgrade quickly across many drone models, or those specialising in software that can be rapidly upgraded, may be better positioned than those tied to a single platform.
- Organised crime, terrorist, and insurgent groups are increasingly adopting the technology, creating localised security risks that could drive further spending and prompt new restrictions on commercial drone use.
- National security concerns will likely drive efforts to cut critical dependencies, strengthen supply chains, support domestic manufacturers and secure an edge in AI. The US, EU, India, and Japan are among markets that will seek to reduce reliance on China for critical minerals and key components, in our view, but Beijing's dominance makes this a multi-year process requiring sustained investment across the value chain.

Authors

Miha Hribernik

Chief Geopolitical Strategist, Asia



Context

On 2 September, Ukraine announced it would soon finalise a bilateral drone production and development deal with Germany. This followed the signing of drone production and export agreements with Denmark, the Netherlands, and Estonia on the sidelines of the NATO Summit in July. The deals are among the latest developments marking Kyiv's emergence as one of the global leaders in drone technology. The agreements also come against the backdrop of a worldwide surge in investment in the sector. This trend looks set to continue for years, as governments absorb the lessons of the conflicts in Ukraine and the Middle East.

This report assesses the key geopolitical implications of the accelerating global race for drone dominance.

Disrupting Defence: The Rise of Cost-Effective Drone Power

The proliferation of inexpensive drones is reshaping military doctrine, defence spending, and procurement worldwide. While military drones date back decades, the technology has reached a number of major milestones and 'firsts' in the last several years, reflecting the accelerating pace of development, production and deployment (see timeline). The wars in Ukraine and Iran in particular have demonstrated the limitations of traditional costly military assets in the face of numerous, increasingly capable and AI-enabled, and often disposable drones.

Figure 1: Selected key milestones in military drone production and use, 2020-2026



Source : Deutsche Bank Research

Drones are unlikely to fully displace other military assets, including the need for 'boots on the ground' to seize and hold territory, but the next several years will likely see a global push toward adoption and integration with conventional military forces on an unprecedented scale.



Ukraine: From Necessity to Supremacy

Ukrainian companies could capture a sizeable share of the expanding market after the war. The need to counter Russia's manpower advantages has driven an innovation model linking frontline demand with fast domestic production. This has established Ukraine as a global leader in unmanned operations and high-volume production, particularly of attack drones. This includes utilising AI for navigation, targeting, and autonomous "last mile" attacks.

Kyiv reportedly [doubled](#) its drone procurement y/y during H1 and [plans](#) to eventually use robots for 100% of frontline logistical needs. According to President Zelenskyy, Ukraine now produces [10 million](#) drones per year (likely [more](#) than all of NATO combined, although Ukrainian figures probably include a large proportion of small tactical drones), and the country could scale production to 20 million units if its international partners provide sufficient funding. Nevertheless, once active combat ends and stockpiling needs are met, production could slow given how quickly drone capabilities change (see below).

Ukraine's manufacturing footprint is likely to extend further beyond its borders.

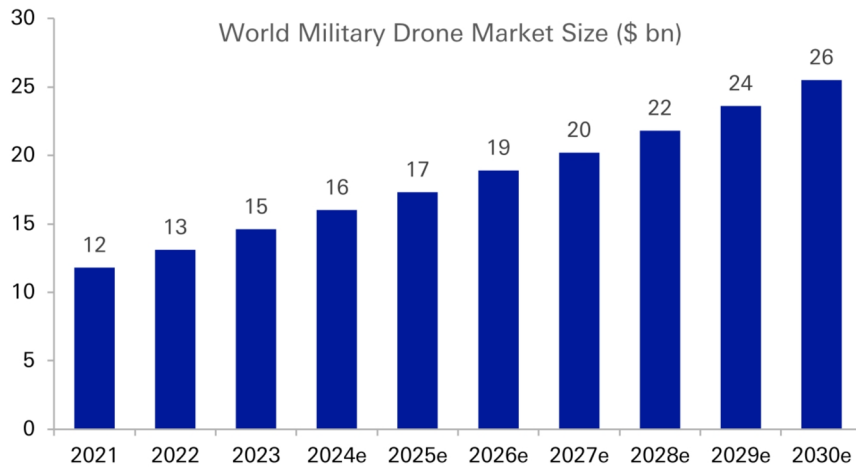
It is already expanding to facilities in countries including [the UK](#), [Denmark](#), [Norway](#), and [Germany](#), fostering technological diffusion and the emergence of a Europe-wide supply chain. Ukraine is also pursuing joint production with countries in the Middle East, Europe and the Caucasus, and has struck 10-year cooperation agreements with Saudi Arabia, the UAE and Qatar. More recently, [the WSJ](#) reported on 21 July that a new joint venture will produce Ukrainian sea-based attack drones in the US.

A Worldwide Surge in Spending

Policy incentives and spending hikes are set to fuel an expansion of drone and counter-drone arsenals in the coming years. The global military drone market is expected to grow at a CAGR of 8% through 2030, with growth in some regions – such as the Asia Pacific and Europe, the latter with an expected CAGR of 13% – projected to be even higher, according to [Global Market Insights](#). The forecasts signal robust, sustained expansion as global defence forces accelerate their transition to unmanned platforms. **This trajectory should create opportunities** for investors and companies in the wider ecosystem – from drone manufacturers to component, technology and software suppliers, as well as contractors providing support and maintenance.



Figure 2: The global drone market is expected to grow by a CAGR of 8% by 2030



Source : Global Market Insights, Deutsche Bank

Recent key developments include record procurement and spending requests in the US – already the world’s largest military drone market. Other notable initiatives include a historic shift toward a Hybrid Navy in the UK, the creation of a “Drone Wall” on the EU’s eastern flank, a mass purchase of commercial drones for military use in South Korea, and a record US\$2 billion investment push in India, which aims to bolster domestic drone manufacturing and reduce reliance on foreign suppliers (see table).

These investment pledges – set against the backdrop of rising global defence spending, which reached US\$2.6 trillion in 2025 – are **set to boost demand among existing manufacturers beyond Ukraine, including established players in the US and the UK**. This trend is reflected in **Türkiye’s** recent export boom. Türkiye is the world’s largest military drone supplier, accounting for some **65%** of armed-drone export sales. The country saw its defence exports triple over the past five years, and reportedly aims to double them in the next two.

The Asia-Pacific will likely continue to emerge as a major market. Geopolitical tensions in the Taiwan Strait and the South China Sea could see more investment in [surface and undersea drone capabilities](#). Ukrainian defence companies also [reportedly](#) aim to expand manufacturing and technological cooperation into the region, with Japan, the Philippines and other regional economies among potential markets. Regional companies are also seeking Ukrainian expertise, as reflected by a recent Japanese acquisition of two Ukrainian drone startups.



Figure 3: Selected recent developments, including planned or proposed spending increases

United States	The US Department of War has requested a 24,000% increase in FY2027 funding for its Defense Autonomous Weapons Group, which oversees mass-produced drones with AI capabilities. The Pentagon has placed an order for 30,000 one-way attack drones (the largest such order to date), and expects to receive more than 300,000 by early 2028.
United Kingdom	Aims to invest GBP5 billion (US\$6.7 billion) in advanced uncrewed systems, including a Hybrid Navy which integrates autonomous vessels and undersea drones. Plans to boost Army lethality ten-fold by investing in capabilities including AI and autonomous systems.
European Union	The creation of a new “Drone Wall” or “Drone Shield” will entail a multi-billion euro spending commitment.
France	Plans to expand its stock of explosive drones by up to 400% by 2030.
Australia	Intends to more than double funding for anti-drone capabilities over the next decade.
Germany	Announced plans to invest around EUR16 billion (US\$18.2 billion) in unmanned reconnaissance, attack and defence capabilities by the end of the decade.
China	Continues to invest in new drone capabilities amid rising defence spending. Recent developments include the reported construction of the world’s largest unmanned submersibles and the demonstration of a drone swarm operations system in March 2026.
India	Preparing to place a record US\$2 billion order for domestically-built military drones, reportedly as part of a plan to reduce dependence on foreign suppliers.
Japan	Tokyo allocated JPY 277 billion (US\$1.7 billion) for unmanned system in this year’s defence budget, more than double the figure from 2025.
South Korea	Intends to train 500,000 military drone operators and procure 11,000 commercial drones for military training in 2026.

Source : Deutsche Bank Research, external sources (see links in table).

Tech Turnover: The Obsolescence Dilemma

The scramble for drones risks leaving governments with stockpiles of obsolete equipment. The technological ecosystem around drones, and counter-drone systems, is not yet mature. Battlefield pressure forces rapid innovation, sometimes within weeks, risking large stockpiles becoming quickly **obsolete**. The rapid growth of the industry, and the proliferation of new companies entering the sector, also raises questions about the risks of an eventual industry consolidation.

For investors, this makes the sector harder to assess than the headline growth numbers suggest. The better-positioned companies may be those that can upgrade quickly across many drone models – through software, flexible or modular manufacturing and battlefield feedback – rather than those tied to a single drone platform. With hardware vulnerable to obsolescence, software could prove to be a material differentiating element, and several manufacturers are prioritising software platforms as key to upgrading their systems.

Rogue Drones: The Proliferation to Non-State Groups

Drone technology is a ‘great equaliser’ for non-state groups that could fuel a rise in global security risks. Organised crime, terrorist, and insurgent groups have expanded their drone capabilities in recent years. Groups like Hezbollah, Hamas, guerrillas in **Colombia**, and **Mexican** drug cartels have already adapted cheap commercial drones for attacks and demonstrated an ability to **absorb** the lessons of the war in Ukraine.

The proliferation of drone technology means that defences must cover a wide range of potential targets – from critical infrastructure to public events and government buildings – while being updated to close gaps that small, adaptive groups can exploit. Although there is little evidence to suggest that these groups have used AI-



enabled drones at scale, this could become an additional medium-term risk. **The need to counter evolving threats from non-state actors could be another driver of increased spending and may prompt more [restrictions](#) on commercial drone use.**

Strategic Autonomy: Diversifying Drone Supply Chains

National security concerns will likely drive efforts to reduce dependencies, strengthen supply chains, support domestic manufacturers, and secure an edge in AI. China continues to dominate drone supply chains, including for processed critical minerals used in key drone components such as motors and actuators, batteries and infrared / optical components (such as lenses). Major markets, including the US, remain highly dependent on China-linked supply. The table below highlights three key areas. We anticipate continued efforts to diversify critical mineral and component supply chains amid accelerating geopolitical competition. This process will likely dovetail with policies intended to reduce dependence on China for processed critical minerals (see [Geopolitical Outlook 2026: At the Mid-Point](#)).

Figure 4: From Mine to Mission: China's Supply Chain Footprint

Key raw material	China share	Processed material	Drone component	Drone function affected
Rare-earth compounds and metals Rare-earth inputs used in permanent-magnet supply chains	High China supplied 71% of US rare-earth compounds and metals imports in 2021–24; USGS identifies magnets as the leading global end use of rare earths.	Permanent magnets	Motors and actuators	Propulsion, control and payload lift
Natural graphite	High US net import reliance for natural graphite is 100%; China supplied 46% of US natural-graphite imports in 2021–24 and 55% of US graphite battery-anode material imports in the first eight months of 2025.	Battery anode material	Lithium-ion battery cells / packs	Battery capacity and electric-power availability
Gallium and germanium	Very high for gallium; high for germanium China produces close to 90% of global gallium and around 60% of global germanium.	Gallium- and germanium-containing semiconductor and optical materials	Radio-frequency communications, power electronics and infrared/optical components	Signal transmission, infrared/optical sensing and power-electronics efficiency

Source : Deutsche Bank Research, USGS. Note: This table lists three key touchpoints relevant for drones but is not meant to be exhaustive.

However, diversifying sources of commodities and specialised components will likely take years and require significant capital expenditure across the entire value chain. The drone supply chain remains highly globalised, and a single unit can contain hundreds of specialised components sourced from dozens of manufacturers across multiple countries. While derisking could ultimately benefit suppliers/producers in the US, Japan, [South Korea](#) and partner states, it is likely to progress unevenly. Given the scale of the task, eliminating dependencies in military drones will likely continue to take priority over dual use (civilian/military) drones.

Supply chain diversification is a multi-pronged process. Recent developments include efforts by US drone makers to [build](#) domestic supply chains amid new restrictions on China, including the drone [tariffs](#) announced on 13 August. Meanwhile, Taiwanese drone exports to the EU [reportedly](#) increased 40-fold in 2025, while [Japanese and Taiwanese](#) companies are purportedly seeking closer cooperation. Efforts to reduce dependencies include plans to advance technological solutions such as rare-earth-free electric motors and more sustainable navigation and power systems for drones. Some countries, such as [the UK](#), have moved to restrict the use of China-made components on national security grounds.



Expanding export controls could impact diversification timelines. During 2026, China has introduced new restrictions curbing access to critical minerals, rare earths, advanced electronics and other dual-use components. On 24 April, China banned dual-use item exports to seven European companies, [purportedly](#) to counter EU-Ukraine-Taiwan security cooperation. On 22 June, Beijing added ten US defence-linked entities – including drone companies – to its export control list restricting access to dual-use items. This was followed in subsequent weeks by additional curbs on Japanese drone and advanced-technology firms. On 5 August, China tightened drone-related exports to the US in response to Washington's recent tech and economic curbs.



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the US this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



Capitalism and the dollar: the AI race, tokenization, and the dollar's future

September 03, 2026

A massive race for capital

The US is sprinting in its reach for capital. Private markets, debt, and public equities have been setting records, and the US is enjoying unprecedented amounts of foreign equity inflows. In this paper, we discuss how the US is leveraging the power of capitalism – supercharged by blockchain – to try and win the AI race. But the US reach for capital is not only about AI spending; it also reflects growing fiscal deficits and the need for foreign private funding. The US is increasing its reliance on private capital to offset public sector vulnerabilities. Meanwhile, China is running a very different race – given large trade surpluses, domestic excess savings, and a "low-cost" AI approach, China is raising less capital, with much less from abroad.

America embraces asset tokenization

The US is using blockchain technology to support US dollar and capital market dominance. We wrote last year about the crucial role of stablecoins. We are now at the next stage: asset tokenization – converting ownership rights to financial assets into digital tokens recorded on blockchain. Asset tokenization is not futuristic – it is happening now at the heart of US markets. Securities depositories and exchanges are building the infrastructure to tokenize US assets, with regulatory oversight.

TINA meets Tokenization: the future of the dollar

TINA already plays a key role attracting capital to the US. Tokenization could add to this by making US assets more attractive and accessible. The collateral velocity of tokenized assets could be a superpower. And if US assets are trading 24/7 with instant settlement, this could impact global behaviour, particularly for retail. But lowering the hurdles for inbound capital also exposes the US to capital going out. The dollar is becoming riskier, more equity sensitive, and leveraged to the AI race. If AI proves uneconomical, or the US starts to fall behind, the dollar is very exposed.

Open markets meet Open technology: the future of capitalism

The US is taking an "open markets-closed tech" approach to the AI race, while China is taking an "open tech-closed markets" one. The US is widening the doors for capital but keeping technology closed to preserve corporate pricing power. Meanwhile, China is pushing out low-cost models with open-weights. This is not just a contest between AI models, but economic models. If China's approach undercuts US profits, this could threaten the US model of shareholder capitalism itself. China's challenge is not only about technology, but the central maxim of US power: that free and open capital markets always deliver the winning innovation.

Authors

Mallika Sachdeva
Strategist



Part 1: A massive reach for capital in the US

The US is sprinting at record speed in its reach for capital. Huge sums of money are being raised to fund the buildout of AI infrastructure and development of frontier AI models, with US companies expected to spend around \$800bn in AI capex this year.

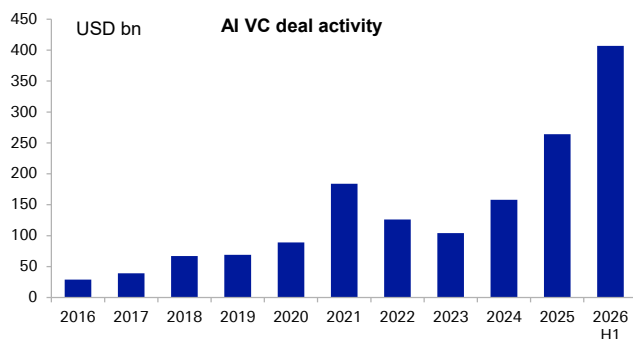
We argue in this paper that the US is leveraging the full power of capitalism to fund capital investments seen as crucial to winning the AI race

The US is raising enormous amounts of private capital

We simplify the key trends in the US' capital-raising landscape into a few observations. First, AI labs are turning to private markets to raise large sums of equity capital. Second, hyperscalers are turning to investment grade debt markets to issue meaningful amounts of debt for the first time. And third, public equity markets are back in focus for capital funding with some of the world's biggest companies returning to issue stock, and major IPOs in the pipeline.

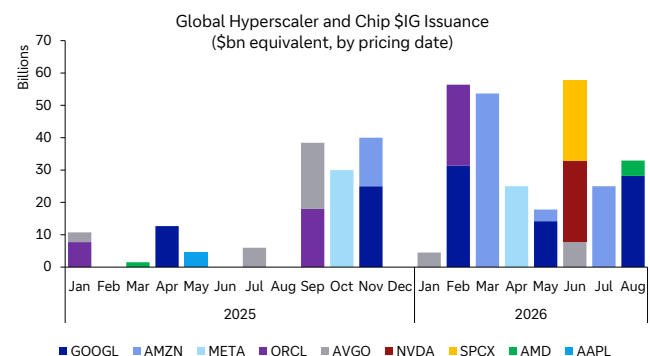
- The AI venture capital industry has raised over \$400bn this year alone, with over 90% of the biggest deal volumes in the US ([Pitchbook](#)). The two largest AI labs in the US have raised a combined \$217bn this year – valuing each company near \$1tn. We note that xAI had raised \$20bn earlier in the year, before being acquired by SpaceX in February. On an annualized basis, AI VC capital is running at three times last year's pace.
- In debt capital markets, the shift has also been staggering. While free cash flows remain an important source of funding for hyperscalers, the capital intensity of the infrastructure buildout is outrunning cash flows, forcing companies to turn to debt. Hyperscalers like Google, Meta, Oracle and Amazon raised an average of just USD25bn per year between them over 2020-24. In 2026 YTD, they have raised around ten times that amount through IG credit markets. Microsoft has yet to turn to debt markets.
- In public equity markets, Google also had its first primary equity raise since its 2004 IPO in June 2026, raising \$85bn. Returning to issue is a big reversal from years of buying back stock. This is also setting up to be a historic year for IPOs. SpaceX achieved the largest total market valuation of a newly listed company in history near \$2tn in its June 2026 IPO. The largest US AI labs are expected to come to the IPO market soon which could change the AI boom as we have written about [here](#).

Figure 1: US AI companies are attracting record amounts of private capital



Source : Deutsche Bank Research, Pitchbook

Figure 2: US hyperscalers have turned to public credit markets to issue huge amounts of debt



Source : Deutsche Bank Research, Bloomberg Finance LP



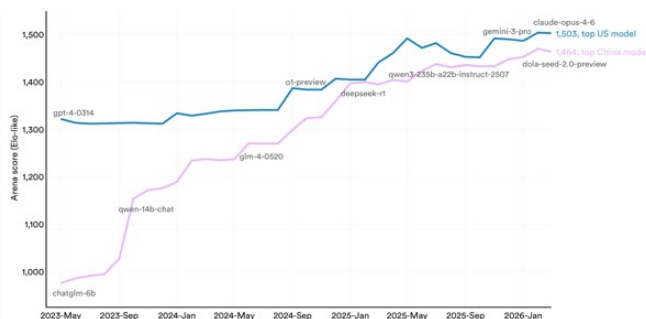
China is running a different race

On many metrics, Chinese models are closing the gap to the US in terms of performance and capabilities (Figure 3). While the US remains ahead in frontier development, Chinese models account for more than half of US company token usage on Open Router (Yahoo Finance).

But from a capital perspective, China appears to be running a different race - raising much less capital, less from private sources, and less from abroad. While US companies are expected to spend around \$800bn in AI capex this year, that number is closer to \$100bn in China. While the biggest US AI labs have raised nearly \$250bn in private funding rounds this year, Chinese labs have raised far less. The largest capital raise came from DeepSeek which raised \$7.4bn earlier in the year, and may be returning for a further \$8bn. China's National AI fund has participated in a number of capital raisings. Stanford University's [recent AI report](#) made a similar observation: noting that in 2025, US private AI investment was 23 times the \$12.4bn invested in China, although Chinese numbers are likely understated given government guided funds.

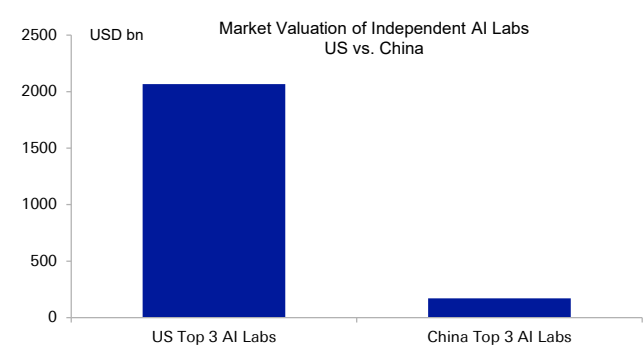
The stark difference in the approach to capital raising is also reflected in markets. With US AI labs raising far more capital for ownership stakes, the market valuations of US AI companies compared with their Chinese peers are many orders of magnitude apart (Figure 4). Furthermore, while Chinese hyperscalers like Tencent, Baidu and Alibaba have been tapping debt markets, they are doing so in smaller size, with a no major uptick compared with earlier years. They are, however, increasingly funding in dim sum bonds, suggestive of a desire to de-dollarize funding. See more on the Rise of the RMB Financing Ecosystem [here](#).

Figure 3: The gap in performance between US and Chinese models has narrowed a lot



Source : Deutsche Bank, Stanford University HAI

Figure 4: US AI labs have much larger implied market valuations than their Chinese peers



Source : Deutsche Bank, Bloomberg Finance LP, Various news sources; Note: Valuations are based on market cap for publicly listed companies and announced or intended funding rounds for private companies.

The US will likely want all the foreign capital it can get

The dramatic reach for capital in the US is not only reflective of an American economic model that prioritizes open capital markets, it also reflects the US' growing need for foreign financing given the US' large twin deficit position. The US is running a 6%+ fiscal deficit combined with a near 4% of GDP current account deficit. In the absence of fiscal savings, incremental private sector capex will require funding from abroad. At a time when private sector financing requirements for AI capex are rising, it is not a surprise the US is widening its reach for capital from abroad.

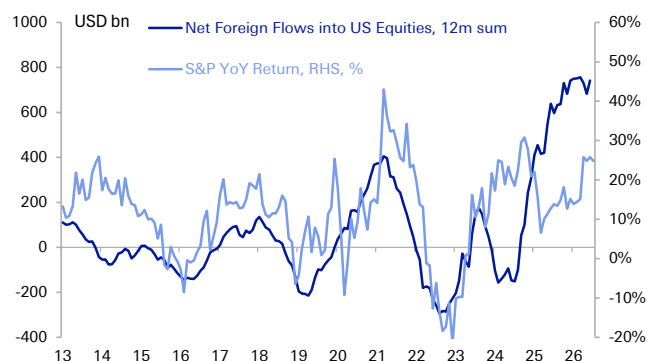


The US is in fact enjoying an unprecedented amount of equity capital inflow. In Q2 2026 alone, the US received over USD400bn of foreign equity capital, well above any previous quarter. The amount of capital coming into US equities is also well above what US equity performance alone would imply (Figure 5), and now well above debt flows (Figure 6) – the historical mainstay of US capital account financing.

We have written in the [past](#) about the big rotation underway in US financing. Geopolitical ruptures in long-standing alliances in defence and trade are hurting long-term appetite for USD government debt, particularly by the foreign official sector. But at the same time, technology is pulling enormous equity capital in from other types of foreign investors like retail. The gap between net equity flows to the US (increasing) and debt flows (falling) has never been wider, and the shift from official to private funding sources is becoming more noticeable. With the US on the cusp of a potentially significant IPO cycle, we find it notable that US companies are picking up on the funding shift. SpaceX reportedly initially earmarked 30% of its IPO for retail investors, more than three times as much as a traditional IPO offering.

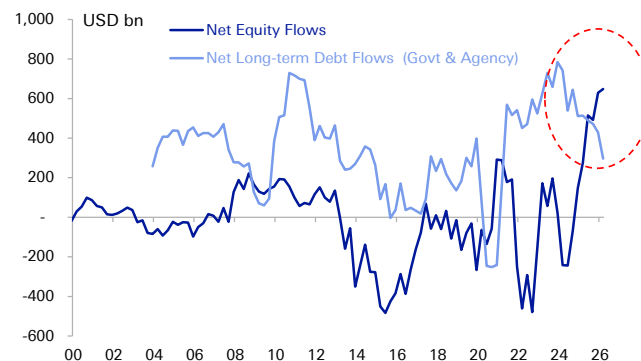
As we show in this paper, the US will likely remain very focused on attracting foreign private capital to fund both its AI ambitions and its deficits.

Figure 5: The US is attracting a record amount of foreign equity capital - more than market returns alone would suggest



Source : Deutsche Bank, Bloomberg Finance LP, Haver Analytics

Figure 6: Equity flows have replaced debt flows as the main source of foreign capital financing for the US



Source : Deutsche Bank, Haver Analytics

Where blockchain technology comes in

The US is taking a very capital-intensive approach to the AI race, raising record amounts of capital, and attracting huge amounts of it from overseas. Foreign capital not only helps support the dollar by providing deficit funding, it also improves the cost of financing for US companies. It is natural for the US to leverage technology that supports these capital flow trends.

We have [written](#) at length about how the US is using the power of blockchain technology and a new form of private money – stablecoins – to democratize access to the dollar. **We are now at the second stage of evolution, where the power of blockchain technology is being used to democratize access to US capital markets. This is called real world asset (RWA) tokenization.** While stablecoins aim put the US dollar "on chain" as a digital money token, asset market tokenization could look to put the entirety of US asset markets and their underlying financial



architecture on chain.

The two forces of tokenized money and tokenized assets are themselves highly symbiotic. The existence of tokenized assets should widen the appeal of holding tokenized money like stablecoins, that can then be more easily deployed for returns and yields "on chain", without needing to be moved off-chain back into fiat currency to invest in traditional assets. Both stablecoins and tokenized bank deposits could become important means of payment for tokenized assets, with a meaningful impact on the settlement process. We will explore the nuances of this in a forthcoming FX Special Report on Programmable Money.

From a macro perspective, we argue that US tokenization ambitions are deeply linked to supporting capital inflows into the US. Our earlier research on [stablecoins](#) discussed how they could support the diversification of dollar debt to private sector holders. Not only did the GENIUS Act introduce 1:1 reserve backing requirements for dollar stablecoin issuance, that helps power demand for front-end US T-bills; more importantly, if stablecoins help keep the world paying in dollars, they help retain the role of the dollar as a private sector savings instrument, which could help demand for assets like longer-dated Treasuries. If stablecoins are now combined with a wider universe of tokenized assets, this could encourage demand for many more US assets. This should help what we have termed a "geopolitics-to-technology funding swap". The US is moving away from attracting official, long-term, geopolitically motivated capital flows, towards private sector, shorter-term, technology motivated capital.

America's full-hearted embrace of asset tokenization – compared with China's turn away from it – can be understood in the context of both the AI race and the relative external funding position of both states. If the US is taking a capital-focused approach to the AI race, with a starting point of twin deficits, the US will naturally benefit from lowering the hurdles for foreign and private capital as much as possible. That is indeed what it is doing.

Part 2: America embraces Asset Tokenization

We begin with a definition for asset tokenization, borrowing from the [DTCC](#), the custodian for close to \$115 trillion in US assets and an organization that finds itself at forefront of this development. **Asset tokenization is the "process of converting ownership rights to a financial asset – such as stocks, bonds or real estate – into a digital token recorded on a blockchain. These tokens represent the same legal rights as the original asset but can be transferred, tracked and managed digitally."** They note that tokenization introduces new capabilities, from fractional ownership, faster cross-border transfers, transparent records and smart contracts. In a tokenized world, instead of waiting days for a U.S. Treasury bond to settle through multiple intermediaries, a tokenized version could settle in minutes. Also see "Asset Tokenization 101" from the DB Research Institute [here](#).

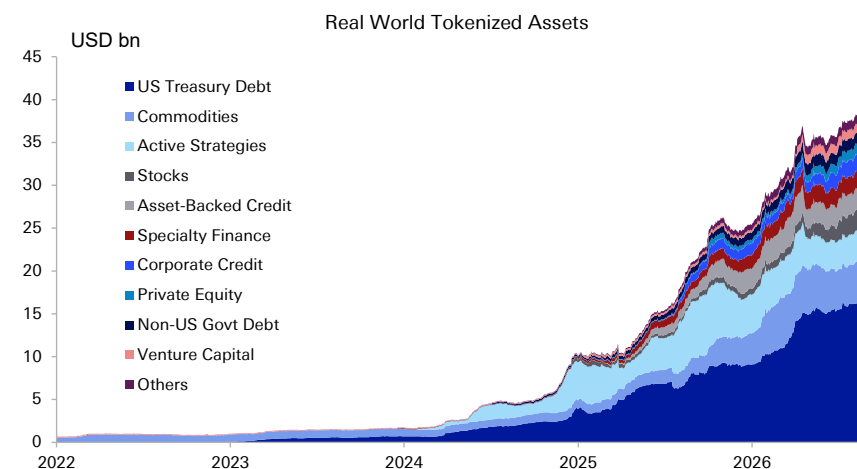
Only around \$40bn of real-world assets have been tokenized [to date](#), but the size of the tokenized asset universe is expected to grow much further and faster from here given adoption by traditional finance that is just getting underway.

In Part 1 of this paper we explored the *macro* motivations for America's embrace of tokenization: to reduce the hurdles for foreign capital to flow into the US and fund its AI ambitions in an increasingly competitive and existential AI race. In this



section, we look at some of the more micro motivations for tokenization, and how they come together.

Figure 7: Real world tokenized assets have been growing, but are still a fraction of the over USD100tn US asset universe - leaving big headroom



Source : Deutsche Bank, RWA.xyz

Some further motivating drivers for asset tokenization

The underlying technology that enables tokenization is distributed ledger technology (DLT) which allows the ownership rights to anything from money, to a stock, to a painting, to be represented as a digital token on a decentralized network like blockchain. But new technology alone cannot drive real world adoption and change, without the financial and economic incentives to use it.

So, why is DLT being used to tokenize real-world assets today and how have incentives aligned across economic agents – from retail investors, asset managers, corporates, financial firms, securities depositories and exchanges – to motivate this adoption? Beyond the macro, state-level motivation for attracting capital to fund the AI race and US deficits, we argue that private agents in the financial system are also likely to be deeply invested for their own reasons.

First, the revolution in overseas retail trading demonstrates the case for widening access to markets. Retail trading has been spurred on in recent years by a number of developments: from Covid lockdowns, the rise of zero-commission platforms, social media, fintech brokerages, improved access to information and charting, and even tax incentives to increase financialization of household savings (i.e., Japan's NISA program). Korea is arguably the poster child of the retail revolution, and offers a potential template for what might become possible at a global scale if technology is used to lower hurdles for entry. Korea represents 2% of global nominal GDP, but accounted for 10% of the \$740bn of foreign equity inflows to the US last year, a lot of which were powered by retail investors, or the "seohakaemi" (overseas stock ants). Access arguably played a big role. Korea began allowing for the fractional trading of foreign stocks by certain Korean brokerages as early as 2019, even earlier than for domestic stocks. Korean brokerages also signed up with a number of US alternative trading systems that offered daytime trading of US stocks in Korean hours. The combination of a highly digitized, connected population with lower hurdles for access was a dramatic flow of Korean capital into US equities. To us, the case of Korea demonstrates what is possible if US markets were to become easily



accessible 24/7 to everyone.

Second, corporates and institutions still face a number of inefficiencies around cash and capital in traditional off-chain markets. We focus on three examples here: trapped cash for settlement, inefficient collateral management, and manual corporate actions. While securities markets in the US have successfully moved from T+2 to T+1, this gap still involves the lock-up of capital to act as a backstop for trade settlement. If securities and payments were to settle atomically and instantly on blockchain, this could free up a huge amount of capital. Collateral markets are also still relatively inflexible today. Today, repo markets allow financial entities to borrow cash in exchange for lending collateral like US Treasuries. Repos are structured around overnight to longer-term financing and are constrained by end-of-day settlement cycles and operational windows. Digital assets held on a blockchain could arguably be posted instantly for much shorter periods, creating intraday repo possibilities and increasing the velocity of collateral. As a final example, NASDAQ highlights that processing corporate actions today alone "carries costs of more than \$58 billion across the industry, driven by fragmented systems, manual workflows, and duplicative record-keeping." The programmability offered by digital assets would help address this as corporate actions could be programmed into smart contracts attached to the asset. In sum, there are clear incentives for agents – from corporate issuers to institutional asset managers – to embrace a tokenized asset environment.

Third, the tokenization train had already left the station but was at risk of being mediated via third-party offerings and fragmenting market liquidity. In the traditional space, we note that fund managers like Blackrock and Templeton had already begun issuing some of their funds like BUIDL and FBOXX on public blockchains. This involved making the funds accessible as digital tokens, but importantly the underlying assets themselves remained off-chain in traditional financial instruments. More importantly, the presence of blockchain technology has allowed for entry and innovation by new private players that have begun offering US assets as digital tokens on blockchain rails. New tokenized equity frameworks offer *representations* of real US stocks and ETFs, backed 1:1 by underlying traditional equities, held in regulated custody, and issued as on-chain tokens on many different blockchains. They are available to non-US clients in 100+ countries, and allow fractional purchases with as little as \$1 in select US stocks and ETFs, some of which are available to trade 24/7. They do *not*, however, confer shareholder rights like voting or dividends in cash – instead, they offer price exposure to the underlying asset in an always-on format, via a *third-party* token. If tokenization was already underway, the incentive for traditional asset managers and exchanges to be part of the process was becoming more evident – to avoid losing funds and liquidity to third parties. Rather than simply tokenizing *claims* on US securities, developments underway are now building the infrastructure to allow underlying US securities *themselves* to be issued, traded, and held as tokens.

As we discuss in the next section, asset tokenization is not a futuristic or frontier concept – it is live and is now happening at the heart of traditional markets, led by core players in the US financial ecosystem.

What is happening?

In a nutshell: tokenization is going mainstream, with adoption by core, traditional financial players. Securities depositories and exchanges under the aegis of regulatory guidance are building the market infrastructure to tokenize the US asset universe, with participation from asset managers and banks.



Regulatory efforts arguably kicked off in force with the launch of [Project Crypto](#) by the SEC in July 2025, alongside the [White House's Digital Asset Report](#) that called for laying the groundwork for the US to become the deepest and most liquid digital asset market in the world. One of the first tasks was to develop a [taxonomy](#) for crypto assets, where tokenized securities were importantly defined as *remaining "securities"*. In January 2026, Project Crypto evolved into a [joint inter-agency framework](#) between the SEC and the CFTC that would allow for "coordination, coherence, and a unified approach to the federal oversight of crypto asset markets". Crucially, it is actions from regulatory agencies in the US that are driving progress, independent of pending efforts in Congress to pass the CLARITY Act.

The big green light for mainstream tokenization came in December 2025 when the SEC issued the DTC with a ["no-action" letter](#) which legitimized the idea that the same security could trade on two rails. DTC could therefore tokenize assets in its custody from US stocks, ETFs and bonds, and the digital version of these assets would have "the same entitlements, investor protections and ownership rights" as the traditional asset. This was followed up by a [ruling](#) in January 2026 which noted that the "format in which a security is issued or the methods by which holders are recorded (e.g., on-chain vs. off-chain) does not affect application of the federal securities laws". Assets can be held traditionally or in tokenized form (as a digital twin) and they will be treated the same, and will refer to the same security. In other words, **both traditional and tokenized architectures can now coexist, run side-by-side, and be interoperable, with the trust of DTC custody to back them**. While the passage of the CLARITY Act is still pending, the above SEC notifications and the commitment of Project Crypto to bringing US capital markets on chain means that the regulatory umbrella for tokenization has been sufficiently opened. This has been enabling of developments underway this year.

The progress at DTC remains crucial to track. DTC is the main central securities depository in the US – it is the venue where trades settle and clear, and the custodian where financial firms hold their assets. DTC has around \$115 trillion of US assets under its custody. Tokenization at DTC has now begun. In July 2026, the DTC converted the first asset into tokens that were used for real world trades. 40 different financial firms participated. Amongst many examples, the SPDR S&P500 ETF Trust (SPY) – the world's first ETF – was tokenized. In another test, JP Morgan successfully posted tokenized assets to satisfy a margin requirement at the CME. The full set of tests that day can be found [here](#). DTC intends to launch its tokenization service by October 2026, but full-scale tokenization will be a long process. The DTCC CEO has argued it could proceed over many years with markets "crawling, then walking, then running" and the pace to be set by market demand to hold assets as tokens. DTC is beginning by tokenizing the Russell 1000, ETFs, and US Treasuries before widening it out. Market [estimates](#) currently range from \$2tn to \$30tn for the size of the tokenized asset universe by the 2030s, but these estimates may well be revised higher as the infrastructure becomes operational.

US exchanges – NYSE and [NASDAQ](#) – are shifting to accommodate "always-on" trading. In current financial architecture, exchanges are the *trading* layer, where buyers and sellers meet and prices are discovered, while DTC is the *post-trade* infrastructure layer for settlement and custody, maintaining a central record of securities ownership after trades occur. The biggest development at US exchanges is that they are set to move towards round-the-clock trading. NASDAQ has also announced an intention to offer trading 23/5 trading by December 2025, while NYSE is aiming for 22 hours by later this year. As noted earlier, synthetic equities



have already been trading outside market hours on permissionless blockchains and alternative trading systems, so increasing exchange hours will allow that liquidity to come back on exchange, and prevent tokenized equities from becoming off-exchange products that fragment liquidity.

Exchanges are also building new platforms and tools to enable a tokenized trading experience. The NYSE's [new digital platform](#) – being built in conjunction with Securitize – aims to not just offer 24/7 operations, but also instant settlement, fractional share trading, and stablecoin based funding. NASDAQ has also announced the launch of an "[equity token design](#)" that will allow public companies to leverage tokenization to program shareholder engagement from corporate actions to proxy voting. This will address the current condition of third-party digital tokens that offer investors economic exposure but without the underlying shareholder rights and corporate actions. NASDAQ aims to have full tokenization capabilities by 2027.

The first mover advantage

Tokenization is going mainstream in the US and this is happening now: as we have described above, the biggest exchanges and securities depositories are making significant upgrades to allow US asset markets to be traded and held on chain. While tokenization of the US asset universe could proceed over many years, the ship has left the harbour.

With the US moving to provide rapid regulatory clarity and support for the development of tokenized securities, and building the settlement infrastructure to support it, it stands to benefit from a first mover advantage. Not only might the US be setting the standards for what on-chain financial trading and settlement looks like, it could benefit from future network effects. Just as the US benefits from agency over networks like SWIFT and USD correspondent banking, it may exercise them over the future on-chain infrastructure. **If the majority of on-chain private money (stablecoins) is dollarized, and the majority of on-chain assets are US listed, this could reinforce USD payments and capital markets dominance.** And if access to capital is increasingly concentrated in the US, global companies too may be increasingly interested in listing and issuing in the US to access them. As a potential harbinger, it is perhaps notable that SK Hynix made the largest foreign debut in US markets with its \$26.5bn ADR this summer, favouring US markets for their capital raising.

We look at some of the broader implications for markets from the interplay between the AI race and asset tokenization in Part 3.

See next page



Part 3: The future of the dollar, imbalances, and capitalism

In this final section, we look at how the AI race and approach to tokenization could impact the dollar, and how it might shape the future of global imbalances and capitalism itself.

Tokenization meets TINA

US equities already account for more than 50% of global equity market capitalization, and US Treasuries for more than half of OECD sovereign debt. For many investors, this gives US assets "There is No Alternative" status, popularly known as TINA: investors have no alternative but to hold assets which are such a large part of the global market portfolio. The position of US companies in the AI race thus far has further contributed to TINA, with investors compelled to have exposure to technology which could change the world. The ultimate outcome of the AI race will no doubt play an enormous role in whether the US' share of the global market portfolio grows or shrinks: it is not just how earnings and valuation multiples evolve, but also how terminal values of the corporate sector could change, and how debt sustainability could be impacted.

TINA is already playing a big role in attracting capital to the US, but tokenization could add to this: by making US assets more *attractive* and more *accessible*.

First, on attractiveness. The collateral implications of holding US assets on chain could be very attractive for investors. Fed Governor Cook noted in a [speech](#) that the most significant benefit of tokenization would be implications for capital and liquidity management for institutions. A tokenized US asset becomes more liquid and deployable, and capital and cash thus becomes more productive. In simple terms, you are more likely to hold a tokenized US equity or bond instead of cash, if you can easily repo your tokenized asset on chain when you need liquidity. If the value of US assets is going up, the cost of capital for US firms is going down. **The improved collateral velocity of tokenized assets could be another superpower for US assets, and another arrow in the quiver of US capital attractiveness.**

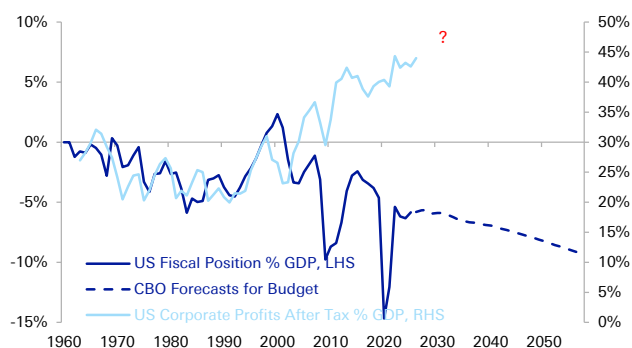
Second, on accessibility. We had argued that stablecoins could give anyone with an internet connection access to the dollar on chain. Asset tokenization could do the same for US assets. **In a world in which US equities and bonds are trading 24/7, with instant settlement and much lower costs and frictions, this could have dramatic knock-on effects on global behaviour, particularly for retail investors that could find access much easier.** We find it notable that [NASDAQ](#) openly acknowledged that "the investor base of public equities has the potential to expand as markets remain open across multiple time zones, making it increasingly important to have modern tools for public issuers to engage with investors worldwide." Tokenization need not also be limited to equities and bonds. One can imagine a world in which a person with even \$1 in a place 10,000 miles away could own a tiny fraction of a tokenized Times Square on chain.

From an FX perspective, if tokenization succeeds in making US assets more attractive and accessible, this could help attract private capital flows. It is perhaps not surprising that the US is leveraging the power of technology – both AI and blockchain – to attract more foreign private capital at a time when US geopolitical leadership could be under pressure (see important examples [here](#), [here](#), and [here](#)) and crucially when US fiscal deficits have been widening. Both increase the need for alternative sources of private sector funding. **The US is arguably going "all-in" on private capital to offset public sector vulnerabilities.**



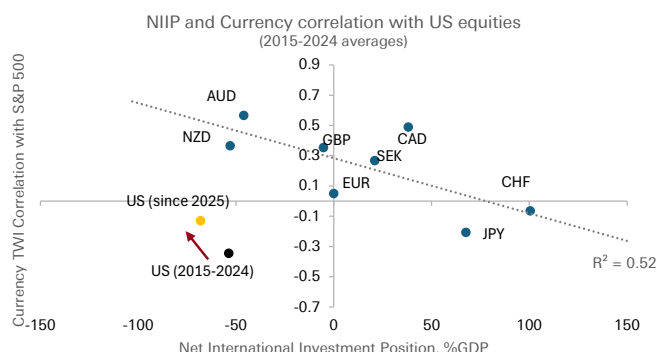
But lowering the hurdles for inbound capital, also exposes the US to capital going out. Tokenization would meaningfully increase capital mobility, in and out of US assets. The shift in US funding towards private sector, potentially shorter-term flows into equities – motivated largely by technology returns – will make the dollar riskier, more equity sensitive, and leveraged to the AI race. We have covered in earlier research how the dollar's historical properties of diversifying equity risk could be waning, with the dollar likely to become more positively correlated to risk. If for instance, AI proves uneconomical or the US starts to fall behind in the AI race, the dollar could be very exposed.

Figure 8: The US is increasing reliance on private capital - motivated by technology leadership - at a time of growing public sector vulnerability



Source : Deutsche Bank, Federal Reserve Bank of St Louis, CBO

Figure 9: The dollar is becoming a weaker diversifier for equity risk



Source : Deutsche Bank, Haver Analytics, Bloomberg Finance LP

Europe is on board, but China is taking a very different approach

How does the highly enabling regulatory environment towards tokenization in the US compare with the other major economic blocs, namely Europe and China?

Europe has been receptive to the opportunity presented by tokenization.

Europe's DLT Pilot Regime introduced a regulatory sandbox for institutions to test the trading and settlement of tokenized securities on DLT as early as March 2023, even earlier than the US. ECB Governor [Lagarde](#) has noted that tokenization offers the prospect for Europe to "tackle the fragmentation that has held us back for decades." Note that Europe has over 30 central securities depositories across the union. An integrated market for tokenized assets could allow Europe to "leapfrog the fragmentation of existing legacy systems" (ECB). Europe has also embraced the role of tokenized securities as collateral, with DLT assets held in European CSD's eligible as collateral at [Euroclear](#) from March 2026. This puts digital assets on the same footing as traditional ones in Europe.

Where Europe sits apart from the US is perhaps in: the scale of its crypto ambitions, an explicit commitment to retaining a two-tier monetary system with central bank money as the final settlement asset, and the size of the AI economy itself. Europe is alive to the opportunities presented by tokenization for market unification – an important step to increasing Europe's capital market attractiveness, but the US arguably has more clearly stated ambitions to become "the crypto capital of the world". Moreover, Europe appears committed to keeping central bank money as the final settlement instrument between financial institutions even in a tokenized world, with initiatives like Pontes and Appia



underlying this. In the US, it remains to be seen whether private stablecoins become the primary instrument of settlement, disintermediating central bank money, or whether the existing system of bank deposits and reserves is tokenized. Ultimately, the biggest divide between Europe and the US is in the AI economy itself – Europe has a much smaller footprint in data centres and independent AI labs, and thus may not be where the appetite to raise or deploy capital – even in a tokenized asset world – is most compelling.

Meanwhile, China is taking a very different approach altogether; while the US is embracing stablecoins and RWA tokenization, China is tightly controlling – if not restricting – them. In February 2026, the PBOC and CSRC along with eight other national organization issued [a notice](#) that updated China's 2021 ban on crypto-related activities. The notice defined RWA tokenization and tightened regulation around it – noting that such activity or intermediation of it was prohibited in China, except with regulatory approval on specific financial infrastructure ([Xinhua](#)). The notice also banned entities from issuing stablecoins pegged to RMB abroad, without regulatory approval. We note that Chinese regulators prevented Ant Group and JD.Com from proceeding with plans for yuan stablecoins in Hong Kong in October 2025. Instead, in January this year, PBOC began to allow payment of interest on e-CNY, retail CBDC deposits suggesting relative encouragement for controlled forms of central bank digital money. We look further at some of the drivers of this very divergent approach between the US and China.

Open markets versus open technology

The US is pursuing a hyper-capitalist approach in the AI race: throwing open the doors for private capital to fund large capex, and using the power of asset tokenization to supercharge it. We call this the open markets approach. Under the US model of shareholder capitalism, US companies prioritize profit maximization, keep AI model weights closed to allow companies to control pricing via subscriptions, and offer the carrot of return participation to shareholders to attract in global capital. The US then uses those huge sums of capital to make large capital investments to innovate and stay ahead of the competition. Importantly, the open markets approach is paired with a closed technology one.

China is taking a very different approach in the AI race, pushing out lower-cost models with open-weights into the world. We call this the open technology approach, and it is paired with a closed markets one. Chinese companies are not only achieving similar model results, and charging clients less for tokens, they are offering their models with open-weights. Open weights allows users to download and customize models on their own servers, promoting global proliferation and usage among corporates. See more from the DB Research Institute on this [here](#). China may be counting on the same penetration of its AI models around the world as it has achieved with manufactured goods. One can perhaps start to look at China's approach to AI as an extension of China's broader involution approach to manufacturing where state-based alignment combined with fierce domestic competition achieves low pricing, improving quality, rising market share and ultimately industrial dominance. That China is now trying this in the technology space, where the US has thus far remained a leader, bears close watching. The US' open markets are meeting China's open weights.

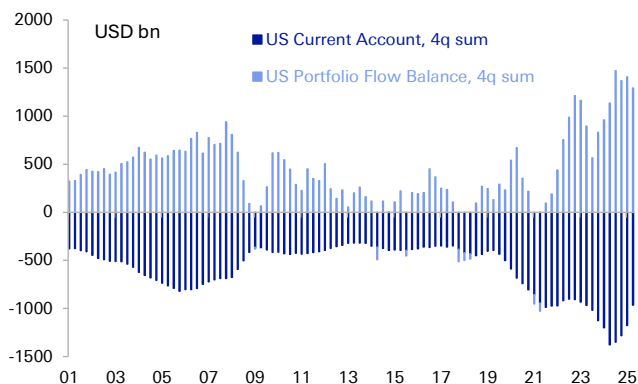
In sum, the US is taking an "open markets-closed technology" approach to the AI race, while China is taking an "open technology-closed markets" approach. This divergence is not just a reflection of different economic models, but underlying global imbalances, and very different needs for global funding.



A test for global imbalances and capitalism itself

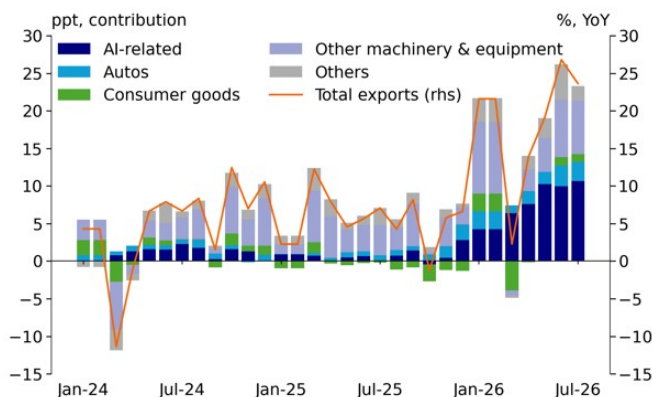
The US' open embrace of tokenization, compared to China's more closed approach to foreign capital is a reflection of underlying imbalances. The US' current account deficit combined with a fiscal deficit means the US requires foreign financing to fund incremental private capital expenditure, in the absence of domestic fiscal savings. In comparison, China is running a large and growing current account surplus, reflective of excess savings. China's trade surplus is in fact growing – with the AI cycle boosting AI-related exports. China does not need to turn to foreign capital because it can fund capital expenditures from abundant current account savings. This affords China the ability to maintain a more managed capital account, and explains the relatively restrictive approach to the high-speed blockchain rails that the US is so actively building.

Figure 10: The US is dependent on foreign capital flows to fund its deficits



Source : Deutsche Bank, Haver Analytics

Figure 11: Chinese exports are growing even faster as a result of AI



Source : Deutsche Bank, CEIC
Note: See "China Macro: Trade Imbalance and Rates Divergence" (31 Aug 2026)

The AI race could further reshape the state of global imbalances. As one potential path, imbalances could become more extreme. If China leverages AI to make industry even more efficient, adopting it for production and industrial automation, this could boost China's manufacturing dominance and good-driven surplus. One can imagine an alternative scenario in which the US current account improves, narrowing global imbalances. We have written in earlier research how AI revenue streams could help the US current account by around 1% over the coming decade via higher services exports. But this is crucially dependent on US AI labs retaining pricing power with private subscribers, and monetizing an international subscriber base. But China's low-cost, high-proliferation approach could cap the excess profits of US AI companies, and their ability to sell intellectual property for profit. How things evolve may come down to whether US and Chinese models become complements that coexist and serve different market segments, or whether they become substitutes in a winner-takes-all outcome. There is a lot at stake.

Ultimately, the AI race between US and China is more than a battle between AI models. It is a battle between economic models. The US is doubling down on capitalism: operating on the premise that increasing capital market openness will pull in the funding for large AI capital expenditures; in turn, this will help the US remain dominant in AI technology, allow corporates to maintain pricing power, and for the US to pull ahead in the race. Meanwhile, China does not need to leverage open markets to attract capital flows. China's industrial dominance and record



trade surpluses mean it has ample and cheap sources of domestic funding. This allows China to keep a more closed market approach that need not prioritize profits firsthand, and allows it to compete with low-cost, open-weight AI offerings. If China's approach starts to undercut US profits, this could threaten the US model of shareholder capitalism, which has become critical not only to attracting funding for AI, but for growing US deficits. China's challenge is not only about technology, but the central maxim of US power: that free and open capital markets always deliver the winning innovation. The AI race is a big test for capitalism itself.



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the US this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



The good, the bad and the ugly

September 03, 2026

- As the summer holidays come to an end, we take a look at the three questions that are likely to occupy our time in the months ahead: Is the euro area economy proving resilient to the energy shock? Will the ECB stop at 2.50% or continue hiking until policy is restrictive? And will public finances and elections prove a destabilising combination?
- The European economy is proving remarkably resilient, with some elements of positive demand shock offsetting the negative energy supply shock. Expectations are improving, but some caution is still needed: the energy shock is not over and the AI trade deficit is widening.
- With respect to the ECB, a rapid normalisation of energy prices may be needed to stop the hiking cycle at 2.50%. That said, the inflation outlook is not yet consistent with an outright restrictive stance either.
- Budget season is about to begin, debt dynamics are vulnerable and elections imply political risk and market volatility. The degree of tightening of financial conditions will be a function of political choices, the resilience (or not) of growth and the restrictiveness (or not) of ECB policy.

Q1: Is the euro area economy proving resilient to the energy shock?

Strictly speaking, as a net energy importer the euro area should be highly exposed to the negative energy supply shock triggered by the Iran war. In any case, HICP inflation jumped to 3.0% in Q2, 1.2pp higher than expected at the start of the year. The household real income shock alone should have knocked more than 0.5pp off GDP.

And yet euro area GDP was not weak in Q2, it was surprisingly strong. At 0.44% qoq, GDP growth exceeded expectations. We don't have detailed components yet, but on the basis of available data household consumption grew despite the inflation shock.

It is possible that elevated household savings buffered the real income shock on the assumption that it would be fleeting. There was also a targeted and temporary easing of fiscal policy (lower energy taxes), but this was not substantial and only moderated the rise in inflation slightly. That said, the euro area fiscal stance was already easy for 2026. Not nearly as easy as 2022, and skewed heavily towards Germany. But the stance is easy, not tight.

Most encouraging are the signals of rising investment spending: the BLS points to demand for loans for fixed asset investment, the flow of long-term loans to corporates has been a little volatile but hints at investment spending, and the rise in German industrial orders from elsewhere in the euro area has historically been consistent with a euro area investment cycle too.

Authors

Mark Wall

Chief Economist

Clemente Delucia

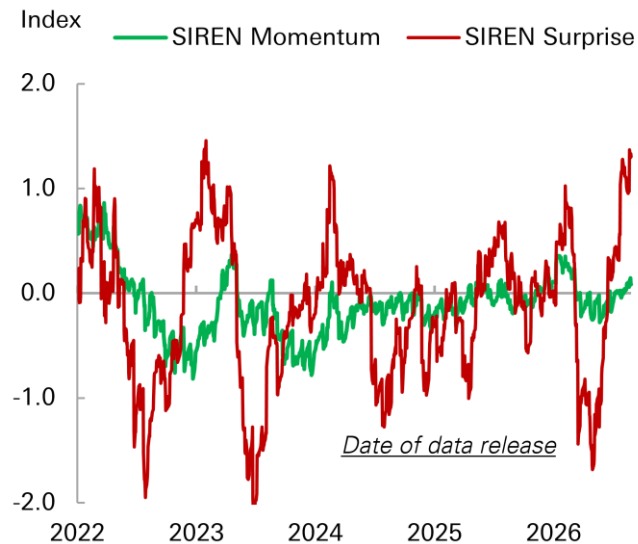
Senior Economist

Yacine Rouimi

Senior Economist

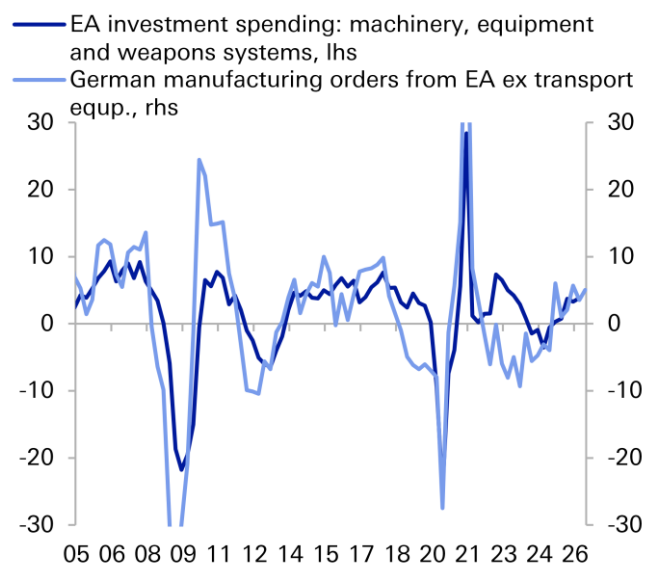


Figure 1: Euro area activity data showing strong surprises and building momentum



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 2: Encouraging signals of a capex cycle building



Source: Eurostat, German Federal Statistics Office, Haver Analytics LP, Deutsche Bank Research

We need to be careful. We might be seeing the lagged transmission of the earlier ECB rate cuts. Private sector balance sheets are healthy, which would aid transmission. Maybe structural demand from AI investment and defence spending is offsetting higher energy costs and geopolitical uncertainty.

In short, maybe what Europe is facing is a positive demand story, not just a negative supply story. Having quickly dropped to 48.8 in April, the composite PMI rose to 52.1 in August and might have been higher were it not for heat-related headwinds in services.

That said, there are reasons to be cautious about growth.

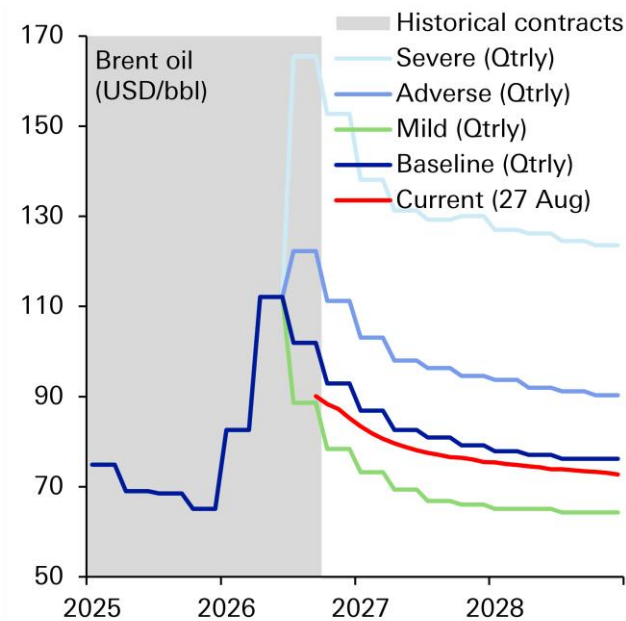
The energy shock is not over. Gas prices have reached a new high for the year, raising the prospect of an electricity-based production cost shock to add to the existing oil-based transport cost shock.

The energy shock might also be masked by temporary factors like stock-building. The shock in the Middle East went beyond energy into chemicals and metals. There was a threat to global supply chains. Fear of disruption might have triggered stock-building, which might explain why manufacturing has held up.

There is no evidence of domestic inventory building. But Europe might have benefited from temporary stock-building in its export partners. This might help explain export resilience.

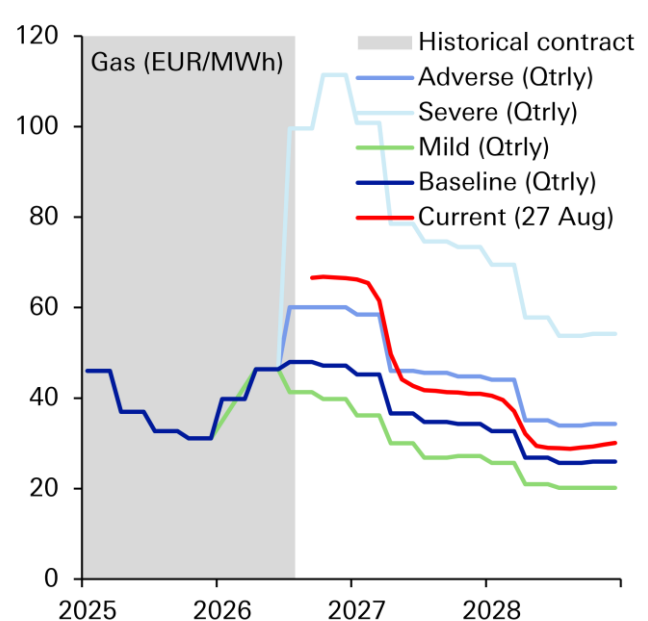


Figure 3: Oil prices vs. ECB baseline and alternative scenarios



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 4: Gas prices vs ECB baseline and alternative scenarios



Source: Bloomberg Finance LP, Deutsche Bank Research

AI investment spending should keep rising. But the AI spending boom might be less beneficial for GDP than it appears, however, as Europe's AI-related trade deficit is widening as both AI-related exports weaken and AI-related imports grow.

Monetary policy is tightening too, which will restrain growth with a lag (see our latest review of upstream and downstream financial conditions [here](#)). Concerns about sovereign debt sustainability could generate additional growth-sapping risk premia.

Finally, competitiveness remains weak and the Second China Shock and increasingly direct competition with China could weaken European production and employment.

The bottom line is the economy has been remarkably resilient to the energy shock so far and our euro area GDP forecasts are probably too low at 0.5% in 2026 and 1.1% in 2027 (our German team have raised their 2026 forecast from 0.5% to closer to 1.0%).

Q2: Will the ECB stop at 2.50% or continue hiking until policy is restrictive?

Since early March we have been expecting the ECB to hike twice (Jun and Sep), raising the policy rate to 2.50%, the upper end of the range of neutral. This felt like good risk management. It signals the ECB commitment to price stability on the one hand without overly burdening economic growth in the context of a negative supply shock on the other.

If growth was weakening amid a supply shock, inflation expectations were comprehensively anchored and data showed no risk of energy price pass-



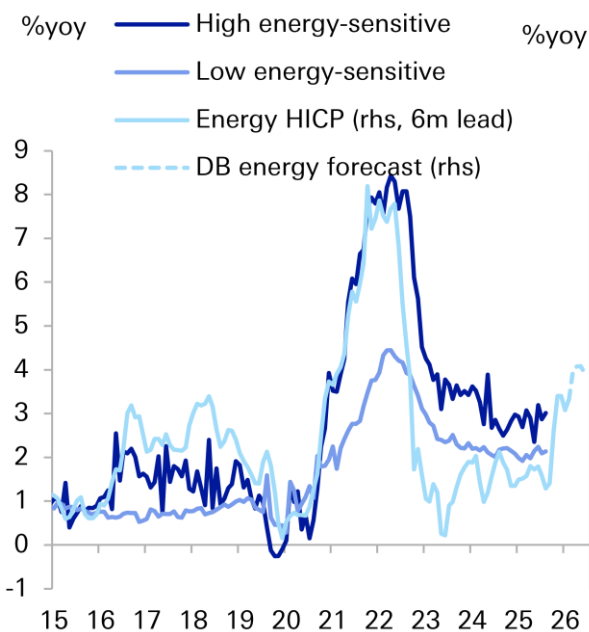
through, it would be easier to call into question the ECB's decision to hike rather than "look through" this energy supply shock.

In the round, the data, the ECB messaging (even this week Isabel Schnabel said the market "very well" understands the ECB reaction function, repeating what President Lagarde said in the July press conference) and the lack of resolution in the Middle East and still elevated energy prices mean a hike to 2.50% in September seems all but certain. Indeed, this is the impression from the July ECB Accounts. The question is, will the ECB stop there?

There are two scenarios in which the ECB hikes to 2.75%.

In one scenario, the ECB concludes that the upper end of the range of neutral is 2.75% rather than 2.50%. The persistent strength of credit growth in recent months despite higher lending rates and despite banks saying that lending standards are tightening might reveal that neutral is higher than expected. The scale of fiscal easing, even if led by Germany, could push r^* higher. If this is right, the hurdle to raising policy rates to 2.75% might be lower than assumed and might not need strong or clear evidence of indirect or second-round inflation.

Figure 5: Maybe it's too soon to expect indirect energy effect to show up



Source: Eurostat, Haver Analytics LP, Deutsche Bank Research

Figure 6: The credit impulse is consistent with a robust domestic economy



Source: ECB, Eurostat, Haver Analytics LP, Deutsche Bank Research

The argument is not one-sided. The strength of credit growth might reflect the lagged transmission of the earlier cuts rather than a higher neutral rate. In any case, our composite indicator of restrictiveness, based on a range of data that might reveal neutral, says that policy was still mildly restrictive in mid-2026 when the ECB started to hike. If that's right, it might be more difficult to argue 2.75% is still within the range of neutral.

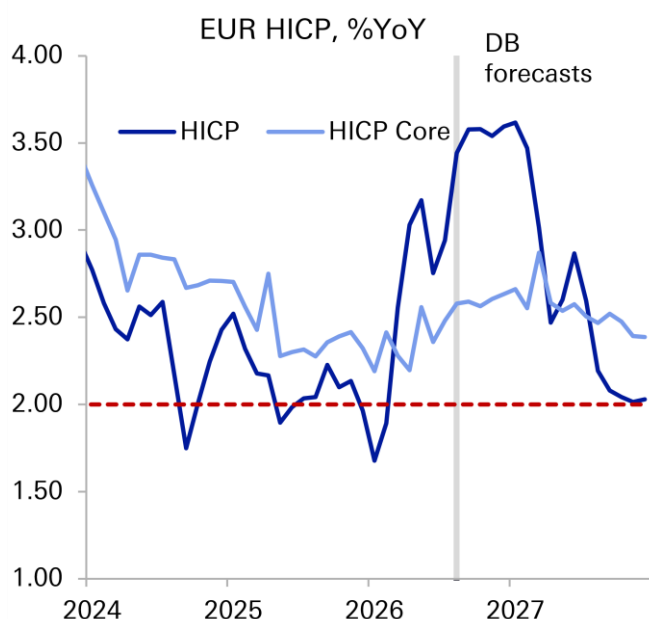


The other scenario for getting to 2.75% (or higher) is the ECB decides that a restrictive policy stance is appropriate. In the ECB's current framework, this means moving from a "measured" tightening to a "forceful" tightening. This requires the ECB to believe that the inflation shock is moving from a 'large but not too persistent' shock to a 'more significant and sustained overshoot of the target'.

There are different routes to believing in a more significant and sustained overshoot of the inflation target.

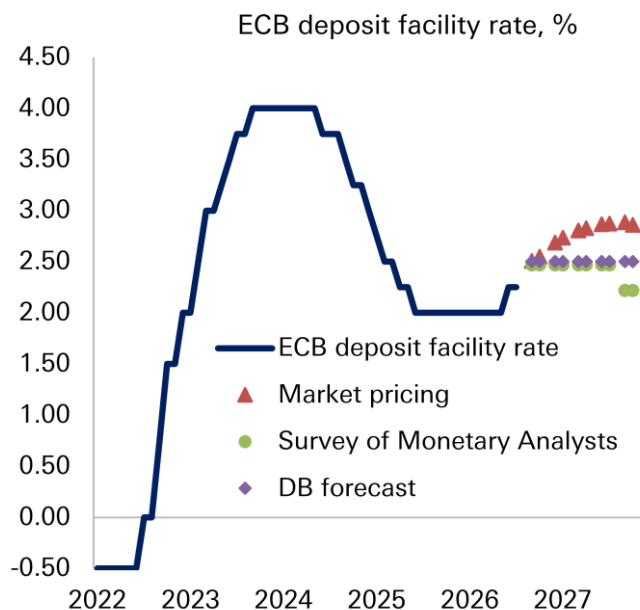
One would be if energy prices remain at elevated levels for longer than expected. Oil prices are in line with baseline, but gas prices are more consistent with the adverse scenario (at least in the near term). Given the lagged transmission of rising gas prices into inflation, this could add persistence to the headline HICP shock, lengthening the period during which energy inflation could spillover into core.

Figure 7: Headline and core HICP: DB forecasts



Source: Eurostat, Haver Analytics LP, Deutsche Bank Research

Figure 8: ECB policy rates: Market priced hikes to 2.75-3.00%



Source: ECB, Bloomberg Finance LP, Deutsche Bank Research

Another way would be if larger than expected indirect effects and in particular second-round effects materialised. So far, there is no compelling evidence of indirect effects and no evidence of second-round effects. However, both would only materialise with a lag. For example, it was six months before high energy-sensitive core HICP started rising in the 2022 shock.

A third way would be if stronger growth added persistence risk to inflation. The recent resilience of growth would add to this risk if it lasts. That said, if AI lifts productivity, the additional growth might not be as inflationary.

How the ECB staff forecasts change in September will be very important to the outlook for monetary policy. In June, the baseline forecast had core HICP



averaging 2.5% in 2027 and staying at least 30bp above target through the year. Importantly, however, headline HICP was expected to be back down to the 2% target from Q3-27 and stay there through to the end of 2028.

It is important to remember the baseline staff forecast in June was conditioned on policy rates rising to 2.75%. But despite sticky core inflation, it is difficult to imagine monetary policy tightening much further if headline inflation is sustainably returning to target within a year.

As such, the near-term path for policy could depend critically on whether the Governing Council believes core inflation will converge down to headline in the medium term or headline converges up to core. The former is less hawkish, the latter is more hawkish.

Which of these two outcomes seems more or less likely to the Governing Council will depend on how it judges the risk of inflation persistence. This is a function of pricing power, bargaining power and purchasing power. Our view is there is some risk of persistence, but not as much as 2022 and not enough to warrant an outright restrictive policy stance. Not yet, at least.

Our 2.50% baseline might be too optimistic, but 3.00% feels too restrictive. 2.75% is a grey zone: a non-negligible possibility unless the situation in the Middle East is resolved quickly and energy prices normalise rapidly. Our work on policy rules shows that the ECB 'baseline' scenario macro forecasts are consistent with 2.75%. The 'milder' scenario forecasts are consistent with 2.50%.

There may not be any new policy signals from the ECB at the Jackson Hole symposium. Unlike in the past, there is no global policymaker panel. Isabel Schnabel is the ECB member on the official agenda – speaking about tokenized finance. However, markets will be on the watch for press interviews by ECB attendees.

Q3: Will public finances and elections prove a destabilising combination?

The environment around European public finances is becoming more challenging for a number of reasons. Government bond markets are under pressure globally, driven currently by the US. The 'i minus g' gap at the heart of debt dynamics is becoming less favourable as the benefits of the low rates regime of the last decade expire, amplified by rising inflation risk, tighter monetary policy, rising term premia and generally low rates of economic growth.

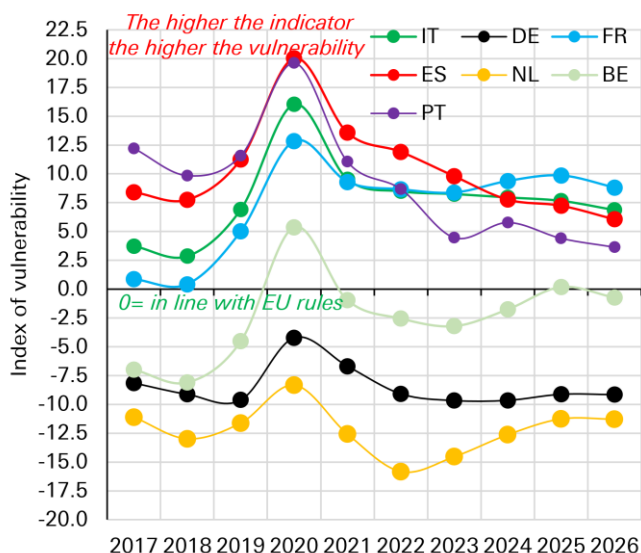
At the same time, public debt to GDP ratios have not returned to pre-pandemic levels, fiscal vulnerability is elevated even when accounting for improved external balances, and European governments are facing numerous spending demands, from defence and energy to climate change and technology.

The combination of more vulnerable public finances and elections in several significant member states over the next 12 months creates the potential for tighter financial conditions. National elections lie ahead in Italy, Spain, Greece, Finland, Estonia, Poland and, perhaps most consequentially, in France. Financial conditions are well-behaved so far (the ECB's state-of-the-art Macro-Finance FCI has hardly tightened). The degree of tightening of financial conditions going



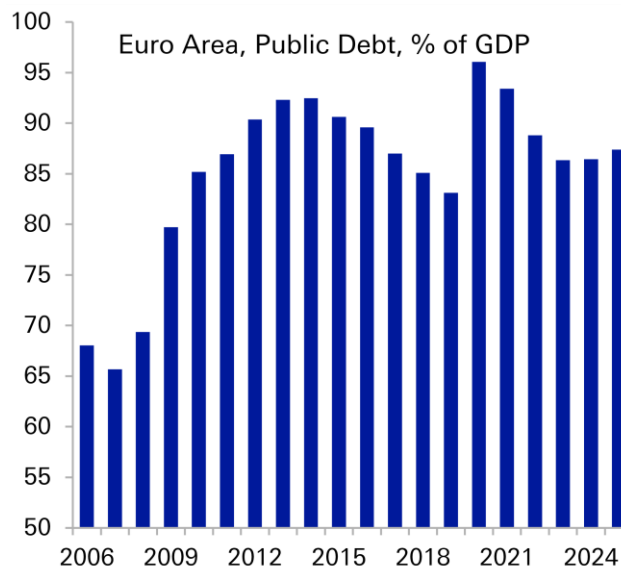
forward will be a function of the fiscal policy choices made by governments, the resilience (or not) of growth and the restrictiveness (or not) of ECB policy.

Figure 9: DB fiscal vulnerability indicator incl. net external position – France most vulnerable



Source: European Commission, Deutsche Bank Research

Figure 10: Public debt remains high and above pre-pandemic levels



Source: European Commission, Deutsche Bank Research

With regard to France, the opinion polls say that Rassemblement National (RN) has a credible path to winning the Presidency with Marine Le Pen. If that happens, there is a good chance an early legislative election will be called too.

OAT markets have been on edge since President Macron's ill-judged legislative election in 2024 resulted in a deeply divided parliament with little capacity to drive strong fiscal consolidation. On the basis of what is known at the moment, there is a lack of a credible consolidation trajectory in the RN fiscal plans. Even under moderately optimistic assumptions about consolidation, France's debt ratio will likely remain broadly flat in the range of 120-125% of GDP over the next decade. A flat trajectory means vulnerability to any new negative surprises on growth, funding costs and/or deficits – and as we have said before, the deficit is under pressure from inflation (indexed spending), legacy policy decisions (stalling the pension reform), defence, ageing, etc.

Much will depend on the course of French fiscal policy, particularly RN's fiscal policy. This could be revealed in three distinct stages over the year ahead.

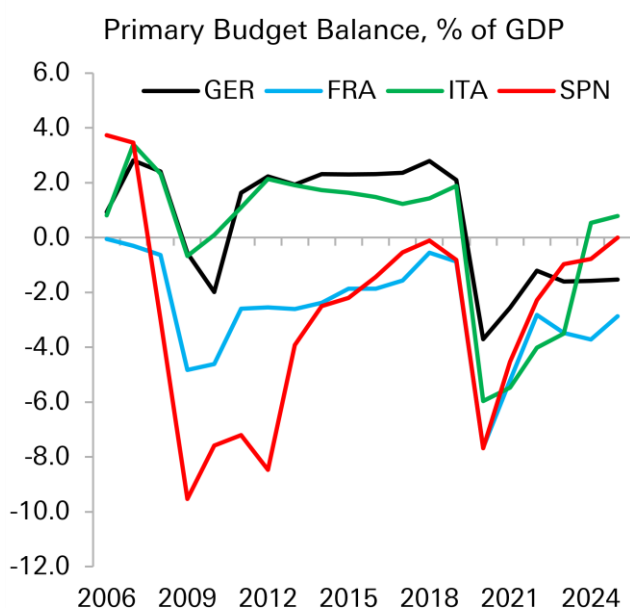
- **The 2027 budget.** The incumbent Lecornu government needs to have a budget agreed by year-end. A deeply divided parliament and approaching election will make strong consolidation difficult. Importantly, however, RN is signaling that it won't oppose a budget. The alternative ("special law") would mean a less stable financial position in 2027. RN would prefer to have some breathing space if it is elected.
- **The election campaign.** This will reveal more about RN's fiscal plans. The limited details available so far imply a wider deficit. However, RN's fiscal



identity is unclear and RN President Bardella's admiration for Italy's market-friendly fiscal stance under PM Meloni suggests an understanding of the benefits of a stable bond market. The extent of the RN's intention to challenge Brussels will be important too. This could influence market confidence in the availability of European backstops (ECB TPI, ESM, etc).

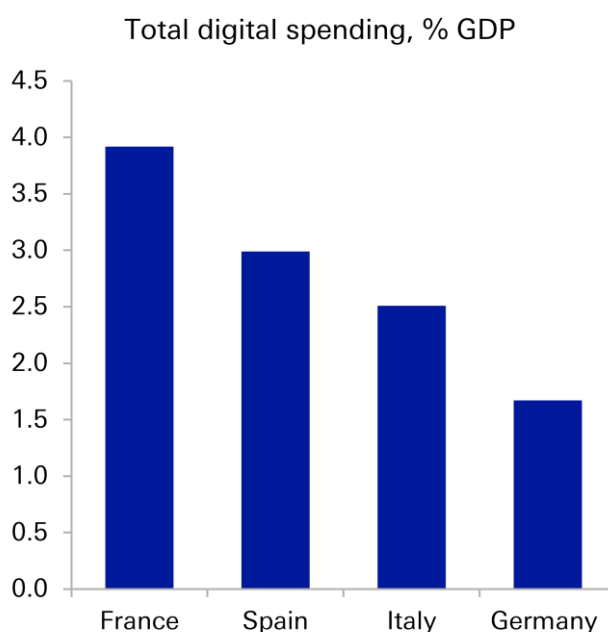
- **Post-election decisions.** Assuming an RN President would dissolve parliament in the spring to trigger legislative elections by the summer, the first task for the new parliament would be the preparation of the 2028 budget. This assumes a budget for 2027 has already been passed. If France is operating under a special law, a 2027 budget would take immediate precedence. These would reveal RN's fiscal plans and their consistency with EU rules.

Figure 11: France has the largest primary deficit among the Big4...



Source: European Commission, Deutsche Bank Research

Figure 12: ...but France might have better growth prospects, helped by AI (digital investment spending)



Source: Eurostat, Deutsche Bank Research

Counterbalances. France will be the focal point for the market. As we have argued (here, here and here), the key theme for investors is not outright regime change, but a constant, volatility-inducing push and pull between RN's political objectives – shifting in places – and the fiscal, legal, and market constraints that would ultimately shape its capacity to govern. The push for political change will generate friction.

There are several buffers that could help keep the country off the more challenging paths.

- **The market is already pricing weak fundamentals.** French yields have been gradually adjusting to these weak fundamentals over the last couple



of years. For example, the current yield already anticipated further credit downgrades.

- **Robust banking.** French banks are well-capitalised and unlike the crisis-hit periphery a decade and a half ago hold relatively little direct exposure to OATs. As a global safe asset, OATs are widely held abroad.
- **Backstops.** Unlike the sovereign debt crisis 15 years ago, there are backstops in place. For example, the ESM can lend to crisis-hit member states and the ECB can intervene in the market for eligible member states with TPI. If foreign investors offload OATs in scale, the French banks have some capacity. However, as bank exposure increases, the potential for a more destabilising sovereign/banking doom-loop would increase.
- **Economic growth.** There are several reasons why French economic growth could outperform its peers and help stabilise debt. One is AI. Among the larger member states, France is spending the most on digital investment and was the only EU member state to launch a notable AI model in 2025 (50 in the US). France is also relatively more exposed to defence production, and among the larger EU member states has relatively favourable demographics.



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



The Great Rebalancing (4/5): The connectivity chokepoint

September 02, 2026

- Digital connectivity—the transmission of data through terrestrial fibre, mobile networks, subsea cables and satellites—has become a critical arena of geopolitical competition.
- The Internet's physical infrastructure is increasingly viewed as a source of strategic leverage, resilience and vulnerability.
- In the era of “infrastructure realism,” the contest increasingly involves both states and hyperscalers such as Google, Meta, Microsoft and Amazon, whose AI and cloud ambitions are reshaping global connectivity infrastructure.

Digital connectivity has become a central arena of great-power competition. While states have long used communications infrastructure to project influence and control, in the age of AI, the contest to dominate digital networks has become a defining geopolitical frontier as countries and – increasingly – private actors look to win the AI race.¹

This chapter in our Infrastructure Realism series examines the physical systems that enable digital connectivity: undersea cables and communications satellites. We assess their role on the Internet—the largest and most consequential connectivity network—and the strategic advantages and vulnerabilities they create for state actors.

Subsea cables are indispensable to the global economy. They carry more than 99% of intercontinental data traffic, making sabotage or prolonged disruption a direct threat to global Internet connectivity.² Satellites carry only a small share of international data, but they are crucial for last-mile access where fiber cannot reach, particularly for governments and defense users. As we go on to explore, the rise of communications-based satellites is also becoming integral to the global AI race.

Several incidents have underscored the criticality of connectivity infrastructure. In April, reports of Russian surveillance near UK cables and pipelines raised concerns.³ In May, amid conflict in the Middle East, Iran threatened to sever undersea cables in the Red Sea. Iran's IRGC, also floated the idea, through state-affiliated media, of charging foreign operators infrastructure fees and licensing royalties for routes through Iranian territorial waters.⁴ This would have significant implications for hyperscalers such as Meta, Google and Microsoft, which rely on these corridors for portions of their international traffic and cloud connectivity.

Authors

Marion Laboure, PhD
Research Analyst

Camilla Siazon
Research Analyst

¹ The first instance of communications sabotage was during WW1, when the British cut Germany's undersea telegraph cables in the English Channel, forcing German telegraph traffic onto British-controlled networks that could be intercepted. And in the 21st century, autocratic states like Iran and Russia have imposed internet shutdowns to control their population / information access.

² The 99% does not account for total global internet traffic, given the vast majority of internet traffic is domestic and does not cross an ocean at all. Instead, the 99% applies to internet traffic that goes between continents. Mauldin, Alan. 2023. 'Do Submarine Cables Account for Over 99% of Intercontinental Data Traffic?'. In *Telegeography.Com*.

³ Olivia Ireland, Thomas Copeland, and Frank Gardner, "UK Says Russia Ran Submarine Operation over Cables and Pipelines," BBC News, April 9, 2026, <https://www.bbc.co.uk/news/articles/cre13qn9z7do>.

⁴ "IRGC Media Float Plan to Levy Fees for Subsea Internet Cables," Amwaj. Media, 2020, <https://amwaj.media/en/media-monitor/irgc-media-floats-plan-to-levy-fees-for-subsea-internet-cables>.



Section 1 explains how the Internet works and traces the physical journey of data, highlighting the points at which state disruption can occur. We give less emphasis to 5G, due to our definition of what constitutes the Internet's infrastructure. This is because while states—most notably China—have used 5G equipment to project influence, 5G is primarily an access network: it links mobile devices to the wider Internet but does not replace the role of subsea cables and satellites.

Sections 2 and 3 analyse subsea cables and communications satellites, detailing the strategic advantages and vulnerabilities of each ecosystem and how states are seeking to consolidate their influence. Finally, Section 4 examines the rise of private actors such as Google and Meta, which are reshaping global connectivity by building their own data corridors and controlling more of the Internet stack to meet rising demand.



1. How connectivity works

1.1 What is the Internet?

The Internet enables global communication, data exchange and access to information through a system of cables, satellites and wireless technologies. It is not a single entity but a common set of protocols that allows independently owned networks to communicate. In this sense, it is a “network of networks” through which data moves across billions of devices.

To move across the Internet, data is broken into small “packets” and routed across different systems using standard protocols. The primary ones are the Transmission Control Protocol (TCP), which ensures the reliability of the connection and data, and the Internet Protocol (IP), which acts as an addressing system to find and route packets to their destination.⁵ Using these protocols, data travels through a global web of fiber-optic cables that connect major network hubs, forming what is known as the Internet Backbone. The process is as follows:

- A packet leaves the user’s device and enters a local access network.⁶ Over fixed broadband, the data packet passes through a Wi-Fi router and then to an Internet service provider (ISP). Over mobile broadband, 5G carries it to a radio base station and the mobile operator’s core network before it reaches the wider Internet.
- From the ISP, the packet is passed from one junction (or router) to the next, crossing multiple networks toward its destination server.
- If the destination server is nearby, the packet may be exchanged at a local Internet Exchange Point (IXP). If it is distant, the ISP routes it onto the backbone, across a country or ocean, and into an ISP at the other end.
- The response takes a similar path back, with each router along the way making forwarding decisions based on the destination IP address.

How one network gets its traffic to the rest of the Internet, and whether it must pay for it, is where key corporations come in. There are two ways networks connect: 1) through transit, where a smaller network pays a larger one to carry its data across the globe, and 2) through peering, where two networks of similar size agree to exchange traffic directly at no cost. Within this system, a hierarchy of companies has emerged.

At the top are Tier 1 network operators, which can reach the entire Internet through settlement-free peering. This small group includes major telecom operators such as Lumen, AT&T, Tata Communications, NTT, Arelion, GTT and Cogent.

Below these are Tier 2 network operators, such as regional carriers and internet service providers like Comcast and Vodafone. These entities primarily purchase transit from Tier 1 providers to reach parts of the internet they cannot access via peering. Finally, Tier 3 network operators rely exclusively on paying for transit from Tier 2s to connect their customers. These are typically the local ISPs that provide Internet service to homes or offices. Therefore, a data packet from a user’s laptop typically travels from a Tier 3 provider to a Tier 2, onto a Tier 1 backbone, across an undersea cable to another Tier 1 network, and then down through the tiers to its destination server.

1.2 How data physically travels

The Internet ultimately depends on physical infrastructure. As we said in step 1 above, the first leg is not always a cable, with mobile technologies like 5G carrying data wirelessly between the user’s device and a nearby base station. Satellite systems can also provide a

⁵ Rus Shuler, “How Does the Internet Work?,” Stanford.Edu, 2002, <https://web.stanford.edu/class/msande91si/www-spr04/readings/week1/InternetWhitepaper.htm>.

⁶ Access networks connect the user’s device or premises to the first point in an Internet or telecom provider’s network. They can be wired or wireless, and in addition to 5G and Wi-Fi mentioned above, other examples are fiber-to-home, cable broadband, and satellite broadband.



wireless connection over much longer distances. Beyond that access layer, however, both systems typically rely on terrestrial fibre and the wider Internet backbone. Most long-distance traffic travels as pulses of light through fibre-optic cables buried on land or laid across the seabed, and each glass strand is thinner than a human hair.

Terrestrial cables handle domestic and regional internet traffic, while undersea fiber-optic cables carry intercontinental internet and telecom traffic. When a user sends data across the globe, it travels through local terrestrial cables to a coastal landing station. This station then transmits the data across the ocean via a subsea cable to a corresponding landing station on another continent, which receives the data and sends it through local terrestrial cables to the destination server.

Satellites complement cables, providing connectivity in remote or disrupted environments where fiber-optic cables cannot reach. There are two different types: traditional satellites, which sit in a fixed, high-altitude orbit, offering broad coverage but with a noticeable delay due to the long signal path. A more recent approach, exemplified by services like Starlink, uses large constellations of thousands of satellites flying much lower to the earth to reduce latency and improve service.

1.3 How the Internet transitioned from a public good to a private advantage

Similar to crypto's arc discussed in this series ([here](#)), the Internet came to symbolise decentralisation during the globalisation and commercialisation of the 1990s and 2000s. Its ability to reroute traffic reinforced the perception that it was neutral and disintermediated. Yet the network depends on physical assets concentrated among a limited number of carriers—and increasingly hyperscalers—that control key digital corridors and possess extensive visibility over network traffic.

Conceived as a “network of networks,” the Internet began as a US government initiative in the 1960s to facilitate information sharing among research universities.⁷ Its predecessor, ARPANET (Advanced Research Projects Agency Network), became the first operational “packet-switching network” in 1969. Famously, its first attempted message – “LOGIN” – crashed the system after only the letters “LO” appeared, an event now widely regarded as the moment the Internet was born. Over the following decades, public researchers cultivated the Internet ecosystem by developing concepts like email, data packet switching, the World Wide Web service (WWW), and the protocols needed to create the Internet ecosystem, all with the goal of keeping the Internet open for all.

By the 1990s, the emergence of major internet exchange providers and the release of WWW software into the public domain enabled millions of people to use the Internet freely.⁸ As private interest in commercializing the Internet grew, the US Congress passed legislation in 1993 that opened access to Internet applications like computing and networking to private enterprise, which had previously only been available to universities and government agencies. This led to thousands of firms entering the market to pursue commercial ventures using TCP/IP technologies.

By 1995, the government agency responsible for overseeing the Internet, NSFNET, was decommissioned and replaced by four privately operated Network Access Points in Washington, New York, Chicago, and California. This marked the Internet's transition from a government-funded academic experiment to a fully private enterprise. The dot-com bubble in the late 1990s and eventual collapse of Internet stocks in the 2000s cleared the way for the companies that today define the modern Internet, including Amazon (1994), eBay (1995), Google (1998) and Facebook (2004). The more recent roll-out of broadband,

⁷ The Department of Defense created ARPA (the Advanced Research Projects Agency) in 1958 in an attempt to lead technological breakthroughs for the military. It was replaced by NSFNET as the main US research network for the Internet in the 1980s.

⁸ The Internet is the global infrastructure of interconnected computers and networks, while the WWW is a service running on that infrastructure, using web browsers to access linked hypertext documents.



fiber-to-the-home, and 3G/4G/5G cellular networks has also helped make the Internet ubiquitous and increasingly mobile.

1.4 Why a decentralized system still creates concentration

No single entity owns the Internet, but a small number of companies and countries control the infrastructure on which it depends on. As a result, the Internet's ecosystem remains highly concentrated across few backbone carriers and transit providers, telecom-equipment suppliers, cable landing stations, and internet exchange points to name a few, thereby creating numerous chokepoints that different countries have raced to ensure a foothold in.⁹

Beyond telecom equipment, the physical layer of digital connectivity is also concentrated. Subsea-cable ownership spans telecom operators, consortia, state-backed entities and technology companies, yet control over capacity, construction, strategic routes and landing points is narrowing. Cable ownership is distinct from Tier 1 backbone status, but the boundary is blurred because operators such as AT&T and Tata also own subsea infrastructure or capacity.

Today, this landscape is also shifting as large content providers have become the dominant users of international bandwidth and increasingly fund, co-own or purchase large allocations of new subsea cable capacity. As we will explain more in section 4, this is flattening the traditional hierarchy, since under these private backbones, hyperscalers are reducing their reliance on traditional Tier 1 transit hierarchy by peering directly with consumer ISPs and even placing their own servers inside those ISP networks.

Figure 1: Notable chokepoints in the connectivity corridor

	Selected key players
Subsea cables (suppliers)	SubCom, Nippon Electric Company (NEC), HMN Technologies, Alcatel Submarine Networks (ASN)
Subsea cables (owners)	Hyperscalers (Google, Meta, Microsoft, Amazon) and Telecom carriers (Orange, Tata, Vodafone, Telstra, China Telecom, China Mobile)
Tier 1 Backbone Operators	Lumen, Arelion, AT&T, Tata Communications, Orange, NTT, GTT and Cogent.
Satellite LEO Constellations	Starlink, OneWeb/Eutelsat, Amazon Kuiper, China SatNet
Telecom Equipment / 5G	Huawei, Ericsson, Nokia, ZTE
Data centres / cloud	AWS, Microsoft Azure, Google Cloud, Alibaba Cloud, Huawei Cloud, Tencent Cloud, Baidu AI Cloud, Oracle Cloud

Source: Deutsche Bank Research, CAIDA.

2. Undersea cables: The invisible backbone of the internet

2.1 How undersea cables work

Subsea cables are long, fiber-optic conduits laid on the seabed that, in total, stretch for more than 1.8 million kilometers. There are approximately 500 active submarine cables around the world, and while many are barely thicker than a garden hose, yet they carry over 99% of all intercontinental data traffic. Their dominance is due to their high capacity, low latency and reliability, which make them ideal for transmitting vast volumes of data and information quickly. While most of the world's cables are laid by just four companies – SubCom (US), Alcatel Submarine Networks (France), Nippon Electric Company (Japan),

⁹The geopolitical case of China's Huawei is one example. As the company that provided many of the physical and software components needed for 5G, Huawei rapidly ascended to become a significant part of the Internet's underlying infrastructure, and thus a critical player in global digital connectivity. This later proved to be a problem during accelerating tensions between China and Western countries, as many nations sought to disentangle themselves from Huawei's supply chains in their telecom networks.

and HMN Technologies (formerly Huawei Marine Networks; China) – it is US hyperscalers who now finance and control most of the new cable capacity.¹⁰

Today, subsea cables are the foundation of the global telecommunications industry because they transfer data and voice traffic more cheaply and quickly than any alternative. Yet for much of the 20th century, the bulk of transoceanic traffic was primarily carried by satellites. The transition only began in 1988 with the installation of TAT-8, the first trans-oceanic fibre-optic cable, which linked the US, the UK and France. This marked the point at which submarine cables began to outperform satellites in volume, speed and cost-effectiveness of data and voice communications.¹¹ Consequently, almost all transoceanic telecommunications are now routed via the submarine cable network, with satellites handling only around 3% of total traffic now, according to ESCAEU.¹²

Figure 2: Global submarine cables, with the most geopolitically contentious corridors



Source: TeleGeography, www.submarinecablemap.com, Deutsche Bank Research.

2.2 Why undersea cables are strategic

Beyond serving as the Internet's backbone, these underwater cables are essential for global trade, finance, cloud computing, and government communications. For example, submarine cables can carry around 375mn simultaneous telephone conversations on 1 fiber optic strand.¹³ The SWIFT network also relies on cables for transmitting financial data to more than 8,300 member financial institutions in 195 countries.¹⁴ It is also estimated that \$10trn worth of financial transactions travel through these subsea cables every day.¹⁵

A 2026 study found that undersea cable disruption also had massive macroeconomic consequences for global economies.¹⁶ Specifically, a typical cable disruption often triggers an immediate 2ppt decline in GDP capita growth for an economy. There is also evidence to show that the impact continues to accumulate over time; within three to six

¹⁰ The number of systems by supplier is ranked by ASN (23), Subom (9), NEC (8), and HMN Tech (6). Data taken between 2021 – 2025. Kieran Clark, "Submarine Telecoms Industry Report," SubTel Forum, October 30, 2025, <https://subtelforum.com/submarine-telecoms-industry-report/>.

¹¹ Carter L., Burnett D., Drew S., Marle G., Hagadorn L., Bartlett-McNeil D., and Irvine N. (2009). Submarine Cables and the Oceans – Connecting the World. UNEP-WCMC Biodiversity Series No. 31. ICPC/UNEP/UNEP-WCMC.

¹² "Submarine Telecommunication Cables." n.d. www.Escaeu.Org. Accessed July 7, 2026. <https://www.escaeu.org/articles/submarine-telecommunications-cables/>.

¹³ Submarine Telecommunication Cables." n.d. www.Escaeu.Org. Accessed July 7, 2026. <https://www.escaeu.org/articles/submarine-telecommunications-cables/>.

¹⁴ Swift data

¹⁵ "Securing Europe's Subsea Data Cables." 2024. Carnegie Endowment for International Peace. 2024. <https://carnegieendowment.org/research/2024/12/securing-europes-subsea-data-cables?lang=en>.

¹⁶ Joël Cariolle. Digital Disasters: The Macroeconomic Costs of Submarine Cable Breaks. 2026. (hal-05544990)



years, the affected country's economy diverges, falling 9 ppts below its non-disrupted neighbors. These disruptions also reduce overall economic efficiency, innovation and labor productivity, followed by a tightening of financial conditions as domestic credit for non-financial private agents' contracts and cross-border banking positions weaken. The study also noted that in countries with fewer international cable relations and/or without internet exchange points, disruptions widen the GDP per capita gap immediately and substantially over the medium run, compared to nearby non-disrupted economies that instead experience offsetting gains consistent with reallocations.¹⁷

These findings highlight a broader point: the resilience of subsea cable infrastructure is not merely a telecommunications issue, but a broader precondition for economic stability and the functioning of modern financial systems.

The strategic importance of these networks is further amplified by the geography of the routes themselves. Because international data traffic is concentrated within a limited number of physical corridors, damage to key cable systems could have magnanimous consequences. One example that illustrates this point is to consider a high-frequency trader in London pulling live market data from a server on Wall Street in New York. The request would be transmitted as packets across terrestrial fibre networks in the UK, where it enters a low-latency transatlantic cable system. Examples of such routes include EXA Infrastructure's Express system, which forms part of the low-latency route between New York and London or Aqua Comm's AEC-1 linking New York and Ireland, and then on to the UK.

Many of these transatlantic cables pass through the GIUK Gap in the Atlantic, a geopolitically sensitive maritime corridor between Greenland, Iceland, and the UK. The passage is contentious because it is a critical chokepoint for NATO maritime surveillance and because it is also increasingly a primary route for Russia's Northern Fleet to access the Atlantic. So this concentration of critical data infrastructure within a militarily significant area creates a potential vulnerability.

As such, subsea cable infrastructure security has become a national priority for several countries, including the EU, US, Japan, India and Australia.

2.3 Undersea cable vulnerabilities

The criticality of subsea cables is heightened by the fact that they can be vulnerable to damage, outages and cyber risks, such as natural or man-made hazards, and hazards to other infrastructure including the landing stations and IT systems that support the cables. This systemic risk is amplified because many global networks rely on a limited number of routers, hubs and suppliers.

Crucially, there is often no "Plan B" when a major cable is disrupted, and there are a reported 150-200 cable faults recorded annually.¹⁸ The challenge is threefold: first, repairs are immensely costly, estimated at \$500,000-\$1mn per incident for a subsea fibre optic cable, and \$10 - \$100mn per incident for a subsea power cable.¹⁹ Second, there are only ~40 specialist cable repair vessels in the entire world, owned by a handful of companies like SubCom, Orange Marine, and HMN Technologies. These vessels operate on a first come first served basis within the consortium's zone agreement. And while the repair ships can mobilize within a 24-hour period, repair time frames vary according to fault location, while the requirement to secure repair permits within territorial or exclusive economic zone waters can be burdensome and significantly delay starting operations.²⁰ Finally, these cables are often concentrated in physical chokepoints – such as along

¹⁷ Joël Cariolle. Digital Disasters: The Macroeconomic Costs of Submarine Cable Breaks. 2026. <hal-05544990>

¹⁸ International Cable Protection Committee.

¹⁹ Qiu, Winston. 2025. "Statistics on Subsea Cable Fault and Repair - Submarine Networks." Submarinenetworks.Com. June 28, 2025. <https://www.submarinenetworks.com/en/nv/insights/statistics-on-subsea-cable-fault-and-repair>.

²⁰ Constable, Mike, Burdette, Lane, Mauldin, Alan. "The Future of Submarine Cable Maintenance: Trends Challenges, and Strategies." June 2025.



shallow straits or continental shelves – that are also areas of geopolitical strife, making conducting any reparations difficult in this environment.

While direct evidence of deliberate cable sabotage has been hard to prove thus far, several incidents of damage to critical undersea infrastructure sites have caught the attention of governments.²¹ The US Congress, in its proposed Strategic Subsea Cables Act of 2026, noted damage to cables connecting the Norwegian mainland with the Norwegian archipelago of Svalbard (2022), multiple cuts to cables in the Taiwan Strait (2023, 2025), and disruptions to cables in the Baltic Sea (2024, 2026) as key examples of this growing threat.²²

Perhaps the more immediate concern for individual users was the threat that emerged earlier this year, when Iran threatened to cut its undersea cables in the Red Sea. Since these routes carry around 17-25% of global internet traffic, the ramifications of such an act would be severe.²³ Even before this threat, subsea cable operators in the Red Sea have been plagued with numerous problems. Yemeni territorial disputes and Houthi attacks on shipping lanes have obstructed the deployment of several new cables – including the 2Africa cable, which is almost complete, and other cables such as the IEX, Africa-1, and Raman, which are still awaiting deployment. The geopolitical strife in the corridor has led to recent reports that all cable projects there have been “delayed indefinitely.”²⁴

Geopolitical risk is rising, but most cable damage remains accidental. The International Cable Protection Committee estimates that fishing gear and ship anchors account for roughly 70–80% of faults.

2.4 State actors responding

Governments have long regarded submarine telecommunications networks as critical infrastructure requiring strong protection (for example, ACMA, 2007).²⁵ More recently, they have also recognized the geopolitical value of controlling these corridors. In 2015, China set a goal of capturing 60% of the fibre-optic cable market through state-backed firms under its Digital Silk Road initiative.²⁶ HMN Technologies (formerly Huawei Marine) is one of four companies that collectively dominate global cable manufacturing.

However, China’s influence is primarily concentrated in the Global South, as Chinese firms have been largely excluded from most Western-connected systems since the US launched its 2020 Clean Network program to counter China’s influence across telecoms and data. Under the Clean Network, Chinese telecom and cable firms were shut out of lucrative bids for cable-laying projects, most notably when HMN Technologies lost the SEA-ME-WE 6 project (running from France to Singapore via the Suez) in 2023 despite its competitive pricing. aChina has pivoted to financing new cable projects connecting Africa, Asia and the Middle East, such as its flagship PEACE cable (Pakistan-East Africa-Europe) and EMA (Europe-Middle East-Asia) project, which is backed by three state-owned telcos: China Telecom, China Mobile, and China Unicom in partnership with Egypt and Saudi Arabia.

Over the last few years, the US has consolidated its toolkit to protect its subsea cable security. In February of this year, the US Congress introduced the bipartisan Strategic

²¹ In 2025 Western media discovered that engineers at China’s Lishui University in Zhejiang had filed a patent for the creation of a submarine cable cutting device back in 2020. While it was argued it was needed for emergency situations, the announcement raised suspicion amongst Western media, which uncovered the patent applications in January 2025.²² And in April 2026, the South China Morning Post reported China had successfully tested cable cutting 11,483 feet (3,500m) undersea.

²² Joe Wilson. 2026. US Strategic Subsea Cables Act. https://joewilson.house.gov/sites/evo-subsites/joewilson.house.gov/files/evo-media-document/undersea-cables-signed_0.pdf.

²³ [Iran Signals a New Threat to the Gulf’s Internet | WIRED Middle East](#)

²⁴ “Stalled Subsea Cable Projects Threaten Middle East Digital Ambitions.” 2026. FinancialTimes. Financial Times. June 25, 2026. <https://www.ft.com/content/5e6ce736-3a48-406a-933a-ed215370bd16?syn-25a6b1a6=1>.

²⁵ Carter L., Burnett D., Drew S., Marle G., Hagadorn L., Bartlett-McNeil D., and Irvine N. (2009). Submarine Cables and the Oceans – Connecting the World. UNEP-WCMC Biodiversity Series No. 31. ICPC/UNEP/UNEP-WCMC.

²⁶ “The Digital Silk Road: A Growing Priority for Beijing as Its Tech Champions Expand Overseas.” 2024. Merics. March 27, 2024. <https://merics.org/en/tracker/digital-silk-road-growing-priority-beijing-its-tech-champions-expand-overseas>.



Subsea Cables Act. A core proposal of the act requires the President to impose sanctions on foreign actors who intentionally damage critical undersea infrastructure, including subsea fiber optic cables.²⁷ If passed, this act will build upon the US's 2020 Undersea Cable Control Act, which focused more on preventing adversaries from accessing technology to build and operate undersea cables. Together, the two bills aim to deny countries like Russia and China the ability to conduct what a sponsoring senator referred to as “shadow warfare” against US critical infrastructure in subsea cables.²⁸

Finally, a landmark development to watch is the recent US Federal Communications Commission (FCC) vote to extend cable surveillance to terrestrial endpoints, such as cable landing stations and the hardware housed within them that converts the subsea optical fiber signals. The FCC has identified these endpoints as chokepoints vulnerable to data interception, physical sabotage, and cyber espionage. Under the new rules, hyperscalers and tech firms employing AI infrastructure could receive expedited licensing for their terrestrial hardware, while foreign rivals would need to apply for individual licenses and face the possibility of denial. This is a potential win for the hyperscalers, although the pool of eligible hardware suppliers may significantly shrink, creating short-term bottlenecks in cable landing equipment manufacturing.²⁹

Europe has historically had a strong presence in the subsea cable industry, but this position is being challenged by competing US and Chinese interests and the rise of US hyperscaler control. France remains a leading global supplier through its ownership of Alcatel Submarine Networks and Orange Marine, while Italy's Elletra holds a strong mid-tier position.

The EU is attempting to carry out a coordinated approach towards cable security via its 2025 EU Action Plan on Cable Security, but implementation has been slow. In June of this year, however, the European Commission finalized a €5.8mn grant to establish the first two regional cable hubs in the Baltic Sea and the Mediterranean Sea, and a separate €40mn fund to increase its submarine cable repair capacity.³⁰

Finally, US-allied attempts to find a geopolitically secure “Fourth Route” away from volatile transits in the Red Sea and South China Sea have led to the creation of the Far North Fiber express route. This will be the first long-haul submarine cable connecting Europe and Asia exclusively through Allied-sovereign waters. It is expected to cost \$1.17bn and should be ready for service by the end of 2026.³¹ The project is owned by US Alaskan company Far North Digital, in conjunction with its Canadian affiliate True North Global Networks, but it has since expanded into a consortium with companies from Japan and Finland as well. Alcatel Submarine Networks will supply the cables.

All of this strategic interest has translated into unprecedented subsea cable infrastructure investment, estimated to have averaged over \$2bn per year in new construction over the last 9 years.³² Most new investment is forecast to be directed toward trans-pacific routes.

The most consequential response, however, is coming from the private sector, which controls most of the infrastructure. AI is sharply increasing bandwidth demand and prompting content and cloud providers—notably Google through its Pacific Connect

²⁷ Qiu, Winston. 2026. “US Introduces Strategic Subsea Cables Act of 2026 — Senior Industry Analyst Briefing.” Submarine Networks. April 14, 2026. <https://www.submarinenetworks.com/en/nv/insights/us-introduces-strategic-subsea-cables-act-of-2026>.

²⁸ “Wilson and Meeks Introduce ‘Strategic Subsea Cables Act Of 2026.’” 2026. Representative Joe Wilson. March 27, 2026. <https://joewilson.house.gov/media/press-releases/wilson-and-meeks-introduce-strategic-subsea-cables-act-2026>.

²⁹ Qiu, Winston. 2026. “FCC Overhauls Subsea Cable Licensing: SLTE Licensing and Fast-Track Process for US Tech Giants.” Submarine Networks. June 26, 2026. <https://www.submarinenetworks.com/en/nv/insights/fcc-subsea-cable-licensing-slte-fast-track-process>.

³⁰ Ernst, Lauren. 2026. “EU Launches Regional Cable Hubs To Protect Critical Undersea Infrastructure.” Ocean News & Technology. June 23, 2026. <https://oceannews.com/news/subsea-cable/eu-launches-regional-cable-hubs-to-protect-critical-undersea-infrastructure/>.

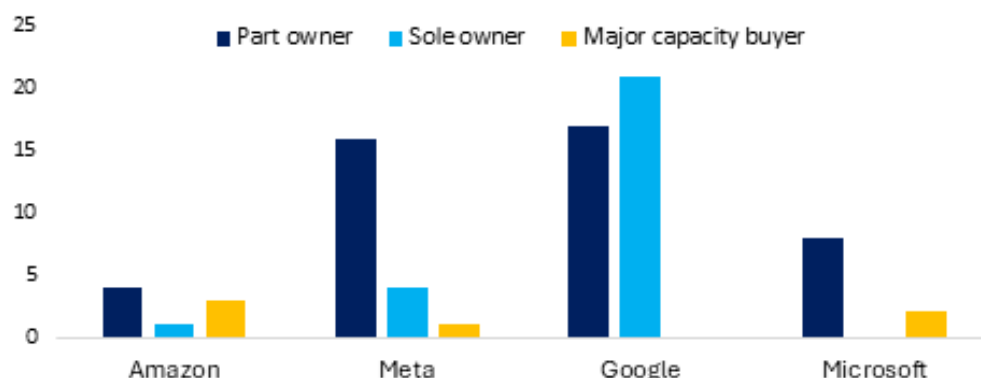
³¹ “Far North Fiber - Submarine Networks.” 2026. Submarinenetworks.Com. 2026. <https://www.submarinenetworks.com/en/systems/trans-arctic/far-north-fiber>.

³² Carter L., Burnett D., Drew S., Marle G., Hagadorn L., Bartlett-McNeil D., and Irvine N. (2009). Submarine Cables and the Oceans – Connecting the World. UNEP-WCMC Biodiversity Series No. 31. ICPC/UNEP/UNEP-WCMC.



Initiative and Meta through Project Waterworth—to accelerate investment.³³ This private dominance means resilience will depend as much on international coordination with corporate owners as on national policy.

Figure 3: Number of submarine cables owned by content providers



Source: Telegeography, Deutsche Bank Research..

3. Satellites: Beyond terrestrial networks

Like subsea cables, satellites form a part of the Internet's physical layer. Throughout much of the 20th century, satellites carried the bulk of all transoceanic digital connectivity. The launch of Telstar, the first operational telecommunications satellite in 1962, was soon followed by other satellites that helped commercialize the international communications and broadcast industry.

Today, however, traditional satellite communications (satcom) complement rather than replace cables. Satellites provide broadcast and communication services to sparsely populated regions not served by terrestrial infrastructure and act as a strategic back-up for disaster-prone regions. While subsea cables deliver more consistent, high-capacity links between major population centres, satellites are a cost-effective solution for governments seeking to connect regions with low population densities.³⁴

The renewed focus on satellite communications is driven less by their current share of global traffic than by their strategic potential. Two forces are decisive. First, the war in Ukraine and US-China technology competition are prompting sovereign investment in space-based communications. Second, rising AI workloads are intensifying demand for bandwidth and encouraging the deployment of satellite mega-constellations. We examine the implications in greater detail in the next chapter.

For these reasons, communications-based satellite networks and space-based connectivity represent the next major frontier in the contest for control over digital connectivity.

3.1 How satellites support connectivity

There are three main types of satellites in operation: communications, Earth-observation, and radiofrequency- based. This section focuses on communication satellites, which provide services ranging from radio, TV, telecommunications, and Internet by receiving signals from Earth and retransmitting them to a ground station elsewhere, creating a communications channel between distant regions that were previously unable to communicate with one another.

³³ The State of the Network: 2026 Edition. 2026. Telegeography.

³⁴ Carter L., Burnett D., Drew S., Marle G., Hagadorn L., Bartlett-McNeil D., and Irvine N. (2009). Submarine Cables and the Oceans – Connecting the World. UNEP-WCMC Biodiversity Series No. 31. ICPC/UNEP/UNEP-WCMC.



Traditional satellite communications (also referred to as “satcom”) rely on large geostationary (GEO) satellites positioned about 35,800 kilometres above Earth. Systems such as the early Intelsat 1 (1965) and the more recent Jupiter 3 (2023), provide broad, fixed coverage with high availability and favourable ground-terminal geometry.³⁵ GEO assets have historically supported predictable business models because of their long operating lives, typically around 15 years, and high launch costs. Their strategic value is clear, but so is their limitation: distance creates latency. The farther a satellite is from Earth, the longer data takes to travel, which is one reason subsea cables continue to carry most global connectivity.

In addition, GEO satellites also suffer from increasingly longer development cycles and higher integration complexity. As a result, both state and private actors are turning their interest towards low-earth orbit (LEO) satellites instead. LEO satellites orbit between 160 and 1,500km above the Earth’s surface, enabling a more seamless user experience for applications like live streaming, video calls, remote desktops, etc. Because they circle the planet up to 16 times a day, LEO constellations can provide ubiquitous coverage to nearly any point on Earth. SpaceX’s Starlink was the harbinger of the LEO satellite model, but several LEO constellations have emerged in response to Starlink since then, including Amazon LEO, OneWeb (now part of Eutelsat), Telesat Lightspeed, and China’s Guowang and Qianfan projects. In fact, in July 2026 Amazon announced it had filed an application with the US FCC to deploy a constellation of more than 5,100 satellites that would provide direct-to-device connectivity by 2028.³⁶ Doing so will directly challenge Starlink Mobile, a subset of Starlink comprised of around 650 satellites that beam mobile data to phones in remote regions on earth, and which has recently also announced plans to launch “thousands” more satellites by end of 2028.³⁷

3.2 Why satellites are strategic: the arrival Starlink

Although subsea cables carry the bulk of internet traffic, communications-based satellites are also integral to the global economy. They provide connectivity to remote and underserved regions that undersea cables cannot reach, while also enabling communications for mobile platforms such as ships, aircraft and military assets. Indeed, industries such as aviation, rail, shipping and logistics depend on satellites for navigation, route optimization, and cargo tracking.

Perhaps to an even greater extent than cables, satcom has become strategic to a country’s military infrastructure. Satcom companies are developing partnerships to cater to civilian and government forces. For example, Canada’s Telesat (c. 1969) announced a strategic partnership with the Canadian Armed Forces to develop and deliver a multifrequency, Arctic military satellite communications capability via its forthcoming Lightspeed constellation, which the company targets to launch in late 2026.³⁸ Meanwhile, established satcom companies with significant government -related revenue streams, like Viasat, SES and Eutelsat, have seen strong growth over the past year. Our DB equity analysts estimate that existing GEO communications contracts alone account for around \$50bn-60bn in defence-related spending (excluding non-US allies).³⁹

The greatest harbinger has been SpaceX’s Starlink, which has provided encrypted communications, imagery and geolocation services for the Ukrainian military against Russia since 2022. In addition, Starlink’s “direct-to-device” business model that connects smartphones directly to satellites threatens to collapse the traditional, hierarchical

³⁵ Yu, Edison, Roshan Ranjit, Scott Deuschle, Christophe Menard, and Laura Li. 2026. “State of the Private Markets: Rise of Micro-GEO Satellites.” Deutsche Bank Research.

³⁶ “Amazon Targets Musk’s Starlink with Satellite Constellation for Mobile Services.” 2026. FinancialTimes. Financial Times. July 27, 2026. <https://www.ft.com/content/83e93ce0-1ebd-4b04-a70c-82ff7b64a5f4?syn-25a6b1a6=1>.

³⁷ Kan, Michael. 2026. “Starlink Mobile Will Span ‘Thousands’ of Satellites By 2028.” PCMag UK. August 3, 2026. <https://uk.pcmag.com/networking/166530/starlink-mobile-will-span-thousands-of-satellites-by-2028>.

³⁸ Yu, Edison, and Laura Li. 2026. “Telesat: Focus Increasingly Shifts toward Defense.” Deutsche Bank Research.

³⁹ Yu, Edison, Roshan Ranjit, Scott Deuschle, Christophe Menard, and Laura Li. 2026. “State of the Private Markets: Rise of Micro-GEO Satellites.” Deutsche Bank Research.



Internet infrastructure, where cables traverse terrestrial data and comms-based satellites take it on its last leg.

Starlink's ability to bypass the conventional hierarchy of connectivity provided vital communications for Ukrainian forces and civilians at a time when conventional communications like fiber lines, cellular towers and power grids were damaged early in the war. This highlighted how a private company could become essential to a nation's military capability during a war. The gravity of this power was demonstrated again in February 2026, when SpaceX and Ukraine introduced a terminal verification system that effectively blocked Russia from using Starlink military terminals, after it was revealed that Russia had acquired Starlink terminals via third-party countries and grey markets to conduct strike drones.

The entry of Starlink in 2019 has shifted the goalposts and urgency for more communications-based satellites. Bringing affordable, high-speed internet to those that lack access to traditional broadband, Starlink's true purpose is to help deploy Musk's goal of AI compute at a massive scale. In fact, Musk confirmed that Starlink is also designed to support a project called Starwind, which aims to place massive data centers in space. He recently filed applications with the FCC for a constellation of space-based AI data center satellites through this project. These space AI data centers will compute in space but then use lasers to offload the processed data directly into the Starlink constellation, which will beam the results back to Earth with low latency.

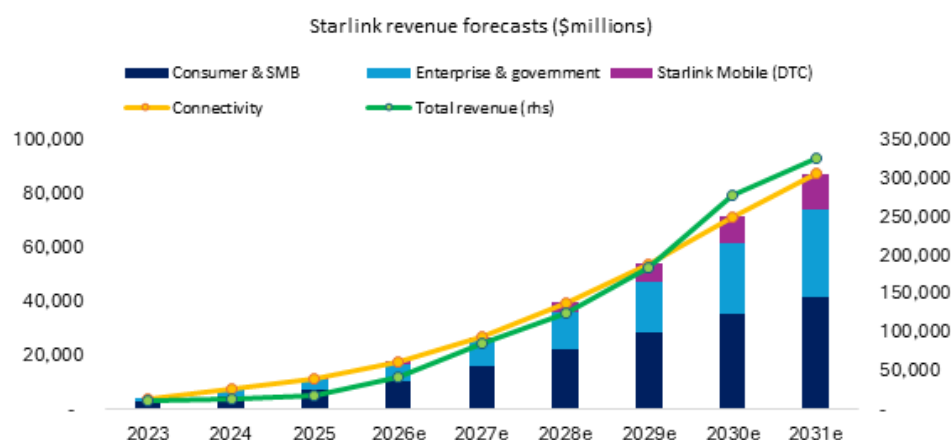
By using Starlink to create a reliable and robust orbital network used for Earth, Musk hopes to eventually extend the satellite internet service to the Moon, Mars, and beyond. Our equity analysts place Musk's aims for orbital data centers within a 5-year horizon and human voyage and colonization in Mars and off-world within 10-year horizon.

Starlink has upped the game for the rest of the world considerably. First, by its sheer dominance in the number of satellites it operates and in the numbers of subscribers it now has on its network. Starlink now accounts for 54% of all operational satellites in orbit,⁴⁰ and our equity analysts estimate Starlink's consumer broadband subscribers will grow to around 17mn by the end of 2026.⁴¹ Second, its ability to simultaneously increase speeds while cutting hardware prices has made it very hard for anyone else to compete. Finally, Starlink's entry into LEO also made it harder for pure-play GEO industry players like Viasat and Intelsat to focus solely on consumer broadband, although as mentioned above there is a growing market opportunity for these players to enter the government services market. We will go more in depth on Starlink and its parent company SpaceX in our final chapter on Cloud and Data Centers.

⁴⁰ "10,400+ Starlink Satellites in Orbit — Live Count (2026) | Orbital Radar." 2026. Orbital Radar. May 31, 2026. <https://orbitalradar.com/how-many-starlink-satellites>.

⁴¹ Yu, Edison, Bryan Kraft, Ross Seymore, Benjamin Black, Laura Li. 2026. "SpaceX: Apex of Civilization Ambition." Deutsche Bank Research.

Figure 4: Starlink connectivity revenue to reach \$18bn in 2026 and \$88bn by 2031



Source: Deutsche Bank Research equity research, company filings.

3.3 Satellite vulnerabilities

Because communications-based satellites are so critical, their vulnerability to deliberate attacks is a matter of strategic concern. Satellites are susceptible to attacks such as jamming (when the uplink or downlink frequency is filled with noise so the signal cannot get through) and spoofing (transmitting fake signals) of their radio waves. Countries like Finland, Estonia and Poland have all reported [GNSS](#) disruptions associated with alleged Russian activities in the Baltic region, which has affected numerous services such as commercial aircraft and maritime navigation. Other examples of disruption include cyberattacks on satellites via their ground stations and control networks, as well as physical and cyberattacks on the orbiting satellites themselves. Notable incidents include evidence that Russia was conducting widespread [jamming](#) of Starlink GPS signals soon after their invasion of Ukraine in 2022. In 2021, Russia also conducted an anti-satellite weapon test that destroyed an inactive satellite and generated a massive field of orbital debris.

Figure 5: Major satellite networks in orbit

Constellation	First launched	In orbit	Total planned
Starlink (US)	May 2019	10,877	42,000
Amazon Leo (US)	Oct 2023 (prototype satellites); production deployment began Apr 2025, initial commercial service expected in late 2026	390+	7,700
OneWeb (UK/Eutelsat)	Feb 2019, merged with Eutelsat in 2023.	654	Gen-1 complete, additional 440 satellites planned with Airbus
Guowang (China)	December 2024	177	12,992 (~13,000) filed with the ITU
Qianfan (China)	August 2024	238	Over 15,000 satellites approved for the final system

Source: Satellitemap.space, ChinainSpace, CNBC.

3.4 How state actors are responding

A rapid, high-stakes military space race looks to be underway between the US, China, and Russia, focused on establishing, securing, and defending satellite communication (satcom) constellations, particularly those in Low Earth Orbit (LEO).

While US companies currently dominate the satcom landscape, they face a growing challenge from other countries, especially China. China is developing its own satcom



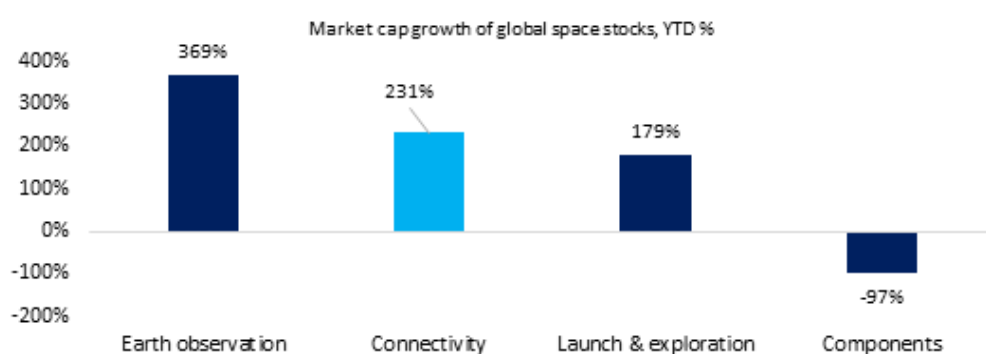
ecosystem through two key initiatives: the state-run Guowang network, aimed towards China's domestic telecom and national security, and the Shanghai-backed Qianfen constellation, which is aimed at the commercial and export markets. Together, these projects aim to deploy between 13,000 and 15,000 satellites.⁴² Guowang is designed primarily to connect rural areas and government institutions, while Qianfan is more commercially focused, aiming to provide in-flight connectivity (IFC) and direct-to-device (D2D) communications, with active pilots underway in Brazil, Malaysia, and Thailand.

Both constellations are in their early stages, with fewer than 200 satellites each currently in orbit. In December 2025, China also submitted filings with the International Telecommunication Union (ITU) to reserve orbital slots and spectrum for nearly 200,000 additional satellites – a move to secure future resources, even though China does not yet have the launch capacity to deploy such a number.⁴³ To facilitate more launch activity, China has also implemented new regulatory guidelines to facilitate IPOs for firms developing reusable rockets.

The EU is also attempting to reduce its dependence on US private operators by building IRIS, a government-controlled constellation of approximately 290 satellites, with services targeted to begin in 2029. However, progress on the project remains slow. Other notable sovereign interests include the UK's stake in OneWeb and Canada's investment in Telesat's Lightspeed project.

Driven by these strategic imperatives, the market for communications-based satellites is growing, as they become critical infrastructure for consumers, enterprises, and governments. Deutsche Bank equity analysts estimate the satcom market grew by over 35% YoY to nearly \$26bn in 2025, mostly driven by consumer broadband and government contracts.⁴⁴ This growth is expected to continue, with market revenue projected to reach \$65-70bn by 2030.

Figure 6: Oversized demand for comms-based satellites has led to a rally in space connectivity stocks



Source: Bloomberg Terminal, Deutsche Bank Research. Returns up to August 2026. Connectivity stocks: AST SpaceMobile, APT, Beijing BDStar, China Satcom, Echostar, Eutelsat, Globalstar, Gogo, Iridium, JSAT, SES, Space42, Telesat, Thaicom, Viasat.

⁴² Yu, Edison, Bryan Kraft, Roshan Ranjit, Lee Horowitz, and Laura Li. 2026. "Space & Satellites: Market Growing and Becoming Critical Infrastructure." Deutsche Bank Research.

⁴³ "China ITU Filing to Put ~200K Satellites in Low Earth Orbit While FCC Authorizes 7.5K Additional Starlink LEO Satellites – IEEE ComSoc Technology Blog." 2026. Comsoc.Org. January 13, 2026. <https://techblog.comsoc.org/2026/01/13/china-itu-filing-to-put-200k-satellites-in-orbit-fcc-authorizes-7-5k-additional-starlink-leo-satellites/>.

⁴⁴ Yu, Edison, Bryan Kraft, Roshan Ranjit, Lee Horowitz, and Laura Li. 2026. "Space & Satellites: Market Growing and Becoming Critical Infrastructure." Deutsche Bank Research.



4. The new power map of connectivity

4.1 The rise of private control

While cloud and space data centers will be the focus of our next chapter, this section zooms in how connectivity supply chains are being affected by the AI build-out.

In the connectivity model set out in Section 1, hyperscalers own the destination of data: the cloud, where applications, websites and AI models run. Historically, these companies have relied on telecom operators for transmission and concentrated investment on data centers and cloud services. That division is now eroding, as hyperscalers are increasingly acquiring, funding or building the underlying infrastructure, including subsea cables and communications satellites—that carry data to and from their platforms.

AI's data intensity is accelerating this vertical integration. In 2016, traditional backbone providers carried most international bandwidth; today, content and cloud networks account for nearly three-quarters of demand.⁴⁵ Owning connectivity allows hyperscalers to lower long-run unit costs, scale capacity with cloud demand and reduce dependence on third-party networks. It also gives them greater control over the economics and governance of the data chain.

This trend is evident in new cable construction, where private companies are starting to swallow up market share. For example, of the \$14bn projected investment in new submarine cables entering service between 2025 and 2027, driven largely by content providers such as Google and Meta rather than the traditional internet backbone providers.⁴⁶ While traditional telecom operators still account for the majority of existing builds, this new investment demonstrates the steady and growing influence of large-scale cloud and content companies in shaping global connectivity.

The same dynamic is beginning to emerge in the satellite ecosystem, where hyperscalers and space technology companies are exploring space-based data centers as a potential long-term solution to the terrestrial constraints that increasingly accompany the buildout of AI compute capacity.

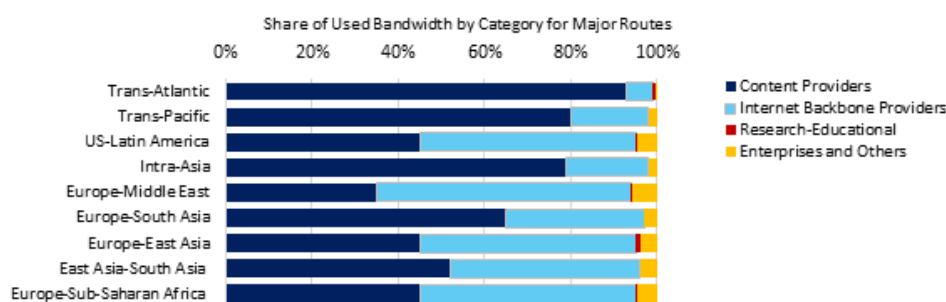
To make orbital computing viable, companies need communications infrastructure capable of moving massive amounts of data between space and Earth, creating a strategic rationale for greater ownership of satellite networks and related connectivity assets. A notable entrant is Jeff Bezos' Blue Origin, which announced TeraWave in January 2026, a multi-orbit communications network comprising 5,280 satellites in LEO and 128 satellites in MEO. Blue Origin plans to begin deploying the constellation in 4Q27 and is targeting enterprise, data-center, and government customers. DB analysts estimate that the constellation could require ~\$18bn of capex.

Although Blue Origin has not explicitly positioned TeraWave as infrastructure for orbital data centers, its high-capacity, optically interconnected network could eventually provide part of the communications layer required to connect space-based compute systems with terrestrial networks. In addition to SpaceX and Blue Origin, Amazon is building its LEO communications constellation, while Nvidia-backed Starcloud has filed for regulatory approval to deploy orbital data-center satellites. Starcloud also plans to launch AWS Outposts hardware aboard its second satellite in October 2026, providing an early test of AWS infrastructure operating in space.

⁴⁵ The State of the Network: 2026 Edition. 2026. Telegeography.

⁴⁶ Ibid.

Figure 7: Content networks represent around three-quarters of all global bandwidth demand



Source: Deutsche Bank Research. Data inferred from Telegraphy's 2026 State of the Network Report. Represents used bandwidth as of year-end 2024.

4.2 Effects of the AI disruption

The result is a sharp shift in control over global connectivity. Traditional carriers are increasingly becoming minority consortium members or implementation partners, while hyperscalers lead funding and technical design. The Internet's decentralised architecture increasingly coexists with concentrated private ownership of critical connectivity infrastructure.

The consequences are substantial. By owning subsea cables and satellite networks, hyperscalers are increasingly able to build private connectivity corridors linking their data centres, reducing dependence on traditional telecom operators. This vertical integration bypasses—and may ultimately compress—the tiered, multi-provider structure that has defined telecommunications for decades.

This disruption has forced traditional telecom operators to either merge to survive or retreat into more niche services. By shrinking the telecommunications market, the remaining players can better afford the massive capex required for increasing broadband demand. Notable deals in recent years include \$7.3bn merger between US-based Viasat and British satellite firm Inmarsat in 2023, SES's acquisition of Intelsat for \$3.1bn in 2024, and the \$8bn Rocket Lab/Iridium⁴⁷ consolidation in 2026. By creating these multi-orbit groups, they have been able to concentrate on key segments of mass-market connectivity.

Europe is perhaps at the greatest disadvantage in this new connectivity map, finding itself crowded out by US-led private innovators and state-backed Chinese companies. The European Centre for Development Policy Management argues that the growing concentration of subsea-cable ownership and operational control among US hyperscalers is creating structural dependencies that could erode Europe's digital sovereignty.⁴⁸ This concern is particularly acute for Europe, where ownership and operational control of critical subsea infrastructure is increasingly concentrated among non-EU actors. Unlike the United States, which exercises oversight through institutions such as the FCC, Europe lacks a unified governance framework for the subsea cable ecosystem, raising concerns about long-term digital sovereignty.⁴⁹

The same risk exists in space, where Starlink dominates the global satellite network. As the CEO of the French telecoms operator, Bouygues Telecom, warned in an interview earlier this year, Europe needs to "get some sovereignty" or else it risks having its

⁴⁷ Deutsche Bank and/or its affiliates is acting as advisor to Rocket Lab Corporation on the potential acquisition of Iridium Communications, Inc..

⁴⁸ Pearson, Sasha. n.d. "Troubled Waters: Europe's Subsea Telecommunications Network." Ecdpm. <https://ecdpm.org/work/troubled-waters-europes-subsea-telecommunications-network>.

⁴⁹ Ibid.



connectivity controlled by a non-state actor like Starlink.⁵⁰ Reflecting these pressures, in June 2026, Bouygues itself partnered with Orange and Free-illiad Group to acquire and break up French telecommunications company SFR for €20.35bn.

In the space arena, the EU has attempted to address this problem with its proposed Space Act, which aims to cultivate European champions. However, this has created friction with the US, whose FCC has publicly warned that Washington would retaliate if Europe imposed protectionist measures that favored its own satellite companies over American ones.⁵¹ In the meantime, the formidable presence of Starlink continues to drive a new wave of private communications-based satellite initiatives seeking to compete.⁵²

States therefore face a strategic dilemma. AI and cloud adoption are directing more traffic through hyperscaler-owned networks, increasing dependence on private technology companies even as governments must guarantee resilience and control in a crisis. The US is best positioned because its firms dominate the industry. European governments have responded by buying stakes in, or taking control of, strategic telecom assets, including Italy's acquisition of TIM Sparkle and Spain's 10% stake in Telefónica.

Figure 8: Aside from 2022, where activity dropped sharply amidst the backdrop of Russia Ukraine, the telecoms M&A industry has seen massive growth



Source: Deutsche Bank Research, Dealogic. Data only draws upon publicly available deal value at announcement data. Data up to July 2026.

5. Conclusion

Digital connectivity emerged from an ideal of neutrality and disintermediation. The Internet was designed to share knowledge across research institutions, while cables and communications satellites expanded international exchange. Today, connectivity is an arena of state and corporate power. Control over data flows is becoming as consequential as control over payment infrastructure, and the race for AI leadership is intensifying the strategic value of the networks that carry information.

Subsea cables are uniquely fragile because their criticality is matched by limited substitutability. The parallel with payments is instructive: excluding a country from SWIFT can amount to financial siege; severing its cable links can impose a digital one. Yet payments have emerging alternatives—including CIPS, SPFS and stablecoins—whereas subsea cables have few practical substitutes. A replacement cable cannot be laid during a crisis, so a major disruption could simultaneously impair payments, markets, military command-and-control and basic communications.

⁵⁰ Ohlen, Elsa. 2026. "Europe Doesn't Realize How Dangerous It Is": Telecoms CEO Warns of U.S. Dominance in Satellites, AI." CNBC. May 21, 2026. <https://www.cnbc.com/2026/05/21/starlink-spacex-satellites-telecoms-europe-dangerous-bouygues-ceo.html>.

⁵¹ Ranjit, Roshan, Robert Grindle, and Keval Khiroya. 2026. "European Satellites: Levelling Up." Deutsche Bank Research.

⁵² Yu, Edison, and Laura Li. 2026. "The Final Frontier: Space 101." Deutsche Bank Research.



The most important actor to watch may not be a state but a company: SpaceX. Starlink has reshaped satellite communications on cost, scale and performance, compressing the traditional hierarchy of space connectivity. Its ambitions now extend into markets historically served by terrestrial telecom and cable providers, in both advanced and emerging economies.⁵³ The implications for governments, defence and incumbent telecom operators will be significant.

In the era of infrastructure realism, power lies less in the number of cables or satellites built than in control of the network's junction points and architecture—from the ocean floor to low-Earth orbit. As with dollar-based payments and Taiwan's semiconductor capacity, concentration in cable landing rights and orbital slots creates a new class of systemic risk. The central question is no longer who wins the cable race, but who controls the rails through which global value flows—and on whose terms.

The final part of our series turns to data centres, moving the chokepoint further up the technology stack—from minerals and cables at the physical layer, through chips at the fabrication layer, to the infrastructure that stores and processes data at scale.

We would like to thank Edison Yu, Laura Li, Benjamin Black, Raymond Wong and Yi Xiong for their valuable insights and comments to this paper.

⁵³ Yu, Edison, Bryan Kraft, Ross Seymore, Benjamin Black, Laura Li. 2026. "SpaceX: Apex of Civilization Ambition." Deutsche Bank Research.



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



Deutsche Bank
Research

The Next 90: Your Geopolitical Risk Radar

Sep–Nov 2026

September 2026

Dr. Helen Belopolsky | Miha Hribernik

Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute

The Next 90: Your Geopolitical Risk Radar | Sep–Nov 2026



A geopolitical calendar mapping the next 90 days

SEPTEMBER

For a detailed breakdown of key events, issues and themes in September, please see: [Latest Geopolitical Monthly](#)

Early	US/Mexico	Next bilateral round of USMCA review talks
1	G20	Meeting of Finance Ministers and Central Bank Governors
1	SCO	Shanghai Cooperation Organisation (SCO) Heads of State Summit in Bishkek
6-20	Germany	Regional elections
8	UN	Opening of the 81 st UN General Assembly
8	Canada/US	Canadian retaliatory tariffs on the US are set to enter into force
12-13	BRICS+	18 th BRICS+ summit in India
13	Sweden	General election
15	EU	European Parliament plenary session
18-20	Russia	Legislative and regional elections
22-28	UN	UN General Assembly debate
24	US/China	Xi-Trump Summit in the US
27	France	Senate election
30	US	Key government funding deadline

OCTOBER

3	Latvia	General election
4	Brazil	General election
5-28	Canada	General election in Quebec, municipal elections in British Columbia, Ontario and Manitoba
9-17	Czech Republic	Senate and municipal elections
12-18	IMF/World Bank	Annual meetings of the IMF and WB in Bangkok
15-16	EU	European Council meeting
19	Canada	Alberta independence referendum
23	Morocco	General election
24	Slovakia	Municipal and regional elections
25	Bulgaria	Presidential election
27	Israel	Legislative election
30-31	G20	G20 Foreign Ministers' Meeting in Atlanta
TBD	EU/China	Ministerial meeting in Beijing; deadline for "tangible results" on trade talks
TBD	China	Fifth Plenum of China's Central Committee

NOVEMBER

3	US	Midterm elections (House, Senate, gubernatorial and state legislatures)
4	South Africa	Municipal elections
7	New Zealand	General election
9	EU	Eurogroup and Economic and Financial Affairs Council (ECOFIN) meetings
9-20	COP31	COP31 in Türkiye
10	US/China	Expiry of the 2025 Busan agreement
10-12	ASEAN	49 th ASEAN Summit in Metro Manila
18-19	APEC	APEC Economic Leaders' Meeting in Shenzhen
28	Taiwan	Local elections
28	Palestinian National Authority	Legislative election
TBC	US/North Korea	Potential meeting between Donald Trump and Kim Jong-un

Note: The calendar contains selected key events and is not intended to provide an exhaustive list.

Appendix 1



This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



Deutsche Bank
Research

This Month in Geopolitics: September 2026

Key events, themes and trends to watch in the month ahead

September 2026

Dr. Helen Belopolsky | Miha Hribernik

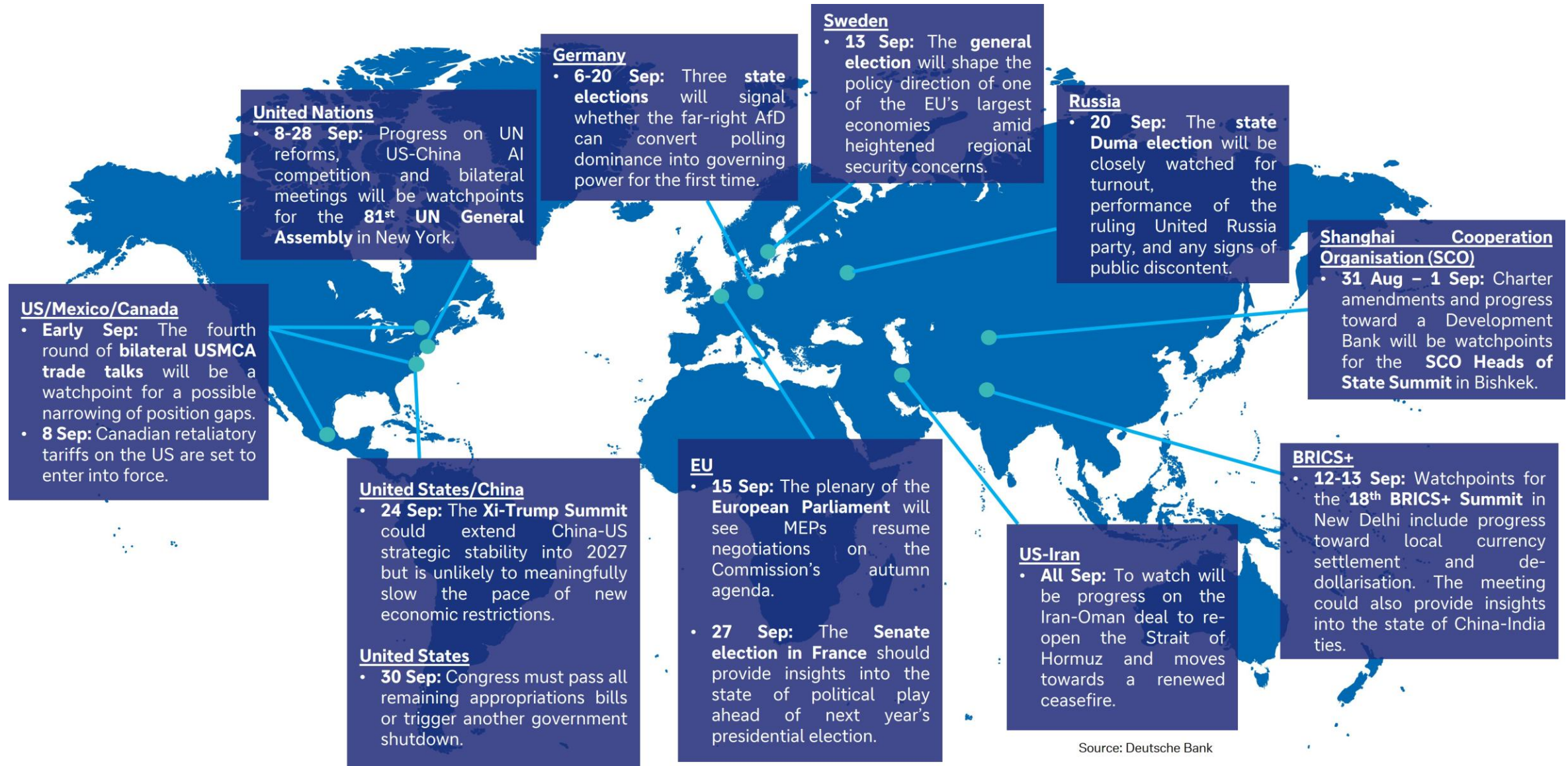
Deutsche Bank Research Institute

IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

Deutsche Bank
Research Institute

At a Glance: Geopolitical events to watch in September 2026

Our monthly Look-Ahead covers a *non-exhaustive* list of key events, issues and themes to watch in the month ahead. The below map intends to serve as an executive summary, providing a list of the issues at a glance. These are covered in more detail in subsequent slides.



In the spotlight for September 2026: US-Iran war and China-US Summit



US-Iran war (all of September)

August brought a mix of escalation and small progress in the conflict: US strikes on Iranian oil infrastructure and an ongoing blockade pushed fuel shortages inside Iran as President Trump ramped up economic pressure. Iran and Oman outlined a proposal for a temporary shipping corridor through the Strait of Hormuz, with talks ongoing toward a permanent arrangement.

It appears both the US and Iran are waiting for the other side to blink though a new framework agreement isn't beyond the realm of possibility as backchanneling continues. Economic pressure on Iran is ramping up with President Trump's "economic D Day" threat and fuel shortages within Iran adding to the regime's challenges. Political pressure on the Trump administration is likely to ramp up moving closer to the mid-terms. To watch will be whether the Iran-Oman shipping corridor talks move from proposal to an actual operating channel, which could signal a genuine de-escalation amid a war that seems to keep grinding on with no military victory able to drive resolution. In addition, the US' latest round of sanctions targeting networks moving Iranian oil through China, Hong Kong and the UAE, will be a point of friction at the Trump-Xi summit. We should prepare for more volatility in the coming months as neither side is prepared to lose face.

Trump-Xi Summit (24 September)

The summit could extend China-US strategic stability into 2027 but is unlikely to meaningfully slow the pace of new economic restrictions. During the run-up to the summit, investors should watch for any sign of progress in three areas: the Board of Trade to support non-sensitive commerce, AI dialogue and a possible extension of the Busan agreement beyond November. The meeting could also deliver new purchase commitments. **While relations remain stable, there is little evidence to indicate a major breakthrough.** [Recent reporting](#) suggests stalled progress in some areas, such as on a new Board of Investment, in line with our [assessment](#) that national security concerns will limit progress in this area.

Investors should also be prepared for both sides to unveil new restrictions or retaliatory measures ahead of the summit, as Beijing and Washington work to strengthen their negotiating positions. US economic curbs against [Iran's](#) economic partners will be a watchpoint. New restrictions would add to a growing list of measures adopted this year (see table), which will likely expand further in the coming years. There is little prospect that the September summit can resolve structural competition in areas such as critical minerals, semiconductors or AI.

Beyond summitry: China-US relations remain competitive in 2026

January	Washington approved limited Nvidia H200 chip sales to China , signaling a more transactional approach to tech controls.
February	The US launched a major critical minerals effort , including new bilateral frameworks, financing tools and a 56-country coalition, aimed at reducing dependence on China.
April/May	China codified new anti-derisking regulations , which allow Beijing to penalize companies that cut Chinese suppliers or comply with foreign sanctions/export controls. China separately ordered the unwinding of the Meta-Manus AI deal, signaling scrutiny of US investments in sensitive China-linked tech firms. New US Congressional bills , such as the MATCH Act, seek to tighten semiconductor equipment controls, close loopholes and pressure allies to align with US restrictions. US sanctions on Chinese refiners tied to Iranian crude triggered China's first formal use of blocking measures.
June	The Pentagon included several major Chinese tech companies on its Chinese Military Companies list. In response, China introduced export controls on 10 US companies, and restricted procurement from another 46 corporates. The US banned China-linked Polestar from selling cars in the US from model year 2027 onward due to national security concerns.
July	China's new outbound investment regime covers the overseas deployment of Chinese technology, data, talent and capital, especially in AI, chips, batteries, EVs and solar. The US imposed tariffs under a Section 301 forced labour investigation on over 60 markets, including China (12.5%). Washington also banned the import of new Chinese humanoid and quadruped robots and power inverters.
August	The US announced tariffs of up to 100% on imported drones and components , primarily impacting Chinese exporters. A White House report alleged the transshipment of China-linked goods into the US through more than 40 countries. The US also added a record 43 Chinese companies to the UFLPA Entity List ; China retaliated by imposing countermeasures on 7 US compliance, audit and testing firms. US sanctioned dozens of mainland and HK entities over Iran China tightened drone-related exports to the US , potentially constraining access to critical minerals, rare earths, advanced electronics and other dual-use components. In late August, Beijing approved limited sales of H200 chips in China.
November	The 2025 Busan agreement is set to expire but will likely be extended, delaying the introduction of new bilateral economic restrictions.
December	The US Congress will adopt annual must-pass defence legislation , which frequently includes provisions aimed at China.

Note: The table provides a non-exhaustive list of selected key developments.
Source: Deutsche Bank Research

Key events, issues and themes to watch in September 2026

Listed in chronological order



Shanghai Cooperation Organisation (SCO) Heads of State Summit (31 August – 1 September)

Charter amendments and development bank progress will be key watchpoints. The summit in Bishkek will bring together leaders from the SCO's 10 member states: China, Russia, India, Pakistan, Iran, Belarus, Kazakhstan, Kyrgyzstan, Tajikistan and Uzbekistan. Founded in 2001, the SCO aims to promote security and economic cooperation across Eurasia, but its practical impact has been limited given its relatively loose structure and member states' diverging geopolitical priorities.

However, the Bishkek summit could offer significant watchpoints, including amendments to the SCO's Charter and possible progress toward the establishment of an SCO Development Bank. The latter would give the SCO a dedicated mechanism to fund regional infrastructure. A dedicated development bank could also support local currency settlement – potentially boosting efforts by member states such as China and Russia to reduce their reliance on the US dollar.

Next bilateral round of US-Mexico USMCA review talks (Early September)

The fourth round of talks is unlikely to deliver a breakthrough but should show whether US-Mexico position gaps are narrowing. 1 July marked the start of the US-Mexico-Canada (USMCA) trade deal's mandatory six-year joint review process whereby the three countries are required to assess whether to extend the agreement for another 16 years, review it or allow it to move into annual review mode. The US has declined to confirm the renewal of USMCA "in its current form".

We expect USMCA negotiations to remain difficult and protracted. In early September, the US and Mexico will hold further negotiations focused on resolving outstanding issues (e.g., automotive rules of origin, steel/aluminum, economic security, and issues around agriculture, labour, environment and alleged [China-linked transshipment](#)). Auto talks will be a key watchpoint. Washington is reportedly requesting 50% US-made content in North American vehicles, while Mexico's [counter-proposal](#) would exempt Canadian and Mexican parts and levy only non-North American content – potentially lowering US vehicle prices.



Source: Mike Dudin on [Unsplash](#)

Key events, issues and themes to watch in **September 2026**

Listed in chronological order



German state elections: Saxony-Anhalt (6th), Mecklenburg-Vorpommern (20th) and Berlin (20th)

The three state elections in September will close out Germany's 2026 "super election year" and are together being read as a stress test of whether the far right AfD can convert polling dominance into governing power for the first time. In Saxony-Anhalt, the AfD is polling around 41%, well ahead of the Chancellor Merz's CDU's roughly 23-27%. The polling puts the AfD within reach of an absolute majority – a level of power no AfD branch has held in any German state. In Mecklenburg-Vorpommern, the AfD leads at 34-38% support, well ahead of the SPD (19-27%), which has led the state since the late 1990s. Berlin, by contrast, remains genuinely fragmented; the CDU sits around 19-22%, with the AfD, Greens, and Die Linke behind. These elections are seen as a test of the AfD's rise and whether that puts strain on Chancellor Merz's federal coalition.

Canadian retaliatory tariffs on the US (8 September)

On 8 September, Canada will enact retaliatory tariffs matching US levies (15-50%) across roughly 700-900 tariff lines, roughly C\$27.6bn of US imports (including steel, dairy, appliances, electronics, etc.). Aluminum duties will double to 50%. Despite Prime Minister Carney suggesting "we are at war," Ottawa says it remains open to a deal. But September could still see further escalation as both sides seek to gain leverage before renewed negotiations.

UN General Assembly's 81st Session (8-28 September)

The event will bring together heads of state and government from more than 190 countries at a time of significant geopolitical volatility. The session – officially opening on 8 September and followed by a General Debate during 22-28 September – will oversee the final stages of appointing the next UN Secretary-General. The 81st UNGA will be crucial for advancing the "Pact for the Future" (the political vision) and the UN80 initiative (the institutional delivery mechanism), the aim of which is to make the UN more efficient and "fit-for-purpose" by reviewing mandates, improving efficiency, and undertaking structural reforms. Within the reform agenda, the Global Digital Compact has become a flashpoint for US-China competition over AI governance. UNGA debates will be critical in shaping global norms for AI, pitting the US vision of open, values-based innovation against China's model of state-centric control. Numerous bilateral meetings between world leaders will take place alongside formal UN proceedings.



Source: Bernd Dittrich on [Unsplash](#)

Key events, issues and themes to watch in September 2026

Listed in chronological order



18th BRICS+ Summit in India (12-13 September)

Watchpoints include signs of a deepening China-India diplomatic thaw and BRICS+ progress toward local currency settlement. India's official agenda includes cooperation and resilience, development finance, trade finance and global institutional reform. To watch will be whether President Xi's expected attendance – marking his first visit to India in seven years – signals an acceleration in the ongoing China-India diplomatic thaw.

The summit could also revive discussion of local-currency settlement, BRICS Pay (an initiative to facilitate cross-border payments in BRICS currencies) and the BRICS 'Unit', a prototype gold-backed settlement instrument. Nevertheless, progress toward cooperation on de-dollarisation will likely remain gradual given member states' diverging geopolitical priorities.

Sweden's general election (13 September)

The election will shape the policy direction of one of the EU's largest economies and a key NATO member amid heightened security concerns in the Baltic region. The governing Moderate Party-led centre-right coalition, supported by the Sweden Democrats will compete against the opposition Social Democrats and their centre-left allies. The campaign is expected to focus on crime, immigration, cost of living, economic competitiveness, energy security and defence following Sweden's accession to NATO. The outcome will influence Sweden's approach to defence spending, support for Ukraine, migration, energy policy and industrial competitiveness, while providing an important indicator of broader political trends across Northern Europe.

European Parliament plenary session (15 September)

The first plenary after the summer recess is expected to be a key legislative session as MEPs resume negotiations on the Commission's autumn agenda. Particular attention will focus on implementation of the European Defence Readiness 2030 agenda; follow up to the Competitiveness Compass, including measures to reduce regulatory burdens and strengthen the Single Market; and progress on the Economic Security Strategy, notably outbound investment screening and export controls for sensitive technologies. The Parliament is also expected to debate additional support for Ukraine, including use of frozen Russian assets, the next package of sanctions, and progress on Ukraine's EU accession.



Source: Frederic Köberl on [Unsplash](#)

Key events, issues and themes to watch in September 2026

Listed in chronological order



Russian state Duma elections (18-20 September)

While the elections are not expected to be either free or competitive, they remain an important political event as the Kremlin seeks to reinforce domestic legitimacy. The vote will be closely watched for turnout, the performance of the ruling United Russia party, and any signs of public discontent despite tight political controls. Internationally, the results will be scrutinized for indications of the regimes confidence and willingness to sustain military operations in Ukraine, while any voting in occupied Ukrainian territories is likely to draw strong international condemnation. While the results of the elections are a forgone conclusion for President Putin's United Russia party, Mr. Putin appears to be avoiding a possible mass mobilization announcement in light of battlefield losses in Ukraine until after the elections.

France Senate election (27 September)

The vote should provide insights into the state of political play ahead of next year's presidential election. 178 out of the Senate's 348 seats will be contested in the indirect election to the Upper House of France's parliament. The electoral college mainly consists of local officials. While the election's outcome on state policy will likely be relatively limited, the outcome could provide signals ahead of the French presidential election in April 2027.

A key development to watch is whether the far-right National Rally Party can secure enough seats to form its first parliamentary group in the Senate. Marine Le Pen, the party's presidential candidate, continues to hold a significant lead in recent opinion polls.

Key US government funding deadline (before 30 September)

30 September marks the end of the US federal fiscal year, and it's the "hard" deadline by which Congress must pass all remaining appropriations bills or trigger another shutdown. This is a real risk given that 2026 has already seen two shutdowns tied to disputes over immigration enforcement funding, including a record 76-day partial DHS shutdown.

Congress still has yet to reconcile FY2027 appropriations work before the fiscal year closes. It's also political loaded timing – landing right before the 3 November midterms. How Congress handles this deadline (smooth passage versus another standoff) could shape voter sentiment, especially on issues like immigration enforcement that have already driven this year's funding fights.



Source: Element5 Digital on [Unsplash](#)

Appendix 1



This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



Something else Warsh said at Jackson Hole

August 31, 2026

Executive summary

Kevin Warsh used his first Jackson Hole address as Chairman to make an inflation-forward case, and the market heard it. Yields on two-year treasuries jumped 11 basis points on the day and the implied probability of a September interest rate hike jumped from 35% to 58%.

The longer-term implications for sovereign debt were less talked about. This piece looks at some of the deeper issues behind the megatrend of sovereign debt – particularly given Warsh’s interesting comment that “Trends matter most”. Indeed, our megatrend framework identifies sovereign debt as the most concerning negative trend facing developed economies over the medium term.

Yet, our proprietary data shows that people are more interested in the equity market than bond market. Unusually, that preference extends even to periods of economic uncertainty. Indeed, 28% of Americans would buy equities during periods of economic uncertainty while only 24% would buy bonds. In the UK, the same picture exists with figures of 25% and 18% respectively.

We have previously shown that since interest rates normalised in 2022, the number of Vix spike events per month has risen 51% versus the pre-covid level. More shocks are arriving into a market that is less willing to own the traditional shock absorber.

The question is whether the potential productivity gains from AI will substantially alleviate the negative weight of the sovereign debt burden in many developed countries. Our tech megatrend indicates this is possible, and so does history. However, for the optimistic scenario to eventuate, the positive impacts of AI on the economy need to accelerate further. That leaves the medium-term distribution of outcomes for sovereign debt wide and unusually asymmetric.

Something else Warsh said ...

The market reaction last Friday was focussed on the here and now. Warsh argued that "the responsibility for 65 months of sustained, elevated inflation sits squarely with the central bank", and remarked that “we have work to do” whilst pointing to PCE inflation running at 3.7% over twelve months and 4.1% over six. Markets moved the September probability materially higher and two-year yields jumped 11bps.

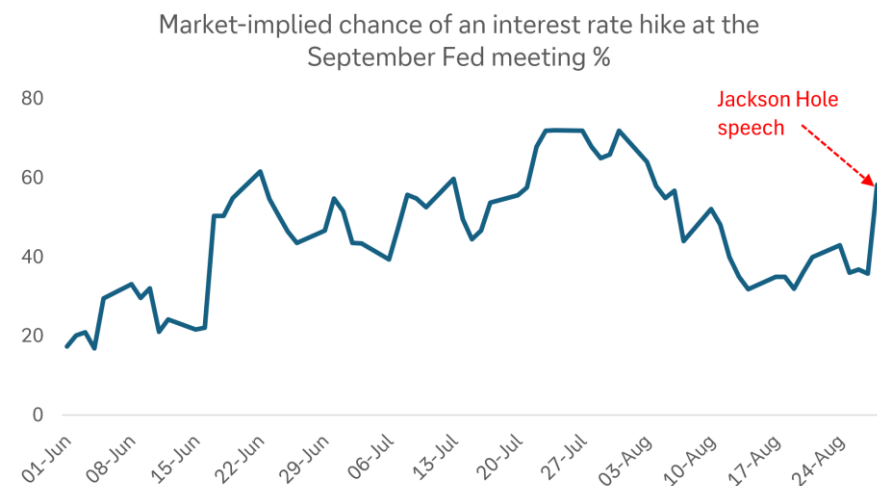
Authors

[Luke Templeman](#)
Research Analyst

[Galina Pozdnyakova](#)
Research Analyst



Figure 1: An inflation-forward speech spiked the chance of a September rate hike



Source: Bloomberg Finance L.P., Deutsche Bank Research

Something else Warsh said received very little coverage – “Trends matter most”. It was easy to interpret this as referring to the current trajectory of short-term inflation. However, it is possible, and even likely, that he was referring to the Fed’s decision making around sovereign debt as a whole – across the short, medium and long term.

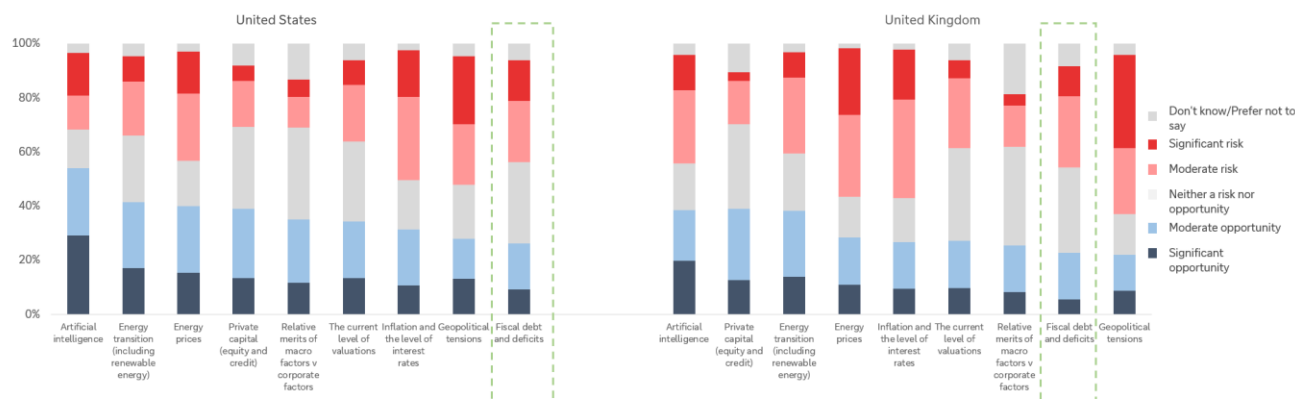
Indeed, the current situation of US sovereign debt and its trend is one of the key reasons why Treasury Secretary Bessent has previously said he wants to target the 10-year yield. The current buyback programme falls into line here. The key thing here is the credibility of the fiscal trajectory because, as future shocks arise, the way the bond market performs will affect broader portfolios.

Our worry is how investors view bonds

A proprietary survey from our dbDataInsights team found that the average person in the US and UK sees more opportunity in equities rather than bonds. First, when investors assess fiscal debt against other assets and themes, they see a lot of risk and fewer opportunities. The sell-off in bonds over the last 4 years (following a 40-year bull market) has certainly contributed.



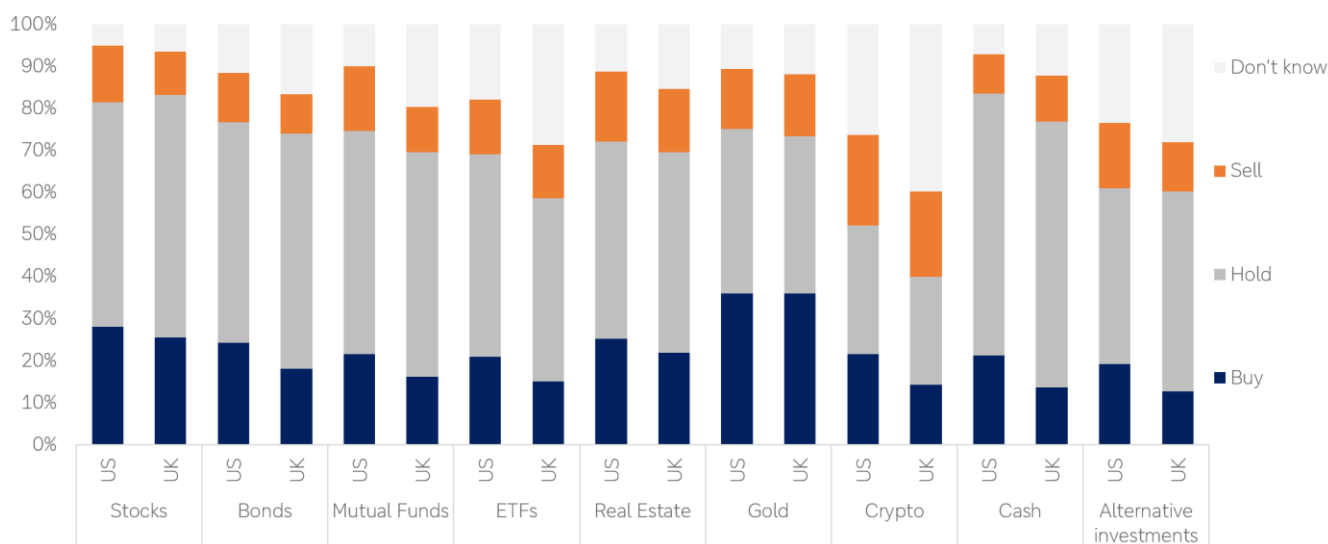
Figure 2: Survey question: "For each investment theme listed below, please indicate whether you perceive it as a risk or an opportunity for investors in 2026"



Source: dbDataInsights

Second, in times of economic uncertainty, investors are more likely to want to buy stocks than they are to buy bonds. This is a reversal of the textbook relationship between the two:

Figure 3: Survey question: "In any period of economic uncertainty, what do you think is the best strategy for each of the following investment asset categories?"



Source: dbDataInsights

This tilt away from bonds is not necessarily irrational. Since 2022, investors have found that bonds can lose significant value at the same time that equities fall. Our own work on haven assets shows that, since 2020, the combination of six traditional haven assets (gold, dollar, Swiss franc, yen, 10yr treasuries and bunds) has failed more often than it has worked, and it failed specifically during the four big shocks of the decade (Covid, rate rises, tariffs, Iran).



The worry into the medium term is whether investors continue to see the bond market this way as sovereign debt positions across most developed countries continue to worsen. That will affect investor portfolios given that bonds are supposed to be a counterpoint that rallies when everything else falls and avoids investors being forced to sell risk assets into weakness.

Why a less-loved bond market is a problem: uncertainty is rising

We have shown previously that since interest rates normalised in 2022, the number of VIX spike events per month has increased by 51% compared with the pre-Covid level. This follows from our broader megatrend framework that tells us that as interest rates have normalised in the 2020s, megatrends have re-emerged as a defining force in economies and markets for the first time since the 2008 financial crisis.

So, we have more shocks arriving, a haven complex that has been unreliable through the shocks we have already had, and an investor base that says it would rather buy equities than bonds when things become uncertain. That is a fragile configuration. It is also one in which the sovereign debt megatrend can do damage. That is, not through a gradual repricing, but through unpredictable sovereign debt sell-offs, particularly triggered by exogenous shocks and investor emotion.

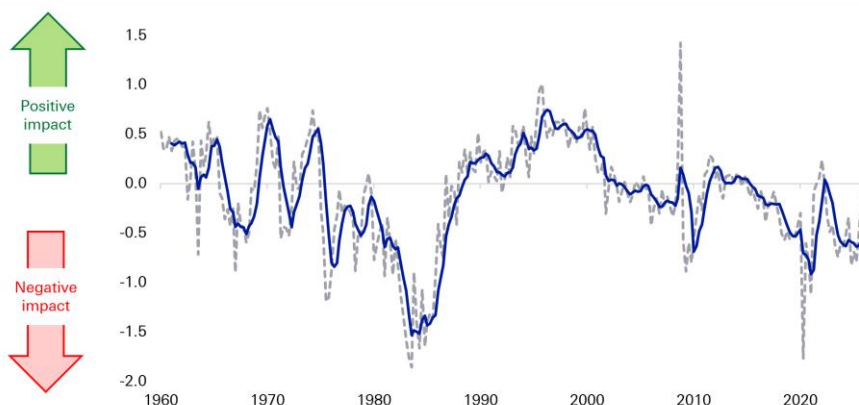
Sovereign debt is the most concerning megatrend in our framework

Our megatrend model tracks six global forces: technology, sovereign debt and deficits, geopolitics and globalisation, domestic politics and social discontent, demography, and energy disruption and transition. We use almost 100 data series aggregated into a quarterly indicator for each megatrend, all standardised so they can be compared and combined.

Of the six, sovereign debt is the one we are most concerned about. Indeed, our sovereign deficits indicator has been trending down for three decades. The deterioration is being compounded by demography: working-age populations are shrinking across most of the G20, which simultaneously weakens the revenue base and strengthens the claim on the spending side.



Figure 4: Our sovereign debt megatrend indicator and its impact on economies and markets



Source: Bloomberg Finance L.P., Haver Analytics, Factset, Deutsche Bank Research

In terms of where debt is heading, in the US, the CBO has public debt rising from around 100% of GDP to 120% by 2036, with deficits pushing over 6% of GDP. Most other developed economies face a version of the same problem. Aside from declining demographics, the deterioration in sovereign debt is interconnected with domestic politics and social discontent, and geopolitics.

Even our optimistic scenario only reaches neutral

We ran the sovereign debt megatrend forward to 2030 under baseline, optimistic and pessimistic scenarios. In the optimistic case – where AI adoption accelerates, productivity growth lifts materially, government spending contributes positively to GDP, and global demand for treasuries holds up – the indicator moves from having a clearly negative impact on markets and economies to having a broadly neutral one.

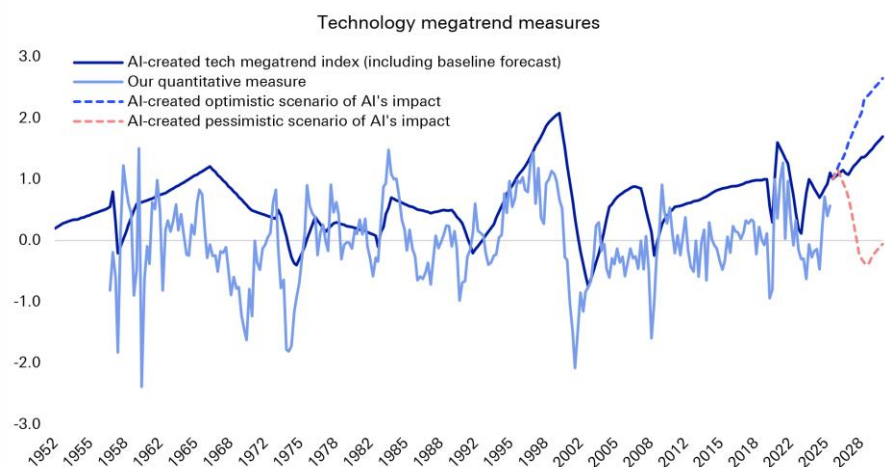
None of our scenarios move the sovereign debt megatrend materially into positive territory. That asymmetry should shape how the medium-term risk is positioned. The best realistic case for sovereign debt over the next five years is that it stops being a drag.

Can technology rescue us? Warsh asked the right questions

Technology is the one megatrend currently making a clearly positive contribution to global economies and markets. And our analysis points to AI being significantly more impactful than the internet of the 1990s. Indeed, whenever our technology indicator has accelerated to a peak, productivity growth has accelerated sharply behind it: to 3-4% for sustained periods in the 1990s. Our baseline has the indicator exceeding its 1990s peak by 2030, which implies productivity growth potentially above that range.



Figure 5: Should our tech indicator continue to climb as we expect, the implied productivity boost will go some way towards offsetting the worsening sovereign debt position.



Source: Bloomberg Finance L.P., Haver Analytics, Factset, Deutsche Bank Research

That is the escape route from the debt overhang and Chair Warsh's remarks included several references to this. He asked, "Will the application of AI cause a significant, sustained rise in productivity across the economy? He also pointed to the conversation between AI being "complementary or competitive to labour" He also asked, "Will the next generation of AI models demand even greater capital intensity, or will the models themselves help devise a capital-light solution?"

We would draw attention to the capital-intensity question in particular, because it has a bearing on sovereign debt. In the future, a capital-hungry AI build-out may compete with the government for savings at exactly the moment when the government's borrowing requirement is rising. The same technology can therefore either compound the sovereign debt problem in the near term or relieve it, depending on which way the question resolves.

Warsh is waiting for his task forces before committing to answers, and has said explicitly that their recommendations "will come later and have no bearing on decisions we make in the current policy conjuncture".

History says a bad sovereign debt position can be overcome

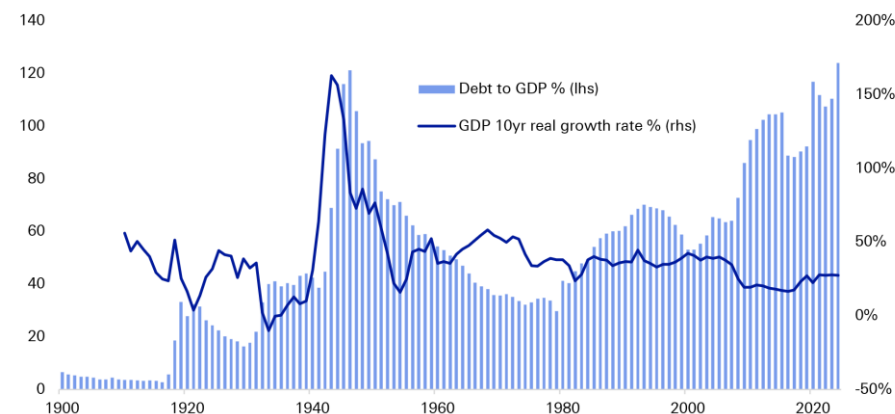
None of this is a prediction of crisis, and history is on the side of the optimists more often than the mood suggests.

The clearest parallel is the "Long Depression" in the US in the mid-1870s, which followed a financial crisis and investor fear at the overbuilding of railroads — a capital-intensive general-purpose technology financed enthusiastically and then abruptly distrusted. There was little government intervention and unemployment likely topped double digits. Yet towards the end of that decade the benefits of the railway technology began to feed through to the wider economy, several other trends including sovereign debt moved in a positive direction at the same time, and the result was startling economic growth. The post-war experience is the second example: the US emerged from the Second World War with debt



above 100% of GDP and then delivered thirty-five years of deleveraging alongside relatively strong growth.

Figure 6: US debt-to-GDP and GDP growth rate



Source: Fineon, Bloomberg Finance L.P., Haver Analytics, Factset, Deutsche Bank Research

The lesson from both episodes is that high debt can be overcome when the other megatrends pull in the same direction. After WWII, globalisation expanded quickly, domestic politics were comparatively stable, social discontent was low, and energy technology was a net positive. The debt burden was carried by other things going well.

Today, things are different. Technology is positive force on the medium-term outlook for the global economy and energy modestly so. However, the remaining four megatrends — sovereign debt, demography, domestic politics and geopolitics — are having a negative effect. Technology, therefore, has a lot of work to do.

What this means for portfolios

We would draw four conclusions for medium-term positioning.

1. Investors spent Friday trading the Fed but the more durable question is what compensation is required to fund a debt stock heading towards 120% of GDP, especially if the average person continues to see equities as more attractive than bonds, even in bad times.
2. Bonds and (safe) currencies can be risk assets at different times: We have flagged before that haven assets could become risk assets, and that treasuries and the dollar in particular will become more volatile if the sovereign deficits megatrend deteriorates further. The haven correlation data since 2020 shows that hedging becomes materially harder when the hedge is itself exposed to the trend being hedged.
3. Sovereigns are increasingly being judged on demographics and fiscal credibility: Yields of countries with ageing populations and no credible fiscal plan for the resulting dependency ratios will that come under increased volatility.



4. If AI delivers, the sovereign debt problem becomes manageable and the equity market carries the benefit. If it does not, there is no obvious hedge. That argues for genuine exposure to the productivity outcome, but also for scepticism about business models that require capital intensity to keep rising indefinitely. Warsh's capital-light question cuts both ways.

What we are watching

Three key sovereign deficit variables we are tracking (among others):

1. The contribution of government spending to GDP. A potential bright spot: this indicator has recently risen sharply. If that continues alongside greater AI adoption, there is a path to sovereign deficits becoming less of a drag.
2. The US 10-year yield versus the G7 average. Treasury yields have been higher than the G7 average for most of this century, but the gap has begun to shrink. Continued convergence would signal that global demand for treasuries remains strong, which in turn supports the resilience of the US twin deficits.
3. The fiscal policy uncertainty index. Turned deeply negative in 2024 and 2025, below the Covid lows. Subjective, but an important lead indicator for short-term market views — particularly during an exogenous shock, where it is the transmission channel into fear-based sell-offs.



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the U.S. this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.



China - Modernizing the monetary policy framework

August 26, 2026

Executive Summary

The **path to modernizing China's monetary policy framework has reached an important point**. The announcement by PBoC Governor Pan Gongsheng in June, introducing overnight reverse repo operations and stating the intent to narrow the interest-rate corridor, is a key step in this journey. **What is the ultimate destination, and what else does the PBoC need to do to get there?**

China currently operates a **hybrid monetary-policy framework** in which both policy rates and monetary/credit aggregates play important roles. The objective is ultimately to move away from a framework where monetary/credit aggregates serve as intermediate policy targets toward one where policy rates increasingly serve as the primary policy signal, with liquidity-management tools continuing to support policy implementation and transmission.

Key takeaways:

- Over the past decade, China's monetary policy framework has evolved toward greater use of price-based tools, although quantitative measures continue to play an important role.
- The objective is for policy rates to play a larger role in signaling the monetary stance, while liquidity-management and structural tools help with policy implementation.
- Key reform priorities include strengthening policy expectations, reinforcing the interest-rate corridor, deepening bond-market liquidity, improving credit transmission and increasing exchange rate flexibility.
- Improving the monetary policy framework alone may not be enough. Achieving more effective economic management will also require supportive fiscal policies, better coordination across policymakers and timely measures to stabilize growth.

Authors

Chen Kan
Macro Strategist

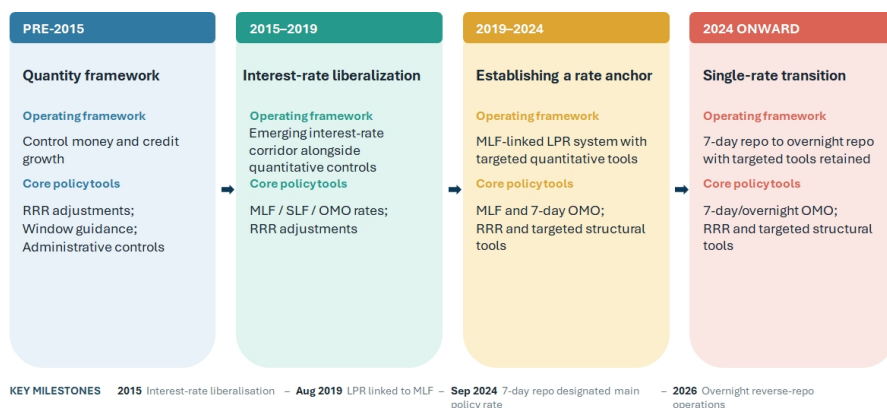
Perry Kojodjojo
Strategist



A decade of monetary policy modernization

Over the past decade, China has undertaken one of the most important monetary policy framework reforms among major economies. As interest-rate liberalization progressed, financial markets deepened and the economy became more complex, a framework centered mainly on quantitative controls became less effective. Policymakers therefore began shifting toward a more market-based system in which prices, rather than administrative controls, play a larger role in transmitting monetary policy.

Figure 1: China has gradually strengthened its price-based monetary policy framework over the past decade



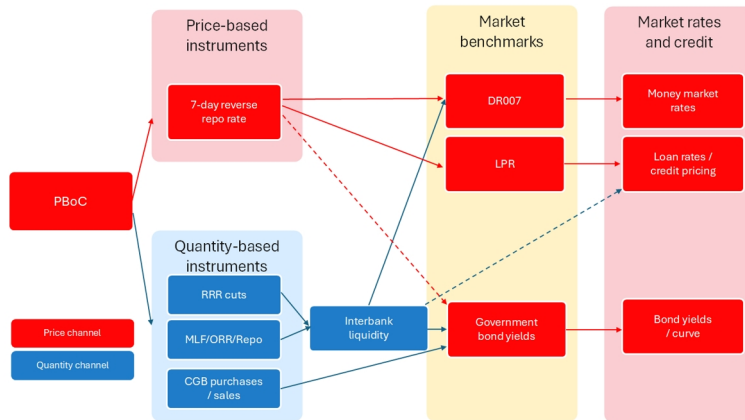
Source : Deutsche Bank Research

China's framework today looks much more interest-rate-based than it did a decade ago. Benchmark lending and deposit rates have largely been liberalized, the Loan Prime Rate has become a more important reference for bank lending rates, and the 7-day reverse repo rate now serves as the primary policy rate. At the same time, **this remains a hybrid system**. Today, the PBoC's policy toolkit can be broadly divided into four categories:

- **Policy rate:** the 7-day reverse repo rate serves as the primary policy rate and anchors short-term money-market rates.
- **Short- to medium-term liquidity tools:** Reverse repos, outright reverse repos (ORR), and the Medium-Term Lending Facility (MLF), which influence interbank liquidity conditions and bank funding costs.
- **Long-term liquidity tools:** Reserve requirement ratio (RRR) adjustments and outright purchases or sales of government bonds, which affect the structural liquidity position of the banking system.
- **Structural monetary policy tools:** Relending, rediscounting and other targeted facilities designed to channel credit towards strategic sectors and policy priorities (see Appendix B for the full list of liquidity tools).



Figure 2: China's monetary framework remains a hybrid system in transition



For internal use only

Source : Deutsche Bank Research

Some of the key building blocks of a modern interest-rate framework are now in place, with the 7-day reverse repo rate serving as the primary policy anchor and market-based interest rates playing a larger role in policy implementation than in the past. **The objective of China's monetary policy modernization is not the elimination of quantitative or structural tools, but the establishment of interest rates as the primary mechanism through which monetary policy influences financial conditions and economic activity.**

Figure 3: China's monetary policy differs from that of DMs more in objectives and implementation than tools

Dimension	PBoC	Fed	ECB	BoE	BoK
Primary objective	Price stability, growth support, credit conditions and financial stability all play important roles.	Inflation and employment	Price stability	Price stability with support for growth/employment	Price stability
Policy toolkit	Policy rate and liquidity operations	Policy rate and balance sheet	Policy rate and balance sheet	Policy rate and balance sheet	Policy rate and liquidity operations
No. of annual public communication	Quarterly monetary policy reports and occasional official speeches	Minutes and votes published, over 400 official speeches per year	Meeting accounts published, over 400 official speeches per year	Minutes and vote splits published, over 100 official speeches per year	Minutes and voting records published, ~10 official speeches per year
Communication style	Flexibility-focused, Quarterly reports and qualitative guidance	Highly transparent and forecast-driven	Rules and forecast-based	Forecast and minutes-driven	Relatively transparent by Asian standards
Forecast publication	Limited forecast disclosure	SEP projections	Staff forecasts	Detailed MPR forecasts	Growth and inflation forecasts
FX consideration	Exchange-rate stability remains an important consideration	Little direct role	Limited	Limited	Important but secondary

Source : Deutsche Bank Research; Note: Though financial stability is an important consideration for all central banks, it is not treated as a primary objective here due to the lack of an explicit and measurable target

Against this backdrop, an important question is whether the modernization of the monetary-policy framework has translated into stronger policy transmission. While there are signs of progress, the evidence remains mixed. Since January 2022, three of the seven policy rate cuts have been followed by a meaningful decline in lending rates within the subsequent month.

As a result, the next phase of monetary policy modernization is likely to focus on strengthening the channels through which policy rates influence financial markets and economic activity. This suggests that future reforms are likely to center on areas such as expectations formation, financial-market depth, interest-rate pass-through and the broader role of market signals within the monetary policy framework.



The next chapter of monetary policy modernization

What is China's likely destination?

The evidence above suggests that China's monetary-policy framework has entered a new phase of development. The key question for the next stage we believe is therefore not whether China will reduce its reliance on liquidity-management tools, but whether policy rates will increasingly displace monetary and credit aggregates as the primary guide for monetary-policy implementation and transmission. We believe the answer is yes. Over the past decade, policymakers have established many of the key building blocks of a more market-based framework, including a clearer policy-rate structure, greater reliance on market pricing and a reduced emphasis on monetary aggregates. As a result, the next phase of reform is likely to focus less on creating new instruments and more on strengthening the channels through which policy signals affect financial markets and economic activity.

Importantly, this does not imply convergence towards a conventional developed-market model. Structural and quantitative tools are likely to remain part of the framework, while financial stability, exchange-rate stability and development objectives will continue to influence policy decisions. Rather, modernization is likely to involve gradually increasing the role of interest rates as the primary mechanism through which monetary policy influences financial conditions, while improving the effectiveness of policy transmission within China's broader policy framework.

Moreover, China's evolving macroeconomic environment may reinforce the need for quantity-based and structural policy tools. As policy rates remain structurally lower amid accommodative policy stances, China may increasingly face constraints similar to those experienced by other major economies near the effective lower bound. In such an environment, conventional interest-rate adjustments may become less powerful, increasing the importance of balance-sheet policies, liquidity facilities and targeted credit-support measures. Rather than disappearing, quantity-based tools may therefore become a permanent complement to interest-rate policy, much as they have in many developed economies since the Global Financial Crisis.

Priorities for the next phase of monetary policy modernization

Simplifying policy objectives to strengthen market expectations. As China's monetary policy framework continues to evolve, policy communication and market expectations are likely to play an increasingly important role in shaping financial conditions. Modern monetary policy increasingly operates through expectations of future policy settings rather than current policy rates alone and the central of that is a clear set of policy objectives by the central bank. In China, the PBoC operates under a broad set of objectives, including growth, price stability, financial stability, exchange-rate stability and broader development goals, providing policymakers with flexibility. Continued development of the framework and clear communication of policy intentions could further support the role of expectations in financial markets.

Greater clarity around policy objectives would strengthen the expectations channel. This would not require adopting a formal inflation-targeting regime or a Fed-style dual mandate. A more pragmatic approach could be to streamline the PBoC's mandate around three primary objectives. While the relative emphasis differs across jurisdictions, most major central banks operate with a similar set of objectives including inflation, growth or employment as well as financial stability.



Aligning the PBoC's mandate more explicitly around these objectives could improve policy transparency without requiring a wholesale adoption of a Western monetary-policy framework. A more focused mandate, supported by clear and consistent communication, would make the PBoC's reaction function easier for markets to interpret and enhance the signaling power of policy-rate changes.

Strengthening the corridor to improve short-term transmission. A second priority is improving the operating framework itself. China has made considerable progress in establishing the 7-day reverse repo rate as the primary policy rate, while Governor Pan has also signaled a possible future transition towards a more overnight-rate-based framework. At the same time, the interest-rate corridor continues to evolve as policymakers refine the monetary-policy operating framework. Although temporary repo and reverse repo operations were introduced in 2024 and reformed in 2026, they have not yet become a significant part of day-to-day operations. As a result, their role in guiding money-market conditions and supporting policy implementation will remain an area of interest for market participants.

In the United States, market rates such as SOFR generally trade close to policy rates within a well-established floor system. By contrast, China's corridor remains more of an evolving guide than a tightly binding operating framework. Future reforms are therefore likely to focus on narrowing the corridor, strengthening overnight liquidity operations and improving the predictability of short-term liquidity management.

A further area of development is the broader financial-stability architecture underpinning monetary operations. Recent discussions around emergency liquidity facilities for non-bank financial institutions suggest policymakers increasingly recognize the need for stronger liquidity backstops as financial markets become more market-based. A more comprehensive liquidity-safety framework could improve market resilience and support the implementation of monetary policy during periods of stress.

Deepening secondary bond markets to improve yield-curve transmission. China has built one of the world's largest government bond markets over the past two decades. While commercial banks continue to hold a significant share of outstanding government bonds, policymakers have also encouraged broader participation by institutional and foreign investors. As secondary-market activity continues to evolve, deeper liquidity and more active trading could further enhance the informational content of market interest rates and the role of the yield curve within the broader monetary-policy framework.

A deeper and more active government bond market would strengthen the transmission of policy expectations along the yield curve. Potential reforms include broadening participation beyond commercial banks, developing government-bond derivatives and hedging markets, improving repo and securities-lending infrastructure, strengthening market-making arrangements and enhancing transparency around issuance and liquidity operations.

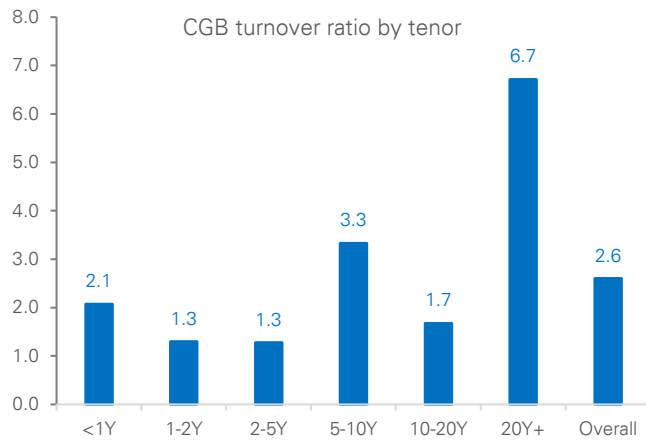
These reforms would improve monetary policy transmission while strengthening the role of government bond yields as benchmarks for broader financial-market pricing.

Improving liquidity circulation and credit transmission. Another area of development relates to the credit channel and the interaction between financial conditions and economic activity. While policy easing has supported ample



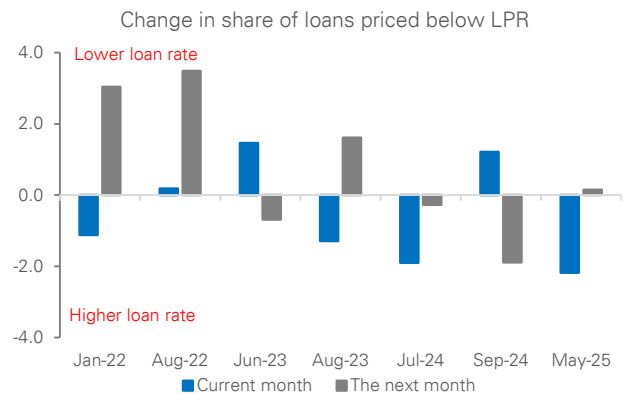
liquidity conditions in recent years, the impact on borrowing, investment and growth can vary depending on broader economic and business conditions. China's financing system remains predominantly bank-based, with around 80% of corporate financing coming from loans, a higher share than in many major economies. Policymakers have therefore placed increasing emphasis on broadening financing channels and supporting the development of debt and equity markets alongside traditional bank lending. Consistent with this objective, PBoC Governor Pan Gongsheng in 2023 highlighted efforts to expand financing channels for private enterprises across debt, equity and bank lending. Going forward, the evolution of credit transmission is likely to reflect not only monetary-policy developments, but also broader economic conditions and structural reforms.

Figure 4: A more active bond market could support price discovery and transmission



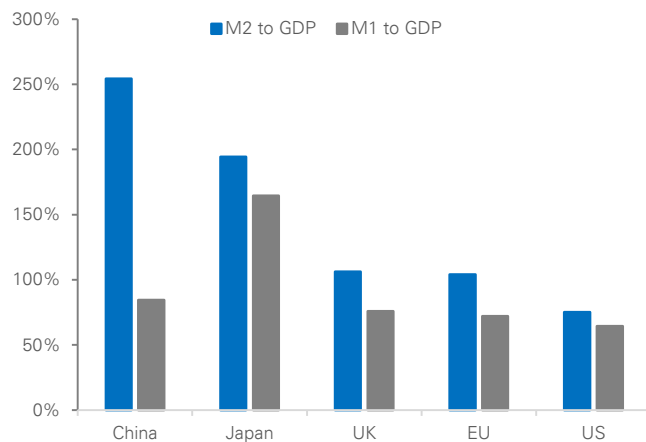
Source : Deutsche Bank Research, Wind

Figure 5: Policy-rate cuts have not always been followed by immediate declines in loan rates



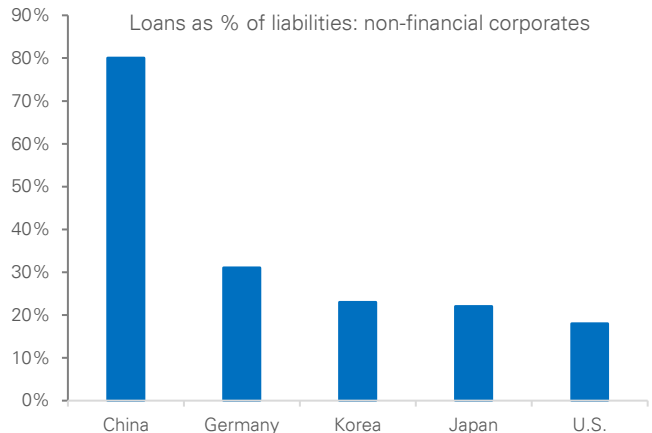
Source : Deutsche Bank Research, Wind

Figure 6: Liquidity and economic activity can diverge over time



Source : Deutsche Bank Research, Wind

Figure 7: Chinese corporates remain heavily reliant on bank-loan financing



Source : Deutsche Bank Research



Exchange-rate developments and RMB internationalization. Another area of development concerns the interaction between monetary policy, exchange rates and international financial flows. China's monetary-policy framework operates within a broader set of policy objectives, resulting in transmission dynamics that differ from those in many developed-market economies. As RMB internationalization advances and financial-market development continues, the relationship between monetary policy, capital flows and exchange-rate developments is likely to evolve further. This process will remain an important area to watch as China's financial system becomes increasingly integrated with global markets.

A modern framework, not a Western one. Ultimately, in our view, monetary policy modernization in China should not be viewed as a process of convergence towards a developed-market model. Rather, it is a process of adapting market-based monetary policy tools to China's own institutional environment. The likely end state, we believe, is a framework with a clear policy rate, deeper and more responsive financial markets, stronger policy transmission and greater transparency, while retaining broader policy objectives and strategic credit-support mechanisms. In other words, China is unlikely to become a Chinese version of the Federal Reserve. Instead, we think it is more likely to develop a modern interest-rate framework with distinctly Chinese characteristics.

Beyond monetary policy reform: A broader policy agenda

The modernization of China's monetary policy framework has brought it closer to the operational practices of many developed-market central banks. The PBoC has increasingly emphasized price-based policy instruments, strengthened its policy-rate framework, and improved the signaling and implementation of monetary policy. These developments represent an important step in the evolution of China's monetary-policy framework and should help further strengthen the role of market-based interest rates over time.

At the same time, monetary policy operates within a broader economic and financial environment. Factors such as credit demand, developments across different sectors of the economy, and ongoing adjustments in the property market can all influence how monetary-policy actions are transmitted through the economy. As a result, the evolution of monetary-policy tools is only one part of the broader policy landscape. Experience from developed economies similarly suggests that monetary policy is often most effective when supported by favorable macroeconomic and financial conditions.

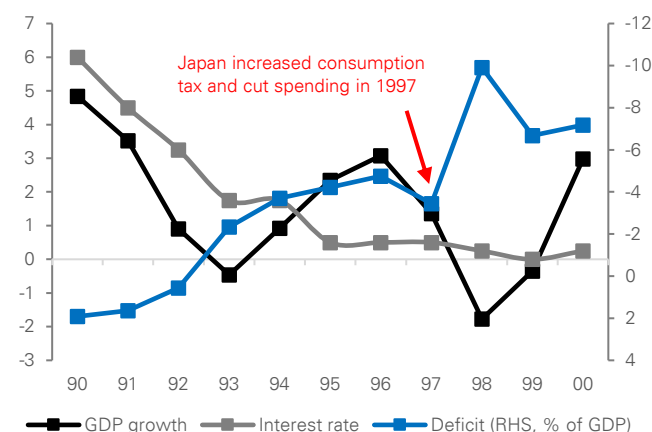
More broadly, China's economic objectives are pursued through a combination of monetary, fiscal, regulatory and structural policies. We therefore view monetary-policy modernization as one component of a broader policy agenda rather than a standalone initiative. Going forward, the interaction between monetary policy and other policy measures will remain an important factor shaping economic and financial outcomes.

Monetary policy and fiscal policy interaction. The effectiveness of monetary policy is often influenced by the broader macroeconomic policy environment, including fiscal policy. Japan's experience in the late 1990s illustrates the importance of policy interaction. Despite very low interest rates and repeated monetary easing, fiscal consolidation in 1997 coincided with renewed economic weakness and a prolonged period of low inflation.



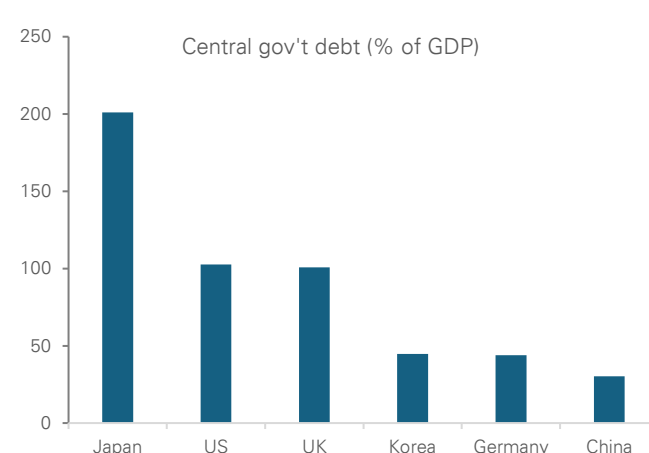
In China's case, sustaining monetary policy modernization, and potentially an easing cycle in the coming years, will need more forceful fiscal support. In recent years, policymakers have gradually expanded fiscal support while emphasizing the role of the central government in supporting economic stability. With a comparatively strong central-government balance sheet and a low-interest-rate environment (Figure 13), fiscal policy retains scope to play an important role in supporting broader macroeconomic objectives. More broadly, the interaction between monetary and fiscal policy is likely to remain an important feature of China's macroeconomic framework in the years ahead. More proactive fiscal support could help stabilize the property market, strengthen the social safety net, and support household consumption. Importantly, stronger fiscal support would complement monetary easing by generating demand for credit and investment opportunities, thereby improving the effectiveness of monetary policy itself.

Figure 8: Japan shows uncoordinated policies weaken transmission



Source : Deutsche Bank Research, Haver

Figure 9: China's central-government balance sheet remains among the strongest in the world



Source : Deutsche Bank Research, Haver, Wind

Better balancing long-term strategic priorities with near-term economic needs.

China's policy agenda has increasingly emphasized long-term priorities such as technological innovation, advanced manufacturing and the development of future industries. Between 2023 and 2026, a significant share of funding raised through ultra-long-term special government bonds was directed toward these strategic objectives, highlighting policymakers' focus on enhancing long-term productivity growth and competitiveness.

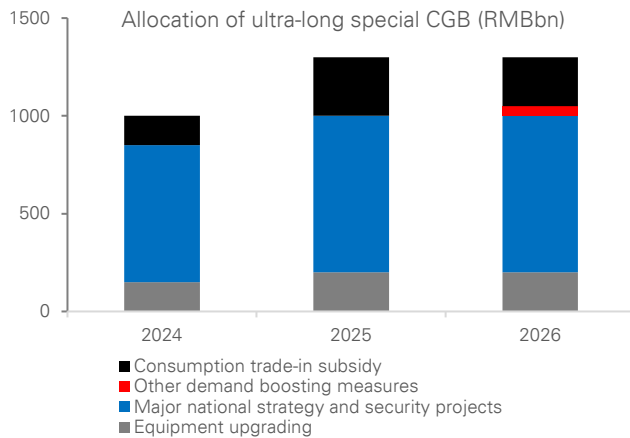
At the same time, long-term development and cyclical stabilization can be mutually reinforcing. A stable macroeconomic environment can support employment, household income, business activity and investment, helping to create favorable conditions for longer-term economic upgrading. In this sense, cyclical conditions and structural transformation need not be viewed as competing objectives.

International experience suggests that strategic development policies and macroeconomic stabilization measures can coexist. South Korea, for example, has combined support for priority sectors such as semiconductors with broader macroeconomic measures aimed at maintaining economic stability during periods of cyclical weakness. More generally, a stable economic environment can provide an important foundation for investment, innovation and industrial upgrading over time.



Looking ahead, the interaction between China's long-term development objectives and broader economic conditions will remain an important theme for policymakers and markets. The pace of structural transformation, developments across key sectors of the economy, and broader macroeconomic conditions will all play a role in shaping the environment in which longer-term strategic goals are pursued.

Figure 10: Most incremental fiscal resources were allocated to strategic sectors



Source : Deutsche Bank Research, Government Work Report

Figure 11: Korea's experience shows that strategic upgrading and cyclical growth can go hand in hand

	China		Korea	
	Name	Amount	Name	Amount
Strategic and industrial policies	Major national strategy and security projects (2024–2026)	RMB2.3tn (1.6% of annual GDP)	K-Chips Act (2023)	Tax incentive (not direct spending)
	Policy financing tool to support specific strategic sectors	RMB1.3tn (0.9% of annual GDP)	Semiconductor Ecosystem Support Package (2024)	KRW26tn (1% of annual GDP)
			Chip fund (2026)	KRW5tn (0.2% of annual GDP)
Cyclical growth policies	Consumption trade-in subsidies (2024–2026)	RMB700bn (0.5% of annual GDP)	Budget expansion to boost economic activity (2025)	KRW20.2tn (0.8% of annual GDP)
	Childcare subsidies (2025–2026)	RMB180bn (0.1% of annual GDP)	Supply-shock stimulus (2026)	KRW17.3tn (0.6% of annual GDP)

Source : Deutsche Bank Research

Note: China's strategic-sector allocation excludes investment funded by local government special bonds, which amount to around 3% of GDP annually

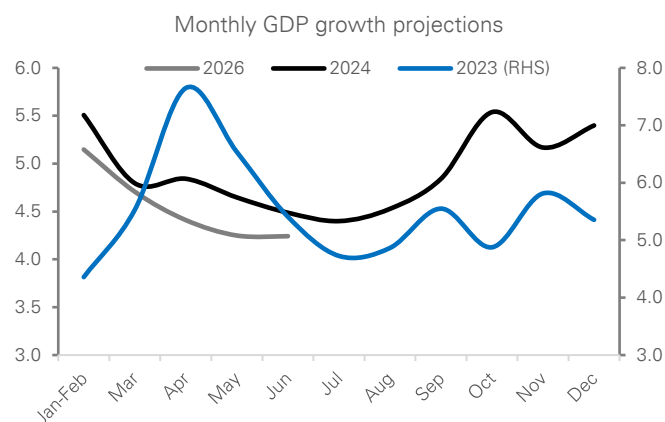
Proactive policy support and greater policy consistency. Expectations play an important role in shaping the effectiveness of macroeconomic policy. As such, the consistency and coordination of policy measures can influence household, business and market expectations, alongside broader economic outcomes. China's post-pandemic recovery has exhibited recurring fluctuations in growth momentum, with periods of policy support often coinciding with firmer economic activity. While policy measures have helped support activity, the consistency and persistence of policy support remain important considerations in anchoring expectations and strengthening confidence.

International experience also points to the importance of policy consistency. Japan's experience during the 1990s and 2000s demonstrated how expectations can be influenced by the interaction between monetary, fiscal and broader economic policies. Following 2013, a more coordinated policy framework was accompanied by improvements in growth, inflation and market sentiment, although external factors and global developments also played an important role.

More broadly, we view the modernization of China's monetary-policy framework as an important enabling reform. A more market-based framework may further strengthen policy implementation and the role of interest rates within the financial system. At the same time, economic outcomes will continue to reflect a wide range of factors, including fiscal policy, structural developments and the broader macroeconomic environment. In this regard, the evolution of China's policy framework is likely to be shaped not only by monetary-policy reforms, but also by how different policy initiatives interact in support of longer-term economic objectives.

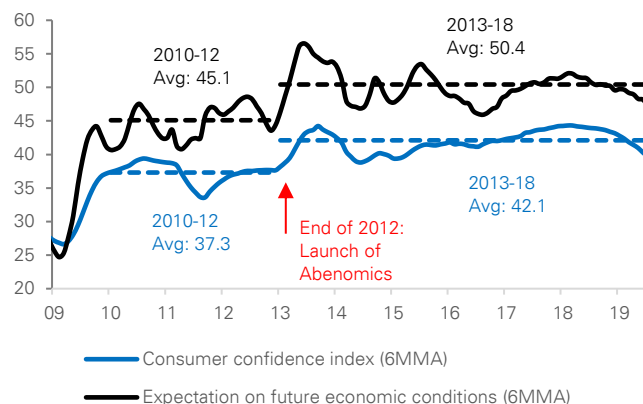


Figure 12: Growth cycles have highlighted the importance of policy consistency



Source : Deutsche Bank Research, CEIC
Note: Monthly GDP growth is estimated by interpolating official GDP data based on our monthly nowcast.

Figure 13: Abenomics triggered an immediate and lasting recovery in consumer confidence



Source : Deutsche Bank Research, CEIC

Market Implications

If China's monetary-policy reforms continue, they could gradually reshape the country's bond and currency markets. Over time, policy signals may become clearer, interest-rate changes may transmit more effectively through the financial system, and markets may become deeper and more responsive.

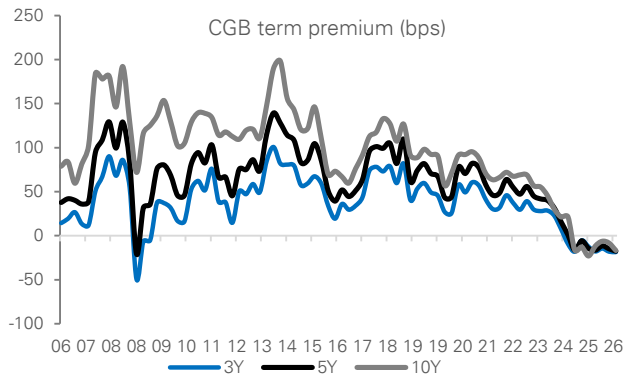
A steeper yield curve for China Government Bonds (CGBs). China's government-bond yield curve has become much flatter in recent years. This reflects both expectations that policy rates will remain low for some time and a decline in the extra compensation investors typically demand for holding longer-term bonds, known as the term premium. If monetary-policy modernization improves transmission and is supported by broader reforms, the yield curve could become steeper over time. Short-term yields could remain low if policy easing continues, while long-term yields could gradually rise as economic activity, confidence and inflation expectations strengthen.

Near-term easing, medium-term repricing higher for interest rate swaps (IRS). China's medium-term interest-rate expectations have moved lower in recent years as growth and inflation have moderated. Further policy easing could keep rates low in the near term. Over time, however, if reforms help support investment, lending and economic activity, expectations for future growth may improve. In that scenario, medium-term interest rates could gradually move higher and market pricing could become more balanced across different maturities.

Greater volatility in RMB exchange rate. The RMB remains less volatile than many major currencies. If China continues modernizing its monetary policy framework and allows greater exchange-rate flexibility over time, the RMB could move more freely in response to economic conditions and market forces. This would likely result in greater two-way currency fluctuations while improving price discovery and supporting the development of deeper hedging and foreign-exchange markets. Given China's importance to the regional economy, greater RMB flexibility could also contribute to increased volatility in other Asian currencies that are closely linked to China through trade and financial flows.

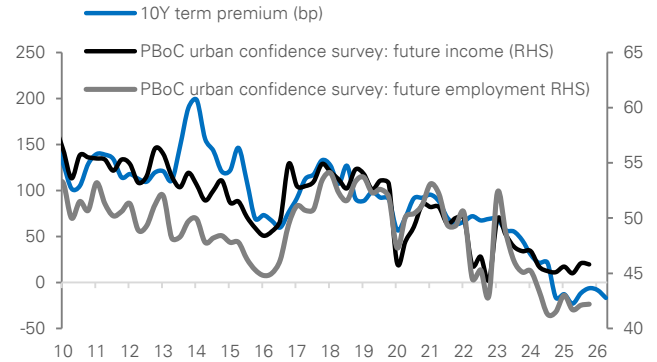


Figure 14: CGB term premia have been declining across tenors



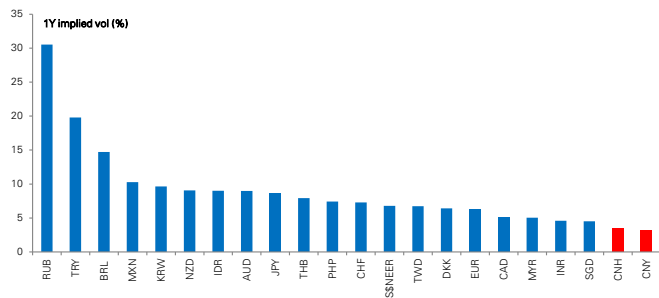
Source : Deutsche Bank Research, Bloomberg Finance LP

Figure 15: Stronger economic expectations could boost the term premium



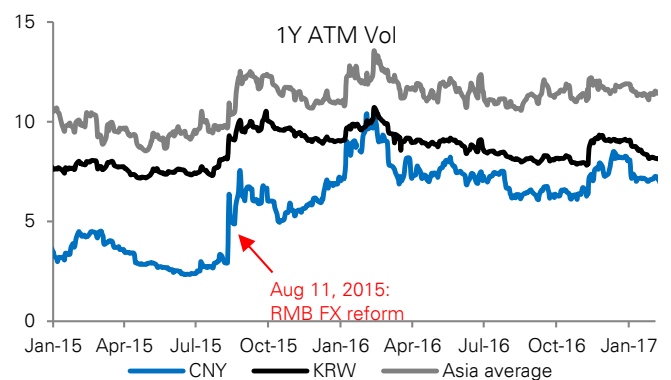
Source : Deutsche Bank Research, Bloomberg Finance LP, Wind

Figure 16: Rising RMB volatility could lift volatility across Asian FX markets



Source : Deutsche Bank Research, Bloomberg Finance LP

Figure 17: RMB FX regime change could have a significant impact on regional volatility



Source : Deutsche Bank Research, Bloomberg Finance LP



Appendix 1

This material has been prepared by the Deutsche Bank Research Institute and is provided to you for general information purposes only. The Institute leverages the views, opinions, and research from Deutsche Bank Research, economists, strategists, and research analysts. Accordingly, you should assume that content in this document is based on or was previously published and provided to Deutsche Bank clients who may have already traded on the basis of it.

Any views or estimates expressed in this material reflect the current views of the author(s) and may differ from the views and estimates of Deutsche Bank AG, its affiliates, other Deutsche Bank personnel, and other materials published by Deutsche Bank. The content in this material is valid as of the date shown on the first page and may change without notice. Deutsche Bank has no obligation to provide any updates or changes to the information herein.

This material should not be used as a basis for trading securities or other financial products and should not be considered to be a recommendation or individual investment advice for any particular person. It does not constitute an offer, solicitation, or an invitation by or on behalf of Deutsche Bank to any person to buy or sell any security or financial instrument. Nothing in this material constitutes investment, legal, accounting or tax advice. Deutsche Bank engages in securities transactions, including on a proprietary basis, and may do so in a manner inconsistent with the views or information expressed in this material.

While information in this material has been obtained from sources believed to be reliable, neither Deutsche Bank AG nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this material and therefore any liability is expressly disclaimed. This material is provided without any obligation, whether contractual or otherwise. Information regarding past transactions or performance is not indicative of future results.

In the US this report is approved and/or distributed by Deutsche Bank Securities Inc., a member of FINRA. In Germany this information is approved and/or communicated by Deutsche Bank AG Frankfurt, licensed to carry on banking business and to provide financial services under the supervision of the European Central Bank (ECB) and the German Federal Financial Supervisory Authority (BaFin). In the United Kingdom this information is approved and/or communicated by Deutsche Bank AG, London Branch, a member of the London Stock Exchange, authorized by UK's Prudential Regulation Authority (PRA) and subject to limited regulation by the UK's Financial Conduct Authority (FCA) (under number 150018) and by the PRA. This information is distributed in Hong Kong by Deutsche Bank AG, Hong Kong Branch, in Korea by Deutsche Securities Korea Co. and in Singapore by Deutsche Bank AG, Singapore Branch. In Japan this information is approved and/or distributed by Deutsche Securities Limited, Tokyo Branch. In Australia, retail clients should obtain a copy of a Product Disclosure Statement (PDS) relating to any financial product referred to in this report and consider the PDS before making any decision about whether to acquire the product.

By accessing this material, you agree that its content may not be reproduced, distributed or published by any person for any purpose, in whole or part, without Deutsche Bank's prior written consent. You also agree that you shall not scrape, extract, download, upload, sell or offer for sale any of the content in this material, and you agree not to use, or cause to be used, any computerized or other manual or automated program or mechanism, tool, or process, including any scraper or spider robot, to access, extract, download, scrape, data mine, display, transmit, or publish, any of the content in this material.